Havells India Ltd. (HAVELLS)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Jul 2022

it
HAVELLS 25th July, 2022
The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001
Scrip Code: 517354 HAVELLS
Sub: Transcript of Earnings Call with resoect to Financial Results for the first auarter
ended 30th June. 2022
Dear Sir,
This is with reference to the Company intimation dated 19th July, 2022 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the first quarter
ended 30th June, 2022 scheduled for Thursday , 21st July, 2022.
Further to the audio recording filed with the stock exchanges already, we are enclosing the
Transcript of the Earnings Call.
The same is also being uploaded on the website of the Company under Financials in the investor
Relations section.
This is for your information and records.
Thanking you.
Yours faithfully,
fm avells India Limited
\ ~
(Sanjay Kumar Gupta)
Company Secretary
Encl: As above
,..._ .~
----· STANDARD ra tree H/.\'JEU ... S INDiA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway, Naida -20-:304, U.P (INc-1.6.)
Tel: +91-120-3331000, Fax: +91-·120-3332:)00
E-mail: marketing@havells.com, www.1,avells.cc,m
Registered Office: 904, 9th Floor, Surya l<iran Buildi;,g,
l<.G, Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells · 08045771313, for Lloyd: 08045775666
CIN; L31900DL i933PLC0•i630-~
GSTIN: 09f-N\CH035 1E2Z2

“Havells India Limited
Q1 FY2023 Earnings Conference Call”

July 21, 2022

ANALYST : MS. RAHUL AGARWAL – INCRED EQUITIES

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN & MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH GUPTA – DIRECTOR OF FINANCE &
GROUP CHIEF FINANCIAL OFFICER – HAVELLS INDIA
LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR - HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR - HAVELLS
INDIA LIMITED
etHAVELLS
etHAVELLS lnCred
Derrow. Whh Confidence .

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2023 Earnings Conference Call of Havells India Limited hosted by InCred Equities. As a reminder, all participan t lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Agarwal from InCred Equities. Thank you and over to you Sir!

Rahul Agarwal : Thank you, Rutuja, and hello everybody. Good morning. InCred Equities welcomes everyone today on this call to discuss the Q1 FY2023 re sults of Havells India Limited. We thank the company for giving us this opportunity to host the call. We have the senior management of the company with us today represented by Mr. Anil Rai Gupta, Chairman and Managing Director, Mr. Rajesh Gupta, Director of Finance and Group CFO, Mr. Ameet Gupta, Whole Time Director, and Mr. Rajiv Goel, Executive Director. I now hand over the call to Anil ji for his opening remarks and then we will get into the Q&A session. Ov er to you Anil ji!

Anil Rai Gupta: Thank you very much Rahul. Good morning we hope everyone is staying safe. You would have reviewed the results by now. There was steady grow th in quarterly and three-year CAGR numbers. Overall contribution margin se quentially maintained except cable which was adversely impacted due to commodity cost fluctuations. We expect benefits from the recent cost moderation to reflect in a couple of quarters.

The demand outlook is stable in consumer and residential segments with slight deferment in industrial and infrastructure segments. We can now proceed for Q&A.

Moderator : Thank you very much. We will now begin the question-and-answer se ssion. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Naval Seth from Emkay Global. Please go ahead.

Naval Seth: Thank you for the opportunity Sir. I have two questions first on channel inventory on cable and wire and other products specifically and second on Lloyd margins as your media interview suggests that Lloyd margins will normalize in ensuing quarters so will that get somewhat impacted by new facility, which will be again operational from this yearend or so?

Anil Rai Gupta: Thank you very much. In cables and wires generally the system inventory is lower and hence we believe whatever short-term pain of as the inventory would be there would be over in this quarter so from the Q3 we expect normalized large margin levels to come back in cables and wires. As far as Lloyd is concerned because the inventories are la rger and then the season is also slower in the second and third quarter, we expect 100% normalized margins in the Q4. We do not see any major impact on margins because of the upcoming plan because by the time that gets ready we would be venturing into the coming season of air conditioners so both I think in cables and wires and Lloyd we should be expecting no rmalized margins in the third and fourth quarter.

Naval Seth: Followup on this inventory level for other B2C products is there any change there as well?

Anil Rai Gupta: No I think they have been stable over the last few quarters. ftHAVELLS

Naval Seth: Thank you so much. I will come back in the queue.

Moderator : Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: I had just had a little more followup on the earlier two questions that were asked? The first one was on cables and wires, we did see another company also recording Q1 numbers and it seems the margins held up pretty well there so I wanted to understand when you expect margins to improve are we going to see sequentially improving margins starting with Q2 itself or there is something else which we need to make a note of here and the second bit was on Lloyd margins you said normalized margins? If you could help us with what is the definition of normalized margin any range that you have in mind and also if you could clarify what kind of incremental capacity is going to get commissioned and the timelines for the same? Thank you.

Anil Rai Gupta: So as far cables and wires are concerned generally when there is a sudden reduction in the raw material prices, it is very evident that when you are selling in the market you would be expected to reduce your prices especially in cables and wires because when there is a sudden increase also or when there is an increase we pass it on to the cons umer in a short period of time as well as in a reduction also and obvious ly there will be system inventory, cer tain purchases which will continue to happen because there is some imported raw materials also which continue to happen hence there will be certain impact in the Q2 hopefully in a few days or a few weeks the system inventory will go down but there will be certain impacts on the past purchases. That is why I said by the Q3 we expect normalized margins to come back and to revive fully. As far as Lloyd is concerned, we have seen that pre-November or October before the sudden increase in raw materials started happening in the industry as well as for the Lloyd's did not pass on the entire cost increase in the market because the season was coming after two years and everybody was wanting to let us say retain or regain market shares so there we

re not full transfer of cost increases in the market. Before that Lloyd was making double digits contribution margins and we believe that we should be back to those margin leve ls by the Q4.

Latika Chopra: Perfect. Thank you so much.

Moderator : Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir thanks for the opportunity. Sir my first question is on the volume growth side so would it be possible to highlight if I just look at the electric al business X of Lloyd we have done about like a 50% growth in the current quarter how much you will be led by volumes and going ahead what do you expect in terms of volume growth so we did about 11% to 12% in FY2022 leaving aside Q1 because there is a base impact what kind of volume growth we should expect for the remaining part of the year?

Anil Rai Gupta: We have seen about a 40% increase in volume in case of Havells and about 10% to 12% in terms of value but again this is not the right comparison because it was a disrupted quarter last year. ftHAVELLS

Siddhartha Bera: So any outlook Sir if you can share how should we expect that type of trend of double digits to continue or do you see some risks because of the price hikes which have happened in the past?

Anil Rai Gupta: You are asking me to say to you what growth we are expecting in the coming quarters. Generally we do not give guidance. I think let us see how the market behaves. I think I have also mentioned on the media as well in the morning that in the month of second half of May and June there was some slight slowness in demand especially more towards the industrial and infrastructure segment but I also believe that it was due to the fact that there was high prices and raw materials were at an all time high. We believe that with these prices coming down we should expect that demand should also come back very quickly so I think going forward we are positive about the demand outlook.

Siddhartha Bera: Got it and Sir the second question is on the Lloyd so I think the rating changes were supposed to happen in July so any update on what has happened and are we looking at any price hikes because of that?

Anil Rai Gupta: That has happened already. The rating changes have happened so all new production will be on the new ratings so yes there is a cost impact on that and we are evaluating that depending upon the raw material scenario as well as depending upon the cost increase we will be taking certain pricing actions in the co ming few weeks.

Siddhartha Bera: Basically with the current commodity fall and the price hikes which we will probably be taking so will that be sufficient enough to take us to the double-digit contribution margins in the current quarter or do you think that it might take some time more?

Anil Rai Gupta: As I said there is inventory in the system and the Q2 and Q3 is generally low in volumes for products like air conditioners so we will be carrying this inventory for some more time and you know we expect by the end of Q3 and Q4, we should go back to normalized margin.

Siddhartha Bera: Thanks a lot Sir. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Good morning. Thank you for the opportunity. My first question was if you could explain in terms of the ECD margins, we see that Q-o-Q the ECD margins at contribution le vel were fairly steady while in terms of the EBIT margin there was substan tial drop? Is it entirely to do with the A&P or is there anything else as well Sir?

Anil Rai Gupta: It is entirely due to A&P because generally A&Ps I would say you have to look at the entire year so yes most of it is due to ANP.

Achal Lohade: Understood. The second question I had is if you could give us some sense in terms of given the Q

1

of FY2021 and FY2022 were impacted? On a three-year CAGR basis what would have been the volume growth across segments would that be in mid single digit, high single digits? ftHAVELLS

Anil Rai Gupta: It would be high single digits or close to double digits.
Achal Lohade: Understood and what I am trying to also ask is given the cost reductions what we are looking at, is it fair to say that part of this will be retained and part of this will be passed on and do you see the way it will behave will defer depend on the categories or it will be by and large get passed on?
Anil Rai Gupta: I have not fully understood your question. Can you repeat?
Achal Lohade: In terms of the RM cost reduction now what we are looking at this point in time would this be largely passed on? Will this be retained and would th is be the extent of redu ction in pass on will depend on the category?
Anil Rai Gupta: I think this will give us give us an opportunity to at least look at the long-term normalized margins of each business in each category so if there has been any reduction let us say in stable businesses like switchgears, PCB, and lighting so that will give us an opportunity to at least come back to those margin levels. As I said cables and wires & Lloyd is very acute in terms of the impact and that should normalize in the next couple of quarters so this reduction and this is very recent so you cannot take really a view on how long they will sustain and how much will it further go down or up so I think this generally happens over a few weeks rather than just an immediate decision of price hike or lowering price hike.
Achal Lohade: Got it and just last follow up is with respect to Lloyd’s is it possible to share what is the market share we have in the AC segment for the season if we have for the season or for the quarter?
Anil Rai Gupta: We tend to believe that we have regained market share in Lloyd air conditioners and we would be among the top three players at least in the first half of the calendar year.
Achal Lohade: Got it. Thank you and I will come back for the follow-up. Thank you.
Moderator: Thank you. The next question is from the line of Atul Tiwari from Citi. Please go ahead.
Atul Tiwari: Thanks a lot. Sir just one question on this industry so now that we have seen Lloyd’s operating at negative margins through this season and obviously the market share has gone up and in the response that some of the larger players have indicated that they are willing to work at lower margins at least temporarily compared to what they were used to in past to retain their market share so do you think that there is a risk of entire AC industry margins structural ly settling down at lower level because of this fight for market share amongst key players?
Anil Rai Gupta: I doubt very much because last two years there was disruption in the air conditioning market. Ultimately it is a technology-oriented business in the product and hence it has to retain certain amount of margin levels to lead this back into technology and technology upgradation for the consumer so ultimately I think the entire competit ion should behave respon sibly in this so we believe that raw material prices stabilizing over the medium term I do not see any major structural changes in the business. ftHAVELLS

Anil Tiwari: Sir following up on that as per your plan what wi ll be the EBIT level norm alized margin for Lloyd that you will be happy working with?
Anil Rai Gupta: I think let us not focus on that as of now but this has been a period where raw material prices have been up and down quite considerab ly so let us come back to norm alize margin leve ls and we will continue to invest in brand building and distribution enhancement in the coming times so this is a long-term play for us and we will take

it as it comes along.
Anil Tiwari: Thanks.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Equities. Please go ahead.
Rahul Agarwal: Thanks for the opportunity. Sir one question on Lloyds just to get this right the base revenue last year was about Rs. 2200 Crores to Rs. 2300 Crores my sense is that we are utilizing almost 90% capacity so is the understanding correct that the incremental growth is all going to come from new capacity additions and the existing infrastructure is all fully utilized? Is this correct?
Anil Rai Gupta: No that is not true because Rs. 2200 Crores al so includes other product categories where washing machines, refrigerators, and LED. In the last financ ial year we were not at 100% capacity but going forward the kind of growth that we are envisaging we would definitely need to enhance our production facilities in South and that would also take a sizable part of the entire demand.
Rahul Agarwal: FY2023 growth is there is still scope to utilize ex isting capacity to further grow on the last years number is that correct?
Anil Rai Gupta: That is right.
Rahul Agarwal: Lastly we have been hearing from some dealer checks that Reliance through the BPL and the Kelvinator brand rights they are trying to cause certain disruption into the similar product categories? Would you think it is going to be a meaningful play there or in terms of your own assessment of absorbing

capacity for you know whatever new product launches we plan for Lloyd that should be comfortable enough?

Anil Rai Gupta: Yes generally in AC industry has seen at least 10 to 12 brands and there would be top four to five brands and then there are a host of other brands as well so there will be brands but I think ultimately it depends upon what the consumer goes for technology, brand, and distribution so lot of factors in building success for brand. It is not really that I would say that price elastic where suddenly market shares change a whole lot.

Rahul Agarwal: Got it Sir. Thank you so much. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Aakash Javeri from Perpetual Investment Advisors. Please go ahead. ftHAVELLS

Aakash Javeri: Good morning and thank you so much for the opportunity. I have two questions. My first question was when would the mandatory BE ratings for fans kick in and the second question was that out of the entire fan market how do you see it evolving over the next three to five years especially in terms of the BLDC penetration?

Anil Rai Gupta: The BE ratings change from the first of January and going forward there will be market for the BLDC market fans and the ranges will continue to enhance and generally industry has seen over a period of time that products transition towards more energy efficient products and if the cost difference continues to reduce in this we will definitely see mo re of BLDC penetration in the business.

Aakash Javeri: Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Thanks for the opportunity. Some of my questions are answered but on Lloyds could you give us a sense on what is the price hike that you would have taken in this particular quarter if that is something that you have done because you have taken about 10% price hike in the last year so in this particular quarter or till June if you could give us some sense?

Anil Rai Gupta: I would say that we would have maintained the prices what we would have continued in the Q4 in the Q1 as well.

Rahul Gajare: The second question is in terms of the shortages of raw material, supply chain issues is all of it behind or are you still seeing shortages of certain raw material or those kind of things?

Anil Rai Gupta: I think generally speaking it is all b

ehind. The noise is more about chips wherein now we are in the process of having a long-term planning schedule, which means we are planning for the next year but the supply chain disruption did not really affect us in the past as well and it is not really affecting us now.

Rahul Gajare: My last question is you indicated that you have got about 40% increase in the volumes in this particular quarter. Is there a particular category that has seen significant rise in volume because lighting we have seen about 70% plus growth. Most of other were in the range of 30% to 40% so any particular category which really stands out in terms of the volume growth that we have seen in this quarter?

Anil Rai Gupta: Yes it is across lighting has seen better growth in this quarter also because of the fact that it also has an industrial and professional component which was majorly disrupted last year because of the second wave of COVID, but generally speaking it is across.

Rahul Gajare: Fair enough. Thank you very much. ftHAVELLS

Moderator: Thank you. The next question is from the line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia: What will be the key driver for this improvement in margin that we are targeting to double digit contribution by Q4 so will it be the lower discounts that we were offering to the dealers or will it be just the correction in commodity prices because that would impact everybody else as well so could you elaborate a bit more on this? Thank you.

Anil Rai Gupta: I think as I mentioned before that the raw materials went up and the entire cost increase was not passed on so when the raw materials go down ther e will be an expansion in margins going forward and that is what we are expecting by the Q4. I do not know whether I have answered your question or not, maybe I have not fully understood?

Vishal Biraia: Sir I was coming from the perspective that we have been more aggressive than the industry maybe in increasing our market share?

Anil Rai Gupta: I did not say that they were more aggressive in the industry. I mentioned that the industry did not take the entire price hike as commensurate to the cost increase, so I mentioned that we have also not done it and we believe that the industry has also not passed on the entire cost increase.

Vishal Biraia: Now you mean that now that the commodities have corrected so the incremental price hikes are not required and so the margins for the industry as a whole should bounce back will that be fair?
Anil Rai Gupta: Yes.
Vishal Biraia: Okay in terms of the market share further incremental market share growth that we are targeting in the air conditioning business what will be the key drivers? On e is the brand building that you are already focused on but incremental, will it be more incentives for the new distributors more working maybe better credit terms?
Anil Rai Gupta: Long term market share development requires product development, technology, manufacturing, leads, distribution, brand building and quality perception of the consumer. So I think incentives to the dealers and all play a very I would say a very, very short term role and many times it is counterproductive also so Havells has not practiced this in the past and we do not envisage this happening. I think I keep saying this Lloyd is a long-term play and something what Havells has done over the last 20 years that we will continue to build. Reiterating, brand, distribution, manufacturing, and technology.
Vishal Biraia: Lastly to what extent do we outsource air conditioning?
Anil Rai Gupta: Pretty much it is now manufactured in-house maybe to the extent of certain models that we do not produce but then maybe maximum 10% to 15%.
Vishal Biraia: Okay and what will be the contribution of refr igerators and washing machines in this quarter?
Anil Rai Gupta: We do not give a breakup in this. We look at the overall.
Vishal Biraia: Approximate percentage roughly maybe 5%-8% single digit still?
Anil Rai Gupta: I will refrain from answering this please.
Vishal Biraia: Okay fair enough. Thank you.
Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Good morning. Thank you so much for taking my questions. The first one just on the cable raw material procurement I was just hoping to understand the sourcing model a little bit better if you could just help us understand how much of it is imported versus procured domestically and also whether there is any kind of embedded derivative or any such time lag between the time you book the order for the metal versus the time that you actually make the payment?
Anil Rai Gupta: We have various businesses and you are specifically talking about any particular business.
Abhijit Akella: Cables in particular
Anil Rai Gupta: Cable generally speaking we buy most of the raw materials from the country but there are certain raw materials for wires like copper we import part of it and it depends upon availability as well as pricing at that particular period of time. It could vary between 20% to 40% the extent of imports and there are no derivatives that we believe in because we believe in the fact that there are not high levels of inventory in the entire system and generally the cost increase or reduction is passed on to the market.
Abhijit Akella: Okay so if I understood you correctly Sir you are saying that the price is set on the date that we signed the contract itself? It is not set at a later date and time.
Anil Rai Gupta: I would not like to get into these details on this but there are no derivatives.
Abhijit Akella: Understood and second part I just had was on some of the cost items on the advertising and promotion line? Is there a ballpark number for the full year that you could help us with in terms of guidance and also the rough seasonal pattern that you expect in that?
Anil Rai Gupta: We usually spend close to about 2.5% to 3% in a normal year other than the disrupted COVID years but generally about 2.5% to 3% and yes it does vary seasonally but over the entire year it is about 2.5% to 3% of the revenues of the entire company.
Abhijit Akella: Understood Sir and one last thing the employee cost has picked up a little bit just wondering if there are any one-off items within that or whether we should use this as a good number for modeling purposes going forward?

Rajiv Goel: Actually there is a if you see sequentially there is no significant growth. I think there were certain maybe adjustments in the last year so I think that is on the base it is looking higher otherwise this is normative in nature.
Abhijit Akella: Okay understood. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Yashika Chopra from JP Morgan. Please go ahead.
Latika Chopra: This is Latika again here. I wanted to check with you to get some flavors on the demand outlook. I understand you said you have witnessed steady trend on the distribution side, but Q2 the high inflation did you sense any moderation in consumer sentiment as you progressed through the quarter and when do you

anticipate this commodity deflation benefits to start getting passed on to
consumers particularly for the ECD category and any color on consumer behavior towards upgrading? Has that got affected? Any sense on rural versus semi urban versus urban trends any
thoughts Sir. Thank you.
Rajiv Goel: I think starting with the last question on the rural, urban or the upgrading I think we have explained this in the past. We have not seen much consumer behavior changing in terms of the high inflation.
Also, I think not all th

e costs have been passed on also to the consumers so it is not that he has
borne the entire brunt of the inflationary pressure. Yes I think as we just mentioned that towards the latter half of the last quarter we did see some moderation. I think maybe it was largely also due to the trade being cautious because when the commodity falls they believe that there will be some price benefits being passed down so they hold so there have been some may be destocking at the dealer level. Cable wires may be higher than ot her product categories. We do believe there is destocking and that is why the channel inventory is extremely low in our view so I think the consumer we believe continues to sort of purchase and that is why on the consumer side we are more sort of confident. Infra and all also we re ally there is a moderation but hopefully as the deflationary or the commodity benefits are passed on in the let us say this quarter going forward may be that demand also should revert back. That is why I think we continue to be sort of cautiously but positive about the demand scenario going forward.
Latika Chopra: Thank you and the last question that I had is we discussed a lot of a lot about air conditioners and Lloyd but any milestones to talk about in the refrigerator or washing machine side even in terms of innovation, consumer acceptance, distribution outlet expansion, etc.? Thank you.
Anil Rai Gupta: I think the washing mach ine business where we started development much ahead is really taking up a good shape. The consumer acceptance and the trade acceptance is strong and we now believe that we have a complete portfolio in terms of washing machines. Refrigerators which were started last year we believe that by the end of this calendar year we should have a complete portfolio but the initial reactions from the trade and the consumer are strong but to have a complete play of refrigerators we need a larger range which hopefull y should be fully in operational by the end of this year.
Latika Chopra: Thank you so much. ftHAVELLS

Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.
Keyur: Thank you. Sir I just want to understand on the Lloyd side if you look at the calendar 2022 and if I do the back of the envelope calculation probabl y our facilities were utili zed fully. Now in that context the incremental margin improvement should be driven by pricing basically price hike or lower commodity prices or are there any other lever so here the assumption is that since the facilities are fully utilized the operating leverage part has already been there in these numbers?
Rajiv Goel: I think we as we explained earlier also right no w we are we are anticipating the lower commodity cost benefit to reflect in the margin s and that is why we believe it sh ould be in the later half rather Q4 because the season also starts late Q3 early Q4 so therefore we expect the benefits to flow in and largely it is predicated on the falling commodity cost.
Keyur: Understood. Sir second question I mean historically we have seen this cycle of destocking and restocking in at the time of say sharp commodity moves in wires and cables? Does similar trend happen in ECD as well or it is less prone to this kind of cyclicity or any other segment which are prone to this kind of cyclicity?
Anil Rai Gupta: So less prone. Some degree of the destocking would be there but yes it will be more pronounced in cable environment.
Keyur: Sir just last question that is on the I think we have at least the commentary phase from many of the players or OEMs that there is slow down in the lighting so what is your view on that because I would just consider lighting as more of say utilit y product so what is driving slowdown in lighting if there is not any?
Rajiv Goel: So we have not seen any slowdown. Actua

lly our business is more consumer and professional. We
are not doing government orders and all. So our business continues to hold pretty well. Even margins continues to hold steady because lot of our business is now innovation driven and also very deep distribution driven so we have not perceived much slowdown. we are not dependent upon any single order or two large orders and then this will create the havoc when those orders go away so that has not seen any impact.
Anil Rai Gupta : Lighting is not seeing any impact as such as of now.
Keyur: Understood Sir. Sir thanks a lot and all the very best. I will get back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir I had one question on the switchgear segment so can you just talk about what is the growth now

we are seeing because this quarter the growth was exceptionally strong so does it have like any one-off kind of nature or by and large we are seeing very strong demand on the ground as well? ftHAVELLS

Rajiv Goel: Switchgear actually if you see last three years becau se that will be more re levant someti me on the lower base it may not reflect but I think we are very actually to some extent excited that we have almost 15% to 16% CAGR in three years which has been if you see the trend before that has been almost single digits so we believe this property upcycle and the construction cycle which has now kicked in and which we believe is sustainable that I think should further support the switchgear business so we continue to be confident about the switchgear and the switchgear segment.

Ashish Jain: Sir what is the mix of retail versus institution on the switchgear?

Rajiv Goel: Our business is largely retail. It does not mean there will not be much institution, but largely we are distribution-based brands and that is why we believe there's a lot of construction happening in smaller towns as well as the urban and we are not much builder driven business. I think you are aware of that.

Ashish Jain: Sir second on Lloyds I know lot has been asked about it but I just had one question so historically in Lloyds when we were seeing a double-digit co ntribution margins we are also seeing 6% to 7% EBIT margins as well so shall we think on similar lines or given Anil ji spoke about higher advertising spend and higher focus on distribution and all there could be a variance between contribution versus segmental margins in Lloyds for the next say few quarters and all?

Rajiv Goel: That is why as you rightly said our first priority is to get to the contribution margins and you see the rest of the things are strategy dependent and our strategy will continue to invest behind this. We see a very large opportunity in this segment and I think we see a fairly long-term play with Lloyd into the consumer appliances segment so I think we will contin ue to take long term calls for the health of this business.

Ashish Jain: Got it Sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sure Sir. Sir thanks for taking my questions. Sir my first question is bookkeeping. We have spent Rs.56 Crores in capex in the Q1? What is the ballpark number for the year that we should be taking?

Rajiv Goel: I think we are because of some I think things do take time so I think we are expecting Rs.700 Crores to Rs.800 Crores.

Pulkit Patni: Okay so that number stays intact . I was surprised with the Q1 num ber? Sir my second question is when we look at our portfolio you know we have got premium products say for example switches and Crabtree and then you have got economy products under different brands? Have we seen a difference in terms of demand trends where the prem ium products have sold a lot more relative to the economy p

roducts any trends that you have seen based on different income levels because we've got a portfolio which spreads across different , different pocket lines so anything on that? ftHAVELLS

Anil Rai Gupta: I would say the products which are affordable in nature are a recent entry in Havells maybe just about five or six years old so hence there is a lot of distribution reach enhancement which is in progress right now, so we have actually not seen any variation in terms of demand but if we see a little bit of higher growth in affordable segment that is primarily because of distribution reached enhancement which is happening whereas our premium products have already been well placed in the market for many years, but otherwise generally thinking the demand is equal throughout.

Pulkit Patni: Understood and if I may take the liberty of asking I am assuming margins would be similar in both categories?

Anil Rai Gupta: The premium products the margins are definitely higher but we definitely do get advantage of operating leverage with increased numbers

Pulkit Patni: Got it. That is helpful Sir. Thank you.

Moderator: Thank you. The next question is from the line of Gopal Navaldhar from SBI Life Insurance. Please go ahead.

Gopal Navaldhar: Sir thanks a lot for the opportunity. My question is in the last two years despite COVID we have seen a very healthy growth of 15% CAGR for this quarter and I think even organized industries also has seen a very healthy growth and the last few years have been challenging for unorganized players and now the things are reversing in terms of commodity prices, supply chain issues and all are you seeing unorganized player coming back into the system and dist urbing the businesses?

Anil Rai Gupta: No we do not see that trend.

Gopal Navaldhar: Sure Sir and the second question is on the how are the inventory in the AC for us and for the system and how long it will take to liquid ate these old price inventories?

Anil Rai Gupta: Generally in this system the inventories are not very high but obviously because of the

manufacturing facilities we do keep inventory levels and we continue to build inventory even in the low seasons so as we have already mentioned that there are high-cost inventories in the system
so it will take a couple of quarters because this is low selling season any way so to come back to
normalize margin levels.
Gopal Navaldhar: Okay sure Sir thanks a lot.
Moderator: Thank you. The next question is from the line of Vishal Biraia from Max Life Insurance. Please
go ahead. As the participant has placed the call on hold, we will move to the next question is from
the line of Prasheel Shah from CapGrow Capital. Please go ahead.
Prasheel Shah: I have two questions both of them are regarding the competition. So one of the most competitive
industries right so how do we differentiate ourselves when it comes to lighting, fans, and consumer
durables how do we differentia te ourselves from the competition and the second question is ftHAVELLS

regarding the distributors now how do we approach a distributor? What is our strategy of when we
are going and trying to win new distributors and how do we sort of keep them and maintain them?
Anil Rai Gupta: I would say that this is not a quarterly analysis question on the call so I would suggest if you can
spend some time with our team in the IR team and maybe that will be a better way to understand
the strategy of the company.
Prasheel Shah: Thank you.
Moderator: Thank you. The next question is from the li ne of Shrinidhi from HSBC. Please go ahead.
Shrinidhi: Thank you for the opportunity and congratulations on strong topline performance. Anil ji I have
just one question here. Sir we have seen some senior management exits from Havells and joining
competition so in that to pic I just wan

t to know that these ar e the just few exits which gets reported
from competition or are you structurally seeing a lot higher attrition rate in senior management?
Anil Rai Gupta: In fact, we have seen a very low attrition rate in senior management over the last few years. There
are a lot of reasons for people to stick to Havells. In fact our attrition levels beyond the VP levels
are low single digits, I would say so I would not sa y that there are higher attrition levels. Yes there
were some challenges last year wherein we saw some sort of attrition in the technology side, IT
side and the R&D side for which the company has taken various other steps also for example
employee ownership plans and ESOP plans to give long term wealth creation opportunities for the
employees, but at senior levels our attritio n levels are extremely low single digits.
Shrinidhi: Sir that was my question Sir. Thank you for answering them and all the very best.
Moderator: Thank you. The next question is from line of Rakesh from Indsec Securities & Finance Limited.
Please go ahead.
Rakesh: Sir how much price hike we have taken in Q1 Sir? Good morning Sir. Sir my first question
regarding Sir how price hike we have taken in Q1 Sir and any price hike?
Anil Rai Gupta: Sorry any particular business you are asking.
Rakesh: No overall Sir?
Anil Rai Gupta: It depends on business to business maybe in switchgear we have seen certain price hikes in the first half of the quarter but otherwise generally there were no prices hikes.
Rakesh: Okay Sir. Sir my next question is regarding Sir any impact on demand of especially for window
AC after some new energy norm implemented for Ju ly because this will increase the cost of say
window AC?
Anil Rai Gupta: Yes we will see this in the co ming quarters because this is a very recent phenomenon. ftHAVELLS

Rakesh: Okay Sir. Sir my last question is Sir any plan to add new product or portfolio in your Lloyds
business Sir?
Anil Rai Gupta: This is an ongoing process in various businesses whether it is appliances, fans, and consumer
durable there are constant product innovations and additions happening so I would say it is a
continuous process.
Rakesh: Okay Sir. Sir how much ru ral contribution to overall revenue Sir ours Havells Sir?
Anil Rai Gupta: I would say it is about 5% of the overall consumer business.
Rakesh: Thanks a lot.
Moderator : Thank you. The next question is from line of Keyur from ICICI Prudential Life Insurance. Please
go ahead.
Keyur: Thanks for the opportunity again. The question is on if you can just give breakup of the capex
either by product or by say growth capex and maintenance capex and second on the Lloyds side
we have earlier highlighted that basically just want to understand what are we doing under the PLI
or the scope of in-sourcing that we would be doing under PLI and earlier we have highlighted about export of AC as well so
you can throw some light any tentative timelines whether it would be white

label or under the brand Lloyd if you can touch upon these aspects. Thank you.
Rajiv Goel: The breakup we normally not provide but we can tell you the large amount of capex will be accounted for by the new AC facility which is coming in the Southern India and as far as the export of ACs are concerned I think they we are getting good response and this will be both in our own brand as well as the white label opportunity on a global basis. The third question was. What was your other question?
Keyur: So basically scope under the PLI what would be the scope of our manufacturing?
Rajiv Goel: PLI is largely a component based so we have also participated on few of the components which currently will be done both in th e existing facility as well as a ne w facility in Southern India.
Keyur: Any specific key component that you would like to highlight?
Rajiv Goel: No nothing. We are not doing

compressor if th at is the question so we are not doing that.
Keyur: I am saying generally see AC unit generally we have seen many of the brands doing subassembly but there are too many components so a specific few components which you would like to do internally versus you used to outsource it two to three year back?
Anil Rai Gupta: We do not believe in sub assembly concept. If anybody has seen our manufacturing facilities we are very integrated ma nufacturing facilities.
Keyur: Got it. Thanks a lot Sir and all the best.
Moderator: Thank you. The next question is from line of Devang Patel from NAFA Asset Managers. Please go ahead.
Devang Patel: Sir I had some queries around why we do not hedge our copper requirement using derivatives? Is it because we do not find the cost benefit favorable? Have we hedged in the past and if we expect high volatility would we change our mind in future?
Rajiv Goel: No hedging is, you see our policy is not to do the hedging so this is part of the policy and these things keep coming up but we have seen in the past that ultimately these do not provide any tangible benefits. I think one event cannot define the long- term strategy. We believe that the real hedging is that we pass it on to the market maybe with a lag effect and it has been working well almost for a few decades now.
Devang Patel: So consistently we have not been hedging in the past also?
Rajiv Goel: No.
Devang Patel: That is all. Thanks so much.
Moderator: Thank you. The next question is from line of Hi tesh Taunk from ICICI Di rect. Please go ahead.
Hitesh Taunk: Thank you for the opportunity Sir. Sir my question pertains to the distribution network? Can you please quantify what is your distribution network of Havells and Lloyd separately because earlier we had a target to increase the town penetration almost double? I just wanted to understand on the distribution point of view for the Havells and Lloyd separately?
Rajiv Goel: On the Havells side we have indicated we have almost 14,000 dealers and on Lloyd side more than 1000 direct distributors.
Hitesh Taunk: 14,000 for Havells and Lloyd?
Rajiv Goel: Dealers and for Lloyd more than 1000 distributors.
Hitesh Taunk: What kind of growth are we seeing in the distribution network in the Lloyd front Sir?
Rajiv Goel: Lloyd is multiple channels like regional retail, li ke MFR, like online so all the channels we would argue that we have been well penetrated.
Hitesh Taunk: Thank you. Thank you very much.
Moderator: Thank you. The next question is from line of Vishal Biraia from Max Lif e Insurance. Please go ahead.
Vishal Biraia: Thank you again. My question pertains to fans as to how was the performance in 1Q? We have again lost the market share and this is overall for fans and also within the premium fans. Thank you?
Anil Rai Gupta: Can you repeat the question please.
Vishal Biraia: My question pertains to ceiling fans and fans ov erall as to how was the pe rformance for us in the Q1 in the June quarter or could you comment also on the market share and the outlook for demand? Would we have seen some amount of down trading here as well?
Anil Rai Gupta: No, I think Q1 the fans performance was quite positive. Again growth over a very disruptive quarter but in the second half of the quarter we did see some slow down in the purchasing which has to be seen whether it is in the coming times whether it was structural in nature or is it just because of high raw material prices and high costs and hence dealers destocking with the season going away.
If you look at market shares, I think our growth if we compare over last five years CAGR has been the highest in the industry and hence we have been continuously gaining market share in fans

category over the last five years. Quarter and qu arter the

re can be various comments but otherwise
whether it is lighting, fans, or Lloyd our CAGR over the last five years has been the highest in the
industry so I would say that we have gained market share.
Vishal Biraia: The other question is on the small appliances do you see a scenario of increasing competitive
intensity in the space?
Anil Rai Gupta: No, it is already there. It is a highly competitive business so we do not see any increase in
competitive intensity.
Vishal Biraia: This will be also a place wher e the price hikes would have benefited us but we have not seen
enough price hikes so would that also be just la rgely because of competitive intensity that others
have also not taken enough price actually would that be the only factor?
Anil Rai Gupta: I think this was again similar to Lloyds. It is a very, very consumer-oriented product. I would say that the
industry has taken a view of not entirely passing on the entire cost increase. So yes over a period of time this raw material
abatement or decrease would actually help the margins come back.
Vishal Biraia: Thank you.
Moderator: Thank you. The next question is from line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir I had just one housekeeping question? Can you quantify your markets within AC on 1H basis
or 1Q basis?
Anil Rai Gupta: No.
Ashish Jain: But is it safe to assume you are 15% plus kind of number? ftHAVELLS

Anil Rai Gupta: No when I say I do not want to give a number. I believe we are amongst the top three players in
the first six months of the calendar year.
Ashish Jain: Great Sir. That is helpful. Thank you.
Moderator: Thank you.
Anil Rai Gupta: I just want to make one comment on the market share. It is like investment bankers giving their tables.
Everybody tries to give numbers which are suiting them and comes from very different
sources. There is no one particular source which people use for market share hence I would say
normally the way we look at market shares is th e CAGR growth over a longer period of time and
again quarter-on-quarter or half yearly market shares do not mean much. We have to look at the actual performance which is
happening in the market and long-term performance.
Moderator: Thank you. Ladies and gentlemen this was the last question for today. I would now like to hand
the conference over to the management for closing comments.
Anil Rai Gupta: Thank you very much for joining on the call. Thank you.
Moderator: Thank you. On behalf of InCred Equities that concludes this conference. Thank you for joining us
and you may now disconnect your lines. ftHAVELLS

Call: Oct 2022

24
th October, 2022

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor Plot No. C/1, G Block Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051 NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the second quarter and half-year ended 30th September, 2022
Dear Sir,

This is with reference to t he Company intimation dated 18
th October, 2022 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obliga tions and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the second quarter and half-year ended 30
th September, 2022 scheduled for Thursday, 20th October, 2022.
Further to the audio recording filed with the stock exchanges already, we are enclosing the
Transcript of the Earnings Call.

The same is also being uploaded on the website of the Company under Financials in the Investor Relations section.
This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary
Encl: As above

"Havells India Limited
Q2 FY 23 Earnings Conference Call"
October 20, 2022

MANAGEMENT : M R. ANIL RAI GUPTA : – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
M R. RAJESH KUMAR GUPTA – DIRECTOR , FINANCE AND GROUP CHIEF FINANCIAL OFFICER – HAVELLS INDIA LIMITED

M R. RAJIV GOEL, EXECUTIVE DIRECTOR – HAVELLS INDIA LIMITED .

MODERATOR : M R. ANIRUDDHA JOSHI - ICICI SECURITIES

Moderator: Ladies and gentlemen. Good day, and welcome to Havells India Limited Q2 FY '23 Earnings Conference call hosted by ICICI Securities. As a re minder all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Aman. On be half of ICICI Securities, we welc ome you all to Q2 FY '23 results conference call of Havells India. We have with us entire senior management of Havells represented by Mr. Anil Rai Gupta: Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole-Time Director of Finance and Group CFO; Mr. Amit Kumar Gupta, Whole-Time Director; and Mr. Rajiv Goel, Executive Director.
Now I hand over the call to the management for their initial comments, and then we will open the floor for question and answer. Thanks, and over to you, sir.
Anil Rai Gupta: Thank you, Anirudh. Good morning to all of you and wishing you all a very happy Diwali. Hope you have reviewed the results by now. The second quarter saw a decent revenue growth considering the inflationary environment. It's en couraging that majority of the sales growth was led by volume. Margins in quarter two were impacted by a full absorption of high-cost inventories against falling raw materials and sales prices.
The impact was more pronounced in cables and Lloyd, while high-cost cable inventory is now exhausted, Lloyd absorption would continue through Q3. We believe that margins have hit the trough and are expected to improve hereon. Real estate and infra presents a good opportunity. Overall, demand outlook remains positive.
Aniruddha, we can now proceed to question and answer.
Moderator: Thank you very much. Ladies and gentlemen we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on the touchtone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a questions. Ladies and gentlemen, we will wait for a moment while the queue assembles. Our first question is from the line of Aditya Bhartia from Investec.
Aditya Bhartia: Sir my first question is on the inventory level that we are seeing at the end of Q2. As compared to the historical levels, it appears to be still fa irly high. If commodity products were to continue declining a little, does it mean that the benefit of raw material cost would not be entirely visible in Q3 either?

Anil Rai Gupta: Well overall, inventory levels are higher because of the buildup of the festival season. So primarily most of the business, the production has happened in the second quarter. So these are not old inventories, except in cases of ACs in Lloyd, which could not be sold completely, because of the lower season in the second quarter, which will be absorbed in the third quarter. And eventually, this is all the fresh invent ory going into the third and fourth quarter.
Aditya Bhartia: Understood, sir. And seco ndly, sir, how should we really be looking at Lloy d profitability from here on. When you say that high-cost inventor y would get liquidated by fourth quarter and normalized margin should start coming back. What are the kind of margins that you continue to be normal? And do you see more on the gross margin or contribution margin that is more and the EBIT margin even after all the operating measures?
Anil Rai Gupta: I think overall Lloyd, a lot focused also on the growth of revenues. So, if you would ha

ve seen that we've grown more than 50% in the first half and this momentum will continue to be there.
We do see a huge opportunity for revenue growth, market share gains in air conditioners, but also revenue growth because of the addition of new product categories, which are gaining strength in the marketplace. It will have its own journey. So, there's a huge opportunity for revenue growth and that focus will continue to be there going into the next financial year as well.
So there will be an upward trend. As I said, the margins in the second quarter are lower because of very different reasons. But going into the th ird quarter, practically most of the normalized margins would come back. But fourth quarter, we should expect in a norm al level, it should be in the range of about low double digit contribution margins.
However, there will be contin ued eye on the track how the co mpetition continues to behave. And our first focus will be market share gains and revenue growth in Lloyd. But also at those levels, we do believe that we w ill be fairly positive on the prof itability side also with good advertising inputs.
Moderator: Thank you. Next question is from the line of Sonali Salgaonkar from Jefferies India.
Sonali Salgaonkar: Sir, my first question is again on Lloyd. You did mention that by Q4, you expect low double-digit contribution margins in Lloyd. But sir, co uld you throw some light on the market share gains that we have had in Lloyd on a year-on-year basis, the boost you to work with the last because we have seen that consistently over the past three quarters. We have had a very good revenue growth, but the margins unfortunately are

consistently falling?
Anil Rai Gupta: I think let's -- maybe not even look at the quarter-on-quarter kind of revenue market share gains because it's also difficult in this industry to actually get the exact numbers. But overall, we have seen that we have been able to garner market-leading growth in the last few quarters.

So this does give us the impression, and we also believe that we are amongst now in the top three players in those AC categories. And hopefully, we would like to continue that position and continue to grow faster than the market.
Sonali Salgaonkar: Sir, any price revisions that we have done or any material price revisions, which we have done over the past few quarters, especially for Lloyd or any other category?
Anil Rai Gupta: So Lloyd is undergoing also a transition during the third quarter, because energy efficiency norms will change from 1st of January. So both in case of fans and ACs, there will be a price hike coming in the third quarter and going into the fourth quarter. So -- but that is actually higher cost products being sold at higher prices in the market.
Sonali Salgaonkar: And my second question is, could you throw some li ght on the initial festive trends that you are looking at, especially if you're seeing a nything different in any of the categories?
Anil Rai Gupta: I think when we started getting into the festival season, we saw some slowdown in the pickup, because I think the trade was actually a bit slow to pick up inventory. But in the last couple of weeks, we have seen some good pickup, which is happening, which is also meaning good secondary sales are happening and we see good primary sales are also happening.
So we've seen a good uptick in the last couple of weeks. It's still early days. Let's see how the third quarter pans out, but it's a positive outcome.
Sonali Salgaonkar: And lastly, CapEx guidance, that is it from my side?
Anil Rai Gupta: I'm sorry?
Sonali Salgaonkar: Sir, your CapEx guidance?
Anil Rai Gupta: So as our water heater plant capacity is now fully online. And we hope that the new air conditioning facility wo uld start some production in the fourth quarter as well. So that is on there. And we are also setting up a new facilit

y in Ghiloth. So overall, I think in this financial and next year put together should be anywhere between INR 1,000 crores to INR 1,200 crores. But most of it, which will come in this financia l year and some of it wi ll be carried off in the next year as well.
Sonali Salgaonkar: So sir, how much of this INR 1,000 crores to INR 1,200 crores is already done in FY '23?
Anil Rai Gupta: I think INR 165 crores was shown in the numbers which we have spent. It will be INR 700, 800 crores, around INR 700 crores.
Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Charanjit Singh: Sir, I just want to check first thing on the ECD segment, there, our growth has been muted and margins have also taken a significant hit. Sir, can you highlight especially from fans and the appliances segmental perspective. How has been the market scenario? And what's the outlook going forward from growth as well as the margin perspective in the ECD segment?
Anil Rai Gupta: I think specifically, if you look at the ECD segment in fans, we did see some slowdown primarily because there's some destocking happening because trade also wants to clear out their old energy efficiency norm products. So there will be a little bit of slowdown in fans even in the third quarter, but going forward in the fourth quarter, we definitely see market coming back.
Third quarter is generally a high season for water heaters and appliances, which should take care of the growth in for ECD in the third quarter as well. Second and third quarter is anyway lower for fans.
Charanjit Singh: And sir, from a profitability perspective, because if we look at the EBIT margins, last two quarters have been severely impacted. This segment used to see somewhere around 17% kind of EBIT margin in a couple of quarters we have seen. So here, the recovery in the margin, how long it could take sir?
Anil Rai Gupta: So, because of a complete consumer nature of these products, as the raw material prices went up high, all the prices were not passed on to the market. Even there is raw material price is now stabilizing, we will continue to see improv ement in the contribution margins and the EBIT margins in this category.
Now if you're comparing it with th e highest quarter, I think that's also a little bit of a -- on the other side, there were lower costs associated with that as well, but we will continue to invest in our deeper penetration in the market as well as advertising.
Charanjit Singh: Okay. Sir, just last question from my side on the ad spending. So, like you had earlier also highlighted that some of the costs will start no rmalizing and ad spending is one number which

is normalizing. So, for the full year perspective, what's the kind of ad spending as a percentage of sales we should look at? And what it could be on a sustainable basis going forward in FY '24?
Anil Rai Gupta: Yes. So, ad spends, we actually had continued to normalize ad spends except COVID years. We started off last second half and this year normali zed ad spends. And we definitely believe that it will be anywhere between 2.5% to 3% of the non-cable sales. So that will continue to remain.
Moderator: Our next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, my first question is on the price increase. You said we will be taking in third quarter in the AC and fans category...
Moderator: Yes, not very clear.

Siddhartha Bera: Okay. Is it better now or still weaker?
Moderator: Please use the handset Siddhartha.
Siddhartha Bera: Sure. So I just wanted to check on the price hi kes, which you indicated that will take some in AC and fans in the third quarter. Possible to highlight of what will be the quantum for that? And...
Anil Rai Gupta: I could not follow your question, please.

Siddhartha Bera: So you had stated that we'll be taking some pric e increase in the third quarter in the AC and fans, because of the higher costs, so possible to quantify how much will it be? And will that be sufficient enough to achieve the double-digit margins along with the contribution margins, along with the lower cost of those things?
Anil Rai Gupta: We're still evaluating the entire im pact of that, and that will be passed on. Actually, it picks in the fourth quarter, but those raw material inventor ies will start coming in the third quarter. But yes, that will not impact the margins positively or negatively for both the businesses.
Siddhartha Bera: Okay. And the margin, if I look at contribution margin, which have also declined quarter-on-quarter in quarter two. Is there any element of price cuts or discounts also because commodity costs have been largely stable, but our contribution margins have dropped. So, any other factor here to look at?
Anil Rai Gupta: No. It's primarily the high-cost inventories, which need to be looked at.
Siddhartha Bera: Okay. And sir lastly on the wire and cable side, I think last quarter, we had seen some bit of channel destocking and this quarter, we had reported the strong growth. So, any impact of the channel inventory buildup, which is there, if you can highlight and whether this growth is sustainable or we should look at a more normalized number?
Anil Rai Gupta: No, this is a more sustainable growth because there were no any major price fluctuations in the current quarter.
Moderator: Thank you. The next question is from the line of Atul Tiwari from Citi.
Atul Tiwari: And congratulations on continuing market share gains in wires. So, the question is exactly more on medium term. So obviously, in this industry, there are other players, MNCs are also present, Chinese and Japanese...
Moderator: Your voice is not clear. Request you to please use the handset as well.
Atul Tiwari: Yes. The question is on Lloyd, so in the AC in dustry, obviously, the competitive intensity is high and with the certain large players present. So, if these payers decide to respond, are you

okay to continue to operate at negative margins in Lloyd-lloyd for an extended period of time to realign and increase the market share?
Moderator: Atul, your voice is still not clear. May I request you to use the handset for the next question.
Atul Tiwari: Yes. So sir, the question was on the lloyd . So, because obviously, the competitive intensity is quite high in AC industry. And obviously, other players also want to maintain or increase their market share. So, are you okay to operate at negative margins for, say, next few years in case other peers also decide to respond?
Anil Rai Gupta: But Atul you have also seen that the second quarter negative margins, we have enumerated the reasons for that. It's not the competitive intensity that we're talking about. So, I don't understand some of your questions.
Atul Tiwari: So sir basically obviously, second quarter of margins were very low because of one-off reasons. That I understand. But it was like fourth or fifth quarter when the Lloyd has operated at negative EBIT margin. So, it was not like the first quarter it was happening. Hence the question that, is the intent to kind of gain market share despite negative margins over extended period of time?
Anil Rai Gupta: Yes. So, the whole idea holds to actually look at the market share gains and our long-term investment in the brand and distribution investments. Because we needed to change the perception of the brand as well as the changes in distribution channels. So yes, over a medium period of time, that will be the first focus.
Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Again, sir, more medium term, we saw this period of COVID where demand went down. And

then we saw last 12 to 18 months where there's an element of pent-up and a lot of things happening. Now from here, if you were to look at the next couple of years of demand, any sense you have given the capacity that you've built in with set of factories. What is the realistic sort of demand that I think as a country, some of your segments could deliver? Just some ballpark thoughts about how you are thinking about demand?

Anil Rai Gupta: I think within the last couple of years, we've se en post-COVID, let's pick at the industrial and project segment. Things have started actually post-COVID very nicely, and this continues to show good growth in there even till now. Because of the high level of focus in the government, now a new CapEx coming up because of the slowdown in CapEx in the COVID cycle. So, things are happening there on that side.

We all know that post-COVID, suddenly the real estate demand started doing well. One of the only negative factors there could be the high interest rate but still, even today, the real estate cycle continues to do well. So I think in the medium term, we are quite hopeful because all our

products, whether it's consumer side or industrial side focus on this, this will be definitely a good run for demand cycle in the coming times.

Also, the fact that, electrification has now reached all the villages, so you'll see more and more Tier 3 towns in rural areas. Their aspirations to buy high-quality products also increasing in the coming time. So, I think going forward in the next two, three years, this should all result in a decent growth outlook.

Pulkit Patni: I will have follow-up to that. I mean given the fa ct that rural has not b een doing that well. And urban, obviously, that pent-up part at some stag e will start slowing down. I understand the real estate story. Still, you feel that growth could be decent for us. That's what I'm trying to get to?

Anil Rai Gupta: That's right. You talked about medium term with real-estate. The rural demand had slowed down more because of the inflationary pressures. So, we do believe once that is taken care of, things should come back to normal.

Moderator: Next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Just two questions, sir. Firstly, on the fan side. I understand that the channel is not really comfortable with the changes. I think the understanding is still limited more on the B2C side, but the phenomenon should be different between fans price between INR 1,800 to let's say, INR 2,500 and then something above that, could you elaborate a bit like what is the exact concern there?

Like you obviously mentioned that 3Q should stil l be volatile and fourth quarter would see a lot of channel restocking with all the new stuff, new ratings. But just if you could elaborate between segments, between fans like what is exactly the concern there?

Anil Rai Gupta: So, what do you mean by the concerns. So, the co st of the product will rise when you make the products with the new BEE models, right? So that will have to be passed on to the market. So, the channel would definitely destock because they can't sell the old products after the 1st of January.

So, they would destock, they will try to clear off their inventory and then start buying the new products. So, this happens in all the segments of the fans business, not just the lower end of the cost market.

Rahul Agarwal: So, my understanding was the production has to stop from 1st January and not the sales side. We can still sell in January, February the old inventory. Is that correct?

Anil Rai Gupta: That's right. So, we can't sell from there on. But ch annel definitely wants to take view that they also want to clear the inventory, whic h is the right thing to do actually.

Rahul Agarwal: So, we should see like some p

rebuy happening in third quarter and then fourth quarter should have more of new product sales. Is that correct?

Anil Rai Gupta: I think wewere crossed each other . Second and third quarter is not a high season for fans anyway. So generally, there are high levels of in ventory, you're building up the inventory for the coming season. We also want to not manufacture the entire inventory at high cost for the fourth quarter.

So, you also want to push the material in the market, but the channel is also slow in picking up the material. So, it's a combination of many things. So, we do see some sort of slowness in pick up for fans in the third quarter as well.

Rahul Agarwal: And lastly, on lighting, any specific reason for lighting EBIT margins coming off Q-o-Q by 200 bps. I thought this segment was relatively doing better in the past six months?

Anil Rai Gupta: First of all, we had an accident in the factory in the lighting business. And thankfully, it was only half of the factory. We have another fact ory where the production switch had to happen over the period of time. So, because of two reasons, one, the switching had to happen. And secondly, some amount of outsourcing is also there. So, we do see some sort of pressure on the margins in the lighting business. But hopefully, it should be coming back to normal very soon.
I mean the good thing is that we have not lost sales in lighting because of the accident.
Moderator: Our next question is from the line of Shrinidhi from HSBC.
Shrinidhi Karlekar: Two questions from my end. Also, the switchgear business revenue growth appears bit soft, particularly given that you're highlighting that the real estate cycle itself seems to be an up cycle, there seems to be good infrastructure investment. So just wondering what is really happening that the growth is slightly slower than what it will achieve?
Anil Rai Gupta: I don't think there's nothing much to read there. Overall, quarter-on-quar ter things can vary a little bit. But overall, if you look at the CAGR, this has probably been a good run for switchgear in the last few years.
Shrinidhi Karlekar: My second question, sir, you're guiding for a low double-digit cont ribution margin in Lloyd. Just wondering, does that presume a material fall in commodity prices from the current level or significant product price hikes in that industry as well as Lloyd?
Anil Rai Gupta: I think this thing is qu ite a moving thing right now because we're also going through a transition of the BEE norms. So, a lot will depend upon, how things pan out in the fourth quarter. But yes, it does assume the present raw material prices.
Moderator: Our next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: I just wanted to understand y our comments on demand a little bette r. It seems that B2B demand is where you're more positive on. On the B2C si de, you mentioned demand is a little sluggish, but stable. Just want to you understand this better in the terms of are you commenting this more from a fading of pent-up demand? Or are you seei ng incremental impact of inflation affecting consumer spending?
Any color on consumer behavior, particularly on the B2C side that you are witnessing even in terms of product mix, if you could elaborate a l ittle better on this? And if you could also share the volume and price differential for the quarterly growth rates for the key segments?
Anil Rai Gupta: I think to your first question, I see this more as an inflationary pressure on the demand rather than slowing up of the pent-up demand, which happened in the past. As a consumer trend, I would actually say, there is not a whole lot of di fference, which was expected that the consumer will start down trading or downgrading towards lower quality and lower spec products.
It's actually not happening. Havells is catering to different segments of the

market through various brands. So we actually don't see a major shift happening in the various brands firstly.
Mass premium or the premium cat egory continues to do well.
So volume growth, overall, we see there's almost 80% is on the volume growth rather than the value. So 14% overall we've done in the quarter. Almost 12% is coming out of volume growth.
Latika Chopra: Sure. And in a scenario if for the next six mo nths not getting into the medium-term growth potential. But just looking at the next six to 12 months, if you find that consumer spending is constrained, do you think that industry will be willing to pass on pricing benefits to the consumers to drive market shares or to drive growth. I mean that in anyway constrained the ability to deliver margins, which used to be in the 13%, 14% band in the past? Would you be willing to operate at lower opera ting margins considering market shares and growth is prioritized here?
Anil Rai Gupta: Yes. So first of all, we do not know what will happen and how the competition will behave. We definitely do, the way we balance the businesse s we do react to how the competition would behave. But also, we have a very long-term strategy and where we want to position the brand.
So in the past if you've seen in most of the businesses, other than the very fluctuating kind of businesses, where we have seen very high density in Lloyd, cables and wires. Generally, our margins have been quite steady. This is only in the last 1 year there were fluctuations of extremely unprecedented.
So I don't see that reducing prices or increasing prices really changes the market share a whole lot in which you really have to spend a whole lot of investments, both in brand, distribution and all that. So I think we do expect stability in margins. But yes, there is high intensity in the competition. One has to adjust a little bit. That does not really change the profile whole lot.

Latika Chopra: And the last question is on Lloyd. Just wanted to understand what is the absolute level of brand spends you make on Lloyd today and what's the split between air conditioners versus the new segments that you're entering in? And even if the contribution margins move up to double-digit level, could there be disproportionate increase in these spends and hence EBITDA margin expansion might not happen at a similar pace?

Anil Rai Gupta: So first part, almost 25% of the ad spends go towards Lloyd. We don't really differentiate between within Lloyd between, because we treat it as a brand positioning rather than this product to product at this present moment. There will be spikes for non-AC products during the season time and AC products, but we don't really distinguish between within the Lloyd category. Sorry, I missed your second part of the question.

Latika Chopra: So just trying to understand, do we expect a disproportionate increase in these spends as you scale up the new categories that you expand and hence, the operating margin expansion could be a lot more limited versus what you're seeing at the contribution level?

Anil Rai Gupta: I think for Lloyd, we are definitely wanting a bit of a long-term future, where we want to build certain categories. It almost like where Havells was about 10 years back. And we do see a huge opportunity where not only the market is very large, but also the growth is high.

And the discretionary spend with the consumers are increasing and moving towards these products. So there will be a continued investment in the next two to three years on the brand side. And to use your word, yes, there will be a disproportionate investment in the brand building.

Moderator: Next question is from the line of Chinmay Gandre from Reliance Nippon Life Insurance.

Chinmay Gandre: Sir, my question is basically on fans. So are you going to clarify that channel will allow through some of the current rating fans 1st o

f January '23 also. So normally, historically we see when these kind of things will happen, normally you have seen that the channel kind of stock build because they are also cheaper and basically, they are allowed to sell. So why that phenomenon you don't expect to repeat in fans wherein fans like the challenge kind of destocking let say by the overall increase?

Rajiv Goel: So yes, channel will be allowed to sell, but while AC has seen these BEE changes very sort of regularly. For fans, it has happened after a long time. I think that business behavior has still to be seen. And so I think that the reason we are cautious on how the reaction will be and then that's why we have mentioned both in Q3 and Q1, I think we need to see how the reaction would be from the channel. Largely, the channel is inclined towards having the new category offering. Having said that, there could be some stocking at Q3 and what we are trying to say, please differentiate between fans and ACs. That differentiation will continue to remain.

Chinmay Gandre: Sure. And this thing also happened in [inaudible 0:31:38], but anyways. And secondly, my question is on for price hikes. So post the new rating, so what could be the quantum of price hikes we would be required to take on. I presume they would be quite different for different rating of fans, right?

Rajiv Goel: That's right. That will be there so I think there is still being sort of evaluated, because it will depend upon a lot of variables. So maybe in Q3, we can be in a better position to discuss that.

Chinmay Gandre: But are they going to be quite material to kind of maybe have some impact on demand going into for Q4 and from thereon or the quantum's are not that quite high?

Rajiv Goel: Look, quantum, the percentage quantum will depend upon the base price of the fans clearly at the lower price kind of the impact will be higher than the high price lines.

Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie.

Ashish Jain: So firstly, you spoke about growth being 80% driven by volumes. Can you give some color on the segment wise breakup of volume and value growth?

Rajiv Goel: Actually, largely, it's consistent across. Like for instance we can say Lloyd, it will be almost 100% is volume growth. And you are aware that there has been normally much price revision during this quarter. And that's what we have articulated is a increasing sign that the volume growth which is coming back. In the last three years, volume growth has been lower because there is a lot of price hikes.

Now this already this quarter, and that is one of the reason why margins could have somewhat been what it has because there has been no commodity cost continues to be headwind, pricing has not been revised because now they are falling off. So mostly, the growth you see across is led by volume, not by price.

Ashish Jain: Sir also can you speak about your market share trend in the fans segment? Because from what we understand, the competitive intensity there has gone up quite materially. So any color on how all market share is shaping up on the fans side?

Anil Rai Gupta: I think market share-wise, a little bit last again, as I said, for the other bu siness also, we have to look at over a longer period of time. We believe that we have gained market share in fans and not only necessarily from the big brands, but also there were a state of new brands, which came up in the last five or seven years, which grew at a certain pace, at a very fast pace for a certain

level.
And then eventually, we've seen them slowing down. So I think, again, the big brands with the national brands have tended to do better over the last couple of years, especially post-COVID. So we do see some consolidation of market shares happening in the fans business.

Ashish J

ain: And sir lastly, just like a few quarters back, at the peak of COVID and then commodity prices. We were also talking about the smaller players bei ng at a relative disadvantage in terms of that ability to manage cost and supply chain. So are they now completely back, you think, in terms of the business side? Or so how is that part of the supplies shaping up in your view?
Anil Rai Gupta: Yes, I would say they are pretty much way back to pre-COVID levels.
Ashish Jain: And we're not seeing that disrupting our market share on an incremental basis, right?
Anil Rai Gupta: No, it depends on business to business. As I said, in fans, we're actually seeing the other way round that we are seeing some consolidation even for the larger period. But overall industry-wise, if we see certain disruption which happened for many players, it's now back to normal.
Ashish Jain: Sir, if I may just squeeze in one more question. On your switchgear business, what led to the margin contraction on a sequential basis on a segmental margin. This is anything related to material cost? Or is it just quarterly deviation volatility that is...
Anil Rai Gupta: Related to product mix.
Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Securities.
Manoj Gori: Sir, I have only one question here. So we are talking about taking some price hikes in Lloyd portfolio during 3Q. What gives you this confidence that the price hikes would be absorbed given that during March to May period where demand was very strong and even the RM prices were witnessing inflationary trend and at that point of time, the price hike...
Anil Rai Gupta: Just to cut through, in the product, the price in crease will happen in the fourth quarter, when the industry norms were coming.
Manoj Gori: So I just wanted to understand, in the period where the demand was very strong. The price hike taken by the industry and my view were very limited. And given that now overall, the consumer sentiments are relatively sluggish and demand is weak and the RM prices have also fallen. So what gives you confidence that this channel would be ready to take that incremental price hikes and it should be absorbed in the market.
Anil Rai Gupta: I think that the confidence is because of the continued change in the brand and the positioning of the brand in the channel also. So we do believe we will be able to extract this cost increase at least from the market and the consumer.
Manoj Gori: So in this case, one can assume that the industry itself, at the industry level also there would be price hikes that one can expect?

Anil Rai Gupta: We can expect that. But as you have mentioned only that we really can't be seeing what the industry will be doing, but we do believe that whatever cost increase is happening, we'll be able to pass on it to market.
Moderator: The next question is from the line of Rahul Gajare from Haitong Securities.
Rahul Gajare: Sir, I have a couple of questions. First, when I look at the overall EBIT margin for the past maybe two or three years, there have been trending downwards. If I were to exclude Lloyd, even then, the trend has been pretty much similar. So there appears to be more broader weakness in profitability across verticals?
So in this scenario, besides the price hike, give n the BEE norm change, what are the other factors that you are having or looking for in order to add improvement in overall margins? And we are not talking about Lloyd's right now, the other business here? That's the first question.
Anil Rai Gupta: I think we don't see it like that because we defi nitely believe that there are product mix. There are certain products which are growing at a faster pace as compared to maybe the very high-margin products. Within the businesses also, there has been enough focus on getting into more channels and various kind of customers, mayb e p

roject customers, maybe rural markets where there are high investments in sales.
So we are not deeply concerned by the fact that there is any sort of competitive intensity or positioning change which is happening in market. So , but we are trying to cater to a larger set of customers, which would require in itial investments going forward. I mean this will continue in the coming years as well.
Rahul Gajare: Sir my second question is, given that we've seen slowdown in the channel, have you resorted to lower utilization at your factory to manage the inventory better?

Anil Rai Gupta: No. In fact, most of the inventory buildup is happening because of the season, and I don't see that, we are not actually envisioning that the next couple of quarters will be a slowdown. And hence, we are keeping good inventories for the coming season.
Rahul Gajare: I have meant more in the first half. So given that there was a slowdown that we've seen, did you refer to lower utilization at your factories?
Anil Rai Gupta: Not really because the slowdown happened because of the seasonality. And we were building up whether it's fans or ACs, we were building up for the season, for example, even for water heaters or appliances.
Rahul Gajare: So my last question is, again, on the CapEx. And I'm actually a little co nfused beca use you did indicate that you're looking at about INR 1,000 crores to INR 1,200 crores of CapEx over the

next, between FY '23 and '24, of which you've already spent closer to INR 700 crores in the first half. But when I look at your balance sheet...
Anil Rai Gupta: INR 700 crores for the entire year.
Rahul Gajare: So how much you would have spent on your, in the first half, because I don't see much movement on your balance sheet on the CapEx side?
Anil Rai Gupta: INR 165 crores in the first half.
Moderator: The next question is from the line of Achal from JM Financial.
Achal Lohade: My question pertains to cables and wires. You mentioned that as a broader comment, 80% is the volume growth, as a percentage of revenue growth. But what I wanted to check if you look at the revenue growth of 18% average copper price is down about 10%. You're talking about 25% or in 20s kind of a volume growth, is that understanding right? And is it possible to get some more color in terms of, if the mix is changing in favor of cables given the B2B strength you're talking about?
Anil Rai Gupta: Sorry, I think, there were some break here. I ca n't really follow your entire question, could you please repeat it.
Achal Lohade: Sir, my question pertains to cable and wire business. You did indicate the overall volume growth for the company, about 10%. Specifically on cables and wires business, given the fall in the copper price on a Y-o-Y basis, is it fair to say that the volume growth is more than 20% Y-o-Y.
Is that a fair assessment? And if yes, also if there is any change in the mix in favor of cables?
Anil Rai Gupta: Yes. So you're absolutely right. So there was a little bit of dip in the prices here, but if you compare it over the second quarter of last year not a whole level difference. But if cables and wires grew by about 18%, so we are actually seeing around volume growth of around 18% in cables and wires.
Achal Lohade: And in terms of the mix, is it in favor of more cables, which is also im pacting the margin, which has impacted the margin s for second quarter?
Anil Rai Gupta: Yes. So actually, wires in this quarter because of prices coming down, had a little bit of a slowdown. So just a wee bit increase in the cable but not a whole level.
Achal Lohade: Understood. Just one more question, sorry, a bit technical. If we see in the June quarter, there was a drop in the copper price and hence, the margins got impacted. That inventory got written down already on 30th of June. What explains the further margin contraction on a Q-o-Q ba

sis?

Rajiv Goel: No. Inventory does not get written down on 30th June because if you know the inventory, how the inventory is valued basically, cost or sales price, which is lower. So the cost continues to be there. But obviously, it has come down from what it was however you're still holding because you've already manufactured. So when you sell then only you book the differential. That's what explains. And that's why we are also clarifying that stock is almost finished in wires and cables. So now we expect the margins to improve because now the new inventory, which we are getting at a lower cost.
Achal Lohade: So basically, the margin impact is only when it is actually sold or realized and not really about inventory write-down as of 30th of June or September?
Anil Rai Gupta: No. I remember in Q1 commentary also, we had mentioned that there will be a ramification in Q2 as well.
Achal Lohade: Yes. And the same again played out in 3Q when the copper prices further dropped. Is that understood...
Rajiv Goel: I hope based on the stability in the world so that nobody can argue right now. But technically, if you're asking it, I think that how it works.
Achal Lohade: Got it. Sir one more question I had. Is it poss ible to quantify, I'm no t talking about the Lloyd business, but ex of Lloyd, what is the reduction in the cost basket? Is it in teens? Is it early teens,

mid-teens...
Rajiv Goel: That we can't comment upon.
Achal Lohade: Okay. Because the question is coming from the fact that we are seeing some of the appliances, there is already a price cut initia ted or rather in the form of in centive schemes, etcetera, in the appliances. So I just thought of checking if that will drive the price reduction even for the categories we are operating in for us.
Management: I think, let's wait for Q3 for these questions.
Moderator: The next question is from the line of Naveen Trivedi from HDFC Securities.
Naveen Trivedi: Sir, my first question is how are you seeing the overall B2B side pick-up considering last two years, we have seen this part of the business was under pressure, so in the context of improving the CapEx cycle and the overall recovery in the B2B side, any comment on the B2B side recovery? And how do we look at the coming quarters?
Anil Rai Gupta: Yes. I think generally, we are positive about B2B. Still a small portion about for Havells almost about 25%, but we're seeing recovery, cables has been doing okay, professional luminaires is

growing. The other businesses like industrial switch gear is also at a decent growth level. So it's showing positive signs.
Naveen Trivedi: So are we at in a B2B sort of revenue? Are we at ahead of the pre-COVID level now?
Anil Rai Gupta: Yes, definitely, we're at ahead of pre-COVID levels.
Naveen Trivedi: Secondly, you mentioned about washing machine side, you are seeing a good traction. Are we in a position to share some volume number or market share number?
Anil Rai Gupta: No.
Moderator: The next question is from the line of Amit from Nuvama.
Amit Mahawar: Congratulations first of all on excellent growth set for firs t half on a three-year basis across categories. I hope everybody especially at the Neem rana facilities safe and healthy. I just have one question on the capital alloca tion. Generally, it's between cable and wire and electricals segment, we seem to have broadly have a presence across the basket , but in the Lloyd portfolio, we will have to gradually expand our presence pending ramp up our as scaling across whether it's washing machine or other ranges in the white goods basket. So, if my assessment correct, that in the next two years to three years are more than 50%, 60% of the capital allocation that you have to be towards the Lloyds portfolio. If you can give some color on the capital allocation, si

r, across segments?
Anil Rai Gupta: Well, there is no doubt that if not 50%, 60%, there will be a higher level of capital allocation towards manufacturing on the Lloyd portfolio. Pr etty much, we've completely allocated the air conditioner capacity increase, washing machine, is already on board. The only thing once the buildup happens for the next categ ory, which is refrigerators that we can consider getting into the manufacturing in the next one year to two years. So that's something which we can consider, but we have actually taken the bulk of the heavy lifting has already been done, but it will continue in the coming times as well.
Moderator: The next question is from the line of Swati Jhunjhunwala from VT Capital.
Swati Jhunjhunwala: My first question is your workin g capital data currently at 42 days , and that is mainly because of the inventory. So, what do you think will be the working capital for the second half of this year?
Anil Rai Gupta: We expect them to come down with the, especially March is one of the lowest for inventory, working capital days. So, third quarter and fourth quarter, it should start coming down.
Swati Jhunjhunwala: And secondly, what is the rural contribution to the total revenue?

Anil Rai Gupta: It's only about 5% to 6% of the consumer revenues.
Swati Jhunjhunwala: So like do you plan to ramp it up to the rural side? Or are you more focused on the urban areas?
Anil Rai Gupta: So as I said, different channels are being focused upon and good investments are being made there. So, in the rural side, that focus will continue. We're reaching quite a decent level of penetration there, but more-and-more products will now start to improve the channel.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, I just had a follow-up. Ea rlier on the call, you spoke about a lot of more focus on rural and institutional side of the business. So, is this like necessarily coming at a lower margin for us or you think margins are comparable versus urban or consumer side of the business?
Anil Rai Gupta: So rural is not coming at a lower margin. It's not necessary that these are lower priced products, but in the industrial side, quite a sizeable part of that is underground cables, which is definitely at a lower margin anyway. So, it is definitely contributing lower margins overall as well, but the other businesses like switchgear and professiona l luminaires have high margin businesses.

Ashish Jain: Sir for this quarter, can you break down like the 14% growth into how much was the growth for industrial and institutional business? And ho w much was consumer facing, if possible?
Anil Rai Gupta: We have about 25% on industrial side, about 12% on the consumer side and 17.5% on investment.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital.
Rahul Agarwal: Sir, two questions. First of all, tw o unusual. Sir, just u tilization of cash, if the company is looking at M&A, what could be areas of interest? Like is there any product gap which you want to fill? Or would you look at new categories? And if new categories, what could those be?
Rajiv Goel: So I think our focus will largely be as we have also articulated in the past will be homes and consumer. So it could be something on the regional side, it could be something on the electrical side, which goes into the homes. So, I think that will continue to be sort of -- if we have to scout for M&A, I think we will look at that. Having said that, we also believe there's a significant opportunity in our existing product categories as well.
So while M&A was to use is often to take a phrase, which wi ll be opportunistic . But frankly, we don't need M&A to really look for the growth in this current environment. We believe the medium-term outlook is fairly positive for the country an

d I think we want to focus on leveraging whatever seeding we have done in the past few years. We're already seeing that they are bearing fruits. I don't want to get into a few quarters here and there, but medium term, things look very-very confident and positive.

Rahul Agarwal: Sure, sir. Sir actually I was co ming from a capital allocation perspective, I mean I saw that cheaper debt getting repaid and my sense is internal accrual should be enough for funding CapEx over this year, next year. Hence, my part was we obviously have a lot of extra cash and hence, I was thinking maybe we could utilize it to fill up so mething if there is a gap at all in the existing basket. That was what my intention was.
Rajiv Goel: Cash allocation cannot be the reason for M&A. I think, as they are two independent concepts.
So, we will see as the time comes, we don't think we have unsustainable cash levels as of now.
Usually, we continue to pay 40% payout in terms of the dividend. So I mean, we think right now, I think we will not sort of concern us. If th e time comes, I think we'll take a judicial decision at that point of time.
Rahul Agarwal: And secondly, for the new AC capacity, my sense is it's almost adding 1 million units next year. Obviously, the market size is not growing to that much, any thoughts on exports here? I mean, is that something which is really looked up to? Or is that an opportunity at all on ACs?
Rajiv Goel: Definitely, I think the exports in general, and I think you are all fully aware that how China Plus One is playing out. Obviously in developed market, it takes time to establish the product. Their approval process is far longer than other countries, but yes, I think not only ACs, all other product categories we are looking to substantively grow in export and our efforts are dedicated towards that.
Coming to this question on AC, yes, I think export will be a big focus. Both from the existing, but actually this could be more conducive from the new factory wise, near the port as well.
Rahul Agarwal: So we could see like 2 lakh, 3 lakh units going out of country from the new unit, is that possible like next year itself?
Rajesh Gupta: We're just putting another timeline to that, but I think, yes, substantive numbers are possible why just 2 lakhs, 3 lakhs.
Moderator: Thank you. The next question is from the li ne of Pranjal Garg from ICICI Securities.
Pranjal Garg: Sir, one of the competitor tied up with Mahindra Logistics for third-party logistics services sometime back. As the freight cost s might be likely impacted due to fuel costs and Havells will also be penetrating deeper in the rural market. Will we also likely go forward for any such partnership for using third-party lo gistics to improve the efficiency?
Anil Rai Gupta: No. These efficiency measures could be third-party logistics, would be independent parties.
These are the optionality’s we keep reviewing as a business process. So, whether we tie up on a national basis or regional basis, these experiment s keep happening. So, I don't know that whether Mahindra would be one or who could be, but yes, these are the things which continue to evaluate. These are operational issues.

Pranjal Garg: So we don’t have such option in our books right now. We can assume that?
Anil Rai Gupta: Sorry. What is on our books?
Pranjal Garg: Something that is not in our consideration right now for going to the third-party logistics.
Anil Rai Gupta: I think these are, 100 things are there in the oper ational consideration. So definitely, we are not

discussing on the call, what is our operational strategy.
Moderator: We take the last question from the line of Sujit Jain from ASK.
Sujit Jain: Sir just to clarify because in the call, I think you've spoken twice about this. The price hike in ACs will happen from fourth qu

arter you said, you are asked probably for the second time.
Anil Rai Gupta: That's right.
Sujit Jain: And cable wire mix moved towards cables in this quarter?
Anil Rai Gupta: A little bit, yes, because in wires because there was again saturation prices were coming down. So there was some destocking happening in the wire segment in the second quarter. In fact, if you see the third quarter of last year, there was a high amount of stocking because there was prices were going up. So actually, in this quarter, we have operating on a very high base of wires. So actually, again, especially in case of cables and wires, one should not be really excited or deflated by the quarterly trends.
Sujit Jain: And the volume growth will be higher than th e sales growth Y-o-Y for C&W, which was at 19% because of the price fall in copper?
Anil Rai Gupta: Rightly, because you're comparing over the last year, not just sequential. So Y-o-Y, they will be almost same.
Sujit Jain: And one last thing about Lloyd's margins. You said it will improve in Q4. Contribution margin, double digit, which means when I look at quarter when it...
Anil Rai Gupta: Don’t hold me to double digit because this is a trend which we are seeing, it is upwards, right? So, going forward in the third quarter, we definitely see a major improvement coming in. Fourth quarter, we are expecting normalized margins to start coming and to operating as in the past, but as was discussed, there will be a lot of changes in the AC industry in the fourth quarter. So, we will see at that point of time. Definitely, we would like to pass on the entire cost increase in the fourth quarter.
Sujit Jain: I understand that, but then that translates into 4% or 5% kind of EBIT margin.

Anil Rai Gupta: So that's something which you will have to translate into yourself. I mean, as I've said, we will continue to invest in Lloyd for the next one year or two years for gaining market share as well as creating a position in the market.
Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to Mr. Aniruddha Joshi for closing comments. Thank you, and over to you, sir.
Aniruddha Joshi: Thanks, Aman. On behalf of ICICI Securities, we thank the management of Havells as well as all the participants for being on the call and wish you all a very happy Diwali. Now I hand over the call to the management for the closing comments. Thanks and over to you, Sir.
Anil Rai Gupta: Thank you very much. Wish you all a very-very happy Diwali from Havells. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, on be half of ICICI Securities , that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jan 2023

24th January, 2023

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E) Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001
Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the third quarter and
nine months ended 31st December, 2022
Dear Sir,

This is with reference to t he Company intimation dated 18
th January, 2023 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obliga tions and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the third quarter
and nine months ended on 31st December, 2022 scheduled for Thursday, 19th January, 2023.

Further to the audio recording filed with the stock exchanges already, we are enclosing the
Transcript of the Earnings Call.

The same is also being uploaded on the website of the Company under Financials in the Investor Relations section.
This is for your information and records.

Thanking you.
Yours faithfully,
for Havells India Limited
(Sanjay Kumar Gupta)
Company Secretary
Encl: As above
GROUP
" HAVELLS rzb .....
STANDARD I a I erabtree " HAVELLS
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 20, Sector 126, Expressway, Noida -201304, U.P (INDIA)
Tel: +91-120-3331000, Fax: +91-120-3332000
E-mail: marketing@havells.com, www.havells .com
Registered Office: 904, 9th Floor, Surya Kiran Building,
K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
Consumer Care No.:
1800 103 1313, 1800 11 0303 (All Connections), 011-4166 0303 (Landline)
CIN: L31900DL1983PLC016304
GSTIN: 09AAACH0351E2Z2

“Havells India Limited
Q3 FY '23 Earnings Conference Call”
January 19, 202 3

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED

MR. RAJESH GUPTA – WHOLE -TIME DIRECTOR ,
FINANCE AND GROUP CHIEF FINANCIAL OFFICER –
HAVELLS INDIA LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gent lemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Havells India Limited, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference ove r to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you.
Bhoomika Nair: Yes. Good evening, everyone, and welcome to the Q3 FY '23 Earnings Call of Havells India. We have the management today being represented by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Gupta, Whole -Time Director, Finance and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.
I'll now hand over the floor to Mr. Gupta for his initial remarks, post which we'll open up the floor for Q&A. Over to you, sir.
Anil Rai Gupta : Thank you, Bhoomika. Good evening, everyone, and wish you all a very Happy New Year. Thank you for joining the call today. Hope you would have reviewed the results published. Amidst the moderating consume r demand, a steady performance during the quarter was supported by the B2B businesses. Inflation remains a challenge for the industry and the consumer. Key commodities remain volatile and elevated.
Recent channel expansion initiatives such as ru

ral and e -commerce continue to deliver healthy growth. Lloyd maintained its growth momentum; however, margin recovery has been slow. We expect further improvements from Q4 onwards. There was a strong recovery in contribution margins across segments, especially cables , on a sequential basis. Overall, there is a disproportionate focus by the company on technology, consumer journey and talent buildup.
Thank you very much. We will now proceed for Q&A.
Moderator: We have our first question from the line of Renu Baid from IIFL Securities.
Renu Baid: So, my first question is, can you comment something, what has been really ailing the demand in the B2C segment? And in your view, by when should we expect some rebound? So, is this weakness in demand more regionally focused, rural, semiurban, what is really ailing it? And by when do we expect some recovery and rebound in this end -market demand?
Anil Rai Gupta : Thank you, Renu. So, I think what was generally seen as a huge in flationary trend over the last 1-1.5 years, I think that is, to some extent, slowing down the consumer demand. And w e had hoped that because prices would have started stabilizing in the third quarter, if not increasing, so that should have started giving advantages from the fourth quarter onwards.
But the fact is that there has been some volatility in raw materials again. So, it's difficult to say when we can see a come back to normal growth in the consumer products completely. So, if ..

your question is whether we will start seeing a turnaround in the fourth quarter, not very sure about that. But yes, I think inflationary trends would have ailed the growth in the consumer part.
Renu Baid: And if I look on the margin side, while Lloyd has s een some sequential improvement, contribution positive, still overall negative at the EBIT level. Can you also comment on the

overall margin outlook and status of high -cost inventory across Lloyd and other portfolio?
Switchgear margins also were relatively weak this quarter. So, any comments there?
Anil Rai Gupta : So, I think overall margins from the Havells point of view, which we've maintained that there were some high -cost inventories in fans and cables and wires that were taken care of in the third quarte r, so we are now at normalized inventory costs in Havells side. On the Lloyd side, still some of it was left going into the fourth quarter. So that should be taken care of partly in this quarter, and the rest will be all new cost inventory.
But the fact is , as I said, the raw material prices have started showing some upward trend in the last few weeks as well. But at least the old inventory has already been consumed in Havells and a little bit of left in the upcoming season for the Lloyd AC products.
Renu B aid: And one last question, if I can ask. While we have seen the RAC portfolio marching ahead with market share gains, even margins have been soft, how has been the performance of the non -RAC portfolio, washers and ref, which was relatively new enough in t he Lloyd family? So, some comments on these would be welcome.
Anil Rai Gupta : Yes. I think the growth there also has been very good till the second quarter. Third quarter was a bit slow because overall consumer demand was not great in the third quarter. Obviou sly, it is not reflecting in the AC sales because AC in the third quarter and early fourth quarter is more of a shelf fill -up and stuff fill -up for the distributors.
So, I would say that there has been some slowdown in the growth for the other categories j ust like any other consumer product, but still very small for us. So even that growth is quite high for us, but it has slowed down in the third quarter.
Moderator: We have our next question from the line of Rahul Agarwal from Incred Capital.
Rahul Agarwal : Congratulations for handling the fan transition well.

It looks like there is no hiccup there. Sir,
first question is on the upcoming summer season, both for the ACs and fans. ACs, I understand, obviously, the stocking has started and hence the inventory both at our level as well as at the channel level should be increasing. So, my question is on ACs and fans on the upcoming summer season. How would you see the channel inventory right now? And what do you expect from the season in terms of market share gains and overall demand?
Anil Rai Gupta : So ACs, as you mentioned rightly, that right now is the time for shelf -filling. And the real season starts late January and in the northern parts in late February -March. So that is to pan out. On the fans side, because of t he energy rating change, there was some shelf -filling on the lower segment of the fans, whereas actually on the higher segment of the fans, there was some destocking. ..

Because the cost increase in the higher high -rating fans was not so high. So, there was s ome destocking. And on the lower -end segments like the base fans, there was higher stocking. So, I I would say this is normal inventory, not very high levels of inventory in the fans segment also because this is distributed amongst the low er end and the higher end.
Rahul Agarwal: And lastly, sir, on the margins, you explained a bit, but just on cable and wire and ECD, I think that's not back to normal levels. Obviously, the old inventory problem is sorted at the Havells level. So , in fourth qua rter should we see better margins?
Anil Rai Gupta : The cable and wire, I think it's pretty much there. Generally, our margins are between 14% and 16%, and it's there. And I think ECD, with a combination of all the products, these are the normalized margin levels. So, we have come back to almost levels of last year.
Moderator: We have our next question from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Sir, two questions. Well, B2B segment has done well. So, was there any onetim e impact in that? Or do you see the B2B growth to sustain in Q4 also, question number one. And sir, question number two, ad spend. Now compared to the COVID level, definitely there is a recovery in this quarter in ad spend. But still the ad spend is not ne ar the pre -COVID levels?
So, when do we see the ad spend moving up to the pre -COVID level, and I mean, whether the margins will increase with the correction in input prices, whether that will be largely utilized to improve the brand building efforts?
Anil Rai Gupta : I think pretty much the advertising spends are at normalized levels . Obviously, the volumes have gone up, so as a percentage, the advertisement spends have come down. But I think these are the right levels. We're not anticipating major increase in percentage spends on the advertising .
On the B2B, I think there was no onetime impact of any particular demand. So right now, I would say that the B2B segment has been showing robust demand.
Moderator: We have our next question from the line of Achal Loh ade from JM Financial.
Achal Lohade: My question was, sir, you mentioned the B2B is doing better than the B2C. Is it possible to get some sense in terms of the mix? How was it for this quarter compared to 2Q FY '23 and 3Q FY '22 as well?

Anil Rai Gupta : In Non-Lloyd , approximately 75% is B2C and 25% is B2B
Achal Lohade: If I see in the past, it has been around the similar level. So, I'm just curious to understand.
Anil Rai Gupta : Yes. I mean percentage -wise it's not much different .
Rajiv Goel : It has g one down to maybe 21% or 23% but not very significantly changed. But yes, maybe when the B2C is high, it goes to 23% -22%. ..

Achal Lohade: Secondly, when you say about the B2C is facing some amount of slowdown or subdued demand, if I look a

t our nu mbers in terms of the three -year performance, and I presume more than half of that is volume growth, does it imply that there is a significant market share gain across the categories? Or you think you're talking more from the incremental perspective rather than really from a normalized growth perspective in terms of the slowdown, subdued demand perspective?
Anil Rai Gupta : Sorry, I have not really understood your question.
Achal Lohade: So subdued demand when you say, is it more from a Y -o-Y perspective? Becaus e on a three -year CAGR, we are significantly better actually in terms of performance?
Rajiv Goel : Yes, it is Y -o-Y, incremental basically, because you want to grow all the time. There could be multiple reasons fo r that. We believe primarily it could also be inflation. You could also argue there's something catching up with the consumer demand as well. So , there could be multiple ways to look at it. But yes, there has been some fatigue in the consumer demand. I thin k that's what we are articulat ing.
Achal Lohade: And just a clarification, with respect to the employee cost, if you see Q -on-Q, it has gone up 6%. Is that a new normal run rate we should look at? Or like you said in the opening remarks, you intend to spend on the employee base as well?
Anil Rai Gupta : So, no. So, whatever the increase that you're seeing, that should be considered as the new normal.
Moderator: We have our next question from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, my first que stion is again on this B2C demand, which you said that it is slightly weaker. So can we expect there can be some incentive or discount push, which can, to some extent, support the demand in the current year or do you think it will play out as overall gra dual recovery, which you expect?
Anil Rai Gupta : Incentive to the trade you are saying?
Siddhartha Bera: Yes. Some higher promotion schemes for the consumers
Anil Rai Gupta : No. That may be just temporary. But it doesn't really change the demand scenario. These schemes and all these things are to push inventory into the channel. Ultimately, the consumer demand has to pick up.
Siddhartha Bera: Okay. And in terms of the margins, you said that ECD margins are largely back to the normal level. So will it be fair to assume that both for ECD and Light ing, we don't expect much benefit from the commodity and everything is reflected in the current quarter?
Anil Rai Gupta : Yes, pretty much it's reflected in the current quarter. In fact, I would argue that ther e will be some challenge in the coming one or two quarters if the raw material continues to remain volatile. But we will try and manage that as we have done in the past. Over a medium term, our margin levels remain quite steady. ..

Siddhartha Bera: Okay. And sir, lastly, on the Lloyd business, again, if we look at the capital employed, it has continuously, over the last so I'm not just looking at the current quarter, but as a trend, over the last few years, it has kept on rising from, say, INR 2,000 crores ear lier to INR 3,000 crores now. So what should we think about this business in general? Shall we expect that it will keep on rising as a percentage of your overall capital employed in the medium term?
Anil Rai Gupta : Overall, we'll actually start seeing more eff iciency there because we are now starting our second plant as well. So because the product is seasonal, because of having one plant and the demand growing at a pace of 30% to 40%, so we have been forced to actually keep inventory for the season. So , the working capital once we have two plants running, so overall inventory will come down in number of days .
Siddhartha Bera: Okay. And will it be possible to share the mix of Lloyd in case we have now REF and Washers portfolio als o. So possible to share how much will be the

ACs and other composition for Lloyd
right now?
Anil Rai Gupta : Around 75% is ACs, but you know again, it varies quarter -to-quarter, but overall, approximately about 70% to 75%.
Siddhartha Bera: Okay. So there has no t been much of a change in terms of the mix for Lloyd.
Anil Rai Gupta : Yes, because growth of air conditioners has been also quite fast. It's not like that it's become a mature product for us and hence the growth is limited.
Moderator: We have our next question from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar: Thank you for this opportunity sir my first question is, have we completely transitioned to the new BEE norm inventory in fans and ACs. And if yes, what is the price hike that w e have taken for the new inventory, or for the new models?
Anil Rai Gupta : Yes, we have moved to the new inventories. In fans, our average price hike is around 3% to 4%. And in air conditioners, approximately about 3% to 4%.
Sonali Salgaonkar: And would that be positive for our margins, accretive, or even the cost was higher up?
Anil Rai Gupta : The costs have also risen to similar levels.
Sonali Salgaonkar: Got it. Sir, my second question is, considering that many of the input commodities have started soften ing, is there any pricing action that we have taken or contemplated in terms of rollback? Because I think last year, on an average the price hike across categories was somewhere between 10% to15%.
Anil Rai Gupta : Actually, during the second part of the quarter , raw material prices have started going up again. So there is no room for rollback at the present moment. ..

Sonali Salgaonkar: Got it. Sir, my last question is, in terms of inventory levels for the channels, you are saying that for fans and ACs, it's near n ormal. But looking at the weakness in the B2C demand, how would you think the other category inventory is?
Anil Rai Gupta : Other category in fact, ACs, I didn't say it is at normal level, because it is normally a time for shelf filling. Fans, it is at normal l evels. Other products also, the inventories in the system are not very high.
Sonali Salgaonkar: So they are near normal?
Anil Rai Gupta : Yes.
Sonali Salgaonkar: Despite the demand weakness?
Anil Rai Gupta : That's right.
Sonali Salgaonkar: Got it sir thank you
Moderator: We have our next question from the line of Praveen Sahay from Prabhudas Lilladher.
Praveen Sahay: Thank you for taking my question sir my question is related to Lloyd. As you had mentioned that because of season, the inventory levels were on the higher side, but in the press release you had also mentioned that the inventory you hold high-cost inventory right now. And as well as you are mentioning that the fourth quarter will see some margin improvement. So like if you have a high cost inventory, so margin, how to improve in the Lloyd?
Rajiv Goel : No, all the inventory as on 31st December is not high cost. You see, the inventory is getting built up over the entire quarter. So yes, there was inventory in the September quarter, and September quarter is traditionally a low quarter, so that inventory we carried in this quarter, and that's where inventory we will be disposing in this quarter will be high cost. So some high cost inventory will be but entire inventory as on 31st December is not the high c ost
Praveen Sahay: Okay. So on sequential basis, you are considering the improvement in your margin.
Rajiv Goel : Sure.
Praveen Sahay: Sir second question is related to lighting business. Continuously, we are seeing the contraction in the margin. So can y ou give some details like how the professional lighting mix is doing there? Why? And how long we will see the contraction in the margin there?
Anil Rai Gupta : Have you seen the contribution margins of lighting. So, Lighting contribution margins are fa irly st

able. There was a one -off spike in the third quarter of last year. Otherwise, generally around anywhere between 28% to 30% contribution margins for Lighting are there. And what you're seeing is a contraction in the particular segment results in this quarter is also because of new product launches in this quarter wherein some advertising inputs were done. ..

So, I would not actually see it anywhere contraction of margins. Though in fact we are ducking

the trend in the Lighting industry where there is con traction of margins. But because of new product launches and technology enhancements, our Lighting business gross margins of all the products are maintained very well.
Praveen Sahay: What is the normal margin for this?
Anil Rai Gupta : 28% to 30% contribution margin.
Moderator: We have our next question from the line of Venkatesh Balasubramaniam from Axis Capital.
Venkatesh B.: Mr. Gupta, I had a few questions. The first thing is on ECD consumer durable margins. Your EBIT margins in this quarter w ere close to 13%. And you said these are like the normalized levels that you need to work with and these are like similar to last year. So, if I actually look at EBIT margins of the ECD division over FY '20 to '22, it was in a band of 14% to 17 -odd percent . So, is there any reason to believe that structurally margins in the ECD have come down? Or is there like a one -off in this particular year why the margins are lower, like higher advertising costs?
Anil Rai Gupta : I would say the normalized margins will remai n between 13% to 15%. And there cannot be a fixed number because the quarter -on-quarter advertising spends can vary, but somewhere around 13% to 15% will be there. And you saw margins of around 17%. Those were certain years where the COVID was there and th e advertising spends were really curtailed and expenses were also curtailed. So those were, I would say, not the normalized margin, 13% to 15% would be the regular margins.
Venkatesh B.: Now moving on to Lloyd, I guess you did mention this quarter you have taken 3% to 4% price increases, right?
Anil Rai Gupta : We will be taking in the fourth quarter.
Venkatesh B.: In the fourth quarter. Okay.
Anil Rai Gupta : Once the season starts, because right now, as I said, it's the shelf -filling time.
Venkatesh B.: So are you seeing everybody else also taking these price increases?
Rajesh Gupta: We are expecting that the competition would also have to take similar price increases because of the cost increase of the ratings change from the 1st of January.
Venkatesh B.: Now y ou also in your press release mentioned that sequentially you are expecting an improvement in margins. Do you think we can kind of break in either in the fourth quarter, in terms of EBIT margins, can we turn positive? Or is it like, for that it is going to take a lot more time? And on an annual basis, FY '24, is there a potential of breaking even at the EBIT level, or it will take time? ..

Anil Rai Gupt a: So that will be an endeavor. However, this margin improvement will happen over a period of time. Everything will not c ome back in the fourth quarter. In fact, the fourth quarter, the improvement will be very small, but we are expecting more improvement in the next financial year. Because as we said, we still have some high cost inventory in the fourth quarter. And this is -- the first 1 -1.5 months is also shelf -filling time. So, the price increases will actually effectively happen during the season.
Venkatesh B.: One last question on Lloyd's. Now I guess with the tremendous growth in sales, you've already got to , depend ing on the quarter, you are either third or fourth in the market. Now are you satisfied with this third and fourth? Or do you really believe that you need to get t

o the second position or maybe even challenge the market leader to make your business economi cs work? Or is it like you are now satisfied with third?
Because when we talk to almost all the other players in the market and most people actually keep pointing fingers at Havells that Havells has become too aggressive. So, any thoughts on that? Where do you stop being aggressive and look for breakeven and things like that? Or is it like you're looking to increase your scale to such a level and then look for profitability?
Anil Rai Gupta : I think when you talk about competition and talking about Havells being aggressive, To some extent, the pricing is not dependent on the fact that we are leading the market. We can't lead the market on prices because, as you said, our position is still not the leadership position.
And in fact, the hyper -competiti veness in the pricing front is due to a few factors, especially after COVID, everybody wants to come back to their original levels of positions and market shares . So, a lot of people are sort of not fully passing on the cost increases which happened during the last one year. And that is how the competition is actually driving the prices, and Havells or Lloyd, to that extent, has to follow that as well. So, we will be following the market rather than actually leading the market on the pricing front.
As far as the market positioning is concerned, we do believe that not only in ACs, but in most product categories, we do want to play the top three positions . Sometimes we don't rush after the number one position also because of the fact that in certain kind s of markets like, for

example, in fans, we don't operate in the economy segment of the fans.
So that's why we don't push ourselves to be actually . So, the same will be the strategy in Lloyd.
We would continue to try to be a meaningful player amongst the top two or three players in the market . So, we are not running after a number, particularly, that we want to be one or two or three. It's just that our product offering , market shares continue to need to grow.
Moderator: We have our next question from the line of Ankur Sharma from HDFC Life.
Ankur Sharma: Yes. Sorry. So I had a question on the star rating on fans, which came in from January. So I was just wondering, with this star rating, do you believe there could be some consolidation within the industry? Would you believe that there'll be a shift towards more of BLDC fans, which would typically be 4 -, 5-star rated, which probably also benefits players like Havells, probably the top 2-3 players. So there could be some market share gains for the top 3-4 players and some ..

consolidation as that, or would you believe there wouldn't be too much of a change post the star rating?
Anil Rai Gupta : Generally, theoretically, you're right that any disruption towards higher and better products and technology should bring in consolidation towards better brands, better -quality brands. But we still have to see how this stands out because like, for example, actually, before this change, BLDC was a differentiation. Today, after this change, BLDC is just one of all the products which are energy efficient. So all the fans from now will be below 50 watts.
So I think it will again open the market from an energy saving point of view. But India is a very large market, and it's difficult to say that any such change would actually consolidate the market in a very short perio d of t ime, difficult to say. But long -term, it should benefit the branded products.
Moderator: We have our next question from the line of Amit Mahawar from UBS.
Amit Mahawar: Mr. Gupta, congratulations on a decent recovery, especially bottom line on cables and top line on Lloyd. Sir, I just have one question on Lloyd. If you assume maybe around one to two years a very gradual normalization of

demand cycle, especially inflation cooling off, which can to an extent benefit Lloyd business naturally, but beyond that and beyond the expansion that you're planning, the second manufacturing plant in room ACs, could you throw some color on how Lloyd brand and manufacturing will progress, taking into account the supply chain development that are happening in India as w ell? That's my only question.
Rajiv Goel : So Amit, as you're talking two years out, see we have got another plant already comin g up. So I think supply chain, we believe, more and more will become domestic. You see whether we do in-house, we are already seeing some actions being taken even on the sort of compressors. So I think, first of all, we see the structural shift that most of the products will be sort of make -in-India and not just assembled in India.
Second, I think industry, we bel ieve there will be growth and there will be disruption, as ARG just mentioned, because of COVID . We believe there will be a structural growth in this industry, because India is predominantly a hot country, and we expect this industry to structurally grow. This is the least penetrated in terms of large appliances as well. And within that, we feel there will be certai n consolidations going forward. You see there have been times where multiple players or multiple categories had got into ACs. I think t hat's already getting corrected. So it could be that there could be a relevance of five to six players, and you see there will be sort of better signs of profitability as well. If you look at pre -COVID, this industry used to have good margins. We believe, in a couple of years it will catch up on profitability as well. S ince you're asking slightly longer -term question and we're just trying to give a longer -term picture of what we believe for this industry.
Amit Mahawar: Sure. I mean, I was just referring to -- can I say that from a 2 -year view, 3 -year view, bulk of our capital allocation capacity expansion will happen on the Lloyd side, barring... ..

Rajic Goel : For two, three years, I think we have reached a bit of a peak on capi tal allocation or capital deployment in Lloyd now. What happens after 3-4 years, I think we'll watch out at that time. But now we are peaking in terms of capital deployment in Lloyd.
Moderator: We have our next que stion from the line of Shrinidhi Karlekar from HSBC.
Shrinidhi Karlekar: Congratulations on good set of numbers. Sir, would it be possible to share some color on how is

new construction -driven demand playing out? Are you seeing a slowdown in that pie of the market as w ell?
Rajiv Goel : I think there is some pause there. I'm sure you would have looked at our switchgear segment . There is some pause on the new constru ction. We just hope this is temporary. So we still hold that the property cycle you see is in uptick. But sometimes it's very difficult to really generalize a particular quarter. So , construction, some pause but continue to be more optimistic .
Anil Rai Gupta : It could also be temporary because sometimes people delay their purchase.
Shrinidhi Karlekar: Right. Yes. And sir, on Lloyd business again. So there has been improvement in contribution margins sequentially and you're also guiding sequential margin improvement further into Q4. Wondering would you reiterate your guidance of low double -digit contribution margin in the Lloyd business by Q4, or we'll have to wait longer for that?
Rajiv Goel : I think that will take time, Shrinidhi, because as we said, we still hold certain inventory. Hyper competition continue s to be there. So I think as of now, we will see improvement sequentially.
Shrinidhi Karlekar: Okay. And last one, sir, if I look at Havells' top line performance, okay, it is significantly above indust ry. In the past also, you used to grow much faster than the indust

ry, but the whole quantum of outperformance has been significantly above, and not just at the company level, each and every segment you have been outperforming significantly. Wondering, in y our own assessment, what is really driving this sharp outperformance? Would it be possible to share some color?
Anil Rai Gupta : I think if you're talking over long term, in the last five or six years, there has been a lot of new initiatives towards becoming an Omni -channel company and also becoming more and more relevant towards all kinds of customers, not just the trade -oriented customers, but also B2B projects.
I would attribute a lot of it also to the consumer preference towards the investments that we made in our technology & innovations. And other than the brand building, which has always been there, but most of it is also consumer -led driven through innovation. So I think that also helps the protection of the margins on a long -term basis. So I don't kno w whether I've answered you the question, but it's a very long -term kind of a...
Shrinidhi Karlekar: I was wondering like you had been outperforming pre -COVID as well. The quantum of outperformance seems to have accentuated post COVID, which is good. Could I just understand more of the drivers of it? ..

Anil Rai Gupta : That also is reflected in the fact that with every disruption, there is movement towards organized players. And I think companies who have invested in product , distribution and brand, they get a higher share of the advantage.
Shrinidhi Karlekar: And last one, sir, is the air conditioner plant likely to contribute in servicing demand for this season ?
Anil Rai Gupta : Yes. But in a very small percentage, but it will start contributing from this season.
Moderator: We have our next question from the line of Manoj Gori from Equirus Securities.
Manoj Gori: My first question is on the ECD segment. So obviously, when we look at demand environment which was pretty weak on the B2C side. So if you look at there was some pre -buying in fans, whereas I believe li ke there would have been some pressure on water heaters in the December month, especially when we look at the winters were not so strong. So can you just indicate like probably what would have been the impact on the overall growth numbers during the quarte r because of the weakness in water heater?
Anil Rai Gupta : So first of all, on the pre -buying of fans, as I explained earlier, Havells was less benefited by the pre-buying because Havells does not operate in the economy segment. And these economy fans are in the maj or advantage of cost differential between pre -December and post -December. Hence, the shelf -filling happened for lower -end fans.
So, for us, the pre -buying was not such a big factor. Yes, the other products also include, not just water heater, appliances, f ans overall, and has grown not significantly well. So it was not just related to water heaters, but overall, the demand had been muted in this quarter.
Manoj Gori: So probably for fans, again, the pre -buying or probably switch from non-energy compliant to BEE rating. So it should be a normalized quarter in the fourth quarter, what I mean, for us?
Anil Rai Gupta : Yes, hopefully, it should be. We do have a couple of brands like Standard and R EO, but at least in Havells, our major foray is into upper -end segment. So that should be a normalized quarter. There was increase in prices and the cost. So that can impact some amount of initial growth, because trade and then consumer finally takes some ti me to adjust as well.
Manoj Gori: And sir, how do you expect the industry to settle down, especially if you look at fans with the BEE rating, because if you look at today, we are like in the ACs, it's like roughly 70% -75% is 3-star, 5 -star would be 20% -25%, somewhere near that. Like how do you plan

your productions
with regards to star ratings, what would be the execution challenges? Can you highlight something over there?

Anil Rai Gupta : Really can't answer that. I mean, we'll have to see how the demand pans out. But I think that way our supply chain is very agile to take care of how the demand is there. E verything has to depend on the consumer in terms of w hat they eventually buy. It could be possible that the push towards 5 -star and 3 -star, people may shift towards more 1 -star, 2 -star, but could also be they ..

can actually take a plunge and go for a 3 -star or 5 -star, but this has to be seen during the year. But generally, we are flexible. Our supply chain is quite flexible, and that is one of the big advantages that we have o ur own production team.

Manoj Gori: Sir, lastly, second question on Lloyd. So obviously, since quarters, we were not sure whether we would be doing breakeven in the current year. Can you offer some visibility on FY '24, whether we would be achieving breake ven in the current year. Can you offer some visibility on FY '24, whether we would be achieving breakeven at segmental margin levels for Lloyd?

Anil Rai Gupta : I think we'll comment after the season. That will be the right time to do that.

Moderator: We have o ur next question from the line of Bhavin Vithlani from SBI Mutual Funds.

Bhavin Vithlani: The question is on the Lloyd situation. Could you speak about the cost takeout initiatives, especially on the supply chain where a significant part is imported when y ou could localize and take cost out or working capital out? That's one.

Second, if you could also speak about your product differentiation strategy and also the initial promotion expenses that you could have been doing, which is an entry strategy to get yo ur shelf space, and as that normalizes, when do you see the margins kind of improve because of that?

Rajiv Goel : So Bhavin, on cost takeout, as you said, I think this is an ongoing sort of endeavor. And the commodities, the way they have been volatile, I think they're not helping the cause, whether you import them or whether you do it domestically, because a lot of t hese products are globally sort of benchmarked in terms of the pricing.

So, I think it is a constant endeavor. I think wherever the cost optimisation possibilities are there, I think they are regularly evaluated. In fact, when you do things in -house, in beginning actually you incur costs which are higher than when you just outsource them, either from India or China. So, I think that takes some time to settle down. So now that we've got a new plant, you will see actually some costs which could be slightly higher than normal . But I think in a year or so, I think you will see the benefits of doing things in -house.

Coming to the promotions and the entry pricing and all, I think we have been in this industry for some time now. So, the promotion and making the brand preferable fo r the consumer will continue to be there. I think this is something what Havells has done over long years. And with Lloyd also, there's a similar journey.

So, we will not say this was something for a particular level or a particular period . Yes, as a percentage of sales, as sales grow, you see there may not be a similar increase in terms of percentage. But on the absolute numbers, we believe these commitments, whether in terms of the product, whether in terms of the promotions or advertisem ent, I think they will continue for the time being.

Bhavin Vithlani: Just a follow -up here. What would be A&P for Lloyd? I think historically, we have seen it's much higher than the company average? ..

Anil Rai Gupta : A&P we had it almost 9% -10%. Right now, it will be around 5% -5.5%.

Moderator: We have our next question from the line of Ashutosh Parashar from Mirabilis Investment Trust.

Vipin Goel: Yes. Vipin Goel from Mirabilis. Sir, I had just one question. If you could shed some light on the demand scenario in the wires, specifically on the house wire retail side. And also, if there was any inventory gains in the quarter for wires? So, if there was, then what was the quantum of type?

Anil Rai Gupta : I think wires is undergoing a little bit of a volatility because of the raw material fluctuations. And at times there where some shelf -filling also, because now the prices have started going up. There were no inventory gains, but in the third quarter, the secondary demand for wires would have been also impacted similar to other businesses, but we are seeing some higher sales because there's some shelf -filling as the costs started going up in the second part of the quarter.

So, we do anticipate some higher levels of inventory at the end of the third quarter as far as domestic wires is concerned.

Moderator: We have our next question from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: Sir, one question on the Lloyd's washing machine and Refs portfolio. In terms of SKUs, are we fully prepared for the next season? If you could just elaborate a bit on what kind of models we have and are we done with the largest portion there?

Rajesh Gupta: Yes, pretty much on the washing machines, and r efrigerator is on its journey.

Rahul Agarwal: Washing machine, I think the season just went out, and refs will actually start summer. So, calendar year '23, we should be fully there as per vs competition right?

Anil Rai Gupta : Yes, that's right.

Rahul Agarwal: And lastly, you said Sri City will contribute in the season. So like March and April is where the timeline is for the plant to start?

Anil Rai Gupta : That's right.

Rahul Agarwal: And lastly, capex for the current year and next ye ar, if you could guide please?

Anil Rai Gupta : So, this year, eventually, we'll finish around INR 700 crores. And next year, we'll let you know by the end of the fourth quarter.

Moderator: We have our next question from the line of Abhineet Anand from Emkay Global Financial Service.

Abhineet Anand: My first question is on the RAC side. Can you throw some light for nine months what has been the industry volume growth and what is for us? ..

Anil Rai Gupta : We don't normally give the product price breakup, but we defi nitely have been better than the industry growth.

Abhineet Anand: Yes, I think that's clear from the, I mean, numbers, but any at least qualitative thing will do in terms of industry and Lloyd both?

Anil Rai Gupta : Actually, it's not a great nine mo nths to compare because the first quarter we were comparing against a lower quarter of the last year. So difficult to say what the real growth is in the first nine months.

Abhineet Anand: Secondly, on the cable & wires side, is it possible to give a breakup of the B2B and B2C part?

Rajiv Goel : 60:40. So, 60% is wire and 40% is cable.

Moderator: We have our next question from the line of Rajesh Aynor from ITI Limited.

Rajesh Aynor: So most of my questions have been answered, but I just wanted to ask something on the competitive intensities going forward which you expect in RAC as well as in cables and wires? Because in cables and wires also there are some players who were, let 's say, predominantly on the B2B side, but now they have been guiding that they will also turn equally or even more aggressive on the B2C side? And even in RAC, I mean, we've seen the competition heightened and we are also focusing more on market share gai n and establishing our volume presence in the market. So going forward, do you expect any change in the competitive intensity on the RAC side. And on the cables and wires, you can actually maybe give us some idea of

how exactly are the things. Has there be en any change over, let's say, last 12 months? And going forward, how is it expected?

Anil Rai Gupta : Cables and wires, I think, have been competitive right from the beginning and it will continue to remain so. As you've mentioned, some brands are coming on th e B2C side. In fact, the more they come, in fact, it gets easier and it becomes better to actually reorganize the unorganized sector towards the organized sector. So that is all beneficial. I think our focus has always been that how do we grow faster than the market and gain market share.

On the RAC side, while there is competitive intensity, as I've said many times, due to post - COVID scenario, a lot of people wanting to regain or come back to their existing market share levels . I think the kind of growth that Lloyd is experiencing is not just by being aggressive. We are actually following the market. But also the fact that we are entering into the channels where we were not present, the modern format stores, the regional retailers, the e -commerce. So those are segments that we are entering into. Some sales are also coming from our projects business, the builder segment where Lloyd was not present. So , I think we are gaining market there , rather than actually gaining market share by being more competitive. We are actually more following the market there.

Rajesh Aynor: And sir, just on this note, if you have to look at it, how long let's say would it take for us to sort of have a saturated presence through all the channels as well as all the geographies and all the tiers, let's say, Tier 1 or metro. So how long will this journey continue? And then from there ..

onwards, it will be more like Lloyd will be present all across and then it will be up to the market or up to other factors other than distribution and presen ce.
Anil Rai Gupta : We've been in business since 50 years and since then we've never reached any saturated presence in any business category there. So hopefully, India will continue to give many more opportunities to expand.
Rajesh Aynor: Yes, that is there, b ut it is more to do with RAC and Lloyd as a brand, and there were initial lot of...
Anil Rai Gupta : In fact, our starting point in RAC and Lloyd has also been much lower. We started in 2017. So there the opportunity is even bigger to actually continue to make our presence across every nook and corner, then increasing market share where we are weak. So there will be a huge opportunity for Lloyd to increase its presence.
Rajesh Aynor: Sir, where is our market share, in case you can share that number? And where do you see it going forward, let's say, in almost 18 to 24 months? Any target we've set for ourselves?
Anil Rai Gupta : No, I don't think we'll give those numbers right now.
Moderator: We have our next question from the line of Rahul Gajare from Haitong Securit ies.
Rahul Gajare: You did indicate that the revenue during the quarter was driven by the volume, and you talked about 3% to 4% hike that you've seen in fans and AC. Is it possible you could highlight if you've taken any other pricing action in any other p roduct category during the quarter? That's the first question.
Anil Rai Gupta : So in fans and ACs, I mentioned that the actions will happen in the fourth quarter, and there was no pricing action in the third quarter.
Rahul Gajare: Okay. Sir, my second question is on the ad spend. Given the consumer demand has been soft, you have increased or maybe normalized your ad spend. Is it possible you could help us understand how much is spent on actual advertisement and how much is basically towards distribution incentive schemes etc? Is that the kind of breakup that you could share?
Anil Rai Gupta : No. So all this advertising and promotion that you see is not the distribution. That is already taken out of t

he net revenue.
Moderator: We have our next question from the line of Harshit Kapadia from Elara Capital.
Harshit Kapadia: Thanks for the opportunity and good set of results. So just two questions, sir. We had seen a very subdued growth in switchgears in this quarter, as you have also highlighted, on the de mand side. And similarly for lighting and ECD segment. But however, when I look at contribution margin, for switchgear it remains flat, whereas for lighting and ECD both have improved. So can you share some insights into why is this? ..

Anil Rai Gupta : Because the margins in the second quarter had actually gone down. So basically, they have just come back to the normal level. So if you see the ECD segment, the margins had gone down over the last few quarters because of the unprecedented increase in the r aw material prices, that's started coming back up. And is the case of lighting, the second quarter margins were lower as compared to the normal level.
Harshit Kapadia: Okay. So there was no material benefit which was there in switchgear, which we saw in li ghting and ECD. Is that the correct understanding?
Rajiv Goel : No. What we are saying that switchgear had not declined much in Q2. So I think switchgear has been largely stable. I think it was more profound in lighting and ECD, where the margins have sligh tly improved sequentially. But even in switchgear, if you see, the margins are pretty stable over last few quarters.
Harshit Kapadia: Okay. And my last question is, what would be the contribution of B2B and B2C at Havells as an entity for the quarter?
Rajiv Goel : Lloyd is all consumers. If we exclude that, we mentioned that 25% is B2B and 75% is B2C.
Moderator: We'll take our last question from the line of Achal Lohade from JM Financial.
Achal Lohade: Just a couple of questions. One is on the lighting busine ss. If you could talk a little bit about in terms of how the professional and consumer luminaire growth strength have been? What is the outlook? And secondly, on the margins, in general, for the ex -Lloyd pieces, the margins what we have achieved in 3Q, are you suggesting that this is the normalized margins, because in case of lighting, the margins of 12.7% look low compared to the past. Just a clarification on that.
Rajiv Goel : Yes. No, I think professional and consumer in lighting, the professional has be en slightly better, but I think it's still picking up and the consumer is almost 60% of our lighting business. As far

as the margin is concerned on a segment, it should be mentioned that if you look at contribution, they are pretty much stable, almost 30%, which has been largely the average for lighting in last few years. As far as the segment is concerned, there have been new launches and also new advertisement campaigns for lighting, which could have, just for this quarter, have altered or impacted the segment results . I think lighting remains in good space. So we do not feel any structural challenge to the same.

Achal Lohade: And secondly, just on the cables and wires segment, if you look at the average copper price, it's down 8% Y -o-Y. We have reported 17%. Does that mean that volume growth is upwards of 20% in this quarter, and how do we tally that with the slowing consumer demand, the macro backdrop?

Rajiv Goel : Yes, let's say, 4% to 5% price decline has been absorbed. So, around 20%, 22% volume growth .

Achal Lohade: So how do we tally that against the slowing consumer -facing business, while the construction -led wires volume growth is growing at such a high pace? Is there shelf -filling? ..

Rajiv Goel : Yes. No, wire, particularly because there have been some anticipated price increases. I believe there had been shelf -filling in the last month, December, of the quarter. So ev

erything I think
maybe you can't just attribute to the organic demand for that quarter.

Achal Lohade: Right. What I was trying t o imply is that is there any significant market share gains, particularly in the cables and wires business?

Rajiv Goel : No, no . And frankly, they are not track ed like that. But I think this will be some general industry performance as well.

Moderator : I now hand over the call to Ms. Bhoomika Nair for closing comments. Over to you.

Bhoomika Nair: Yes. I would just like to thank the management for giving us an opportunity to host the call and answering all the queries, and thank you to all the particip ants for being there. Thank you very much, sir, and wish you all the very best. Any closing remarks from your end?

Anil Rai Gupta : Thank you very much for organizing and thank you very much for attending.

Moderator: Thank you. On behalf of DAM Capital Adv isors Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

..

Call: May 2023

8th May, 2023

The National Stock Exchange of India Limited Exchange Plaza, 5th Floor Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E) Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai- 400 001
Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the fourth quarter
and financial year ended 31st March, 2023

Dear Sir,
This is with reference to the Company intimation dated 2
nd May, 2023 filed with the stock exchanges
in terms of Regulation 30 of the SEBI (Listi ng Obligations and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the fourth
quarter and financial year ended on 31st March, 2023 scheduled for Wednesday, 3rd May, 2023.
Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also being uploaded on the website of the Company under Financials in the Investor Relations section.

This is for your information and records.

Thanking you.
Yours faithfully,
for Havells India Limited (Sanjay Kumar Gupta)
Company Secretary
Encl: As above
GROUP
" HAVELLS rzb .....
STANDARD I a I erabtree " HAVELLS
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 20, Sector 126, Expressway, Noida -201304, U.P (INDIA)
Tel: +91-120-3331000, Fax: +91-120-3332000
E-mail: marketing@havells.com, www.havells .com
Registered Office: 904, 9th Floor, Surya Kiran Building,
K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
Consumer Care No.:
1800 103 1313, 1800 11 0303 (All Connections), 011-4166 0303 (Landline)
CIN: L31900DL1983PLC016304
GSTIN: 09AAACH0351E2Z2

“Havells India Limited
Q4 FY '23 Earnings Conference Call ”
May 03 , 202 3

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE TIME
DIRECT OR (FINANCE) & GROUP CFO – HAVELLS
INDIA LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME

DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MR. RAHUL AGARWAL – INCRED EQUITIES
" HAVELLS
" C H O R L L'
HAVELLS lnCred Equities

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Havells India Limited, hosted by InCred Equities. As a reminder all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you.
Rahul Agarwal: Thank you, Deepa. Good evening to everyone on the call. InCred Equities, welcome you to discuss the Fourth Quarter Fiscal '23 results of Havells India Limited. We thank the management team for giving us this opportunity to host the call. We have with us the senior management team of Havells India represented by Mr. Anil Rai Gupta, Chairman and Managing Director of the company; Mr. Rajesh Kumar Gupta, Director Finance and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.
I now hand over the call to Anil ji for his opening remarks, and then we'll get into the Q&A session. Over to you, Anil ji.
Anil Rai Gupta: Thank you very much, Rahul. Good evening, everyone. Thank you for joining the call today. I hope you have reviewed the results published today. It's been a moderate performance given the fact that we had a subdued consumer demand but also buoyed by a goo d industrial & infrastructure demand. The B2B seg

ment has sustained steady demand led by infrastructure and housing activity has also revived in the second half.
ECD witnessed weak performance given the fan industry stocking scenario in the third quarter.
Lloyd mai ntained its growth trajectory. During the quarter, we commenced production in our new AC plant in Sri City, which doubles our AC manufacturing capacity to 2 million ACs per year. Contribution margins have improved across segments. We are witnessing a delay ed summer which might impact the demand for summer products for th is season. That's all from my side for my opening remarks. We can now proceed for Q&A.
Moderator: Thank you very much. The first question is from the line of Ravi Swaminathan from Spark, over to you.
Ravi Swaminathan : My first question is with respect to the core business. As you had mentioned, the consumer demand had been weak. And because of that, during the quarter, it had been a mid -single -digit kind of growth. My question to you is, going forward, given the fact that consumer sentiment continues to remain weak, do we expect the core business for the current running year, that is FY '24 to be at the same momentum? Or are we doing something to take the growth back to double -digit kind of growth?
Anil Rai Gupt a: So I think a few things. We are definitely doing all the things we would have continued to do, whether it's brand building, distribution reach and all. We are continuing to do our work. Yes, ..
HAVELLS

we saw seen some subdued demand in the second half of the year. But also sort of we are enthused by what we hear and we see from the market is that the real estate sector has started seeing new construction. So, which might be visible from the fact that some sort of uptick has been seen in the wire and cable business and the switchgear business. So that may lead to some increased consumer demand in the coming months. So we are hopeful on both sides. So , consumer demand should do well . And the industrial infrastructure demand continues to do well at least in the last 6 months. So I think going forward, we are not expecting that this low momentum to continue.
Ravi Swaminathan : Sir, what is our ratio of B2C and B2B at our overall level ?

Anil Rai Gupta: Approximately, it remains at 75:25 B2C:B2B , but this quarter, particularly it was around 70 -30. Generally in the fourth quarter, there is some increased demand for industrial and government project s, so in this quarter, it was around 70 -30.
Ravi Swaminathan : Okay. And is there any b ig difference in the profitability of B2B and B2C?
Anil Rai Gupta: Depending on the product to product, yes, in underground cables and wires, domestic wires is more profitable. In lighting pretty much the profitability is similar, in switchgears a lso.
Moderator: The next question is from the line of Renu from IIFL. Thank you and go ahead.
Renu: My first question is on Lloyd. If you can share, as an overall this year, we've continued to focus on very high volume -driven growth. And towards the end o f the year in 4Q, clearly, at the EBIT level losses have trimmed down. So from a yearly performance, in your view, how has Lloyd done both in terms of volume share in the RAC market and performance in non -RAC products like washing machines and refs? And fr om a margin outlook perspective, in your view in FY '24, what needs to be done so that the business is back in blue and profitable?
Anil Rai Gupta: So on the volume side, ACs continue to be the mainstay with almost 70% of revenues com ing from air c onditioners. And that's where we definitely believe that there is a good opportunity for Lloyd to maintain its top three position in the market. And we're continuing to give our focus there. We have a lot of white spaces, including certain markets where Ll oyd was either was not present, like the western part of India, E

astern part of India where we are gaining traction on market share. So that continues to remain as a growth strategy for Lloyd.
On the margin front, last year, there were unprecedented increas e in raw material prices and the entire cost was not passed on to the market. And over the next few quarters, we do believe that there will be some softening of the raw material prices. The Lloyd market positioning will also be in a position where we will be able to push our premium products as well as product mix has changed. So profitability is definitely something in mind and margin expansion is definitely in mind. And it will continue to happen. It's a journey, and it will continue to happen.
Renu: Sure. And how was the performance of the non -RAC portfolio washing machines and refs, where we had capacity expansion and new models being launched? And aligning with this, what has been the cost under recoveries or investment in the refs por tfolio for fiscal '24? ..

Anil Rai Gupta: So I think overall, both ref, washing machine and LED TVs are growing at a decent pace. I would still say that it's not really at a very fast pace given the fact that the base is low, but it is the acceptance in the t rade and is catching up. It is growing decently well. And I think the benefit that we get in washing machines is definitely more because we have our own production. Over a period of time, we will start getting some more advantage in refrigerators also. I think refrigerators is still a longer journey, but washing machine is a faster growth trajectory for us.
Renu: Sure. And lastly, if I can ask one more question. Given that in general demand for consumer products or consumer demand is weak, not much of pr ice actions were taken in this quarter for fans or Lloyd in other categories. So how are we looking at the pricing environment moving ahead in FY '24? And are any price hikes being announced or already planned, which will be transmitted to the market in th e coming quarters?
Anil Rai Gupta: I think after some time, we are seeing some stability in pricing . The only place where we've seen some volatility in the fourth quarter was cables and wires. But otherwise generally sp eaking, in other product categories, there is stability in pricing, and I hope it continues to remain so for the next few quarters.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, first question on the consumer side, you said the demand has been soft. But if we look at the advertisement spend, it is about 2.5% and still lower than what we have seen in the past in the range of 3% to 4%. So do you think this can be one lever to sort of look a t to drive more growth in the coming year s?
Anil Rai Gupta: So generally speaking, product overall 2.5% is coming. L ast couple of years, it was subdued because of COVID and coming out of COVID. We do believe that given the product mix that we'll continue to drive , advertising spend a round this level will continue even in the future. So there will be continued investment in brand building over the next few years.
Siddhartha Bera: Got it. And second, sir, on the growth side, so switchgear, we have seen a big impr ovement on the growth. So is there any pent -up demand which has also come through in the quarter? Or these are the levels which we should expect in terms of the run rates to continue?
Anil Rai Gupta: I think let's not overread the switchgear growth based o n one quarter because sometimes it happens, there are certain quarter ending push which happens. Maybe last quarter and this quarter, would have been different price change, self -filling might have been different. But definitely, there is some uptick in t he real estate environment in the last 6 months. So that has

also helped switchgears sales. On the industrial switchgear side also, there ha

s been increased
spending by the government infrastructure project. So both are getting benefited in the fourth quarter. But as I said, let's not build our future projections just based on one quarter growth.
Siddhartha Bera: Got it, sir. Sir, last question on the Lloyd side. So this is a season quarter, and if you see the capital employed that has kept on going up even at the end of this quarter as well. But do you think, I mean, this will continue to inch up as we grow? Or we should expect some normalization at some point in the future? ..

Anil Rai Gupta: I think in case of Lloyd, the kind of growth that we were getting till the third quarter. So we were quite hopeful that we will have a very good summer . For which we had been building inventory for the month of March, April, May, June. And the Sri City plant also started production around March. So basically, it was dependent on one plant. So we have been building inventory. And unfortunately, the end of the quarter of March, we saw some lower demand because of the weather change. And so hence, a high level of inventory in t he case of Lloyd at the end of the quarter. In fact, with the Sri City plant coming up, we will see more balancing in inventory in the coming times for ACs.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.
Sonali Salgaonkar : Sir, my first question is regarding the capex guidance. We have seen that there has been an increase in capex this year. Sir, possibly any guidance you could share over the coming 2 years?
Anil Rai Gupta: In FY24 year, we're looking at about Rs 600 crores with the Tumkur facility also coming up in this year. We're looking at about Rs 600 crores in this coming year.
Sonali Salgaonkar : Right. And post that, should we expect some normalization in capex, probably reversal to...
Anil Rai Gupta: Yes, we see normalization because 2 new facilities, they'll be coming up in '22, '23 and '23, '24.
Sonali Salgaonkar : Understand. Sir, secondly, you did mention that in Q4, there was some pricing volatility in cables and wires. So could you qua ntify the price hikes that you have taken in cables and wires? And secondly, post the transition to new BEE norms. Have you also hiked prices in the new models of fans and air conditioners?
Anil Rai Gupta: So cables and wires, when I say volatility, actual ly, it happened both ways. So if we see volume growth and value growth is the same. Volume growth is the same as our value growth. But the volatility was to the extent that sometimes the raw materials went up and sometimes it came down. So there was a little bit of uncertainty in terms of the channel in stocking the product. Hence, I say that there was volatility. Overall, the prices have not increased. Yes, there was an increase in the prices of fans because of the rating change from the 1st of January 2023 .
Sonali Salgaonkar : What could be the quantum of price hike, sir?
Anil Rai Gupta: Around 5% to 7% on an overall basis.
Sonali Salgaonkar : And is this margin accretive as well?
Anil Rai Gupta : Margin neutral, I'd say.
Sonali Salgaonkar : Understand. And last question from my side, could you possibly quantify the volume share gains in Lloyd in the past 12 months because we have done exceedingly well on the sales?
Rajiv Goel : So I think t hat we are not looking at. As we said, we believe we are gaining market share, and I think we continue to be in top 3. ..

Sonali Salgaonkar : And would you continue to invest more in brand building in Lloyd?
Anil Rai Gupta: Definitely.
Moderator: The next questi on is from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra: I just wanted to delve a little bit into the ECD segment. For the second half of the fiscal year, assum

ing there was a stocking up done in Q3, the revenues are down 5%. You just mentioned the price increase that you took, which got reflected probably in Q4. How has the performance been of the non -fans portfolio?
And how should one think about the growth here? A large chunk of this business is B2C as we look into FY '24. Cont ribution margins seem to have held out better. Now given your outlook on commodity prices, is the scope to improve these further?
Anil Rai Gupta: So I think second half definitely has been slow in terms of consumer products are concerned.

And one o f the concerns that we also saw was that despite the fact that the third quarter was shelf -filling and the fourth quarter was a reduction. And also because the prices went up, so the channel was also waiting for new channel build -up during the month of Marc h.
So overall, fans suffered because of that. But overall, I would say consumer demand has been weak, and this has actually seen that the rest of the ECD products have also seen a flattish growth in the second half of the year.
Latika Chopra: And how are you t hinking about margins going forward given your view on raw material pricing?
Anil Rai Gupta: I think what we've seen over third and fourth quarter is because there is now stability in raw materials and the prices have settled. We believe that if this situa tion continues, there will be some normalization of margin levels to the previous level , what we used to have. In the last 1 or 2 years, if you've seen that we have not been passing on the entire cost increase to the market.
Latika Chopra: Sure. And if you benchmark your market shares in fans in the last 1 - 1.5 years, how has Havells fared? And any parts of the portfolio you think you want to get more aggressive on market share front, and that could imply that brand investments could rise? Why I'm asking th is is that if you want to grow double digits, would you be okay with an aggregate margin profile of 11% -12%, is that the buildup that we should think about at an aggregate company level for you?
Anil Rai Gupta: I think the margin levels will drive more from gaining market share, expansion of premium products in the portfolio, brand building, market pricing. So that's not really related with the overall market share increase. So margins go separately. We do believ e over the last couple of years, we have gained market share in the fans business. And we'll continue to do . Going forward , there will be more focus, which has always been there. One on the energy saving products as well as on the premium category produc ts. And that's how we maintain the margins for this category. ..

Latika Chopra: Okay. And my observations more that in a slow demand environment, would there be more competitive activity to at least move market shares to drive top line growth. And hence, I jus t thought maybe investments would increase going forward. But thank you for your comments.
Moderator: The next question is from the line of Charanjit Singh from DSP Mutual Fund . Please go ahead.
Charanjit Singh: Sir, my first question is on Lloyd. So , while you have put in a lot of effort in terms of now having the manufacturing facility in Sri City and also the distribution in place. So in terms of target market share from here on, what we would look at? And from the industry margin perspective, do you thi nk that there has been a significant reset in industry margin on a downward side, which would now maybe sustain at the levels what we have not seen earlier?
Anil Rai Gupta: I think overall market share, we continue to maintain that we want to be amongst th e top 3 players. And we do believe that Lloyd has a good potential to continue to be one of the leaders there. On the margin front, I think what we've seen in the last 3 or 4 years, AC industry has really gone through trouble times because

of COVID earlier and then very high raw material prices.
I think going forward, we will see some stabilization in the overall industry, which will definitely help Lloyd also. But overall industry should also be stabilized in terms of margin. Yes, there might have bee n reduction in margins overall as an industry, but that was also due to very unprecedented times in the last three, four years.
Charanjit Singh: Okay. And sir, if we look at the ex of Lloyd portfolio, we have elections coming up in the subsequent quarters. How is the kind of growth expectation if you have to look at from a B2B perspective and B2C perspective, if you can give some quantitative as well as qualitative comments on the growth outlook going forward?
Anil Rai Gupta: I believe that while generally, there's always an expectation before elections that the industrial and government infrastructure demand should improve but actually, we've been seeing this increase in improvement in last 1 year. So I hope that this will continue to improve. Going forward, I don't think the other part of the portfolio is so much election dependent, but more dependent upon the real estate uptake, what happens in the market, the consumer demand sentiment. Overall, I would say both positive as the real estate is doing well. But on the other hand, the negative is that the interest rates are high, which definitely increases the inflation and also reduces the ability for a consumer to buy. So there has to be a balance, which has to be looked at. I would not relate it too much to th e election year.
Moderator: The next question is from the line of Swati Jhunjhunwala from BOB Capital. Please go ahead.
Swati Jhunjhunwala: So first, can you just give me some color on what was volume growth in the Wire and Cable segment?
Anil Rai Gupta: Same as the value growth , around 6% to 7%.
Swati Jhunjhunwala: All right. And so the capex that you are planning to do the Rs 600 crores capex next year, will

that be through debt or through internal? ..

Anil Rai Gupta: Internal.
Swati Jhunjh unwala: Internal. Okay. And are there any price hikes that you're planning to take further during the quarter?
Anil Rai Gupta: As I've already said that we do believe that there is some stability in the raw material prices. So we do not anticipate any pric e hikes.
Swati Jhunjhunwala: All right. And lastly, so we've heard from other competitors that Lloyd is gaining market in the last, I would say, 6 to 7 months. So could you just give me any sense of what it is right now? And how much do you expect this to go in the season that's about to come?
Anil Rai Gupta: You see, I think there are very different market share numbers from different market reports. So we actually go in by the industry numbers. And we do believe that we are amongst the top 3. Over the last 1-1.5 years, we've moved from top fifth position to the top 3 position. So our aim is not to be like number two or number one, then it becomes like a race kind of a thing. We hope to be amongst the top three in the coming times.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: I just have a couple of clarifications basically. One is within the ECD segment, if you could just help us understand what proportion would be the fans business. And then also in ter ms of this channel stocking etc, that impacted demand in both the fans as well as the Cable segments, is that largely done? And do you see the situation normalizing going forward here onward s?
Anil Rai Gupta: I think from a channel suffering point of view, things have normalized . Though there is some impact on the weather impact on the fan business, particularly. Otherwise, generally the channel is at normal inventory level.
Usually, the fans , again season to season or quarter -to-q

uarter it can vary , but around 60% comes from fan as , while this quarter it was 65% because of the summer seas on.
Abhijit Akella: Understood. And also just to add, your models of t he energy efficient fans, have they started to experience a significant pickup now? And are the older models depleted now from the channel?
Anil Rai Gupta: Yes, the first quarter after January -February, older models have almost finished , it's all the new ratings now.
Abhijit Akella: Got it. And one last thing is on the AC category. In the context of all these new capacities coming up in India under the PLI scheme for various kinds of components. Would you sort of anticipate an increase in competitive intensity in the next year or 2 as or maybe the industry sort of competes to sell out all the additional capacity that has been created. How would you see pricing and margins trending in the market in that backup?
Anil Rai Gupta : So I think as you have also said that this is for the component. So I don't see any reason why that should increase the competitive intensity. ..

Abhijit Akella: Would the more backward integrated producers have a competitive advantage, sir, compared to someone who is maybe more dependent on importing from China in terms of these components going forward?
Anil Rai Gupta: Not really because most of these component suppliers are also setting up manufacturing facilities in India.
Moderator: The next question is from the line of Aakash Javeri from Perpetual Investment Advisors. Please go ahead.
Aakash Javeri: My first question is on the BLDC segment that how is the current demand with -- from 1st Jan onwards? And how are you expecting this demand to be going forw ard?
Anil Rai Gupta: I think with the new ratings change, BLDC will definitely see more pickup in the coming times. So many of our categories in fans now are BLDC model base d. So it's a larger portfolio. It will take time because of the cost difference, but it will be much faster than if the rating change would not have happened.
Aakash Javeri: And in the industry, we heard that there were some quality issues with regards to BLDC. One of our competitors mentioned that. So did we face any quality issues as su ch? Or will be largely away from that?
Anil Rai Gupta: No, we've not faced any quality issues.
Moderator: The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: So in the presentation, you have mentioned that switchgear margin improvement is driven by the product mix. Can you elaborate a little bit more as to what has driven this substantial margin improvement? And how do we see the margins for switchgear business going forward?
Anil Rai Gupta: So switchgear business, I would not say because of the product mix is also because of higher sales and operating leverage. But generally speaking, other than the very volatile raw material market conditions in the last 1.5 years, generally, they remain stable between 37% to 40%.
Achal Lohade: Understood. And my secon d question was on the Lloyd business. If you look at the contribution margin improvement Q -o-Q is 250 basis points while the EBIT margin improvement is 810 bps, Obviously, there is an operating leverage, but I just wanted to check, would there be a reducti on in the A&P as a percentage of revenue Q -o-Q for Lloyd?
Anil Rai Gupta: No, I think Q3 to Q4, the comparison is not a comparison, both in terms of operating leverage, even in A&P because most of the A&P happens in the fourth quarter and the first quarter . It's not really a good comparison to make from this quarter. I think Y -o-Y, we will be a good comparison.
Achal Lohade: And would you say that the A&P has increased in the similar fashion, what it is for the aggregate company? ..

Rajiv Goel: Lloyd A&P has increased in Q4 because Q4 and Q1 are the sort of month where most of the A&P spent on Lloyd.
Achal Lohade: Would you be able to quantify, Raj iv ji?
Rajiv Goel : Actually, that number will not be there. I think we do not give the disaggregated number.
Achal Lohade: Got it. And just one more question I had. Is it possible to get some sense about the exports revenues for FY '23 as a whole? And what has been the growth? And how do you see this in terms of switchgear, cables and wires. And any other products exports we can read and talk about?
Rajiv Goel : The export sale has been around Rs 550 cr, which is pretty flat on the last year. So hopefully, we'll see better days ahead.
Achal Lohade: Got it . And just last question, if I may, with respect to the new AC facility in Sri City. What is the revenue potential from this particular facility?
Rajiv Goel : So this facility is for 1 million ACs. And so as we said in the beginning, we develop our capacity from existing 1 million to 2 million ACs.
Achal Lohade: Right. In terms of the revenue?
Rajiv Goel : Revenue could be between, let's say, Rs 2,700 crores to Rs 3,000 crores.
Anil Rai Gupta: It depen ds on wh en we are able to achieve full factory utilisation .
Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Sir, two questions. Can you indicate the brand -wise revenue growth rates Havells, Standard, REO, which brands have done the higher growth in FY '23? And secondly, can you indicate the growth rates on a region -by-region basis? At least what we understand that North and East is doing relatively weaker. So how is Havells doing in these regions? And l astly, the revenue growth rates in urban versus rural markets? And the last question, what is the final number of retail outlets at the end of FY '23?
Anil Rai Gupta: So all these first three questions, I don't know whether you fol lowed Havells in the past , we don't give disaggregated numbers or biggest brands or even sometimes product categories within the SBUs. We will refrain from answering that question.
In terms of retail outlets, we do believe, given the fact that we are into both rural now and the semi -urban. We do believe that we cater to more than 200,000 retail outlets. But on a regular basis, it is not necessarily 200,000, but our distribution now caters to more than 200,000 retail ers.
Moderator: The next quest ion is from the line of Abhilash Satale from Quantum AMC. Please go ahead. ..

Abhilash Satale: Sir, my question is, again, related to Lloyd. I want to know how much is the channel inventory and inventory at the company level? And how do you see demand panning out for this season? And with this capacity, Sri City capacity coming, do we have a target to breakeven Lloyd in this year?
Anil Rai Gupta: So the channel inventory was high and company inventory was also high at the end of March. So because the summer did n ot kick in as anticipated, it did come in for certain period but then

we didn't start in the month of March. And even in the first quarter, the season is not really the way it should be. So we will see how it goes in the next couple of mont hs because the AC season generally is up to June. So we'll see how it goes.

And as far as the breakeven is concerned, I think it's a bit of a journey we've always said. We are right now wanting to utilize our capacity, so both in Ghiloth and Sri City. And over a period of time, with brand building, distribution, premiumization, product mix, we should definitely reach profitability sooner than later, but we'll see how much time it will take.

Abhilash Satale: Okay. So in terms of inventory, can you just quant ify like normally compared on a normal level when we entered the season, how much higher inve

ntory was? And as we are into the season, how are you seeing demand panning out?

Anil Rai Gupta: It's difficult to quantify how much inventor y is lying in the system. And I've already said in the month of April also, things are not the same as what in April summer should be.

Moderator: The next question is from the line of Alok Deshpande from Nuvama. Please go ahead.

Alok Deshpande: Just one qu estion on Lloyd. Given the market share that Lloyd has gained over the past couple of years coming into the top 3 now, I just wanted to understand what was the key strategy there? And how much would you attribute to pricing? How much w ould you attribute to penetration of the dealer distribution network? And would that now change going forward given that you're already in the top 3, is there any change of guard there?

Anil Rai Gupta: I think we have always maintained that Lloyd, always h ad a great opportunity because there were too many white spaces. Lloyd was a very distribution -oriented business. It was not present in many channels like modern format retail, regional retailers. In the last 2 or 3 years with the coming of Havells, that r elationships have been used from Havells to Lloyd.

A lot of new channels have been added, new markets have been added, like, for example, Havells have always been strong in the Eastern region. Lloyd was pretty much non -existent in the Easte rn regions so new markets have been added. A lot of brand building has happened, product additions have happened. So , these are the reasons of gaining market share. I would not say that we have gained a lot of market share in the existing markets . New produ cts, new markets that were added to the overall mar ket share .

Alok Deshpande: And once these white spaces have now been covered, will the strategy change significantly going forward? Or will this continue? ..

Anil Rai Gupta: I think we are still at the starting of these relationships with the channel. Consumer brand building is continuing to happen. So I don't see any reason why we should slow down. So this will continue.

Moderator: The next question is from the line of Akshen Thakkar from Fidelity. Pl ease go ahead.

Akshen Thakkar: Congratulations to the team on the good performance given the environment. My question was related to margins. If you take the last 2 -3 years sort of view, we've seen a lot of volatility in margins. Admittedly, the managemen t has invested in the business and that is reflected in the market share that you have delivered.

Now if you think about margin , I'm not saying the next quarter or next year, which is certainly over the next 2 to 3 years period. How are we broadly be thinking about margins? Are we thinking about margins going back to where they were 3 -4 years back? Are we thinking about average margins over the last 7 -8 years is generally how you think about margins will be a great. That was question one.

Anil Rai Gupta: Yes, I think a very good question, I would say. And this is how we would also view given the fact the last 3 or 4 years were sort of up and down both in terms of demand, in terms of raw materials. But going forward, if we continue to see th is stability, we would want Havells core business margins to come back to normalized levels, which were there before COVID. We are seeing that trajectory now in the last couple of quarters, but I think it will continue to remain there.

And Lloyd, I've already said that it's a continuing journey. We do believe that at certain volume levels, we should definitely make money but it will take some time as the investment time for Lloyd at this point of time.

Akshen Thakkar: Okay. And so second question, again, slightly on a medium -term basis. How large do you see export as an opportunity from this business? And I want your perspective both on Lloyd's and ex-Lloyd. Do you see that be

ing a material growth driver? Or it's something which any way has been a focus , so does move t he needle that m uch over the next 3 -4 years?

Anil Rai Gupta: No, I think in the next 3 or 4 years, we'll see a lot of focus on building exports. Both one, from the core business of Havells, there are opportunities fo r building cables and wires business, lighting business, switchgear already ha s been doing well and there's opportunity there. For Lloyd also with the manufacturing facilities that we have, we definitely see more scope there. This whole China Plus One . Look, in our industry, it's not really a commodity, it takes time to build relationships with the channel. But definitely, we see a huge potential coming in the few years.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: I have 2 questions. So if you look at our AC capacity, currently, we have about 2 million units of capacity versus India's current consumption of about 8 million. So we have about 25% ..

capacity of the consumption. So how should we look at market share gain versus export substantially from the new unit?

Anil Rai Gupta: I believe we take Indian sales at about 10 million. So , we have about 20% capacity. I think the future demand for air conditioners is c ontinuing to grow in India. We do believe that even the small towns and rural areas will see demand increase in the future. So we definitely see a huge potential for growth in the air conditioners. And of course, exports from Sri City will be also a good opport unity .

Indrajit Agarwal: Sure. And in this 2 million unit capacity, how much integration do we have -- backward integration in the BOM currently? And how should we look at it going forward?

Anil Rai Gupta: Except for compressors and motors, we have pretty much integrated everything in -house , including the moulding, sheet metal everythi ng.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: So my first question is what Achal had asked, continuing with that. In te rms of ad spends, discounts, commissions, etce . There was a time we used to spend about 4.5% to 5% of sales on that. Now as you look at competition, those who are doing cables and wires wants to do electrical consumer durable. So everybody wants to do everything. Do we see a scenario that we may have to increase the spending of 2.5% to 3% just because competition across the board seems to be pretty, pretty aggressive.

Anil Rai Gupta: So 2.5% - 3% is overall Havells. So if you look Havells consumer produc ts, especially the products where there is direct consumer advertising require d, there the percentages are higher. So when you see 2.5%, it's a mix of things. And we believe , we are still the biggest spenders in the electrical industry and there is a lot of rub -off effect of one product category to the other. So I don't see any reason that we should be seeing a huge increase in advertising spends. As far as incentives, promotions and all, our concern is not really a part of this spending, it's not captured in this.

Pulkit Patni: Sure. And your second question is we've got more than Rs 2,000 crores of cash with us, no debt. Any portfolio gaps that we could think of filling say, in the next 2 to 3 years, which you feel could drive significant growth from here? Anything you can talk about? Again, nothing immediately, but over the 3 - to 4-year period?

Anil Rai Gupta: Yes, that’s a continuous process. Organically, one, there's a constant process of adding prod uct categories. And we've seen that in the past. But also the another factor is that these kind of organic expansions don't require a whole lot of capital infusion. So it's a good problem to have, but the fact is that we don't anticipate any major ca sh inf

usion into a new product category . But constant improvements and constant addition of product categories continues .

Moderator: The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead. ..

Rakesh Roy: Sir, our rural sales is very less compared to other players. So for FY '23, how m uch is our rural sales? And what is the strategy for next 2 -3 years to increase our rural sales?

Anil Rai Gupta: So rural sales, I don't know whom you're comparing with, but FMCG, these are definitely a big portfolio coming rural sales. In the electrical industry, we're seeing the rural penetration is increasing over the last few years. Right now, about 5% to 6% of our consumer product sales come from rural sales. And going forward, the basic strategy is to continue to increase penetration and add product categories.

Rakesh Roy: Okay. All right, sir. Sir, in the ECD business, maybe I mean this. In the ECD business, how much is fan contribution, sir, for full year?

Anil Rai Gupta: It varies between quarter -to-quarter, but varies between 60% to 65%.
Rakesh Roy: Okay, sir. Sir, last question, sir, in cable business, how much is from domestic side? And how much is from the industrial side for full year, sir?
Anil Rai Gupta: Around 60% comes from the domestic side.
Moderator: The next question we have from the line of Rahul Agarwal from InCred Equity . Please go ahead.
Rahul Agarwal: Sir, 3 quick questions. On Lloyd , in your opening remarks, you mentioned West and East is what Havells is working on in t erms of improving market share. Just wanted to know, overall regionally around the 4 corners, are we weaker and stronger in some areas? That's one. And obviously, I know that east are stronger for Lloyd . And in terms of peak manufacturing sales from Ll oyd, excluding this Sri City expansion, what would be like the peak revenue for Lloyd? If we exclud e the outsourcing and the Sri City expansion.
Anil Rai Gupta: So yes, in every category, yes, there are strong areas and weak areas. South and North have been traditionally stronger for Lloyd. East and West have been traditionally weaker and that's where the focus has been. I have not understood your second question fully.
Rahul Agarwal: What I'm asking is, based on our manufacturing capacity of Lloyd , excluding the new 1 million at Sri City , but including the washing machine and the outsourcing obviously is additional over and above that what would be the peak revenue potential? Because I think Raj iv ji mentioned, Rs 3,000 crores may come from Sri City additionally. But excluding that, what is the peak...
Anil Rai Gupta: When you see capacity , Rs 2,500 crores to Rs 3,000 crores can come from Sri City. Same is the capacity for ACs at Ghiloth. As far as outsourcing is concerned, it is more opportunistic. We do not prefer to do any outsourcing for air conditioners, especially where we have manufacturing because of the quality differentials which we have in our plant. So, we prefer not to have any outsourcing. And the washing machines and refrigerators in the ongoing process of increasing sales, they are not constrained by capacity.
Rahul Agarwal: Right, sir. Secondly, on fans, obviously, the channel were overstocked into Jan -Feb but that could be more fo r 1 and 2 star ratings. Could you share some trends for premium and decorative fans? I understand April is weak, but what's happening in that segment? ..

Anil Rai Gupta: So for the third quarter, premium fans sales were low and going into the season, we are n ow coming back to normal levels. So the inventory position of non -rating plans especially in the month of January and February were higher, so people were not really picking up the premium fan. But I think what we expected was if the season comes in, th

ere will be pickup in the channel.
However, the season has been a little bit tapered both for March and April. Let's see how it goes in the month May and June.
Rahul Agarwal: Perfect. And sir, lastly, on South India, I can see Havells putting up cable plan t there, AC plant has already come up. Is this a conscious decision to strengthen South India presence? And do you see more opportunities there? And related question is Sri City obviously seen too many AC plants come out with very large capacities. I think Daik in has also put up. A lot of other foreign brands are doing it. Margin stability to come back ahead, is that going to be like a 2 -3-year phenomenon? Or do you think the next 12 months will answer that question?
Anil Rai Gupta: In terms of expansion, when we were thinking of expanding further capacities and products where we needed to expand, we thought about diversification of region because most of our plants have been in North , so South has been there. It has been a st ronger market. It's not necessarily to develop those markets. But as I said, for Lloyd or cables and wires, we've seen a strong market for Havells and that was also one of the reasons to put our facilities there.
In terms of more capacity coming in for air conditioners, that also is a reflection of the future demand scenario, which we do expect . The penetration levels are still extremely low in India. And going forward, we do believe that there will be good growth coming in for air conditioners. So I think that is something which the entire industry is looking into.
Rahul Agarwal: Sure, the question essentially was on the margins for AC industr y.
Anil Rai Gupta: It's very difficult to say when the exact demand will come, whether that cou ld mean oversupply or not. I t's difficult for me to comment on this margin profiling at this point of time.
Moderator: The next question is from the line of Amit Bhinde from Morgan Stanley. Please go ahead.
Amit Bhinde: I have 2 questions. Fir st one is on Lloyd . So can you approximately tell us how many units approximately, I know you would not want to give out exact numbers , would Lloyd be selling in AC, refrigerator and washing machine right now? And in AC, how do you see the utilization levels panning out with the Sri City capacity being added?
And as you said in the previous question that it is a crystal ball gazing as to how demand and penetration would shape up. So what are the backup plans on export side? Or how would you look at improvi ng the capacity utilization in case the domestic demand doesn't support?

Anil Rai Gupta: We don't give numbers for air conditioners. We can't even give approximate number. We do say that we are among the top th ree players in the industry.
On the capacity utilization, it is more dependent on the demand. And obviously, there are efforts going in to build exports also. It takes time. The demand is going to be there. ..

If the demand is very good, then obvi ously, we'll have a higher capacity utilization. So you were asking me the question of crystal ball gazing and it's very difficult to say exactly how much will be the sales.
Amit Bhinde: Right. Sir, but approximately like most of your sales were coming up from the Ghiloth facility, which was 1 million. So approximately, would it be right to say capacity utilization would be 70%, 80% over there, or 90%?
Anil Rai Gupta: Yes. That's right.
Amit Bhinde: Yes. Okay. Great. And other question that I had was on your O2O model that you had launched during the COVID period, that was focused on supporting the demand and supply in that given situation. So how are things panning out on that model? Are we still continuing to focus on it?
Anil Rai Gupta: It is a very very small part of business because post -COVID, most of the business online has come to the marketplaces. S ince then, store s

ales have been very low. If you remember, at that point of time, the idea was to build availability for the consumer is very clos e proximity. So that really is not a whole lot of requirement as of now. Going forward, how it pans out, we'll continue to be there. We have developed a capability. But in terms of revenues, that's still very low.
Moderator: The next question is f rom the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar: Congratulations on great set of numbers given the current challenges. I just have one question on Cable & Wires and Switchgear segment. If you see last 4 -5 years, the way that you've basically grown on the segment has been very steady and I just want to understand if we are allocating any capacity creation in the next 2 -3 years and especially in Wires and Switches? And what is the current utilization level in both the segments ?
Anil Rai Gupta: In Cable and Wires business, capacity utilization is at a very high level, and that's why new facilities are coming up in Tumkur, which will be operational in the next 12 months. Switchgear, we are constantly adding capacity over the last 2 or 3 years. So we don't see any major capex in switchgears.
Amit Mahawar: Okay. But overall, between the two segments, can I say roughly around Rs 100 crores to Rs 200 crores will g o in capacity creation or it's going to be much more than that, sir?
Anil R ai Gupta: So for the Tumkur facility will be higher, about Rs 300 crores , which is part of Rs 600 crores guided for this year .
Amit Mahawar: Okay. And I'm sorry for one more follow -up on this. Within Cables and Wire, is it more towards the branded wire, sir?
Anil Rai Gupta: Both sides because capacity utilization is high on both underground cables and wires.
Moderator: I will now like to hand over the conferenc e over to the management for the closing comments.
Anil Rai Gupta: Well, thank you very much. Thank you for joining the call. ..

Moderator: On behalf of InCred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect you r lines. ..

Call: Jul 2023

26th July, 2023

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051

NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the first quarter ended 30th June, 2023

Dear Sir,

This is with reference to the Company intimation dated 17th July, 2023 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the first quarter ended 30th June, 2023 scheduled for 20th July, 2023.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same has also been uploaded on the website of the Company under Financials in the Investor Relations section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above

"Havells India Limited
Q1 FY '24 Earnings Conference Call "
July 20, 202 3

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTOR (FINANCE) AND GROUP CFO – HAVELLS
INDIA LIMITED
MR. AMEET KUMAR GUPTA – WHOLE TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '24 Earnings Conference Call of Havells India Limited, hosted by DAM Capital Advisors Limited. As a reminder, all particip ant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks, Michelle. Good evening, everyone, and welcome to the Q1 FY '24 Earnings Call of Havells India. We have the management today being represented by Mr. Anil Rai Gupta , Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director, Financ e and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.

I now hand over the floor to Mr. Anil Rai Gupta: for his initial remarks, post which, we'll open the floor for Q&A. Over to you, sir.

Anil Rai Gupta: Thank you, Bhoomika. Good afternoon, everybody, and thank you for attending the call today. Hope you would have reviewed the results by now.

Overall, I would say consumer demand has been muted, partly due to unseasonal weather, which impacted the B2C business. Demand lately seems to be improving. B2B and Lloyd have grown well. Deflationary trend in LED business has impacted the consumer lighting revenues. However, there is healthy growth in professional lighting.

Lloyd performance has been encouraging, and the brand is building upon the positive momentum. Commodities have relatively softened, while the impact has not been fully reflected in the margin. Working capital levels improved during the quarter with normalization of inventory.

We can now move to Q&A.

Moderator : Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Just quick three questions. Firstly, could you give us a sense on volume growth for Cable and Wire, Light, Switchgears and Lloyd, please?

Anil Rai Gupta: Volume growth of Cables and Wires has been more than 30%. And in case of Lighting, its around mid -single digits, about 6% to 8%.

Rahul Agarwal: Anything on Lloyd and Switchgear?

Anil Rai Gupta: Lloyd has been, I think, pretty much the same as that of the value growth. And Switc hgears volume is same as the value growth.

Rahul Agarwal: Okay. Secondly, sir, during the quarter, there was this ne ws media article which talked about Lloyd getting into white label manufacturing. Could you please clarify if that's true? And if yes, what is the intention here? And when can we expect any sales booking in the P&L, please?

Anil Rai Gupta: Well, we've been looking at expanding our international business for not only Lloyd but for other product categories. And yes, there is an opportunity available in manufacturing, not only other products but also air conditioners for white labelling . Just like the same way we have been doing Switchgears in the past for known international brands.

So we are looking at that opportunity, and we have already started some very small quantities to be exported. But this is something which we'll be open to look at in the future. It will be very difficult to give an estimate of what is the kind of revenue that we are looking at, at this point of time. It will develop over the next few years.

Rahul Agarwal: And is it very clear that this will only be for exports and nothing for a dome stic brand?

Anil Rai Gupta: Yes, we don't see that as a part of our strategy as of now.

Rahul

Agarwal: Get it. And does it help for a faster EBIT breakeven for Lloyd because you will utilize more capacity? So naturally, it should, but any comments?
Anil R ai Gupta: Yes. That's also one of the reasons that we have developed the highest capacity in terms of manufacturing in air conditioners with the second plant coming in. So it will definitely give operating leverage.
Rahul Agarwal: And lastly, sir, on Fans, what should we expect ahead? And I understand what has happened earlier. But would you see fiscal '24 volume growth for the industry and Havells?
Anil Rai Gupta: I think Fan has undergone tough periods in the last year of the rating change. So I can't say much for the industry. Obviously, industry will follow regular growth for all electrical products. But Havells has been putting in lot of investments in distribution enhancement and especially R&D on developing newer and newer fans. So we expect a good growth for Fans in the coming year.
Rahul Agarwal: Like anything upwards of 15% on volume?

Anil Rai Gupta: Unfortunately, one of the large periods of growth for Fans has been muted because of the first quarter. So we'll put in all our efforts in the third quarter and fourth quarter. But difficult to give a number right now, and we don't give numbers.
Moderator : The next question is from the line of Renu Baid: from IIFL Securities.
Renu Baid: My first question is if you look at the robust volume growth, which has been seen in the Cables and Wires portfolio for some time now, how should we look at the deman d supportive of these numbers?
And somewhere, when you see Switchgears and Cable and Wire both being driven by the B2B or infra capex -led demand, where do we see the divergence where Switchgears continues to be a bit soft and Cables and Wires volume are remaining pretty robust and at high double -digit levels?
Anil Rai Gupta: Renu, I think if you look at the last 6 months rather than this last quarter, Switchgears, in the last quarter, had grown by almost about 30%. So we have to look at a little b it of a longer period rather than just one quarter. One quarter can be different because of certain base effects also. For example, last year, I remember there was a little bit of base effect in Cables and Wires, which actually gave much higher growth in the first quarter in this year. There was a base effect in the fourth quarter of last year for Switchgears. So I think it will be better to actually have a little bit of a longer -term view rather than this quarter.
Renu Baid: But in both these catego ries together because of the strong underlying drivers should sustain double -digit growth in the next 12 -18 months, the way we're looking at the end markets?
Anil Rai Gupta: So 2 parts to the business, the industrial and infrastructure demand continues t o remain strong, which will affect the underground Cables business and the industrial switchgears.
In both cases, our business in domestic switchgears as well as in domestic wires, the proportion is higher if you look at the entire business. So there we se e that the construction cycle has also seen some revival. So in the next 12 to 18 months, we should see good growth in both the segments, both Cables and Switchgears.
Renu Baid: Sure. The second question is on the profitability front. While we have known that at least in ECD fans and air conditioners, there have been cost under recovery on the new energy efficient - rated products. But where do we see this divergence getting knocked out and margins also starting to improve back along with volume growt h that you're seeing in some of these categories? Or what would be your strategy to bridge this gap in gross margins and overall operating margin profile while overall top line growth for Havells has remained pretty healthy?
Anil Rai Gupta: So if I underst and the question

correctly, I think Fans, for example, we have seen unprecedented cost of raw material increases in the last 1.5 years. That has been softening to some extent. We

would have seen better margins in Fans in the first quarter, had it not been for the unseasonal rains leading to some under absorption on manufacturing overhead s.
So we definitely see that the ECD business margins , especially the Fans, will improve in the coming times. Lloyd is definitely a journey, and we will continue to keep pushing for market share, but we also see margin expansion given the raw materials prices now abating to some extent. So we will see, over a period of time, margins also expanding in Lloyd.
Renu Baid: Sure. And lastly if I can ask one more question. O ne of the broad belief is that FMEG categories and market has become overcrowded with multiple players and competitive advantages edging out. You think there are any sub -segments, categories where you want to accelerate, focus, or enter those segments in the coming time to ensure that the business profitability and positioning

remains fairly robust?
Anil Rai Gupta: I think Havells is in a very unique position of being a very diversified electrical play. And we are present and no t only present but also a good amount of market share s in each business segment. So that actually gives us the confidence of the kind of product categories that we have. Other than the last 1.5 years, whenever there was too much of volatility of raw material, o ur margins have been quite stable. And I don't see an increased intensity in the competition or anything really affecting the margins to some extent. But on the other hand, our growth has been healthy. And that clearly indicates that we want to and we will continue to strive to increase our market share in each product category that we are in.
So I've been hearing this for the last 10 -20 years, where the competition intensity has been increasing. But the fact is that there are only two things to look at the business, whether the growth is coming and the margins are being maintain ed or expanding or not. So there will be some periods where the margins can come under pressure and this could be due to many reasons, other than just increased intensity of competition.
Moderator : The next question is from the line of Natasha Jain from Nirmal Bang.
Natasha Jain: My first question is on the Lloyd's portfolio. Firstly, there has been a healthy growth, despite an unseasonal quarter for RACs. So basically, I have a couple of questions. Firstly, have we gained market share? And how is the non -RAC portfolio done there? And thirdly, now that EMS thing has come in, so keeping that in mind, where do you see this segment breaking e ven in terms of margin?
Anil Rai Gupta: Yes. So EMS portion is very very small for us. And as I said, it will develop over the next few years. So let's focus only on the India business as well as the branded business for the present moment. To your question, we do believe , we have gained market share in air conditioners, and we continue to remain amongst the top 3 , even in the first quarter. So we believe that we probably have been able to achieve better than ma rket growth, and hence, increasing market share in air conditioners in the first quarter as well.

And as far as the other products are concerned, we've always said that our market shares are extremely low. And that is growing at a decent pace, though there is market competition as well as the established brands that are very strong. So it will be a slow increase slow burn but it is continuing to grow at a healthy pace.
Natasha Jain: All right. And sir, my next question is on the ECD portfolio. So there, we've seen a muted growth. However, since you've mentioned that the demand has start

ed picking up lately, so how do you see this segment over the next few unseasonal quarters that will be there?
And secondly, on the Fans segment, I understand that label is mostly in the premium fans. So could you just share how the demand for BLDC Fans had been? And what's your share of premium fans in the overall Fan category?
Anil Rai Gupta: So many questions. I may not have all the answers at this moment with all the numbe rs. But on a general basis, I think if the seasonal impact of the second quarter we take away, we do believe that the ECD business should have good growth numbers in the second half of the year.
Yet our market shares are very high in the premi um side of the business, and that's where our focus is . That is where most of our R&D investments continue to go in. And most of our business comes from the premium segment. It's also not just in the premium segment, even in the less decorative or base fans also , we've always been at the higher end of the market.
For example, even if it's not a INR10,000 fan, but a INR2,000 fan, and our focus has been to give a better quality and feature rich product to the consumer. So , we are at a premium even in the base fan categ ory. So , our market shares are extremely strong in the premium segment and where we believe w e have been gaining market share s.
Natasha Jain: All right. And sir, just last one housekeeping question, other income, and other expenses both have increased sharpl y. So can you just throw some light on that?
Anil Rai Gupta: So other income has a non -recurring part of the income from sale of a property worth about INR10 crores. And the other SG&A is a little bit of an increase on increased warehousing space because of unseasonal rains , so a large amount of air conditioners were there. So rentals have also increased, but also, to some extent, more normalized expenses of travel and all have come back, which was muted for a couple of years.
Moderator : The ne xt question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, my first question is on the margin side, first, for Lloyd. So we have seen even the contribution margin dropping slightly quarter -on-quarter. So has there been any discounts, price cuts which has led to this?
And second is, I mean, over a medium term, will it be possible to indicate we will be going back to that double -digit contribution margins maybe in the next couple of years? Or do you think

that is still s ome time away?

Anil Rai Gupta: I think if you're comparing specifically in the fourth quarter, yes, in fourth quarter you ha d full production, all plants running full steam. But in the first quarter, there were manufacturing overheads which were under absorbed. So that led to some contraction in the margin in the first quarter.
But going forward, as I said, as the raw materials are now stabilizing, so we do believe that the margins will increase , especially in the second half of the year, wher e there will be sales coming back for the room air conditioners.
Siddhartha Bera: And sir, on the longer -term margin outlook?
Anil Rai Gupta: As I said, we don't give numbers, but it will continue to improve from here. Our first focus is to continue to exp and into this very large business segment. It's more than INR100,000 crores right now after we did INR3,500 crores. So the first focus is to be become an established player. And also, margins will continue to improve with our better positioning in the mark et as well as better volumes.
Siddhartha Bera: Got it. The second point, I think on the commodity side, you've mentioned that there is some softening, but it's not fully reflected. Will it be possible to quantify how much benefit we may see, given the curr ent commodity prices which you are looking at?
Anil Rai Gupta: No, I will not be able to quantify that.
Sidd

hartha Bera: Okay. So overall, sir, I think in the past, we have also indicated that EBITDA margins will try to achieve in the range of 12% to 14%, so that still stays? Or do you think given the current market environment, it will be difficult to comment?
Anil Rai Gupta: I think overall, 13% to 15% is the range for Havells stand -alone business, depending upon the quarter or the season or the product m ix. And then, of course, Lloyd is separate. But overall, 13% to 14.5% -15% is for the Havells stand -alone (ex-Lloyd) .
Moderator : The next question is from the line of Charanjit Singh from DSP Mutual Fund.
Charanjit Singh: Sir, my first question is on the overall inve ntory levels in the channel for specifically room ACs and also for the fans as a category. How is that across the channel?
Anil Rai Gupta: I think channel inventory is not at a high level because we did see summer coming back in the month of June, where the primary sales did not happen from the company, but the secondary channel inventories were flushed out. So I think the channel inventories are at a normalized level.
Charanjit Singh: Okay. And sir, if you have to look at from rural versus ur ban, any specific demand trends? If you can highlight how those markets are shaping up? Do you see that rural markets picking up for some of our products? And the specific brands which we have catering to the Tier 2, Tier 3 markets, how are they shaping up ?

Anil Rai Gupta: So right now, the rural demand has still to come up at the pace which it is required to. Right now, we are actually seeing more traction in the Tier 1 to Tier 3 cities because of the construction activity as well as increased professional or infrastructure demand. But as I said earlier that during the second half of the year, that year, we see more consumer demand coming up, and that's where the hope is that the rural sector should also start doing much better.
Charanjit S ingh: Okay, sir. And sir, lastly from my side, on the Lighting segment, if you can just help us understand the growth has also been impacted during the quarter. If you look at profitability, it's also under pressure. So if you can just help us with the dyn amics of both B2C, B2B. And how do we see this profitability profile for the Lighting improving, going forward?
Anil Rai Gupta: So I think if you see the profitability, if you look at the contribution margins, they are not that much affected as it is the s egment results. And segment results were also impacted by the fact that there has been lesser growth for the consumer side of the business in the first quarter.
It's also because we saw deflationary trend in the first quarter for LED lighting. And hence, w hen it happens, the inventory levels in the channel also starts going down.
So we do believe that in the second half of the year, especially during the season time, this demand should come back for consumer lighting. The professional lighting business has been growing at a much healthier pace as compared to consumer lighting. But I believe that the margin level is not so much of a concern. W e will be around 30% -31% of the contribution margin in Lighting.
Moderator : The next questi on is from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Sir, my first question is again with respect to the margins but from a Q -o-Q or sequential basis. Have you taken any downward price revisions in any of the key categories that have warranted a sequential dip in our contribution margins?
Anil Rai Gupta: That has not reflected in the drop in margins. The margin drop if we compare sequentially, has been due to many reasons, which we have already enumerated. As far as downward pri ce trends are concerned, yes, we have taken in Cables and Wires as well as in certain cases in LED lighting as well.
Sonali Salgaonkar: I understand. Sir, secondly, y

ou are seeing under absorption of capacity because of the weaker demand impacted by unseas onal rains in Q1. But then in Q4, also see unseasonal rains across many of the regions, which would have impacted Lloyd or Fans category?
Anil Rai Gupta: Most of it was in the end of March. Yes, it affected the demand, but it didn't affect the manufacturing. Usual ly, the inventory levels are the highest for seasonal products at the end of March.

Sonali Salgaonkar: I understand. Sir, thirdly, could you quantify how much has the AC industry declined in Q1? Because our financials too suggest that they have seen a decline. Of course, Lloyd is grown by 20% revenue, but any comments on the industry decline?
Anil Rai Gupta: We haven't seen the figure as of now for market share. So it's difficult to comment on the industry figures right now .
Sonali Salgaonkar: Understand. And lastly, capex . Do we still rule the guidance of INR6 billion for FY '24?
Anil Rai Gupta: Yes, we do.
Moderator : The next question is from the line of Achal Lohade from JM Financial.
Achal Lohade : Sorry, I couldn't follow the volume growth number for Cables and Wires. Was that 20% or 30% you said?
Anil Rai Gupta: Upwards of 30%.
Achal Lohade : More than 30%. And is there a differential in terms of growth number for Cable and Wires now?
Anil Rai Gupta: Pretty much the same. We actually don't give the breakup .
Achal Lohade : Okay. And can you help us understand, sir, if in terms of the capacity utilization for the Cable's capacities, are we at full utilization? Is there further scope, apart from the greenfield that we are expanding?
Anil R ai Gupta: Yes. I think as far as underground cables are concerned, we are pretty much operating at very high levels of capacity utilization. So hence, the new facility in Tumkur is coming up.
Achal Lohade : Right. What I'm curious to also understand from y ou, sir, with respect to the industry, is there a shortage of capacity scenario and -- which is kind of driving the higher pricing and hence, better margins? Is there a case made for that?
Anil Rai Gupta: I think overall margins do get better if there is h igher demand. I would not say there's shortage of capacity, but margins are better when the demand is higher. So in all infrastructure -related products, industrial Switchgear, professional Luminaire, there is a higher demand in the last 6 month s to one year .
Achal Lohade : Understood. And just one data -keeping question, sir. With respect to unallocated expense, we see that it has jumped actually from INR65 crores INR67 crores and then to INR89 crores. Is there any one -off there? Or is this a new normal?
Anil Rai Gupta: There is no one -off at this point in time. It's mainly related to rent and travel.

Achal Lohade : That's a substantial jump Q -o-Q, Y -o-Y, almost INR25-odd crores jump, that's why I was curious, yes. So that's a INR100 crores annual increase. That's why I was curious.
Anil Rai Gupta: Sure.
Achal Lohade : So you're saying there is no abnormality out there?
Anil Rai Gupta: No.
Achal Lohade : Got it. And just one more question, if I may. If I see the difference between the contribution margin and the EBIT margin, I see a very large number for Lloyd, getting at INR120-odd crores; on the ECD business, INR100 crores. Can you clarify what are these unallocated expense for these 2 segments, which are the difference between the EBIT and the contribution margin?
Anil Rai Gupta: Can you repeat the question, please?
Achal Lohade : So I'm just simply looking at the difference in terms of value between the contribution and the EBIT values for each of the segments. And I see the number is v ery large for ECD and the Lloyd business at INR100 crores plus, and there is a substantial increase. I wanted to understand, w

hat
are these expenses? Are these corporate costs?
Anil Rai Gupta: These are expenses that are directly attributable to those busi nesses, for example, salaries, advertising and promotion. There are more consumer -oriented products. Hence the advertising and promotion expenses are also higher in these products.
Moderator : The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.
Bhavin Vithlani : A follow -up to the capex questions asked twice earlier. And if I go back in the 5 years, of the INR2,000 -odd crores you have incurred towards the capital expenditure, INR1,000 crores equally is towards Havells and Lloyd . And especially when I look at the last year, 70% of the INR570 crores or INR400 crores was towards that.
So could you give us a little longer -term picture in terms of that it seems to us that you are under - indexed on the capex in the Havells ex of Lloyd . And specifically, when I look at some of these segments like Cables and Wires, where you have spent only INR250 crores over the last 5 years, where the top line increases very significantly . So more color on slightly longer -term basis in terms of is it that Lloyd is tak ing precedence over the Havells?
Anil Rai Gupta: I think that's a very good question, bu t that's not the way that we look at it. As I said, we have a very diversified portfolio of products. And any time when we discuss the businesses, we discuss the businesses independent of the capital allocation into other businesses. And tha t's also one of the strengths that we have as a strong balance sheet that we have.

So it's all independent. I We believe that when we acquired the Lloyd business, it needed more investment in terms of manufacturing and R&D, and that in vestment has happened, and it will continue to happen.
And as far as Havells other businesses are concerned, capex requirements do come up at a stage when capacity utilizations are higher in any product business, and then new capacities are added. It's nev er either/or. It's always look at the business requirements for that particular business.
Bhavin Vithlani : Great. And so maybe it looks like last year was an anomaly, where 70% was towards Lloyd. But on a INR600-odd crores capex , how should one look at the mix going forward?
Anil Rai Gupta: Sure. I think the mix this year will be more skewed towards Havells because the new facility for Cables and Wires is coming up in Karnataka. So I think it varies upon the timing and the requirements for the business.
Bhavin Vithlani : Okay. The second question is when we've seen a very strong growth in Lloyd over the last 3 -4 years. And usually, we see when the growth is very strong, there is always some of these expenditures which are overlooked. So could you talk abou t the cost that could be taken out and where there have been kind of opportunity there?
And second, there is an observation that we are now seeing that from a 3% -4% discount to Voltas, it looks like Lloyd is now at par or 1 -odd-percent premiu m to Voltas, especially on the air conditioner prices.
So could you give us a slight ly longer glide path that when we had acquired and we had raised prices and then we had to go back, is that journey now heading towards where eventually we target LG an d consequently, we head towards a more like 6% -7% EBIT margin on a 3 -year basis? Is that something the reading or are we interpreting it incorrectly?
Anil Rai Gupta: No, I think these are very intelligent questions. I do believe that we've actually seen the journey of Lloyd over the past and also looking into the future. You are absolutely right that the journey has been when we acquired the company, it had been a disc ounted play as a brand. And over the last 5 years, what we have invested in is - brand, distribution, manufacturing, and R&D. And that will continue to improve the pos

itioning of the brand in the consumer mindset over the longer period of time.
That has been the journey of Havells over the last 20 years. I think Lloyd is on that journey for the next few years. And as far as the major investment is going on .
You asked about any one -off expenses, inefficiencies in Lloyd. I would say, most of it is actually investments that are happening in brand, distribution enhancement, placement of products in new channels - modern format, and ecommerce . I think that's a lot of investment which is going on.

So I do believe, in the next few years, Lloyd is on that path where it would be competing against the best in industry in terms of consumer perception as well as premium ness of the product.
Moderator : The next question is from the line of Girish from Morgan Stanley.

Girish : I just wanted to understand refrigerator capex , if you have already thought through whether it will be FY '25 and if you could quantify that? And secondly, I wanted to understand, if you've already covered it, sorry about that, but I missed it, B2B versus B2C. What is the revenue split? Or if you could help us with the growth for the quarter?
Anil Rai Gupta: So no, we haven't formalized our plans for refrigerator capex at th is moment. So it will be difficult to give a quantum as well as the timing for that. And secondly, as far as B2B to B2C, is almost 70% is B2C. And the growth is also about 12% on both sides.
Moderator : The next question is from the line of Aakash Samir Javeri from Perpetual Investment Advisors.
Aakash Samir Javeri : My first question is that what is the percentage of BLDC model fans in our overall Fans portfolio?
Anil Rai Gupta: It's around 15%.
Aakash Samir Javeri : 15%. And how is the current demand for BLDC fans versus the lower -rated fans? How is the consumer perception around it now within 6 months into the new norms?
Anil Rai Gupta: At this point of time, it will be difficult for me to get into the details of the answer, but IR can come back to you on this.
Moderator : The next question is from the line of Aniru ddha Joshi from I sec.
Aniruddh a Joshi: Sir, two questions. Can you indicate the brand -wise revenue growth rates, R EO, Standard, and Crabtree and Havells? That is question one. And secondly, can you also indicate about the new brand Havells Studio? So what are the products that we are t argeting, price points, other strategy over a period of next 3 -odd years? Yes, that's it.
Anil Rai Gupta: So we actually don't give brand -wise numbers and hence, the growth rate. So all these are ho used in different SBU. So for example, all 3 brands of Wire will come into wire revenue. So that's not how we look at it. We look at brand positioning and brand distribution. And hence, at certain points of time, certain brands in rural markets will grow faster. So we don't give numbers for that.
As far as Havells Studio is concerned, because we have a very strong investment in R&D going on at this present moment, so we come up with development of certain products which are very high end and more l ike breakthrough products, and that will be housed under the Havells Studio brand. The first product of that is an air purifier.

Moderator : The next question is from the line of Rahul Agarwal from InCred Capital.
Rahul Agarwal: Anilji, one question was on LED, like the price has been declining for Consumer lighting. What is the reason for this? And I'm asking this early to understand what's the outlook.
Anil Rai Gupta: Yes. I think LED prices had stabilized for a couple of years. Now over the last few months, it has further come down, and it's also because of the global situation. And then if it goes up, it's passed on into the market. And if it comes down, it's passed onto the market.
So, it's difficul

t to give you an outlook of where the LED prices will go. All we know is that as a company, our focus has been to maintain margins and again, pass on the increase or decrease in the raw material prices, especially products like LEDs or copper and aluminum.
Rahul Agarwal: Right. So there is no -- like the re has not been a material reason for like significantly high imports in the country, which is driving the decline?
Anil Rai Gupta: No. This is due to the global situation, not necessarily just because of glut in India.
Rahul Agarwal: Okay. Got it. And secondly, on Cables, obviously, one of our peer brand reported numbers 2 days back. The cable demand looks like extraordinarily high in the country. And you also highlighted that infra and industrial demand is pretty high.
Just to understand, we're getting in to elections next year, would you foresee or -- based on your past experience for election, does this like momentum continue the way it's happening right now? Or do you think it could be rebasing? As you said, last year, same quarter, the base was low. Thi s obviously will normalize, going forward in the year. Would you foresee this growth continuing at 20% - 25% volumes? Or would you foresee a 10% - 15% sustainable long -term average should come back?
Anil Rai Gupta: It's difficult to comment about elections , but I think it's a good sign that the infrastructure demand and the industrial demand is continuing at a good pace, especially after a very long lull period for many years. In the last 1.5 years, we have seen good growth. Let's hope for the very best.
Rahul Agarwal: Okay. Perfect. And one last question for Rajesh -ji. In the balance sheet, I can see -- if I look at current liabilities and provisions, the number is essentially a bit higher than normal. If you could help me understand that. Is that the way you also read it? Or maybe I'm looking at something else.
Anil Rai Gupta : I think this also includes almost about INR300 crores of dividend, which was paid in the month of July.
Moderator : The next question is from the line of Aviral Jain from Sigul er Guff.

Aviral Jain: Sir, this question was on Lloyd. What the glide path is for the next 5 years? What sort of numbers would you be targeting? I'm not looking for any guidance, but as we knew you meet your market share target and the positionin g, what sort of steady -state margins you would get to?
And also, what would be the drivers of those margin achievements? Would it be pricing improvement or there are certain cost efficiencies that would come in because of better scale or better pricing?
Anil Rai Gupta: So as I explained about 5 minutes back, there is a long -term vision for Lloyd. It's a very large market of over INR 100,000 crores. We want to be a meaningful player not only in the air conditioning business but all the other product categories, which will take a longer period of time.
The margin expansion will be based on many factors, including brand positioning, distribution placement in the high -premium counter s, product efficiencies and pricing because of brand positioning. So it will all beco me a reflection of all these factors in the coming time, so we should improve the margins to industry levels at least, if not better.
Aviral Jain: And so as a corollary, where do you peg the best in the industry in terms of EBITDA margins, what you w ould try to aspire for, given your research and understanding of the space across players?
Anil Rai Gupta: I think right now, the aspiration is not just some certain number of EBITDA, but the aspiration is very clearly that we want to be a meaningful player in INR 100,000 -or-above crores market.
That's what the aspiration is. And as I said, manufacturing , expansion, R&D , brand positioning, A&P spend of more than INR140-150 crores on brand is all being done while keep

ing the future
in mind. So EBITDA levels will definitely follow with all these factors.
Aviral Jain: Sorry , one last question. So would it be fair to say that if you kind of segment the market between economy, mass premium and premium, there is a big margin or a profitability differential because what we hear is there is intense competition with 25 -30-odd br ands in the economy, where probably Lloyd does not play at all, but as you move higher up the curve and gain decent scale, then there is the ability to charge premium and hence, pricing power comes in, which kind of includes profitability, which is, even today, true?
Anil Rai Gupta: It's not very different than the electrical industry, right? So there are hundreds of brands in the electrical industry - regional, city -wise brands. The ability to charge a premium or get the right perception or positioning from the consumer mindset is to be amongst the top peers.
And we also see that in the Consumer Durable segment. If your product quality, if your positioning is right, then there will be , you're saying 25, but there will be just a few players. And that's already panning out. If you see in the air conditioning segment, there are only 4 or 5 who contribute to more than 60% of the business. The rest, there might be a long tail. And that will always continue to be here . And within that, if somebody is a mass player, that's different. But Lloyd's journey is to become a mass premium player just as Havells is.

Moderator : The next question is from the line of Amit Mahawar from UBS.
Amit Mahawar: I just have two broad -level q uestions. First is on the capital allocation and our manufacturing setup. Havells has always been a north -centric manufacturing entity and the market is pan -India.
We seem to be moving more towards south. We're coming out with wires plant. We're coming up with the second plant in ACs, a significant one.
How will, in the long run, this help us going south, you're moving more closer to customers, distributors? And more importantly, since the manufacturing setup in 4 -5 years time, will it more move towards a very balanced supply chain for Havells in North India and South India, if you can throw some color? That's my first question.
Anil Rai Gupta: I think the 2 plants that are coming up in South are the second plants for one product category, just like air conditioners and cables and wires. So it always makes sense to actually be in a different location than in the north. For many strategic re asons, the market shares are strong in those areas. And these are, anyway, products which are bulky in nature and hence, takes more freight component.
So it made a lot of sense to go south. And hence, any expansion of an existing product category might be a bit away from where we already are. But many of the product categories like Switchgear and all, the freight costs are less as compared to other product categories.
So it is always to be a balance of all the other parameters, including freight, whe n we decide on

a manufacturing location. It made more sense to be in south with these two product categories.
Amit Mahawar: Okay. Fair. And second question is -- I'm sorry to ha rp too much on Lloyd -- a lot of questions on Lloyd. But this is a segment wher e room ACs is still going to be the largest business for us over the next 4 -5 years. And there, I really come to the brand . Getting the cost drive is, by far, the most critical part of your competition like Voltas, LG, Daikin have achieved.
Do you think FY '25 -'26, when you start procuring motors, compressors to the tune of what your competition is procuring in terms of scale, coupled with -- right now we're shipping ACs from north to south, you've started manufacturing from South or south market. Do you think '25 -'26 will be the year where you'll logically breakeven, even assuming

the AC prices stay at the current levels?
Anil Rai Gupta: Yes. I mean a lot of the efficiency will definitely come from product costs as well as logistics cost. So yes, given that, we definitely seem to be moving in the right direction towards profitability.
Moderator : The next question is from the line of Gopal Nawandhar from SBI Life Insurance.
Gopal Nawandhar: My question is, again, on the margin side only. Earlier you used to do margins of 11% to 12%. And for last couple of quarters, there has been a bit of volatility in every quarter. Maybe in some

segments, we recoup. And again, in the other segment, gener ally this kind of volatility, we have not seen in the past for Havells.
So is it largely just because of the raw material it is or the capability in terms of passing on these prices or market absorbing these price increases is not there, that is the reason the margins are impacted?
Anil Rai Gupta: Yes. I think last few quarters, as I said, the kind of volatility which happened in the raw material prices, yes, there was not only an inability, but also a conscious decision to not pass on the entire cost to th e market. And hence, the margins were affected.
Going forward, we do believe that when the raw materials do come back to normal levels, we should be coming back to normalized levels of margins.
Gopal Nawandhar: Okay. Just the second question is on the Lloyd on the -- in terms of capital employed, the day we acquired and on the last financial year I see, there is almost -- in the last 4 -5 years, the capital employed has gone up by INR1,000 crores . And whereas I see that on the contribution margin side, actually, there is an absolute dip in the profit and profitability.
So basically, in terms of earning a decent equity IRR on these businesses, which is the year you think we should be able to go back to the 10% -12%, at least in terms of returns on these capital employed?
Anil Rai Gupta: Well, I think as I've already explained some time back that the there is a journey for Lloyd, which we are very positive about. But definitely, it's on the positive side, moving in the positive direction. We are gett ing increased market share, a good amount of growth. Our costs are now stabilizing, which will help improve the margins.
So going forward, you will find not only the capex requirements will become lower, but also with profitability coming in, the return on capital employed will be better.
Moderator : The next question is from the line of Shrinidhi from HSBC.
Shrinidhi: Sir, when do you expect your new greenfield Cable and Wire plant getting commissioned and supply starting from that plant?
Anil Rai Gupta: Around end of this financial year.
Shrinidhi: Right. And is the capacity constraint already holding back some of the growth that is available for you because of constraints?
Anil Rai Gupta: Yes. I will not say to a great extent. But yes, if you would have mo re capacity, we would have better ability to introduce certain markets closer to the plant .

Shrinidhi: Right. And sir, second one is, it seems like channel inventory impacted primary sales in Switchgear segment. So would you say in general that the seconda ry or the tertiary sales in the Switchgear category is probably significantly higher than the 5% primary you reported?
Anil Rai Gupta: As I said, in April and May, we did see some muted demand. So I do believe it's not the second quarter, you'll see better quarters in the third and fourth. But hopefully, it should come back very soon.
Shrinidhi: Right. And last one, sir, on the Fans category. When you look at this category, do you see this category as a beneficiary of housing construction cycle, which seems to be on the positive side

because it's largely a penetration or...
Anil Rai Gupta: Installation

products and all once we see an uptick in the consumer construction cycle , they also get impacted and benefited over a secondary . The demand for these products come over a longer period of time, but it does come.
Moderator : The next question is from the line of Latika Chopra from JP Morgan.
Latika Chopra: Sorry if this question was addressed earlier. I wanted to check, are you going to comment on the consumer demand recovering in the later part of the quarter? Could you specify which B2C categories you saw an improvement? And does that in any way point to your comf ort about ECD segment, which is largely B2C, could revert to double -digit revenue growth rate?
Anil Rai Gupta: Can you repeat the first half of the question? Sorry, I couldn't hear. Could you repeat the question?
Latika Chopra: I was checking, in your ques tioning, you talked about recovery in some of the consumer -facing segments of f late. I just wanted to check which product -- specific product categories did you see this trend playing out?
Anil Rai Gupta: As I said, April and May were a bit mu ted. June saw some amount of decent growth coming in, in all product categories, including Switchgears and Wires. But again, it has to be seen how it pans out.
But I am more hopeful about the second half of the year because the way things are going, it was not expected at the first quarter, and first couple of months will be a bit muted. So we're definitely seeing that these product segments like Switchgear, Wires and hopefully, in the Consumer Durable segment also, things should start coming back soon.
Latika Chopra: And you're saying this more from a CAGR basis because the base also starts becoming a little bit softer, right, as you move towards the second half?
Anil Rai Gupta: Well, I didn't say it from that point of view, but yes, that also could be an o pportunity.

Latika Chopra: All right. And the second question was with respect to ECD segment margins. The contribution margins in this quarter fell Q -o-Q. The revenues were higher in an absolute term Q -o-Q. I understand you talked about under absorption o f overhead. But what really led to this particular segment? Ideally, wouldn't raw material prices be already moderating for ECD segment, and that should be partly reflected in June quarter? And any advance mix effect which has led to this softness in margi ns sequentially?
Anil Rai Gupta: I think I would attribute it to a bit more of the manufacturing overhead under absorption because fourth quarter, the sales were lower than the first quarter. But actually, the production levels were at peak levels in the fourth quarter and not in the first quarter. So the raw materials have stabilized, but also the prices have stabilized. So there's no reason why margins would have dipped for an y other reason.
Latika Chopra: Okay. And you would anticipate these margins to improve sequentially because there's some part of lower commodity prices will get to get reflected?
Anil Rai Gupta: Yes. It also depends a little bit on the product mix within t he ECD portfolio. But yes, individually, product wise, yes, they should be improving.
Latika Chopra: And last question and maybe a little broader question, for the ECD segment, you used to see 26% - 27% contribution margin or mid - to high teens EBIT margin prior to COVID. And now I understand there's a volatility on raw materials.
But that segment itself is becoming more competitive. And of course, you are also making a lot more investment i n advertising, new launches, et c. Do you think it's feasible for the segment to reverts back to a margin that were seen pre -COVID , more on contribution and EBIT level?
Anil Rai Gupta: Yes, it may be difficult in a short period of time. But over a long period of time, that would be an aspiration. B ecause more brands have been added, more product cate

gories have been added.
There has been fast growth in the appliances segment as well. So as the product mix is concerned, it may not reach the same levels at which was pre -COVID levels.
Moderator : Ladies and gentlemen, this would be the last question for today, which is from the line of Udit Dhekale from Bank of America Securities.
Udit Dhekale: Sir, I have only one question on margins. So on Wire and Cable segment, we see the margins have dipped sequentia lly. And you mentioned that there have been some price cuts. So did raw material prices have more than offset by the product cuts that you have taken?
Anil Rai Gupta: I think pretty much it's in the range. So I would not like to comment upon that.
Moderator : As that was the last question for today, I would now like to hand the conference over to Ms. Bhoomika Nair for closing comments. Over to you, ma'am.

Bhoomika Nair: Yes. I would like to thank the entire management to give us an opportunity to host the call and all the participants for being online. Thank you very much, and wish you all the very best, sir.
Anil Rai Gupta: Thank you. Thank you, everyone. Thank you for joining.
Moderator : Thank you. Ladies and gentlemen, o n behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

25
th October, 2023

The National Stock Exchange of India Limited Exchange Plaza, 5th Floor Plot No. C/1, G Block Bandra Kurla Complex Bandra (E)
Mumbai- 400 051 NSE Symbol : HAVELLS BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the second quarter
and half-year ended 30th September, 2023
Dear Sir,

This is with reference to the Company intimation dated 17
th October, 2023 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obliga tions and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the second
quarter and half-year ended 30th September, 2023 scheduled for 20th October, 2023.
Further to the audio recording filed with the stock exchanges already, we are enclosing the
Transcript of the Earnings Call.

The same has also been uploaded on the website of the Company under Financials in the Investor
Relations section.
This is for your information and records.

Thanking you.
Yours faithfully,
for Havells India Limited
(Sanjay Kumar Gupta)
Company Secretary
Encl: As above

GROUP
" HAVELLS rzb .....
STANDARD I a I erabtree " HAVELLS
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 20, Sector 126, Expressway, Noida -201304, U.P (INDIA)
Tel: +91-120-3331000, Fax: +91-120-3332000
E-mail: marketing@havells.com, www.havells .com
Registered Office: 904, 9th Floor, Surya Kiran Building,
K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
Consumer Care No.:
1800 103 1313, 1800 11 0303 (All Connections), 011-4166 0303 (Landline)
CIN: L31900DL1983PLC016304
GSTIN: 09AAAC H0351E2Z2

“Havells India Limited
Q2 FY24 Earnings Conference Call ”
October 20, 202 3

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTOR (FINANCE) AND GROUP CFO – HAVELLS
INDIA LIMITED
MR. AMEE T KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS

INDIA LIMITED .

MODERATOR : MR. ANIRUDDHA JOSHI - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Havells India Q2 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during th e call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being reco rded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi : Yes. Thanks, Rio. At ICICI Securities, it is our pleasure to host Q2 FY '24 Earnings Conference Call of Havells India Limited. We have with us senior management represented by M r. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director (Finance) and Group CFO; Mr. Am eet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director. We congratulate the management for a strong set of numbers in a tough macro environment and remain positive on the company due to its established sub -segmentation strategy and moat s like brands and distribution.
Now I hand over the call to the management for initial comments on the quarterly performance, and then we will open the floor for question -and-answer session. Thanks, and over to you, sir.
Anil Rai Gupta : Thank you, Aniruddha. Good morning, everybody, and thank you for attending the call today. Hope you would have reviewed the results by now. The second qua

rter witnessed softness in the consumer demand. However, infrastructure and housing demand led to a healthy growth in B2B categories like industrial switchgears, professional lighting and power cables. Lloyd continues to maintain its growth momentum.
Lighting business delivered decent volume growth. However, price deflation in LED impacted the revenues. Festival calendar shift has led to a spillover of some consumer demand from Q2 to Q3 in relevant categories. We remain quite positive about the upcomi ng festive season in the second half. Contribution margins improved across segments year -on-year. Commodity price normalization and product cost -led initiatives will drive further margin improvement. Despite consumer demand headwinds, we continue to invest in our manufacturing, product portfolio and talent pool for a sustainable growth trajectory. We can now move to Q&A, Aniruddha.
Mod erator : Thank you very much. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain : Sir, my first question is in the Wires and Cables segment. While I understand that last year, we had some high cost inventory and therefore, probably thi s quarter, the margin has been a catch - up rather, we were expecting slight strong double -digit growth in this segment given the strong infra and real estate development. Sir, can you throw some light there? And also give us a sense on the volume growth on a Y-o-Y basis?
Anil Rai Gupta : So as far as Wires and Cables are concerned, the big offtake has been on the underground cable side, which is a smaller business in this category for us . In undergrou nd cable, we are also constrained by capacity till next year i.e. till our new facility comes up. Domestic wire business ..

has done better. And despite the fact that the consumer demand has been weak, it should even do better in the coming times. As far as the volume growth is concerned, is about 10% as compared to 8% YoY value growth .
Natasha Jain : Understood, sir. And my second question is on the Lloyd division. Again, here, while last year was a high cost inventory quarter for Lloyd, too, sir, our losses have actually expanded the most, if I compare it to any other quart er since FY '22 first quarter. And this is given the fact that this was an unseasonal quarter for RAC. So sir, just wanted to understand that is it because we

continue to do aggressive marketing and that's why there is a strain on margins? And ho w do we see this margin moving forward in the midterm?

Anil Rai Gupta : In fact, as far as Lloyd is concerned, we are seeing margin improvements. And this is despite the fact that AC sales (major business for us) are the lowest in this quarter where we have grown actually better than the average growth of Lloyd in this quarter. But also the fact is that we also have the second facility now at Sri City, which double s the capacity. So there has been under absorpti on of manufacturing overheads in a low season. But in the coming season, where the stocks start going into the distributor's shelves in the third quarter and the summer season starts in the fourth quarter, this should start improving. So we will see furthe r margin expansion in Lloyd.

Natasha Jain: Understood. And sir, lastly, any light on how the premium fan segment did?

Anil Rai Gupta : Premium Fan segment, Havells has been the leader in that segment and it is doing well. Overall, fans demand has been weak over the last six months , since the energy rating change. But I think going forward, this should improve because there was enough stocks in the market, but I think overall, it would improve. Our focus on premium play continues to be strong.

Moderator: Thank you . The next question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: My first question is i

n terms of overall consumer demand, especially growth in Lighting and Fans. The flattish growth is because of overall mark et itself growing slowly, or are you seeing increased competition there also? So if you can throw some light? And next 12 months, do you see a recovery in the overall market to double -digit kind of growth?

Anil Rai Gupta : Yes. It is a combinati on of things. I don't see increased competitive intensity. It has always been there in lighting, and it will continue to remain, but there will be consolidation towards more branded products in the coming times as well. In fact, the major reason for the li ghting growth not happening is also the fact that the volume growth has been double digits, but the value price erosion has been quite aggressive.

Talking about fans. Overa ll, the demand has been weak over the last six months to nine months. And we believe that with the season coming in, in the next half, we should start seeing a better pickup in the Fans business as well. ..

Ravi Swaminathan: Got it. And in terms of growth in volumes in the Cables business, you had mentioned that you had grown by around 10%. Wanted to understand how much would the cable portfolio would have grown? How much would your Wires portfolio would have grown in terms of volume? How much dependence is th ere in terms of the infra -led growth?

And also some of the competitors, larger competitor in the cable and wire space had reported 30% growth during this quarter in terms of volume. Hadn't there been for a capacity constraint, would we have grown at simila r pace?

Anil Rai Gupta : Yes. So I think we can say that around 40% of our sales come from underground cables where we have capacity constraint s. So yes, of course, if the capacity constraints would not have been there, we would have done better, a lso depends upon the capacity that we are putting up.

But as far as wires is concerned, we do not have capacity constraints in wires. And there, the growth has been tepid as compared to the industrial cables.

Ravi Swaminathan: Okay. And in switchgear also, how the bifurcation be towards industrial, real estate, commercial real estate, motor, I mean and product -wise also if you can give a bifurcation, it would be great, sir.

Anil Rai Gupta : We actually don't give this kind of bifurcation i n terms of products because there are too many product categories. We have switches, we have domestic switchgear, we have industrial switchgear. And it will be difficult for us to give this kind of bifurcation on this call.

Ravi Swaminathan: Okay. S ure sir. But in terms of industrial...

Anil Rai Gupta : Industrial segment, industrial pickup is better, stronger. Both residential and consumer segment demand pickup was slow in the second quarter.

Moderator: Thank you. The next question is from the line of Ra hul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Sir, first question on second half being better just to understand, which are the products, which are festival dependent and is Havells approaching the season differently in terms of anything you've done differently in terms of go -to-market, channel incentives for you to get better growth in the market?

Anil Rai Gupta : I think, overall, the kind of products that are depending upon the festive season are small domestic appliances, washing machines and refrigerators to some extent, but we are not very strong in that segment. The market share is very small . And, of course , lighting. So these three

segments are dependent upon the festive season.
I think one of the main things what Havells has been able t o achieve in the last couple of years is to be omni present across channels. We have been traditionally a more dealer -distributor -oriented company. But over the last couple of years, we have expanded our presence in modern format retail, regio

nal retailers and online. So I would say that gives us a complete presence. ..

And of course, new product launches . Not so much on the trade incentives, but consumer offers continue to come at this time so which helps sales growth in these categories.
Rahul Agarwal: Got i t, sir. Secondly, on ECD, I think if I look at the first half sales, about INR1,600 crores, it's flat Y -o-Y. I understand the reason. Second half last year was also similar, about INR1,700 crores give and take INR50 crores. Would you expect 10% to 15% Y -o-Y growth in second half?
Anil Rai Gupta : Without giving any numbers, we do expect a positive second half.
Rahul Agarwal: Okay. And lastly, on Lloyd, just wanted to know the full year cash burn. My sense is, given we have EBIT numbers, and I think that also includes depreciation impact. If I remove that, it should be about INR200 crores. If you could just help us on that, please. Thank you.
Anil Rai Gupta : No, you've made an estimate. I would rather leave you to that. So our focus in Lloyd in the next half will c ontinue to be on increasing sales, increasing our reach, market share gains in air conditioners especially, and of course, continue to spend on brand -building efforts, R&D and manufacturing.
So here, we are looking at a very long -term play because we d o believe that we are a much smaller player as compared to the competition in terms of the overall consumer durable category. And we do believe this is a huge opportunity for us to be a good player amongst the top 2 or top 3 players in this category.
So we will continue to invest in this. I have said it earlier that with the new manufacturing facilities and the sales growth, our margins will continue to expand in these categories, especially in air conditioners, which is the major category for us. So that s hould help cover up and overall margins should expand.
Rahul Agarwal: Sir, I understand that. Just if you could help me with first half number, that should also be fine.
Anil Rai Gupta : First half number is already reported .
Rahul Agarwal: I was lo oking for cash burn, excluding depreciation.
Rajiv Goel : Yes, I think we have given EBIT, Rahul. I think let's stick to that.
Rahul Agarwal: Okay, sir, no problem. Thank you so much, all the best.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Sir, continuing with the Lloyd question on that is that, I mean, the current drop in the margin sequentially, is it only to do with the new plants coming up, or has there been any pricing ac tion or any sort of... ..

Anil Rai Gupta : No, no, it's a much lower sale as compared to the first quarter, right? So the margins would get lower because of the under absorption of manufacturing overheads.
Rajiv Goel : And if you see Y -o-Y, Siddhartha, that's why there's an improvement there. So I don't think in this you should compare really the Q -o-Q.
Siddhartha Bera: Yes. But sir, if I look at over a year, for the whole year, if I look at the trends in terms of the improvement over the next few years, apart fro m the capacity ramping up and probably you getting a better scale, any other factors you think will be supporting us in the margin expansion?
Anil Rai Gupta : See, as we have said that Lloyd is a long -term play. Brand building efforts will continue, which will definitely improve our consumer perception over a longer period of time. And as the plants mature, there will be cost rationalizations also. So overall, all these actions put together should help in margin expansion.
Siddhartha Bera: Okay. Sir, the second question is on the consumer portfolio. You have mentioned that we expect the margin improvement led by weaker commodity prices. So given the grow

th you are seeing
in the multiple segments, do you think you may be required to spend higher o n incentives or advertising , and the margin recovery can be slower than what we expect? Or do you think that

should not be an issue?
Anil Rai Gupta : No, I don't think pricing will play a huge role or trade incentives increase because of lower prices or anything. But o ur brand building efforts will continue at the same pace. We've maintained even when the growth was lower. So, that should not stop.
Siddhartha Bera: Got it. And sir lastly, on the cable and wires, so in wire we don't have any capacity con straints. So, in terms of the channel inventory levels how is it and should we expect a pickup in the second half or these are been growth trends which we should expect even in the second half?
Anil Rai Gupta : No, that should go with the consumer demand offtak e and the residential demand offtake. The channel inventory at the present moment is normalized. It's not low or anything. It's at normalized levels.
Siddhartha Bera: Okay sir. I will come back in the queue.
Moderator: Thank you. The next question is f rom the line of Renu Baid from IIFL Securities. Please go ahead.
Renu Baid: Yes, hi. Good morning, sir. Sir, my first question is can you elaborate a bit more on the export strategy while in switchgears, we had tie up with foreign OEM for white labeling? W hat are we planning for the RAC segment and any other category where we are looking to step up exports?
Rajiv Goel : No. I think, Renu, on the international business, we believe they are fairly macro tailwinds as everybody is aware. So, I think we are taking sort of additional steps whether in terms of the market or in terms of products I think we are getting more and mo re sort of focused on the same.
So, I think getting wider and deeper. ..

So, RAC definitely we believe is a strong opportunity both in our own brand and OEM. But these things, as you are aware will take time because we need also a lot certification for speci fic markets. So, I think this endeavor has already started I think with the time, I think you will see sort of fructification of the same.
Renu Baid: So, what timeline should we look are we looking at a 3 year to 5 year from today or...
Rajiv Goel : Yes, probably, I think the green shoots should start in the next 12 months to 18 months, but the scaling up will require this much of a time horizon what you mentioned.
Renu Baid: Got it. Secondly, within the Llo yd portfolio, how is the non -RAC portfolio performing? And any inputs you can share on the REF business, how is the scale up versus our internal expectations and what are the challenges that you're facing there?
Anil Rai Gupta : Still slow and second quarter wa s slow as compared to last year because the festive demand, which comes in the second quarter has been shifted to third quarter. But right now, I would say that air conditioner sales growth was faste r as compared to th e REF and washing machine's growth.
The build up in refrigerators is it per expectations. Not only sales is a constraint, but also manufacturing is a constraint for us as of now because we are dependent upon outsourcing for this product. So, over a longer period of time, we are taking baby steps in this in terms of building network, but it is a longer duration play.
Renu Baid: Got it. And when you look at the EC D portfolio channel interaction suggests that broad based schemes and discounting are back in the market which had discontinued during the pandemic. So, how do we view the impact of this on the margins given the segment is already facing hypercompetitive intensity and challenges to take price hikes? So what has been the view here and ho w is the ground consumer offtake with respect to acceptance of price hikes in this segment?
Anil Rai Gupta : Well, one of the reasons fo

r the low growth in the first half for the industry has been the price hikes due to the raw material prices. So hopefully, if the discounting of pricing happens that will be in line with the raw materials coming down. So, I do nt see, especially for a company like Havells to be participating in something like what trade discounting or anything of that matter because that's not really a long -term solution for a company like Havells.
Renu Baid: Okay. And lastly, if I can add one thing within the switches, it's a part of the switchgear portfolio, this market had consolidated over the last 5 years, 7 yea rs. Of late, last 12 months, 18 months quite a few domestic brands are trying to step up into the segment. While they might be very small, are you seeing pockets where competitive intensity or price pressures have inched up maybe for the Standard and the REO brands in the economy segment or some low end of the premium market? ..

Anil Rai Gupta : I think it's a very dynamic market and as you rightly said there are more and more players coming, but there are players weakening also, but it's also a huge market. So ye s, there are various consumer segments , there are various positioning that are possible to achieve. The good thing about Havells is that we operate at different brands at different laddering positions , and we are able to cater to different consumer segmen ts in this. So, I think this is a very, very important piece of business for us. So, we operate from very premium consumers to affordable housing as well. So that way, I think we are well covered.
Renu Baid: And if I can one more o n a very broad basis, if we take a 3 year to 4 year view, do you see the core profitability of our portfolio ex of Lloyd? Are those margins improving back closer to mid - teen levels because of premiumization portfolio etc or you think there are constraints towards that?
Anil Rai Gupta : No, I think as an overall ex Lloyd Havells had been operating between 13% to 14%. And we are now back to those levels except a couple of years where they were unusually higher during the COVID period. But otherwise, we are now back to those l evels and we'll continue to strive towards making it better. Despite the market competitiveness, we will continue to strive to make it better, but through internal efficiencies and market reach. So yes, that will be a strive over the next 3 years or 4 yea rs.
Renu Baid: Thanks much and all the best to you. Thank you sir.
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.
Praveen Sahay: Yes. Thank you for taking my question. So, the first ques tion related to the lighting business. Sir, when do you think this deflationary trend in the LED lighting to reverse?
Anil Rai Gupta : I think it's pretty much bottomed out.
Praveen Sahay: Okay. So, as you had highlighted double -digit of volume gro wth you had seen in the lighting, so the way forward we can see such kind of volume to replicate in the revenue?
Anil Rai Gupta : Yes, we would expect to see that kind of a growth.
Praveen Sahay: Okay. And the next question is related to the ECD and especially in the fan, premium fan segment. You don't see any price competitiveness in the premium fan segment as a whole?
Anil Rai Gupta : That's a continuous thing. Some of the brands take to newer channels, for example, online in a very aggressive way. But these are, a gain, I would say, short -term niggles, but that's not something which we are too concerned about.
Praveen Sahay: Okay. So, you believe the second half with the festive too coming in, these reflect in the numbers as well? ..

Anil Rai Gupta : Hopefully, we are looking at a better consumer offtake in the second half and a better summer seaso

n in the later part of the second half.
Praveen Sahay: Great. And the last question, sir, related to the Lloyd and it's a bit long term. Do you see in the next 2 years to 3 years, your mix of portfolio -- product portfolio to change significantly from the current level?
Anil Rai Gupta : I don't think so because whilst we are expanding the product portfolio to be a complete consumer -durable play with washing mac hines, refrigerators and LEDs . Because of the focus on the air conditioners where we see a huge opportunity for growth in the coming years. We don't see a much big shift in this overall category because again, the market shares are very low in the other pro duct categories.
So, when your market shares are actually strong, it gives you a better opportunity for growth as well. So, if you are talking about the next 2 years to 3 years, I don't see a significant change in the product mix.
Praveen Sahay: Great. Si r, lastly, can you give the capex number for this year and the next year?
Anil Rai Gupta : INR600 crores for this year and we will announce the next year capex at a later date.
Praveen Sahay: Thank you, sir. All the best.
Anil Rai Gupta : Thank you.
Moderator: Thank you. The next question is from the line of Mr. Achal Lohade from JM Financial. Please go ahead.
Achal Lohade: Good morning. Thank you for the opportunity. Sir, my question is pertaining to ECD business, minus 5% Y -o-Y for 2Q, flattish on first half basis. How much of that do you think is attributable to the delay in festivals? Would that be a less than 1% or could that be much more than that?
Rajiv Goel: Actually your voice still breaking, Achal, but I think your question was how much is attributable to festival. It's comprising of fans and appliances. Clearly, fans, you are aware that industry has

gone through a shift because of introduction of ratings. And in Q1, that impact was pretty visible. And Q2, in any case, because of the summer season sort of fading, that impact lingered on. For the festive season has more profound on the small appliances and all, which should recover in Q3 and Q4. So we have to segregate Q1 and Q2. Q2 largely could be because of festival in appliances. But on the fan side, it has been a structural issue, which we believe is now sort of getting pretty washed out. And hopefully, in Q3, Q4, you will see organic traction in that segment.
Achal Lohade: Okay. The second question I had was with respect to pricing. If you could help us understand, if there was any price cuts, or discounting, which played out in the 2Q? And if anything is announced for 3Q? ..

Rajiv Goel: No, there has not been any price discount ing or proposed.
Achal Lohade: So the prices is the realization are stable across categories?
Rajiv Goel: That's right.
Achal Lohade: Including ACs, is that right, sir?
Rajiv Goel: Yes.
Achal Lohade: Yes. And just one more question. Capex, INR600 crores, can you help us understand a little bit, which segment it is growing how much? And what kind of revenue can we see from this capex in terms of asset t urn?
Rajiv Goel: I think that actually we have clarified earlier also, may be you can connect with the IR separately, and we can give you that.
Achal Lohade: No problem. And just last question, if I may, sir. With respect to fixed cost, given the scale we have seen increase, I thought we will have a benefit of the operating lever age kicking in, but we see if we look at the employee cost and other cable expenses side, it continues to rise. I understand you continue to invest. But from a next couple of year perspective, how much operating leverage can we see in terms of the margins? Could it be closer to 100 basis points if the revenue growth is in the double digit ?
Rajiv Goel: Look, a quantification may be difficult. But clearly, operating leverage will kick in

. We do
expect , we are not building organization for 8%, 10% growt h. So hopefully, these things will kick in. But look, investment in manpower, infrastructure, IT, these are for fairly long term. So sometimes there's lots to go on the quarters and try to sort of, you see, extrapolate that. So this will definitely kick in , give it some time.
Achal Lohade: Got it. Thank you and wish you all the best.
Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.
Bhavin Vithlani: Good morning, gentlemen. See, the first question is a continuation to what the previous participant was asking. So on a 6% revenue growth, we have seen 22% growth in the employee cost in this quarter. So if you could just help us understand your thought process? How much of this is new addition and the kind of growth that you're anticipating? And how much of this was repricing because COVID had actually suppressed some of this and you're bringing it up to speed on the market levels?
Rajiv Goel: So it will be mix of everything, what you sa id. I don't know COVID is still there. But definitely from the COVID times, things have gone. You are also aware how cost, how inflation is built into everything. And then you see employee cost, it also includes costs related to travel and all, ..

and everybo dy is aware, you see how things have really spiralled up at least in over last year. So these are all baked in there.
And look, Havells is also simultaneously working on a lot of new initiatives as well, which do not get reflected. You see, if you are a st art-up, you can show you're developing something and that gets reflected in your losses / investment. But that's something we keep sort of doing on a regular basis. So we think, we have a lot of investment into our research and development, into digitization, into IT infrastructure.
So these things, it makes sense to put them into the P&L, but one could argue these are really maybe capital investments for a longer period. And these are the conscious choices that management has made. And we all believe that, as I said to the earlier participant, the

organization is not built for 6% or 10% growth.
So when the growth, which we are very hopeful as a country and as a company, we both believe in the potential. So we continue to sort of trust in that and continue to invest behind that. As I said, don't pick up a quarter and then sort of start sort of you see ruminating about that.
Bhavin Vithlani: Sure. The second question is, you highlighted capacity constraints in cables, whi ch is 40% of the cables and wires. Are there capacity constraints also in the switchgear portfolio because there also, given the way we are seeing real estate launches and the growth by real estate players, a 9% growth seems subpar to us. So if you could just help us understand a bit more on the switchgear piece? Is there capacity constraint? Are there competitive dynamics, which has resulted in loss in share? It will be helpful to understand...
Rajiv Goel: No, there is no capacity constraint. B ut when you say the real estate launches, a lot of things are announced, but it takes time for them to come on the ground. And so if you look at the industrial switchgear, the growth has been good, on the residential side, growth has been slightly muted.
So we are expecting them going forward to get better. But as far as the capacity is also concerned at least, you see we do not have any constraint. The only constraint as of now, we speak is on the cables side.
Bhavin Vi thlani: Okay. When I look at the past five years, you've done a little over INR2,000 crores of capex, and Lloyd has taken the lion's share of almost 55% of that. Is it that maybe the attention has got diverted too much towards Lloyd's that we've kind of neglected the existing business becaus

e a
good company like yours is supposed to anticipate growth better and plan better and not have capacity constraint as letting go of growth as a reason?
Rajiv Goel: Look, sometimes what happens, you make choic es. I don't know how long you have been connected with Havells, but in the past, we have said that, we are gravitating more towards B2C.
So, one takes those calls. These cycles will continue to happen. So yes, we could have taken it two years back. But I don't think, it's fair to assume that it's happening at the expense of Lloyd or because of Lloyd. If that would have been the case, it w ould have made every where a capacity constraint. Sometimes, yes, you do get caught offguard on that. But we have been focus ing on ..

B2C, and that has been the trend in Havells. So , these things do happen. You learn from that and you move on. That's how companies operate over a longer period of time.
Bhavin Vithlani: Sure. Just a last question from my side. In the ECD, quarter one being the largest quarter, there were unseasonal rains, and also channel was loaded up with the earlier energy rating inventory.
If you could just help us understand. Has that been cleaned up now? And are we now seeing the growth pick up a little bit more forward looking cover?
Rajiv Goel: Consumer demand has been muted. I'm sure you guys follow FMCG. Today Hindustan Unilever results also came. So everybody knows the consumer demand stress is there. Definitely on the channel side, they are destocking because they are also realizing there is not too much demand.
The fresh pickup is not there, which is healthy. So maybe it could have taken one quarter. It has now taken two quarters. So definitely, the destocking will help us in the quarters going forward.
Bhavin Vithlani: Great, sir. Thank you so much for taking my questions.
Moderator: Thank you. We'll take the next question from the line of Ashi sh Jain from Macquarie. Please go ahead.
Ashish Jain: Sir, my first question is on the Lloyd's business. So I understand the growth focus and that it could be a drag on margins. But even on the contribution margin side, like last year, we were talking about touching closer to 10% margins and all, we are far from that. So any sense on contribution margins, that should we think will improve from here with commodities coming off and all? Or that also will remain in this mid -single -digit kind of ran ge?
Rajiv Goel: The endeavor is definitely towards that. And I think that number was more when the season is there. So let's say, Q4, I think you will see somewhere around that. See that the new facilit y (Sr i City) has also come up and these things take time to fill up. So I think that's something which will continue to grow.
And then on raw material we are seeing the softening. That effect will also be there. So yes, I think ou r sort of goalpost hasn't moved. It continues to be there. And I think that's something, as you said, we see the gradual improvement towards there and that's something I think we expect to achieve.
Ashish Jain: Right, sir. And sir secondly, apart from cables and w ires, can you comment if you have gained or lost market share in switches, lighting, all these, let's say, in the last 12 months or so? Any distinct trend, which is there in terms of market share?
Rajiv Goel: No, no Ashish. We have not witnessed any . If at all, in lighting and all, we would have gained market share. I think to your specific question, no, we have not lost.

Ashish Jain: Okay. In none of the categories, great. Okay, great.
Moderator: Thank you. The next question is from the line of Atul Tiwari from Citigroup. ..

Atul Tiwari: Yes. Sir, could you give some color on the revenue composition of Lloyd's business? What percentage is from A

C and the other key product category?
Rajiv Goel: Yes, so this quarter, Atul, it will be ACs 50% and other 50%.
Atul Tiwari: And which are the key items in other?
Rajiv Goel: So other, we have largely washing machine , refrigerators & LEDs .
Atul Tiwari: And roughly, easily in like 50% or one dominates the other this thing washing machine and refrigerator?
Rajiv Goel: So I think what we will stick to AC 50%, other 50%.
Moderator: Thank you. The next question is from the line of Shubham Aggarwal from Axis Capital
Shubham Aggarwal: Just wanted to -- so this first question is on the ECD segment. Sir, the margins in the ECD segment are s ub 12% right now. FY '20, the mar gins were somewhere close to 14%. I just wanted to check, is 12% to 13% the new normal because of the increase in competition? Or do we think that the margins will inch back up to 14% in Q and now going ahead into H2 also, the margins will improve for the ECD segment?
Rajiv Goel: Yes. So I think if you recall earlier it was asked about the Havells ex -Lloyd margins. And we said, we are now sort of coming back to our earlier numbers. Somebody said you could be mid - teens also. So I think we said that, that's the sort of endeavor for Havells. So I think ECD is an important piece of Havells business. So we believe, I think those margins, which we had done in 2020, I think is something that we are inching towards. And it should be possible because there's been a lot of volatility since then. You see first it was COVID. Then you see post COVID recovery, there was a huge flare up in the commodity costs and things like that. So we believe as the things get much more cleaner going forward in a fresh base. I think we ar e inching towards our margins. You see Havells as a whole I'm saying ex -Lloyd.
Shubham Aggarwal: Okay. Sir, great. Second question on the lighting segment. First, just wanted to congratulate that you have maintained margins despite the price erosion in thi s segment the margins have been strong, congrats on that. And the question was sir, what percentage of the lighting portfolio would be professional lighting and if you could give a trend that how was it 2020 and how is it now, let's say, four to five years back and how is it now? That’s my second.
Rajiv Goel: It would 60% will be consumer and 40 % professional. B ut these also get led by trends because the consumer has been slightly muted and on the professional lighting there has been tailwind s. So, in the past it was like 65-35. You see, so I think that has improved in favor of professional luminaire s.
Moderator: Thank you. The next question is from the line of Isha from VT Capital. ..

Isha: Sir, I wanted to understand your strategy on the ad spend. Like for this particular quarter, we have seen a significant decrease. And last year same quarter again we saw the decline compared to Q1. Sir, can you please help me understand what it is the strategy behind this?
Anil Rai Gupta : The strategy is very simple. It goes over a period of time. So one is impact advertising and the other is frequency. Impact advertising happens more during the season time. So we have two major seasons. One is in the first qua rter, which is the summer season, and then the festive season. So there, we see a higher gain of advertising spend in the first quarter and the third quarter. And the second quarter and fourth quarter are usually lower. Overall, we maintain that we will be around 2.5% to 3% of revenues in terms of advertising spend.
Isha: Okay. And sir the other question is on the price revision. Sir, just wanted your idea that in further quarters what are our thought processes on the price revision, are we going to see any price cut given commodity price settling so any thought processes?
Anil Rai Gupta : So there are certain adjustments which happen for

certain products categories like lighting, if the price erosion is there, we adjust the prices. Cables and wires definitely go along with the commodity prices. But we are quite dynamic in terms of pricing as far as the cost of the product is concerned.

Moderator: Thank you. The next question is from the line of Alok Deshpande from Nuvama.
Alok Deshpande: So first question is on t he capacity expansion that's happening on the cables business. Sir, could you give us a sense on what would be the quantum of this capacity expansion compared to what we have currently?
Rajiv Goel: Yes, almost I think 25% there will be cables expansion.
Alok Deshpande: Okay. And currently, cables would be about -- how much would be the cables in the current sales?
Rajiv Goel: Almost 40%.
Alok Deshpande: Okay. So this 40% will get enhanced by 25% is what you say?
Rajiv Goel: Yes. And something will be in domestic wires as well .
Alok Deshpande: Okay. Okay. Understood, sir. And similarly, sir, when you think about the Lloyd's business, I mean, currently, last year, we had INR3,500 crores of that business, l et's say probably INR4,000 crores. I mean from a capacity perspective currently the underutilization tha t's happening in off season, et cetera. What would be the capacity -- I mean, what would be the revenue sort of level this capacity is built for currentl y, whatever we have? Any ballpark number or whatever...
Rajiv Goel: Yes, I think this should serve us up to maybe almost double of this turnover.
Alok Deshpande: Double of Lloyd's turnover that is? ..

Rajiv Goel: Yes.
Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS.
Amit Mahawar: This question is to Anilji. Sir, the first question is you've been talking about talent acquisition and you've done a lot of that in the last couple of years as the business expands in multiple SBUs . How relevant is it go Havells to have a professional CEO? And how soon should we see that? That's my first question. Thank you.
Rajiv Goel: Amit, I think that's a very profound question. And I don't think it can get discussed on a quarterly call. And the pace of professionalism is only sort of enhanced. And I think just because a promoter is there, see I don't think one should assume that professional is not there. So I think that journey is something which is only rapidly expanding in Havel ls. I don't think anybody can claim that Havells is not a professional organization. So to that extent, I'm not sure where your question is coming from.
Amit Mahawar: Okay. No, I was just trying to understand. I think in the past discussions, we've spoken about the ultimate journey of how the talents have been coming to Havells. And so I was just trying to understand if that's the thought in the near to medium term?
Rajiv Goel: Amit , every person in this company is a CEO. That's how this company is run. That's how the empowerment works in this company. CEO is not the only one who is the Chairman. You see every business head in this company, every person in the factory, every person in the functions, every sales person in this company is a CEO. Every person is a ARG here.
Amit Mahawar: Fair point, sir. Then second and last question is, you've seen in kitchen and small appliances, which is a very big market, but a tough one. Organic expansions have been very hard to come by. You've seen some of the peers like Crompt on or Bajaj, etcetera, going for inorganic route there. So where are we on that thought in the kitchen portfolio, sir? That's my last question.
Rajiv Goel: Kitchen portfolio is expanding. And I think when we introduce them to the market, I think we will inform them. But I think that portfolio is sort of expanding on a rapidly basis because we believe kitchen is a very important segment of the homes going forward.
Moderator: Th

e next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Sir, first question is on Lloyd. So as you talked about margin expansion led by higher sales or operating leverage. Just on the margin front, so what are the other levers either the cost optim ization or the gross profit side or price increases or the normalization of channel margins? Do you see other than operating leverage, what are the levers for margin expansion? And I mean just to add to that, washing machine and ref as a category are highe r margin product than AC?
Anil Rai Gupta : No, so I think I've already answered this question in the past, that the levers are raw material prices abating, higher operating leverage in manufacturing, brand positioning and hence, price improvement in the m arket. So these are all medium -term plays . ..

Keyur Pandya: Okay. And just last question. The press release also mentioned about the incorporation of subsidiary in U.S.A. . For any specific product or if you can just throw more light on the purpose of the sub sidiary?
Rajiv Goel: Look, these are enabling provisions. Again, somebody asked this question about our international strategy. And we said we are looking at some strong macro tailwinds. I think we need to be prepared for the actions on that. So I think th is is enabling resolution and approval we have sought from the Board since we had a Board meeting. And I think as we sort of operationalize it, I think we'll keep you informed.
Moderator: The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: The first question is, you have commented quite a few times that you're hopeful that B2C demand is going to revise in the second half. Are there any reasons or any signs which are alluding you to have this kind of confidence ? When you exited the September quarter, did you see any pockets which promised you some sort of recovery or some change in consumer behavior? And more importantly, as a company, what would, in your view, actually drive the consumer to come out and spend o n electrical goods? That's the first question.
Anil Rai Gupta : So I would say two things. One, to your question, whether we saw some green shoots in the second half o f the second quarter. Yes, we did see something. It's difficult to say. It's difficult to say whether it's permanent or is it temporary. But more importantly, to your second part of the question, what will help the consumer pick up more is definitely the residential demand picking up, residential construction picking up in reality.
And second, and most importantly, with this inflation coming down to normalized levels, I think that will propel the consumer to come out and buy more. So that's why we are a bit more hopeful of the second half because the commodity prices have stabilized over last six months or so.
And in this electrical industry, the kind of growth that we've seen in the first half is also something which has not been normal. And also is related to some of the product categories like fans - not having a great summer, going through its own challenges of the industry. So overall, many reasons for us being positive for the second half.
Latika Chopra: Sure, sir. The second bit was around the fact that you mentioned somewhere during the call that you chose to be mor e B2C focused, and I completely understand that. But is there now a change in thought that probably you need to have a more balanced exposure towards B2B and B2C and given the kind of capacity addition plans that you have, that is one?
And the second bit, I was actually thinking when you're commenting on competition and pricing in category like air conditioners, we did see the market leader's margins actually coming down meaningfully. Do you see that risk at any point as you find more ch

allenges in your B2C
categories in small appliances or ECD? Just any broad thoughts there. Thank you so much.
Anil Rai Gupta : Right. So as far as the industrial / B2B side is concerned, I think where we've seen the constraints is on the cable side. We have grown well on the ind ustrial Switchgear side, though our market ..

share is smaller. Professional Luminaires, we are doing extremely well despite having a quite good position amongst the top three positions in this industry.
So it's not that the focus has completely changed t owards B2C, it's always been there. It's as Mr. Rajiv Goel mentioned, that there are certain times you take certain decisions, maybe certain could be delayed decisions as well. So the fact is that we will continue to strive towards being a good balance bet ween B2C and B2B.
On secon d question, So like you mentioned, the market leader in air conditioner, I think one of the reasons in the past 1 year has also been unprecedented increase in the cost of the product as well. So we do be lieve with that coming down. And Havells has proven over the last 10 -15 years that our margins have been stable, except the last 1 or 2 years of COVID and volatility in commodities. Otherwise, we have been able to maintain our margins. And that, hopefully , we should continue in the future as well.
Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain: I just have one follow -up question rather on what one of participant as ked. Sir, in the switches and Switchgear, now all these ancillary products seem to not be doing so well compared to how the real estate or the housing market is doing. Sir, specifically to switchgears and switches, do you think this market is still dominat ed by local or unorganized players because some of our channel checks do suggest that, that these unorganized players have been getting a good growth. So how do you see this, sir?
Anil Rai Gupta : Well, I think if you divide Switchgears into two parts, one is t he residential and industrial switchgears. And within residential switchgear, there is residential circuit protection and

switches and sockets. So I would say that the unorganized sector is now only in the switches and sockets, not in the residential switc hgear and the industrial switchgear.
So that is reflecting the actual offtake of the real estate position in the market. The switches and sockets, definitely, there is a lot of unorganized competition as well. But that also, in the next few years, should s tart getting consolidated as more and more consumer are getting attracted towards brands. I think that is also a segment which will get more consolidated.
Natasha Jain: Understood. And lastly, sir, how has your growth been in your weaker markets like Easte rn and Western India?
Anil Rai Gupta : So I would not say Eastern is a weaker market for us. Our market shares are smaller in western part of India. There, the growth is definitely faster than the other strong markets that we have.
Moderator: The next question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.
Rahul Agarwal: Rajivji, one question was on insurance claim. The INR59 crores received, where was that accounted? ..

Rajiv Goel: We have created a claim when we filed the claim. So it has been adjusted against basically debtors / receivables.
Rahul Agarwal: Okay. So no -- it's not flowing through the P&L, right? And the same thing will happen from the balance INR16 crores, right?
Rajiv Goel: No, no. It's not going to the P&L. So the provision continues to remain for the balance INR16 crore s, INR17 crore s whatever it is.
Rahul Agarwal: Perfect, sir. Any thoughts on commercial AC?
Rajiv Goel: Yes, I think everyt

hing is in the offing and as they say, watch out for this space.
Moderator: We'll have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Rajiv Goel: Thank you, everybody, for joining the call, and we wish you a very happy Diwali to everyone, and look forwa rd to see to a great Q3 and Q4. Thank you.
Moderator: Thank you very much. On behalf of ICICI Securities, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines. ..

Call: Jan 2024

“Havells India Limited
Q3 FY24 Earnings Conference Call ”

January 24, 2024

ANALYST : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS LIMITED

MANAGEMENT : MR. ANIL RAI GUPTA - CHAIRMAN & MANAGING DIRECTOR - HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA - WHOLE -TIME DIRECTOR (FINANCE) & GROUP CFO - HAVELLS INDIA LIMITED
MR. AMEET KUMAR GUPTA - WHOLE -TIME DIRECTOR - HAVELLS INDIA LIMITED
MR. RAJIV GOEL - EXECUTIVE DIRECTOR - HAVELLS INDIA LIMITED
 Moderator: Ladies and gentle men, good day and welcome to Q3 FY2024 Earnings Conference Call of Havells India hosted by DAM Capital Advisors Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika N air from DAM Capital Advisors . Thank you and over to you Ma’am!

Bhoomika Nair : Welcome to th e conference call of Havells India Limited . We have the management being represented today by Mr. Anil Rai Gupta , Chairman and Managing Director , Mr. Rajesh Kumar Gup ta, Whole -Time Director (Finance) and Group CFO , Mr. Am eet Kumar Gupta, Whole -Time Director and Mr. Rajiv Goel , Executive Director . At this point, I will hand over this floor to Mr. Anil Rai Gupta for his initial remarks post which we can open the floor for Q&A. Over to you Sir.

Anil Rai Gupta : Good morning everyone and wish you all a very Happy New Year. Thank you for attending the call today. Hope you would have received and reviewed the results by now . Sustained infrastructure spends lead the growth in th e B2B category . We participated this quarter in several marquee projects through professional lighting . Proud to share that the lighting solutions illuminating Shri Ram Mandir in Ayodhya were done by Havells. Lighting deliver ed a strong volume growth in this quarter ; however, price deflation continues to be a significant drag impacting the value growth. Small domestic appliances category benefitted with the festive demand. Higher base in fans led to muted growth in the EC D segment for the quarter. With the BEE transit ion now behind us, we expect normalcy in demand market and the summer season should augur well due to the low base in the last quarter of last year as well.

Lloyd with 18% two year growth approaches ensuing season with confiden ce to leverage on its strength s for further growth. Segmental contribution margins have improved; however, segment results are impacte d due to high A&P spends.

During the quarter we have formed a subsidiary in the US with plans to distribute HVAC in US market. It is one of the steps forward forming a base for exports in the developed market.

Despite muted consumer demand , we carried on with brand and talent investments which remain the cornerstone for sustained growth. We can now move on to Q&A.
Moderator : Thank you very much. We will now begin the qu estion and answer session. The fir st question is from Natasha Jain from Nirmal Bang . Pleas e go ahead.
 Natasha Jain : Thank you for the opportunity. Sir, my first question is on the Lloyd segment, can you just throw some light as to how the overall demand was especially in terms of volume growth and was there any pent up effect in the sales for third quarter and also how the pricing pressure has been given th e stiff competition there?
Anil Rai Gupta : I think third quarter is not a very good representative, b ecause almost 65% to 70% of our sales come from air conditioner, which is not a consumptio

n quarter for air conditioners.
So, I would say that we would be in a much better position to answer this question about the demand scenario, the pricing in the fourth quarter and especially the first quarter of the financial year. We are quite satisfied with the fact that overall Lloyd in the first nine months if you see over the last two years, we have gained market share, we have delivered a very strong over 30% kind of a CAGR growth which augurs well for upcoming season. I have also mentioned last year t he season did not do very well because of intermittent rain. So , we are expecting both for air conditioners and fans, a good quarter in the fourth quarter and the first quarter.
Natasha Jain : Understood and in terms of fourth quarter, how would you say the shelf filling has the especially in the GT and MT channel?
Anil Rai Gupta : At least for our brand I would say that the shelf filling has been lower than last year, because as I said last year there was a very high expectation of a very high season in this fourth quarter and the trade did not see that, so I would say there was a muted enthusiasm in the trade . Also, the company 's strateg y has also been , because of th e two manufacturing plants that we have and enough capacity w e have during the season time as well, there will be lot of dependence on the actual consumer demand than th e shelf filling .
Natasha Jain : Understood Sir. My second question is on the lighting segment . You mentioned that there was a strong volume growth, so was it driven by B2B or B2C lightin g?
Anil Rai Gupta : We have seen strong volume growth both in B2B and B2C segment , but there has been a heavy price erosion in the overall last one year , which is now s tabilizing over the last few months in terms of lighting. So if you see year -to-year, yes, there has been volume growth but value degrowth .
Natasha Jain : But then margins have improved significantly by 153 -basis points on a Y -o-Y basis , can you just throw some light why that happened ?
Anil Rai Gupta : Overall last year, margins were impacted du e to the fire that we had in the lighting manufacturing unit , but also the company's focus has been to take projects which are not just based on pricing but based mor e on the innovation as well as in the consumer sector , so we are seeing margin improvements , but also coming back to normalized levels as well .
 Natasha Jain : Understood sir and lastly in terms of wir es and cables surprisingly there has been a margin declin e here , so why is that so and if you could also particularly highlight which segments saw higher ad spends ?
Anil Rai Gupta : Actually , ad spends were spent on all the businesse s. Overall , we are happy with the fact that product to product we have seen improve ment in contribution mar gins, it could be also because of the product mix that sometimes the margins are affected , but if you see contribution margins we are seeing improvement in businesses . Overall EBITDA margins are muted because of the higher ad spends in the quarter which will get normalized in the coming time .
Natasha Jain : For wires and cables you said the product mix has led t o declining margins right ?
Anil Rai Gupta : Yes.
Natasha Jain : Understood . Thank you so much Sir.
Moderator : Thank you. The next question is from the line of Rahul Agarwal from Incred Equities . Please go ahead .
Rahul Agarwal : Good morning . Thanks for the op portunity . Sir, two questions . Firstly , on consumer demand mainly on the residential real e state side , we see premium and luxury doing well in urban areas across the country . How far do you think we are before this should start contributing to H avell s top li ne because I am sure that light , fan switches are being bought by these apartment and I am assuming that factories , warehouses anyway are contributing better ?

That is the first question .
Anil Rai Gupta : Overall if you see , you are actually right that we are seeing good traction in the residential segment especially on the premium side , but as you can see that the premium side is more in the urban areas and we are seeing good traction . We have seen in the last one or two years , some slowness in demand from the B2C areas as well as residential areas . We do believe that it is more because of an inflationary impact , because the raw materials have been on the high er side over the last couple of years which have now started a bating and I think the deferred purchases from this geogr aphy , I think will start tricking in from the coming time. So overall the residential busi ness and the consumer business will also start having decent grow th.
Rahul Agarwal : So we should expect like starting summer next year obviously the base is also in f avor. Next year should look better for B2C versus B2B right purely from a growth perspective ?

 Anil Rai Gupta : I think the B2B investments would continue to grow because we have seen high spend from the government sector . We have now started seeing investment in the private cap ex as well . So that also will have its own journey of grow th, but yes you are right we will start seeing in the summer improved B2C as well .
Rahul Agarwal : Secondly on new capex all three segment s cable , lighting and REF I think so cables we are investing Rs.300 Crores 3.5 lakh kilometers just wanted to know what is the sales potential here and what is the gestation period to reach 90% utilization from the south plant ?
Anil Rai Gupta : Overall in the underground cables business , we believe t hat we are increasing our capacity by about 25% and domestic wires is also increasing , but th at also is led by demand and we are putting a facility to cater to the sou thern markets . Overall where there is a capacity constraint , which is underground cable , we are seeing a 25% jump in capacity expansion . On the refrigerator side , the manufacturing plan is still under evaluation and we will come back to you once it is formulized .
Rahul Agarwal : So that is what started, the construction is not started on r efrigerator, is it is under planning is it?
Anil Rai Gupta : That is right .
Rahul Agarwal : Okay and on the lighting side , what are the gaps we are filling on capex , what are we doing there ?
Anil Rai Gupta : Pretty much what we had seen after the fire , the ca pex which was supposed to be done , has been done and so most of the production has now come in -house .
Rahul Agarwal : Got it sir and lastly just a small question on cable and wires , obviously last two years we have seen abnormal demand , these growth rates do not look long -term sustainable . Your sense on how does the next year look like on industry growth rate and based on your past experience , is there a possibility of pricing or margin pressure for this segment because there is some understanding that some ca pacities are coming up including yours over the next six to nine months in India and hence that might have an impact . That is my last question Sir.
Anil Rai Gupta : I thin k we have seen value growth in almost 60 %-65% of our business which is domestic wires. It is more long-term structural in nature because of the residential demand and it is more b rand and retail oriented as well . So, there we see that this sustenance of margins should continue in the future as well and there we also do not have much capacity constraints , more dependent on the brand acceptance and the distribution . On the underground cable side , while we are impacted with a lower capacity but I do not see a

 major structure shift for at least a few years because we do believe that the investments and the c

apex will continue and will help the cable industry in the coming times as well , but that is still a smaller part of our overall business , but we will see improvement there as well .
Rahul Agarwal : Got it sir. I will come back in the queue . All the best.
Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SB I MF. Please go ahead .
Bhavin Vithlani : Good afternoon gentlemen , the question is on the switchgear segment especially considering the low growth of 1% that we have been s eeing for a reasonably long period and the growth that we are seeing in the real estate se gment and the building material segment which is 15 % to 25% so the question is that , is Havells losing market share in the switchgear segment that is one and second g iven the growth that you are anticipating in the real estate segment with a lag , do we have adequate capacity in the switchgear considering when we look at the segment cap ex which has been very low for the last five years?
Anil Rai Gupta : We have been const antly monitoring our market shares in the switchgear segment also where we believe that we have not lost market share . In fact, if we see in this particular

quarter , we have seen growth both in the project segment as well as the retail segment . There has bee n a decline in sales to a particular segment of the market which is telecom OEM segment , we were very strong players but we have seen low demand in this third quarter as well as the exports have been flat over last year , because of some weakness in our strong markets of Middle East and Africa , but otherwise generally in the other market which is the retail and the project segments , we have seen grow th as well as market share improvements . We do not have capacity constraints in the switchgear segment , we were constantly adding with maintenance capex and there we do not see visualize any problems from the capacity side .

Bhavin Vithlani : Just a followup here . Hypothetically in case we do see a 25% growth in the demand next year as the demand comes w ith a lag , would we have enough capacity to service such level of high growth ?

Anil Rai Gu pta: Yes, we have the capacity .

Bhavin Vithlani : Thank you so much for taking my questions .

Moderator : Thank you. The next question is from the line of Renu Baid from IIFL Securities . Please go ahead.

 Renu Baid : Good morning team . I have two questions . One, broadly the B2C demand and market uptake has continued to remain fairly soft now for three to four quarters after some green shoots which were visible September -October again that seems to have died down so what has been your reading on the demand enviro nment and in your expectations by when can we see the demand turning positive ?

Anil Rai Gupta : Good question but actually it is a little bit of a long ish answer , because we have seen different things happening in the B2C segment . One of course , there is slowness in demand in the rural areas and hopefully with inflation abating I think this should start ticking in growth in the coming times . If you b reak it down as I said , we have seen strong volume growth in lighting . It is not just becau se of the market but also our internal efforts while we have seen degrowth because of value erosion in LEDs . Even within ECD , we have seen a high base for fans over last year beca use of the market , otherwise we have seen a stronger demand in case of ECD . We can say that okay yes for domestic appliances this was a Diwali quarter last year was not , but overall we have seen better growth in product other than fans. There is a mix bag as in switch gear also we have seen growth in the retail and the residential side , but we saw some de grow th in the telec om OEM side . So overall , this is a mixed ba g I think some green shoots we are seeing and wit

h a very low base for summer products in the coming quarter I think will start seeing improvement in the B2C side.

Renu Baid : Correct and secondly , how should we look at the pricing environment , because that also is a function of the demand especially for seasonal categories like fans as well as air conditioners , both these segments had seen change in energy ratings and BEE table change because of which cost structures were a bit elevated so where are we in terms of absorption of the fixed overheads and are there any impending price hikes which you t hink could be passed on in the forthcoming quarters ?

Anil Rai Gupta : I think at least for Havells and Lloyds we have been able to pass on the cost increase due to the energy rating changes and we do not anticipate any further price increa ses in these two product categories , in fact we have seen margins improving over the last one year that is something which will also happen because of improved economies of scale in the fourth quarter and the first quarter .

Renu Baid : Lastly if I can , on the RAC side where we have had some arrangement for Middle East market and now also looking at distribution setup for US, so what kind of incremental investments you think we will have to deploy for distribution as well as product modifications for the deve loped markets .

Anil Rai Gupta : As far as the product modifications are concerned , pretty m uch it is already happened and that is where our certification s are happening , US markets , some of the products are under

 development but these are not very large investments , even for brand building or distribution . These are ongoing operational investments which will happen , but this is again the way we are treating export markets is more of brand building and distribution reach rather than just going for vo lumes . So it is a long ish term play , it will take its own time unlike in India there we ha ve a very strong distribution channel and brand where we can grow faster but this Middle East US markets will be a long play.

Renu Baid : And just the clarification these would be all for Lloyd brand and not a kind of white labeling arrangement , the way we had for the switch gear segment for over seas market ?

Anil Rai Gupta : We are more focused on L loyd brand , but we are not close d to white labeling as well as long as it satisfies the margin needs and the volume need s of the b usiness .
Renu Baid : Thanks much and best wishes to you . Thank you.
Moderator : Thank you. The next question is from the line of Fatema Hakim Pacha from Mahindra Manulife . Please go ahead .
Fatema Hakim Pacha : Just a macro question , do you think we have seen this in FMCG but even in durables , do you think a lot of new brands because of the entire online space have entered and at the margin the chipping away at the large guys market shares, do you think that is t he reason that the margin our B2C franchise in a way is not able to grow as much like even if there is a 6%, 7% growth in the market you are able to grow at 3%, something like that would you say?
Anil Rai Gupta : I would say in the electrical market or consu mer durable market , we have actually seen stronger brands grow stronger . If certain brands have entered the market , it is also at the cost of some brands going out the market and competition as well . In fact, if you see the air conditioning industry we have seen consolidation of market shares towards four or five big players as against having a v ery long tail of small players with low market shares . So, some of the competitors are also weakening there . Even in fans , if you see that certain market shares are bei ng replaced with certain brands . More electrical brands are launching products is also replacing . Over a period of time these become large businesses and then investments have t

o be made into those businesses also where sometimes we have seen the large electrical players who specialize d in some products are not able to increase market shares beyond a level .
Fatema Hakim Pacha : What I realized is they reached the 4%-5% market share and then they stall but that 4 %, 5% if there are 10 players then they take away the growth f rom the other s right in a way ?
 Anil Rai Gupta : That is what I was saying that it is also being replaced by some players going out of the market as well or stalling their growth, so I do not think this really impacting the market shares of the bigger brands or stronger brands , national brands in any meaningful way .
Fatema Hakim Pacha : Okay and second question are like if you want to see the entire durable industry both white and brown goods , so the last four quarter we had I think was post -COVID in December 2020 quarter , Diwali of 2020 . Post that we have seen two years of absolutely not much volume growth , we have had revenue growth in between because of the price increases , but volume CAGR would have been minuscule in terms of a three -year CAGR. So what is your sense like is just that there is absolute apathy for the product or how would you ever signal a turnaround or any because like you have seen it in two -wheeler right first time you have seen two wheeler gro wth at least recover from the bottom but we are not seeing anything in our space , so how should one read this market ?
Anil Rai Gupta : During this time a couple of things have happened . We have had two -three bad seasons because of the CO VID as well including last season was marked by unsea sonal climate , because of rain s. So we have seen that as well as during this time also raw material prices were increasing unpre cedent ly and hence wh en the industry was trying to pass on that cost increase to the market , it was facing headwinds in terms of consum er growth. I think with things stabilizing , we do not know what the climate will be , but at least we can be hopeful about that and the raw materials now stabilizing , we do believe that whatever we have seen muted growth in th e last two or three years we should be seeing improvements in the coming years .
Fatema Hak im Pacha : Fair enough . Thank you.
Moderator : Thank you. The next question is from the line of Aniruddha Joshi from IC ICI Securities . Please go ahead .
Aniruddha Joshi : Thanks for the opportunity . Sir, two question . One, the lighting and even switches segments are moving from basically functional categories to lifestyle or fashion kind of products and this transition may continue over next decade also , so now Havells is more of a functional or a high trust kind of a brand , so how do you see the brand transiti oning in both the segments and also considering there are whole lot of smaller players who do not really have any ability to move towards or shift the brand perceptio n also to some extent so how should we read about H avells efforts in these two categories that is question number . Question two is what is our real right to win in Middle East and USA these are really absolutely premium end of the market with very h igh per capita GDP so Lloyd which is more of a mid -price brand so how do we understand the winning strategy for Lloyd in these markets ? Thanks .
 Rajiv Goel : I think to your first question which is more structural in nature . You are right that from the

functionality it is also moving more for convenience and I think this is still in transition . These are sort of higher end of the market what we call the premium end of the market . So in a market like India you have to address across the spectrum so our both lighting and switches have this functionality o f what we call the automation & IoT. So, that s

egment we are already addressing . If you recall on this call , this was asked how the margins are improving in lighting and a p art of the reason also is attributed to a lot of innovation which is currently I would argue more pronounced in B2B but it is moving towards B 2C as well . Similarly in switches , the automation is gradual but surely now taking the larger share of the ove rall switch es category . These are the things which augur well for a trusted brand , as premium set of customers want to stick to the more premium brand s which not only addresses their needs , but also the anxiety which is there when they move to a new technolog y. This is something we believe will continue to grow but this will take some time to reflect into the overall number because overall the market is still sort of transitioning to those levels .

Second ly, you asked a question on Middle East . So, Lloyd is a market leader in Kerala and Middle East is a very large market which has a lot of Kera la and NRI population . So, that is something wh at we start with. Also, if you look at th at market , there are lot of Chinese player as we ll in that market , so we have positioned ourselves what we call the mass premium even in Middle East . So there is market for all the brands and we believe since we are the first Indian brand who has launched in such a serious manner in Middle Eas t. This is something we will gain and we will invest behind the brand like we have been doing in India . So we have never claimed that we will just go there and acquire the market share but I think Middle East is also showcase to the world . These days there are lot of buyers who come from Africa , the CI S and the larger sort of Middle East cohort . So this is something what we believe is the brand building toward s the international business which we want to take in the right direction as far as the Lloyd is concerned .

Aniruddha Joshi : That is on the first thing , so should we continue to model market share gain s as the category keeps transitioning more towards the top end?

Rajiv Goel : Yes I think what you are saying is right , how fast that transition happens that r emains to be seen because as I said India is a very diverse market , so you have to play for all kind of consumer s, Havells is known for mass premium, this is something what we will continue to strive for .

Aniruddha Joshi : Okay sure sir . Thank you.

 Moderato r: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead .

Siddhartha Bera : Thanks for the opportunity . Sir, first question again on this margin side in Lloyd we have seen a good improvement sequen tially , can you just highlight it was purely due to the lower commodity cost which you have now or are you looking at any sort of pricing action or mix which has also led to this improvement ?

Rajiv Goel : I would say these are the cost s aving initiatives which we hav e been taking for quite some time in Lloyd, part of that definitely is commodity , but also we all agree when we start up to gear up in inefficiency and gradually the efficiency stick in . I think the process of efficiency which we are very hopeful will only continue to gain ground but there is no change the strategy of Lloyd per se, these are things which in any business after establishment , the efficiency should start getting factored in , so this is a part of that process .

Siddhartha Bera : Understood sir, but if I look at a longer term now it has been like nearly three years when we have b een reporting sort of loss in this Lloyd entity going ahead like you are saying that summer season is expected to be good , can we expect some pricing action so that n ext year we probably come back to that sort of break even type of levels because of these efficiency initiatives also which you

are taking ?

Rajiv Goel : Everybody is very eager to get this question answered , so in various forms and impressions this que stion keeps coming back . We believe this is a very large opportunity , consumer durable as a whole . If there is one category where India is least penetrated is the air condition ers. We have established good credential s there , we are now part of the top four in market. As our Chairman just sort of elaborated that the market is getting consolidated in terms of the larger players . This journey will continu e. Let us not measure them in few quarters here and there , we are here for long term . I am sure our investors are he re for long term and this country is for long term . Let us just focus on that , let is not jus t get mired in this quarter and that quarter . So as we grow , as we progress everybody will be testimony to that but we are very focused on our long term commitment to India which we believe is a

strong growth credential s available to us .
Siddhartha Bera : Got it Sir. Lastly on this ECD segment now if you see contribution margins are probably back to that earlier 2022 levels , but EBIT margins are still lagging a lot behin d so going ahead if we see pick up in this category like you are expecting to sort of see in the coming years, because can we with an overhead costs also normalizing , can we sort of expect to see those 16 -17% EBIT margins which we had reported sometime in the past or do you think the mix now o r the competitive intensity is somewhat different and we may not go back to that earlier levels of margins ?
 Rajiv Goel : Our focus is on contribution margin because ultimately EBIT is a derivative . Sometime quarter -to-quarter , they got distorted like this quarter the re has been dispropo rtionate A&P, but you would see in our entire ECD , in fact across Havells categories I am sure you would have already observed that there will be a improvement in the margins as we move forward because of what we just elaborated both on the cost saving and also the premiumization drive . There is a lot of thrust on the Havells side, this will continue to improve from here .
Siddhartha Bera : Okay Sir . Got it. I will come back in the queue. Thanks sir.
Moderator : Thank you. The next question is from the line of Sonali Salgaokar from Jeff eries. Please go ahead .
Sonali Salgaokar : Thank you for your opportunity . Sir, my first question is again on Lloyd E BIT margins , we understand that there has been a good and notable improvement in the contribution margin . The EBIT margins have sort of remained almost similar year -on-year, so should we assume that we will continue to spend more on the A&P and sales promotion as a part of our strategy behind the brand investment of Lloyd and when do we expect this to normalize ?
Rajiv Goel : Sonali , as we have said A&P this quarter has been disproportionate , so I am not sure you should read too much into that . As far as all other cost s, they will gradually g et normalized in L loyd also. When you start a business you always disproportionately invest in the business , so all these initiatives which we are taking , you will see further gradual but sure sort of normalization of all the expenses and percentage . Some percentage of the sales will be definitely require d in case of the consumer businesses which will stabilize in sometimes , so that is something will reflect in Lloy d as well and in Havells.
Sonali Salgaokar : Got it Sir and what is the current capacity ut ilization of Lloyd and the volume market share also if you could just let us know ?
Rajiv Goel : Let us not go to market share because people have different views on that , but we are part of the top three and top four in the country . As far as the utilization is concerned , we have kick started our Sri

City facility . We are now balancing the p roduction both in Ghiloth as well as Sri City depending on the regional requirements . So our capacity utilization will be close to some of 50-60% on across both the se facili ties.
Sonali Salgaokar : Got it Sir and my second question is regarding switchgears now we understand that the housing demand and the capex demand has been very strong over the past one , one-and-a-half year , is there any particular reason that we are showca sing just about a mid single digit growth in switchgear for the first nine months ?
 Rajiv Goel : So actually we just sort of elaborated earlier that there is a growth we have seen both in the B2C as well as project but there have been a lot of growth last year on the OEMs for telecom which for some time they have taken a pause hopefully it will sort of resume next year again . So you are seeing just the deceleration on that , but otherwise on both the projects as well as the B2C side we continue to sort of do well.
Sonali Salgaokar : Got it and just last question we understand that your demand focus is more domestic , but any issues that you see because of red sea logistic issues mainly for the procurement of raw material if any ?
Rajiv Goel : Nothing , either on the s upply chain incoming or outgoing , we have not seen any significant impact from red sea .
Sonali Salgaokar : Perfect . Thank you very much Sir. All the best .
Moderator : Thank you. The next question is from the line of Abhijit Akella from Kotak Securities . Please go ahead .
Abhijit Akella : Thank you so much for taking my question. Just if you could plea se help us understand what this Rs 40 crores provision write back within the segmental results pertains to ?
Rajiv Goel : You would be aware that the government had brought ou t the E-waste regulation particular ly consumer durables a few years back but at that time there was no clarity on how that should be treated. So out of abundant sort of conservatism , we started making ad hoc provision on the sales and it was largely applicable on the Lloyd products at that time . On

the best estimate we did that . Now the government / CPCB has come out with a lot of clarity and we all the industry players have submitted all sort of data so they have come out with the specific number which every company needs to comply with. Which is what they need to either pay that or we should take that number of the material . Now that we have a clarity on that , we have taken provision based on that clarity and that is why our best estimate has been adjusted a gainst that, which has resulted in one-time reversal of the provision.

Abhijit Akella : Okay , thank you and on the P&L this would have been reported in other expenses right ?

Rajiv Goel : Yes, that is right .

Abhijit Akella : Just on the cable market , in light of the recent deve lopments up and there in terms of income tax searches an d that sort of thing . Just try ing to seek your perspective on whether you think this these developments might potentially impact that category lasting way on a

 structural basis and whether that might open up new opportunities for someone like Havells . Would appreciate your thoughts ?

Rajiv Goel : Frank ly, we do not have much comment s to offer and I think these are still things which they are I am sure best managing so we will frankly just refrain from commenting on this.

Abhijit Akella : Okay . Thank you so much and all the best .

Moderator : Thank you. The next question is from the line of Praveen Saha y from PL India . Please go ahead .

Praveen Sahay : Thank you for taking my question . The first question is related to the c able business as you had already mentioned that the product mix led to the margin contract ion, so can you bit elaborate on tha

t this like a product mix of towards a cable sales is on the higher side for the quarter ?

Rajiv Goel : Yes, between cable and wire, wire has better margins than cable , so in this quarter the cable growth has been slightly higher than wi re that is why this is a prod uct mix, but in terms of contribution improvement , there been improvement in both the categories as far as from the last year.

Praveen Sahay : Okay , is there any number to quantify sir, how much contribution .

Rajiv Goel : We do not give breakups.

Praveen Sahay : Usually 65% is wire, so this quarter is usually unlike .

Rajiv Goel : That is right.

Praveen Sahay : Right and the second question is related to commentary given in the press release also, in the call you had mentioned that one commentary is a recent trend suggest some recovery also, the comment you had made of a green shoot in the B2C portfolio , is there an ything to quantify in that or to number to support your commentary ?

Rajiv Goel : This is a feeling we have and let us not make it too speci fic because very difficult to put the number . What we believe that there has been some degree of muted performance by the industry as a whole on the consumer side . We believe it is coming out of that slack and there is the feeling we getting maybe in the last sort of couple of months . So we are just hoping that it should translate into some tangible results , but as of now we will keep it there and let us see how it pans out.

 Praveen Sahay : Okay . Thank you Sir for taking my questions .

Moderator : Thank you. The next question is from the line of Bhavani Kumavat from Philip Capital . Please go ahead .

Bhavani Kumavat : Thank you for the opportunity . Most of my questions have been answer ed. Just one question if you can just share the advertisement spend in the Lloyd category .

Rajiv Goel : We got the gist of your question . We give the advertisement on the whole , so again we w ill not go into further breakup of the same .

Bhavani Kumavat : Thank you so much.

Moderator : Thank you. The next question is from the line of Lovish Soien from Phoenix Advisors . Please go ahead .

Lovish Soien : Good morning Sir and thank you for the opportuni ty. My question is related to the RAC business . We are seeing that new capacities are coming online for all major brands and contract manufacturers , so how do you think this will impact the overall industry supply along with the industry demand , so just wa nted to have your thoughts on how this industry supply aligns with the industry demand over the next couple of years ?

Rajiv Goel : These are all seasoned players , everybody is anticipating that the potential India offer s is unparalle led and everybody w ants to be ready for that and I am sure the long term players do not look at what they can achieve in one year or two year s. These capex are very long-term plan and we can argue that these do justice to the potential we have consider ing t he under penetration related to just other developing market not just developed market . One cannot really look at what will happen in the next four quarter s or six quarter s but longer term these are aligned with what everybody perceives as a grow th potential in India for the RAC market .

Lovish Soien : Thank you and just one followup , does this mean there is a possibility that we could see a price war in the coming quarters given that all these capacities and the brand s, there would be a need for all these players to produce and sell to get th ese incentives ?

Rajiv Goel : No, price war is like a war cry you are mentioni ng like. Everybody is positioning their product with the consumer on certain basis and that is something we continue to believe will happen , so no we are not expecting any significant price wars on that .

Lovish Soien : Got it. Thank you Sir.

 Moderator : Thank you. The next question is from the line of Keyur Pandya from IC ICI Prudential Life Insurance . Please go ahead .

Keyur Pandya : Thank you for the oppo rtunity . First question is just an observation on the employee cost year to date employee cost is up around 19% so some gaps which you identified and have filled up the positions or just if you can clarify since last two years we are seeing more than mid teen s kind of employee cost growth , so first question on that .

Rajiv Goel : There have been sort of investments in the people , in the talent across the categories . We are investing for growth , sometime the growth may not appear in the timeframe you look at , but there has been a lot of categories in Havells which we are disproportionately invest ing into, because we see a lot of potential for future growth there . So yes this has been partially which is organic , which is some growth will always happen in the employee cost in a year and some are obviously there has been lot of latent hiring and acquisitions in the company which is primarily investment for growth .

Keyur Pandya : Similar growth should we see going ahead also next four , five quarter ?

Rajiv Goel : It will stabilize , but growth in this head will continue to be there .

Keyur Pandya : Of course yes . Second question is on both AC and fan more summer centric products, so how has been the channel stocking situation in AC. Last year AC had we ak summer and fans had star rating introduction so if you can just clarify how is the channel inventory situation ?

Rajiv Goel : Compared to last year definitely channel stocking is much lesser and last year in the fan because of the transition to BEE there was significant uplift by the channel , this year clearly this has not been the case . So, if you look at from the com pared to last year , the chan nel stocking is lower and in AC also because last year there was some challenge with the channel , because of unseasonal rains and all , there has been slightly conservatism on the pickup in this quarter .

Keyur Pandya : Channel inventory levels in the system , are at normalized levels or there are still above normal level ?

Rajiv Goel : Normal level and I would say that from last year may be a lower level that is what I meant basically .

Keyur Pandya : Okay and just last question on t he AC side , so probably on L loyd specific so since RM prices have stabilized , now the levers for the profitability are more on the pricing side, do we have to take pr ice hikes or do we have internal cost levers to improve the profitability

 and if there are any if you can just give few examples basically of the cost levers that we have ?

Rajiv Goel : The cost initiative as we said and RM is just part of one of the c ost initiatives . We have set up two plants as I said when you set a new plant there is cer tain degree of inefficiencies . So just because RM is stabilizing let us not conclude that the cost initiative s have reached their poten tial. They will continue a nd there will also be the product mix sort of improvement would also be there , and premiumization there as well . The profitability will be a combination of lot of effort , it is not just a single arrow , so there are lot of arrows there which we will continue to shoot.

Keyur Pandya : Basically just wanted to understand if pricing is an external factor, it depend s on how compe tition also behave whereas the cost is one internal factor which is more in control of the company so on the cost side which are the lever just wanted to understand that part?

Rajiv Goel : As I said R M is one of the lever , efficienc y in other lever , there will be multiple lever s.

Keyur Pandya : Okay, thank you and all the best .

Moderator : Thank you. The next question i

s from the line o f Amit Mahawar from UBS . Please go
ahead .
Amit Mahawar : Good morning . Sir, I just have one question . In 9 months ex Lloyd growth in volume is definitely more than the value growth you have shown 8% plus, Lloyd in nine months 16% value and of course volume is definitely higher , so I do not have a question on growth , my question is more on the L loyd supply chain as you build your brand gradually that is a journey . On the supply chain part , is my understanding correct that in the next maybe say three to five quarters , you optimize your current expanded capacity manufacturing , you will have a significant s ourcing of compressors and motors broadly around 50% higher than the last year roughly , will that period where you will be able to get the cost right because only when you get the cost right can you get the price right ? So I just wanted to have some qualitative colors , that is the only question .
Rajiv Goel : Do we need to answer ?
Moderator : No Sir. The next question is from the line of Latika Chopra from JP Morgan . Please go ahead .
Latika Chopra : Thank you for the opportunity . I have two question s. The first one is specific to the key ECD segments of fans , geyser , kitchen appliances and let me also loo p in Lloyd and you can answer separately for them , what is the salien ce of e-commerce channel now in the

 revenue mix versus pre-COVID and are your market shares and margins for this channel lower versus the offline channels ?
Rajiv Goel : This is around 5% Latika on the e-com side , obviously some categories it could be higher , but on the AC side is around 5% like for instance the S DA as well as the personal grooming normally it will be higher . On the net-net margins are not very different from the offline because our pricing is pretty much similar across the channels . On the net , the margins are not very different .
Latika Chopra : But what is the market share on this channel versus the offline channel ?
Rajiv Goel : The market share also we are in top three in online which is again reflective of what we have in the offline.
Latika Chopra : And the second one was on just trying to get some color on how is the salience of consumer financing behaving for the L loyd portfolio , are your competitors more aggressive on this metric incrementally versus you.
Rajiv Goel : Everybody here and there are similar . There is not much differe nce because it is being offered by similar players . Nobody is manufacturing them themselves , these are being offered by same players to everyone . So on the salient side everybody's on almo st similar platform but ye s the salienc y is increasing . As we get more formulized as we get more MFR , large retail cha in driven there is the propensity of financing is higher than on the standalone network .
Latika Chopra : And what roughly it would be for yo u now for Lloyd?
Rajiv Goel : Lloyd will be around 30-35%.
Latika Chopra : All right . Thank you so much .
Moderator : Thank you. The next question is from the line of Amit Mahawar from UBS . Please go ahead .
Amit Mahawar : No sir. I just wanted the answer th at is it.
Rajiv Goel : Actually that is where we got confused , your voice was very fee ble, you were talking about the compressor supply chain ?
Amit Mahawar : No the question is very simple , this year you will have a very significant procurement right , last year Lloyd had a 2 x increas e in the raw material purchase of traded goods right from 7

 billion to 14.5 billion obviously we are advanced sourcing here, so this year also when you start servicing the 2 million capacity , you will have a significant procu rement of compressors and motors so I just want to understand , is this period the first pe riod where you will be able to get t

he cost optimized in the next maybe three quarters and because of that you will be able to maybe price it better than you could ha ve been , so I just wanted to understand qualitatively are we in this period heading toward a significant cost rationalization ? Thank you.
Rajiv Goel : Your sort of prognosis is correct Amit and that is what we meant that it is not just a raw material , it is also a lot of efficiency which we are building in and procurement efficiency is definitely one of them . As our volumes grow we will also be able to negotiate better terms with the supplier because compressors also tend to be very sort of consolidated industry in terms of the supplier but now we have what we call the right sort of seat at the table where we can have better negotiations with them both in terms of the cost , but also in terms of the

supplies , our inventor ies also can be much more efficient ly managed now . We do not need to keep everything ourselves because they realize we have a better prediction on the supply side, so all these things this is what I meant when I said there will be multiple things we are working on the cost saving which hope fully should start reflecting in ensuing quarters .

Amit Mahawar : Very , very helpful . I will just add to this question if you allow me , is there any reason for your supplier sitting in China for compressors or a supplier sitting in India for motors because other everything else is internalized in Havells , is there any reason that supplier has not to give you the same cost sheet vis-à-vis the number one , number two , that he gives to the number one, number two , I just wanted to understand that .

Rajiv Goel : Hopefully as I said that will conver ge and these are the learning curves that one has to go through . First, we want to move up the value chain . When I sa y seat on the table that is what I mean that is what you ask hopefully that will happen . Things take time but we are in for long haul , just stay put.

Amit Mahawar : Thank you very much and good luck to the entire team .

Moderator : Thank you. The next question is from the line of Chintan Shah from JM Financial. Please go ahead .

Chintan Shah : Thanks so much for the opportunity . I just had one question and it is slightly longer term in nature , so over four , five years perspective do we think the Lloyd or most specifically RAC segment can deliver margins say similar to or close to what we do in other seg ments and if yes I mean if you could just help us understand what could be the lever s?

Rajiv Goel : Other segment means I am sure you are not comparing th em with Switchgears.

 Chintan Shah : On overall basis excluding L loyds.

Rajiv Goel : It will reflect what the ind ustry structure is and what gives us sort of optimism is that the industry on a whole is making a decent amount of margins and return on capital . As we said and we have been saying this for quite some time now , this is the jour ney we investing behind th e product , behind the brand , behind manufacturing , behind A&P and in the journey there wil l be disproportionate to begin with but then as things start getting normalized that is how we have seeded all the businesses since Havells has been born. This journe y will continue here and there is no reason why like among the top in margins in all other categories as far as the industry is concerned , I think Lloyd will also have a similar journey when we reach there . That path is very clear , everybody wishe s to reach there early but as long as we keep walking , we will start running also i n some time .

Chintan Shah : Okay , got it that was helpful and secondly right now we have enough capacity say for one , two years , but say two years down the line also w ould like to add capacity in the R AC segment or again switch back to going more towar

ds outsource .

Rajiv Goel : Our internal working on any cap ex is eventually at 70% or 75% of capacity , we start putting up the new manufacturing . We have been doing for fa ns, we have been doing for cables and wires , and the similar philosophy will be applied to L loyd as well .

Chintan Shah : Okay , got it understood . That is it from my side . Thank you.

Moderator : Thank you. The next question is from the line of Pulkit Patni from G oldman Sachs . Please go ahead .

Pulkit Patni : Thank you for taking my questions . Most of them are answered . Maybe one question and sort of a repeat of what different people have been asking in different forms , but again slightly longer term . Few years bac k there were five , six players in each of these segments and margins used to be much bette r today thanks to how capital markets have been abundant capital available , a lot of the ODM now have raised cash which means they also have capital . How do we get comfort and how margins move for everybody or are we looking at maybe in a few years a situation like China where effectively margins compress for everybody as a sector and this becomes relevant in the context of the kind of commentary that has been coming f rom most companies in the last two years I understand demand has been weak , but how does m argin actually as an industry go up from these levels so that is the only question I want you to answer .

Rajiv Goel : You are talking RAC or are you talking…

 Pulk it Patni : Generally I think across I mean today lighting there are 20 players , today fans everybody is there and more people are entering , it is not so I am saying across the consumer durables , electrical segment , how do you look at margin in context of am ple capital available everybody wanting to doing do everything , ample cap ex being committe d now thanks to PLI and multiple other things , so generally is what I want to know .

Anil Rai Gupta: Your analysis is right that there is ample capital available , players coming in . I sometimes feel that some players are coming in and some players are also going out but if you last few years in every industry there is no meaningful player who has come up to the level of being number two or number three player in tha t industry . That also means that we have not seen in fact if you see our all product se gments cables and wires have actually seen improvement , but in switch gear, lighting , consumer durables , overall structurally the margins of businesses have not gone down at least for Havells. Switchgear continues to remain at a similar level . Wherever there has been a dip those have been temporary maybe for a year or two because of the raw material volatility and sometimes it becomes more difficu lt to pass on the entire cost to the consumer because it is not just because of competitio n. As you know in last year there was 25% price increase in raw material s of copper and aluminum and we saw some contraction there but now you see these margins are coming back . While over the last five years or so if you see purely Havells as a whole , overall margins have not really made a difference in fact they are now improving and coming back to levels of what they were earlier . Generally the prognosis is correct , but strong brands , strong companies would try and maintain their margins despite the industry structure through innovation , through brand recognition and during this longer period of time brand investments and technology innovations also keep happ ening . So overall , the fact that H avells P&L without Lloyd has actually maintained or dip ped only for during certain periods of time gives us confidence that we will be able to do that in future as well .

Pulkit Patni : Got it Sir. So, based on what you said I understand that leaving aside Lloyd it is fair to expect that

even from these levels margi ns will inch up slightly over the next few years ?

Anil Rai Gupta: And Lloyd definitely has a much better runway to improve the margin s.

Pulkit Patni : Understandably , okay . This is very useful . Thank you.

Moderator : Thank you. Ladies and gentlemen due to time constraint that was the last question for today . I would now like to hand the conference over to Ms. Bhoomika Nair for closing comments . Over to you Ma ’am.

 Bhoomika Nai r: I would just like to thank everyone for being on the call and particularly the manageme nt for giving us an opportunity to host . So wishing you all the very best and look forward to a better calendar year 2024. Thank you very much Sir.

Moderator : On beha lf of DAM Capital Advis ors Limited that conclud es this conference . Thank you for joining us and you may now disconnect your lines .

Call: Apr 2024

Havells India Limited
Q4FY24 Earnings Conference Call

April 30, 2024

MANAGEMENT : MR. ANIL RAI GUPTA - CHAIRMAN & MANAGING DIRECTOR , HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA - WHOLE -TIME DIRECTOR & GROUP CFO , HAVELLS INDIA LIMITED
MR. AMEET KUMAR GUPTA - WHOLE -TIME DIRECTOR , HAVELLS INDIA LIMITED
MR. RAJIV GOEL - EXECUTIVE DIRECTOR , HAVELLS INDIA LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECUR ITIES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Havells India Q4 FY '24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ *”and then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi : Yes. Thanks, Manjula. We welcome you all to Havells India Q4 FY '24 and FY '24 Results Conference Call.

We have with the Senior Management Team represented by Mr. Anil Rai Gupta – Chairman and Managing Director; Mr. Rajesh Kumar Gupta – Whole -Time Director and Group CFO, Mr. Ameet Kumar Gupt a – Whole -Time Director; and Mr. Rajiv Goel – Executive Director.

Heartiest congratulations to the management team for strong performance in Q4 FY '24. Now I hand over the call to the management team for initial comments on quarterly as well as annual performance. Post that, we will open the floor for question -and-answer session. Thanks, and over to you, sir.

Anil Rai Gupta: Thank you, Aniruddh a. Good evening to all for attending the call today. Hope you would have reviewed the results by now.

Quarter four delivered a decent revenue growth, supported by continued infrastructure -led demand and promising start of the summer season. We are al so seeing some early signs of benefit from real estate upticks.

Post several quarters of disruption due to the BEE transition, fans registered a robust growth. With the strong onset of summer, we are seeing encouraging response from the channel for summer products.

Also, we are quite satisfied with Lloyd performance, and we are excited with the current market pickup and how season is shaping up. We have maintained that Lloyd is on a journey of growth, profitability and market share. We believe that a ir conditioners are on the cusp of significant traction after a few years of softness. And Lloyd is well positioned to capitalize through its own manufacturing capacity of 2 million air conditioners, a wider product portfolio with premium offering and an e ntrenched omni -channel distribution. We are positive on business performance going forward.

We can now move on to Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan : Congrats on good set of numbers. My first question is with respect to the ECD business, that 22% growth that we had seen this quarter. If you can give a sense on how the fans business would have grown ? What kind of growth that would have seen? Would that have been the major driver of growth for that particular sub -segment? If you can give your views.
Anil Rai Gupta: Yes. Ravi, I think overall fans has shown even a better growth as compared to the overal l 22% ECD growth. But mind you, as I said in my opening remarks also, that this is over a low base over the last few quarters. But also, the fact that the summer season has also started picking up well. Last year, March was a low month. This year summer on set was early, and we are expecting a good summer in this year.
Ravi Swaminathan: And at the overall company level, given this summer is good. Lighting pricing seems to be bottoming out, you adding capacity in cables and real estate picking up, which should translate into good growth for switchgears. What kind of growth that one should think about with overall real estate picking up? Should it be for the core business similar to a 9% -10% gr

owth that we had done this year, or it can be a much better number l ike mid -teen kind of numbers that can happen over the next 2, 3 years?
Anil Rai Gupta: So, as you know, we don't give guidance on the growth aspect. But for the reasons that you mentioned, you've already enumerated all these reasons. We do believe that the growth in the core business can be better as against what we have done in the last 1 or 2 years. So, we definitely are more positive about the coming year.
Moderator : The n ext question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain : Sir, my first question is in continuation to the last participant's question. Sir, you said fans registered a robust growth. Now broadly, if I see ECD, there has been approximately 150 basis point compression. So, can you tell from which category within ECD this compression is coming from? Or is fans a complete volume -led growth? My first question is that.
Anil Rai Gupta: So, on the compression that you're talking about, you're probably talking about segment results, and this is actually depending upon the expenses also. On the contribution margins, I think we are fairly stable. And this is what we generally track because quart er-on-quarter expenses can vary depending upon advertising. Otherwise, on a contribution margin basis , we are quite okay and in line with what our expectation is.
Natasha Jain : Sir, then can we assume that you were able to take some kind of meaningful pric e hike in fans? Or was that not possible at least for fourth quarter?
Anil Rai Gupta: Fourth quarter, there was no requirement of a price increase because the materials continue to remain at benign level or a constant level throughout the year. We have see n, in fact, a quiet a

major uptick in the raw materials in early April and late March. So, definitely, I think going forward, we may expect some price increases. But last quarter, there were no price increases.
Natasha Jain : Sir, my next question is on Llo yd. So, channel checks suggest that there was a stock out situation for most brands. And also, for Lloyd, we found that at some counters. So, first off, is that true? And if it is true, was it because we didn't anticipate such strong summer? And as a resul t of which, for fourth quarter, could we have lost some market share to the leader? And a related question is from 1st April, secondary sales have started picking up sharply. So, second round of primary sale, what's the inventory stocking in the channel? A nd therefore, what is Havells inventory looking like? And the recent bouts of rain, has it been a dampener? So, those are my questions.
Anil Rai Gupta: As far as Lloyd is concerned, the primary sales have been strong in the last couple of quarters. As we m entioned in the past meeting also, Lloyd is moving towards the journey of more sell - out basis from the channel. And so, there is a lot of focus towards the sellout. As you rightly mentioned, April was the real consumption month, which was a very strong mon th especially for South, West and East. North still has to pick up in terms of consumer pickup.
But I think overall, at the end of March, we don't think we had any issue with the stock situation. So, because of two facilities now that we have one in South (Sri City) and one in North (Ghiloth). So, we are not in a situation, neither we are stocking very high nor there is a situation of stock out. But yes, of course, when it comes to April, May and June, if this trend continues, there might be issues with some amount of inventory being short in some areas, but we don't anticipate a huge issue with that.

Natasha Jain : Sir, the reason why I was asking is that the 6% growth for Lloyd looks a little lesser than an industry growth of approximately 20%.
Anil Rai Gupta: The way we are loo king at is that we need to look at 2 years'

growth what we have done in that.
Structurally, we have maintained our market share for the entire year. So, that's how we look at it. On a quarter -on-quarter basis, I don't think this will be appropriate for us to make any decisions. But I think overall, we have maintained our market share. Over 2 years, our growth has been around 30% CAGR and that's what we are focused upon.
Moderator : The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera : Sir, my first question again is on Lloyd. I mean, after now quite some time, we have sort of come back to that double -digit contribution margin levels. So, going ahead in terms of outlook, a few things. In terms of priorit y now, will maintaining a double -digit contribution margin be amongst the priority, which you will strive to achieve or probably you will continue to sort of look at the balance between growth and contribution margins going ahead? How should we sort of thi nk about the next few years?

Anil Rai Gupta: See, I know you've been following Havells for quite some time, and the company's philosophy has always been not “growth or profit ”, it's always been “growth and profit ”. So, I think the same philosophy will become a part of Lloyd as well. So, I've always maintained that we are continuing to invest in product, brand, channel, R&D for Lloyd. And we are on the journey of growth, profitability and market share. So, as a company, we don't believe in either/or strategy. And hence, structurally, we are trying to make things right, whether in channels, whether in brands, whether in products, whether in terms of our cost efficiencies and manufacturing. We are trying to make things structurally right so that it becomes a sustainab le performance of growth and profit .
Siddhartha Bera : Got it. So, if I have to sort of go a bit deeper into how the improvement has happened, would you suggest that, I mean, it's more led by pricing and probably discounts coming down, which is more sustainable? Or do you think it's because of the costs going down because what I see in the near term is that copper prices now have started going up again. So, how should we think about profitability in the coming year?
Anil Rai Gupta: So, as I sa id, this is not attributed to one action. It is attributed to many actions including channel mix, product mix , cost efficiencies. And of course, when your channel and the consumer preference start going up, your pricing actions also follow. So, those are a ll things put together, which will lead to improved performance. And this is just a start. I think over a period of time, we have to see how things pan out. As you rightly said, markets change, the material prices are changing, how we are able to pass on t hat to the market, how the competition behaves. So, those are all things we have to keep looking at. But as I said, Lloyd is in a long -term journey for structural improvement in terms of cost structure, channel and product and brand. So, that's something w hich we have to focus upon, and we'll continue to do that.
Moderator : The next question is from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.
Rahul Gajare : I wanted to get your feedback on the demand scenario, which has been muted for most of the year. Now with ECD growing well in this quarter, which was largely contributed by fans. Have you seen a more broad -based pickup in demand? Yes, so that's the first question.
Anil Rai Gupta: Yes. I think overall, in the last few m onths, there has been a better demand scenario. As I mentioned, Infrastructure & industrial has been positive over the last 1 or 2 years. Consumer demand, real estate had been a little bit more tepid. We have seen some improvements. But again, it has to be see n how it pans out because raw material prices are going up. An

d last time
we had seen in a high inflation scenario, sometimes the demand also slows down a little bit. But at least the starting of this calendar year has been on a stronger base.
Rahul Gajare : And in your cables and wire business, is it possible to split this growth into volume number. And I think it will be very helpful if you can share with us the full year volume number for Lloyd .
Anil Rai Gupta: 18% is the volume growth in cables and wir es in this quarter.

Rahul Gajare : And the Lloyd number?
Anil Rai Gupta: We actually don't give different quantities because it's the product mix of refrigerators, washing machines and everything.
Rahul Gajare : Sir, let me just rephrase. I'm specifically looking only for room air conditioner volume number

for this year, not for the quarter.
Anil Rai Gupta: We don't give this number.
Moderator : The next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.
Sonali Salgaonkar : Sir, you mentioned in the press release that the EBIT positive margin of Lloyd is led by cost savings and business efficiency measures. Could you articulate which were the key ones over here so that we better understand the margin profile.
Anil Rai Gupta: So, there were cost efficiencies as I have also said in the past that we had new manufacturing facilities. Ghiloth was fairly new. Sri City was a completely new facility. So, there was initial inefficiencies built when a new plant comes up. So, we have be en working on building cost efficiency. But that's only one part of the overall journey for profitability improvement and growth. The other is, of course, migration, brand perceptions, all those things, channel mix will also contribute. But yes, in the las t one year, there has been a lot of focus on cost efficiencies as well on the manufacturing side.
Sonali Salgaonkar : Sir, what is the capacity utilization for Lloyd right now?
Anil Rai Gupta: So, we have a capacity of around 2 million air conditioners beca use we have seasonality in this business. Overall, for the year, we are around 65% or so.
Sonali Salgaonkar : Sir, my last question is towards CAPEX . Any CAPEX guidance for FY '25? And also, your cable capacity, when can we expect that to commission?
Anil R ai Gupta: So, this year, CAPEX will be around Rs. 800 crores as of now, and we will continue to evaluate during the year, but around Rs. 800 crores.
Sonali Salgaonkar : And your cables capacity commissioning?
Anil Rai Gupta: In the month of June '24.
Moderator : The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.
Renu Baid : Congratulations for strong profitability turnaround. A couple of questions. First, on the core ECD business, while we have seen growth coming back, good seas onal and demand tailwinds, the EBIT margin or profitability for us somehow is still in the 10%, 11% range, 11.5% range.

So, what in your view could be the drivers which can help the margin get back to 12% to 13% in ECD as a category? Or do you think there are structural headwinds which may cap margin expansion in this segment?
Anil Rai Gupta: I think overall, with the focus on non -fan businesses like appliances also and driving efficiencies there, getting stronger in regions where we have been weak. So, hopefully, we should be looking at improving margins overall in ECD business. And I think, as I said last couple of years, because of lack of growth in the ECD business as a market, generally speaking, there is more stress on profitability also because of higher spends on advertising and all. But otherwise, our focus will be to continue to improve our contribution margins first, and then, of course, bring it down to the bottom line. But overall, I think we are moving in the right direction.
Renu Baid : Secondly, in terms of rec

ently announced foray into large kitchen appliances. So, can you share some inputs in terms of what are your medium -term targets for this business? And as a company, what kind of investments will be required in this specific business segment distribution and allied areas because the distribution is completely different for large kitchen appliances versus traditional portfolio that we have and even in Lloyd's air condition business. So, how do we look at scaling this business from a 3 - to 5-year perspective?
Anil Rai Gupta: So, we are looking at trying to get synergies from our existing channel, existing brands. While you say that it's a different channel, but we are now significant part of the channel, which also sells this , in the mode rn format stores through Lloyd and some part of Havells as well. So, we will be taking this business with a cautious approach, not heavily investing in manufacturing. All the IP is owned by us, but we will be manufacturing it through third -party manufactur ers. And taking it from there and looking at this business like a seeded business and develop it over a period of time.
Renu Baid : The M&A that will be targeted for this business expansion or largely it would be organic?
Anil Rai Gupta: Largely organic .
Renu Baid : And lastly, on Lloyd, while the journey is long term, we have done many strategic changes. Can one say that in the recent quarters, having established a good volume share now looking at the right balance between profitability and volume growth , fortunately season also has been favourable . So, now clearly, there is no need to be really aggressive on the pricing. But follow the other strategic initiatives like premiumization and distribution reach otherwise.
Anil Rai Gupta: Actually, if you see l ast couple of years, we've not really changed our journey. I mean the pricing journey, the branding journey, the channels journey. We've remained fairly stable, and that's what even the channel is appreciating. It's not that we are changing our strategy. A s I said, may be because this year, the efficiencies in the manufacturing also started kicking in. So, we have started gaining. But there is no change in strategy on pricing . It's something which as a brand,

we believe that we can't keep cha nging all the time.

Renu Baid : And can you just also highlight what was the average price increase taken in Lloyd for the current season for our AC portfolio?
Anil Rai Gupta: So, as I said, we've maintained our pricing over the last 6 months. We have not increased pric es.
Moderator : The next question is from the line of Praveen Sahay from PL India. Please go ahead.
Praveen Sahay : Congratulations on a good set of numbers. So, the first question is related to the Lloyd. If you can give some geographical contribution, like how is your South versus North as a performance? And is there a material difference in terms of the growth in the last FY '24?
Anil Rai Gupta: I think Lloyd over the last few years, if you see, we have grown very strongly in the two deeper regions like, for example, West and East. Lloyd had been strong in South in certain markets other than Tamil Nadu. But I think overall, in the last 1 year, gro wth has been all around. In the last quarter only, the growth has been very strong in South and East. North region is yet to pick up. But otherwise, South, East and West has grown much better than North.
Praveen Sahay : Okay. And in this segment only, as yo u had mentioned that last 6 months, you have not taken any price hike, but in our challenge as we get to know at the dealer level, there is some price hike across the brand s. So, is it something therein or you directly negate that there is a no price hike s o far.
Anil Rai Gupta: I think we have been fairly stable in our pricing. We are not a company who believes in changing prices during the season time

. And so, in fact, whatever we started off in October -November, we have maintained the price till the end of March.
Praveen Sahay : Great. Sir, last question on the cable. Can you give a volume growth number for FY '24?
Anil Rai Gupta: 18% for the quarter and 15% for the entire year.
Moderator : The next question is from the line of Ashish Jain from Macquarie Group . Please go ahead.
Ashish Jain : Congrats for great set of numbers. So, my first question, again, goes back to Lloyd margins. Just on the contribution margin, sequentially, we have seen 500 basis points of improvement. Am I right in saying that roughly 200 -odd bps would have come just from higher volume because you also factor your depreciation cost in calculating contribution margin?
Anil Rai Gupta: So, I don't know the exact number, you might be knowing better. But there is unabsorbed manufacturing overhead, has always helped when the volumes are higher. So, fourth quart er and first quarter, always the margin will be higher because of this.
Ashish Jain : So, sir, can you give some more colour on this 500 bps of sequential margin expansion pricing, you said, is stable. So, that is not a big driver. If it's possible to give any colour on mix, cost.

Anil Rai Gupta: I think I've already given a lot of input on this one. So, I don't think I can give more granular detail more than what I have alr eady said.
Ashish Jain : Sir, secondly, in terms of your cable business, with the capacity coming in J une, I mean how fast can we ramp it up because that was one of the big as in bottlenecks for us to grow our cables business. Can we expect like 70%, 80% utilization by end of the year? Or will it be more gradual?
Anil Rai Gupta: Yes. So, second half, we'll start seeing some benefit. And of course, new plants always take time to get full and up running . There will be enough in the second half.
Ashish Jain : Sir, just one house skipping question. Earlier in the call, you said RAC operated at 65% utilization in FY'24 on 2-million -unit basis.
Anil Rai Gupta: No, I said, it's a seasonal product and sometimes it goes down to as low as 25% to 30% and sometimes it's o perating at 100%. So, on average you can say 60% -65% it is operating at.
Moderator : The next question is from the line of V. Balasubramaniam from Axis Capital. Please go ahead.
V. Balasubramaniam : I had a question. Now the margins you give to your dealers and retailers of your AC products, is that subtracted when you are calculating your contribution margin?
Anil Rai Gupta: Yes.
V. Balasubramaniam : Now the reason I'm asking is when we are actually going to the channel for the last couple of quarters, we get this feedback that Lloyd has cut down on dealer margins. Now is that one of the reasons why your contribution margins have gone up? And correspondingly, we are also noticing that for the last 2 quarters, the sales growth has slowed down to 7% or 6%.
Now I'm not telling this is right or that is right. I just want to know, are you now comfortable at growing at in line with the industry or slightly lower than industry for better profitability because in the past, like the last 2 years, you were literally growing at almost like 1.5x the pace of the industry. So, are you now more comfortable with like 10% to 15% kind of growth with slightly higher margin? Is this what you are trying to achieve?
Anil Rai Gupta: So, first of all, we have not changed any margin structure or pric ing structure in the market .

Secondly, if you ask me, are we comfortable with industry growth, our endeavour , as I said, has always been growth , profit and market share. So, market share and growth will always be remaining as an objective. So, if you ask me straight away, we are not comfortable with growing at the industry pace. So, again, as I said, please do not look at 6% -7% growth over quarter. I thin

k the way we are looking at it over a longer period of time, we want to see our market share grow .

V. Balasubramaniam : Now the other question is on the ECD division. Other than I assume, you already anyway mentioned in your introduction that fans grew at a substantially higher pace. In your portfolio, are there any other summer -related products in ECD other than fans.

Anil Rai Gupta: There is air coolers, which is also part of our ECD business, which is also part of that.

V. Balasubramaniam : Is it possible to tell us ex -air coolers and fans, what was the growth in ECD?

Anil Rai Gupta: No, we do not give separate growth numbers for different product categories. We have 25 different BUs. And then if you start breaking it, it will be very difficult. So, as a company, we've maintained on these SBUs and that's what we would try to focus on.

V. Balasubramaniam : Lastly, on the Rs. 800 crores CAPEX for FY '25, can you give like a broad breakup where you are spending those Rs. 800 crores.

Anil Rai Gupta: We'll give you these details subsequently.

Moderator : The next question is from the line of Ba lasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A .: Sir, on the Switchgear segment side, like still we are facing degrowth on telecom side? And like where the demand is coming right now? And the wires and cable side, what would be the mix in Q4? And what would be the margin difference?

Rajiv Goel : No, I think this telecom, usually this will be something more like a next year. So, I think growth is largely from residential and commercial. As I said, there could be some lag effect of real estate. We believe it is accruing from there for switchgear. And on cable and wires, I think the mix is 60% is wires and cable is 40%.

Balasubramanian A .: On the margin difference, sir?

Rajiv Goel : Margin, we give consolidated. So, I think let's stick to that.

Moderator : The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : My question was on fans, which posted strong growth. You also alluded to the fact t hat there could be potential price increases on early part of Q1. I just wanted to check, what are the channel inventory levels for fans. Are these at normalized levels that you would expect at the beginning of summer season? Or this time in anticipation o f a price increase, our channel inventory levels were higher at the end of March month?

Anil Rai Gupta: So, these are at normalized levels. In fact, the price increases, as I said, would be expected in the first quarter. We are still reviewing the impact o f the raw material changes because this has to be seen on a sustained basis. So, if any, they will be in the first quarter, so these are not applicable from March.

Latika Chopra : All right. No, I was just thinking is it contemplating it now?

Anil Rai Gupta : No, I think these are at normalized level.

Latika Chopra : The second, which was on Lloyd. Beyond ACs, if you could give some colour on how you're thinking about scale -up of washing machines and refrigerators, considering we are looking at a more balanced revenue and profit mix for this business. If you can give us some more colour on how the revenue mix for Lloyd looked like in FY '24 on a full yea r basis? And how do you think the shape of revenue mix could change over the medium term?

Anil Rai Gupta: I think while we are looking at these businesses, which are foundational businesses, washing machines, refrigerators, LEDs, and they are growing at a decent pace. Last year was not a very good year for growth in these product categories, but we believe that we are doing the right things foundationally. But of course, while we'll continue to strive to make the product mix a little bit more balanced, but our aspirations to continue

to grow fast in air conditioners would also be there. So, we would look at these product categories, not just as a balancing figure, but more as foundation, and we continue to grow at a decent pace in all these 3 businesses – LED TVs, washing machines and refrigerators.

Moderator : The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami : So, my first question on the cables and wires segment. Where do you see the growth coming from the both segmen t, let's say, cable, which segment or which KV you're looking mostly growth in? And where is the CAPEX also coming in this? And second is on the Lloyd, I still did not understand, sir, how do we increase the margins this time because you did not say anythi ng on the price hike? And how the sustainability will be for growth and margin for Lloyd ?

Rajiv Goel : I think on the cable side, largely, it is infra and real estate. And the wire is basically the residential and the commercial market. I think th ere have been decent growth there . And the CAPEX is both in the cables and wires product categor ies.

As far as the Lloyd margin is concerned, as we said, the cost efficiencies, which we have done and also the better utilization of the manufacturing because if you see both, you see from the past year as well as sequentially, the margins improved. And we have maintained in the past few quarters that there's a lot of work being happening on the cost side and efficienc ies. I think this is coming to the fruition. So, apart from the gradual premiumization of the portfolio or the channel mix. As you said, we have multiple levers, which are baked into the same. I think, largely led by the cost and business efficiencies.

Anupam Goswami : And how sustainable would this be? And if there's a cost efficiency, then it should be sustainable, right? And do we see growth coming back to, let's say, the industry growth or slightly better than industry growth coming how it was?

Rajiv Goel : So, I think with the cost efficiency efforts are always continuous. You see it doesn't stop. And to some extent, there is a raw material price p ickup , which has happened. So, you could argue there is a certain degree of headwind as well. So, I think those strategies will be very dynamic. And as we have just mentioned on this call, that you see there has to be a balancing of how we see the market, how the competition reacts. And there will be an endeavour on growth, profitability and market share. So, I think all these will have to be evaluated.

But as I said, the cost measures and the work on efficiencies is being squeezed out of the cost will continue. So, we definitely hope that there is a good balancing of growth and profitably, which will continue. But yes, we have to continue to watch it out. I think it is a competitive industry.

Moderator : The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni : Sir, you said that over the last 3 years, we've grown at 30% in Lloyd. But if I look at the variability, 35%, 50% and 12%, is it fair to assume that the inventory that we had put in the channel was on the higher side. And we've seen normalization of that happen right now over the last 2 quarters, i.e., from here on, we actually should grow in line with the industry. Because, I mean, 3 years is a pretty long time for a CAGR for us to look at. So, just wanted to understand why the last 6 months for us has been weaker than the rest of the industry?

Anil Rai Gupta: Normally, if there is higher inventory in the system, it is usually not over years, it can happen over a quarter or a few months. So, we have seen market share gains also in the last 3 years. It's not that if we push the channel, that inventory is getting normalized at this point in time. Overall, in the last 3 years, Lloyd has gained market share

.

Pulkit Patni : No, sir. Sir, precisely, that was what I was trying to understand that last 6 months, we have grown lesser than the market, and you said an overall growth has still been 30%. So, I was just wondering like is there a correlation betwee n the two. Effectively in the last 6 months, our market share is lower, is what the data is suggesting. So, I'm just trying to understand that be tter.

Anil Rai Gupta: Again, we have to look at it over a longer period of time. There are structural changes als o happening within Lloyd in terms of more sell -out basis and sell -in basis. So, there is probably normalization of inventory towards the fact that we are also changing our strategy to sell and not stock the channel in the initial phase. So, if you really se e a comparison on the last 6 months basis.

Pulkit Patni : That is clearer. Sir, my second question is, I think somebody already asked if you could talk about the breakdown of CAPEX because Lloyd, we already have enough capacity. Cable, we'll be expanding ca pacity. So, Rs. 800 crores would be spent on which subsegments?

Anil Rai Gupta: So, let us come back to you with the figures, but as you rightly said, there is not more CAPEX in Lloyd. Most of the CAPEX is for Havells.

Moderator : The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Sir, just wanted to understand if there were any capacity constraints that we were seeing on the wires and cable side? And how much additional capacity is actually coming on st ream? Would it be largely for underground cables or it's a mix of underground cables and domestic wires.

Anil Rai Gupta: It is a mix of both and both capacities are coming up. Approximately 25% capacity is being added.

Aditya Bhartia : And sir, were there any capacity constraints that either we or industry were seeing on the industrial cable side?
Anil Rai Gupta: Yes, at leas t for us, there has been capacity constraints.
Moderator : The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain : I have 2 questions. One is on the switches side. So, I wanted to understand first if you could giv e any kind of qualitative sense or a quantitative breakdown in terms of switches and switchgear.
And this is a very high -margin business for Havells, so most impact. So, I wanted to understand what are the pressures that you see from these unbranded local players because on the ground, the traction for players like GM, Goldmedal, Anchor has been very high.
And in some markets, we've also seen Havells losing market share to them. So, trying to understand the split in terms of revenue and how are you seeing t he switches business? Are you facing competition because that is what we've seen on the ground? That's one. And second, just a financial hygiene question. Can you tell us what contributed to your high other income this time?
Anil Rai Gupta: So, I think on the first question, if you look at over the last 10 years or so, in the switches business, we believe that Havells probably lost market share initially to these unbranded players.
But I think over the last 3 or 4 quarters, there has been a lot of structura l changes in terms of our product mix and product offerings to the market. So, we have gained back market share in the last 2 or 3 years as against the unbranded players in the market. So, switches is now on a good growth trajectory within the switchgear b usiness.
Natasha Jain : And sir, in the other income?
Anil Rai Gupta: Other income is largely on higher cash balances year -on-year.
Moderator : The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair : Sir, and congratulations on a good set of numbers. Sir, on Lloyd, we've seen a very decent expansion and a turnaround at the EBIT level. With gross margins now

at 12.5%, is there a

possible scope of further expansion given that we will likely grow in line o r slightly ahead of industry ?
Anil Rai Gupta: Yes. So, heart asks for more always. Let us hope for better numbers. But the fact is look, we can't look at just one quarter numbers . Lloyd is a seasonal business. We have to look at the entire year. Entire year , Lloyd has been able to get a contribution margin of 7.9% or 8%. So, that's something we have to now track from here how we pan against that. While we are very enthused by the fact that the efforts of manufacturing effi ciencies have started kicking in, but we are also wary of the fact that the raw materials are going up, and we have to remain competitive in the marketplace.
So, again, just on a basis of growth, profitability and market share, we have to keep balancing all these things while we are looking at Lloyd in the coming year. I would please request everybody not to just look at one quarter. We have to have a very long journey in that and that's what we are planning to do. It's a huge market. It's as big a market as electrical market. And I think there's a long way for Lloyd in the coming times.
Rajiv Goel : I think what we see a very encouraging sign that after years of softness, the AC business has started on a very good note for the industry as a whole. So, I think that's something is a very positive start to the season.
Bhoomika Nair : Sure, sir. Also another question was that you spoke about washing machine, TVs, et cetera, also gaining importance is also refrigerators. Has there been a mix as a year as a wh ole between AC and the rest of the segments, like AC used to be about 70%, 75%. Has there been any change in that mix in FY '24 as a year.
Anil Rai Gupta: No, it continues to remain the same.
Bhoomika Nair : My second question is on the wires and cables seg ment. You spoke about 18% volume growth for the quarter and 15% for the full year. How would this differ for the wire segment in terms of the volume growth?
Rajiv Goel : Pretty much similar.
Moderator : The next question is from the line of Atul Tiwari from Citi . Please go ahead.
Atul Tiwari : Sir, just 1 question. Over past few months, 2 or 3 months specifically, commodity prices generally have gone up, so obviously which does on pricing in fans and Lloyd, et cetera. But what about other product segments? Have you taken price hikes there and those costs have been passed on? Or that is yet to happen?
Anil Rai Gupta: The cost increases are still to pan out in this quarter. So, we will be taking any price increases, if any, from now onward s. Last 6 months, the prices have remained stable in most of the businesses.

Atul Tiwari : And sir, broadly, given today's level of commodity prices, what kind of price increases are we looking at , broadly, not especially with any product segment?
Anil Rai Gupta: I can't give you a broad answer. It varies so much from product to product, like, for example, the cables and wires, practically every 15 days prices are being reviewed. March and April, t here have been price increases in cables and wires. But other businesses, the way raw materials behave, it can be very different for a fan as compared to switchgear .
Atul Tiwari : Will it be right to say about 3% to 5% kind of price increase b roadly for the portfolio.
Anil Rai Gupta: So, I think let's look at the total impact of each product category separately, and then we will be increasing prices. Again, I keep coming back to the fact that as a company, we are very focused on growth and profit and market share. So, we will be balancing all these thi ngs. It's not a complete translation that if raw materials ha ve increased by 5%, we will increase the price by 5%. We have to keep balancing things.
Moderator : The next question is from

the line of Manoj Gori from Equirus Securities. Please go ahead.
Manoj Gori : Sir, in opening remarks, you commented like you have been seeing some pickup into demand categories linked to real estate. Can you give us some colour how this is panning out and your outlook on the sustainability for this demand momentum that we hav e seen?
Rajiv Goel : I think these are early signs, what we are seeing in the, let's say, the ECD category, which we believe comes with a lag effect once the construction is completed and handed over. So, since these are initial trends, we hope this will be sustained. And this has been our expectation as well that normally after 12 to 18 months, there is a demand you see for the late -stage products into the residential segment. So, as of now, I think it started, but I mean, we believe this should be something maintained now for the next quarter.
Manoj Gori : Sir, my second question is on the room AC industry. So, we are obviously going through one of the best demand environments in the current season, though North is yet to pick up. And given that the RM prices have been moving on the higher side, do we expect that industry based on your assessment, obviously, that we expect industry to go for price increases during the month of May. Because again, post -season, it would be very difficult to take price h ike. So, how do you read the current scenario on the pricing front?
Rajiv Goel : I mean we need to watch it out. You said May. So, let's wait for the time. I think very difficult to comment right now on the same.
Moderator : The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.
Bhavin Vithlani : Congratulations for a great set of numbers. So, I have 3 questions. The first is with past interactions, we understand Havells is relatively under -indexed in the B2B c hannel and as what you had alluded in the past calls. Could you qualitatively talk more about the efforts that you

would have put to beef up our exposure in this channel because last 2 years, this channel has actually seen significant growth. That's one.
Second is, in the past, you have spoken about disruptions in the end channel where GT (General Trade) Havells stronghold actually seeing a decline when we do our checks and modern trade, and e -com are growing exponentially. Could you talk about the growth that we would hav e seen in the alternative channels like modern trade and e -com? And the connecting question here is because of the dominance of MT (Modern Trade) , which are larger buyers, are we seeing a greater profit pool of the industry shifting to the modern trade versus the brands?
Last question is we've kind of seen a lot of product introduction in the premium segment in the air conditioning space like the heavy duty. And recently, you launched something which is embedded with lights. Could you qualitatively talk about how the shar e of these premium products have increased? And how do you see the market acceptance of these recent launches? These are my questions.
Rajiv Goel : So, on the B2B, Bhavin, I think the things have only improved. And I think that's why we said even in cable, we see a bit of a capacity constraint. So, I think there is a greater focus for not just for last 2 years bu t for the last 5 years. We were doing a lot of projects which is B2B . And I think if you look at our professional lighting, that business has been really well because of the way we are approaching this industry. And I think where we are also creating a lot of sectoral expertise.
So, I think these initiatives are only now assisting us not only on the B2C or on the B2B side as well. But look, these generally will continue to be there. And I think we continue to sort of support this with further investments into this segment.
You talked about the channel, yes, I think there has been shift f

rom GT to non -GT. GT was a
very large pa rt of any business in India. But I think let's go right of GT. We have a strong belief we see in the Indian distribution and how the Indian retailers and you see the wholesalers can make a mark. So, I think we are very, very bullish, and we are also lookin g and evaluating options, how we can empower them and also help them in digitization so that they can continue to sort of thrive. At the same time, we have to be aligned with the market realities. And I think we will determine more as an omni -channel. And I think we have got a good presence across the spectrum, whether it is MT, whether it is RR (Regional Retail) or whether it is online. But we believe ultimately, the brand sells. So, these are just new ways of distribution and new ways of approaching the customer. The custom er is looking ultimately to latch on to the brand because this is where we get the assurance not only of procurement but also the lifelong servicing of the same. So, I don't think those parameters have changed, which brings us to your third question on gre ater profit pool.
We do not see eventually there is a much difference. You see sometimes you have a higher contribution in some channels. But on the net -net basis, we do not experience a significant difference among the channels. And on the premiumization journey on the AC side or we

believe, again, this is a journey I don't think it's fair to now start asking how much is the percentage. But clearly, we believe the consumer deserves a better , improved and a good -looking product, and that's what we have done i n Havells successfully over long years. And that journey, I think, has started in Lloyd also.
Bhavin Vithlani : Could you qualitatively talk about the acceptance of the recent launches?
Rajiv Goel : We just started, but I think they're fairly encoura ged because we thought that all ACs look the same and people do not expect anything different. But I think like anything else, people are very encouraged when they see something new.
Bhavin Vithlani : Sure. Just last follow -up. What would be the growth t hat we would have seen in e -com and modern trade?
Rajiv Goel : We won't go into a number, but this is disproportionately high. And I think our market share are converging and even higher in MT and RR.
Moderator : The next question is from the line of Rahul Agarwal, an Independent Analyst. Please go ahead.
Rahul Agarwal : Just 2 basic questions. Firstly, on the lighting segment, should I assume that the lighting pricing pressure is now gone by and the upcoming years, fiscal '25 should reflect largely volume growth. Is that fair to say?
Rajiv Goel : I think we could only ar gue maybe in the final stages, but we never know because these are really impacted by the global ranks. This is not something which a local phenomenon. But let's hope we are at the fag -end of this.
Rahul Agarwal : So, because my channel check suggests that the bulbs and battens are done with, but now it's getting percolated to also the professional luminaries . is that true? Would you agree to that?
Rajiv Goel : So, professional luminaries , actually what we are concerned , is innovation and very bespoke in that sense. So, I think there the pressure would be slightly lower because it's not commoditized. And even in consumer, our entire endeavour is towards providing more value and not run off the mills. Because run off the mills is in sort of Red Ocean. And I think at l east if you've followed our margin journey, you would have realized that this is only possible with a significant focus on innovation and providing value -add products.
Rahul Agarwal : And secondly, on cable and wire, why the plant has been delayed, like whatever, I understand 3-4 months here and there is not such a big problem. But just wanted to understand why this delay and any changes to the

project cost?
Rajiv Goel : No, there is no change in the project cost. And I don't think there is delay. To get it operationalized and all, as you said, 2 or 3 months , it does happen. And I think to get it on stream, it does take some time. But there is no project cost escalation .

Rahul Agarwal : Okay. And no meaningful reason for the postponement.
Rajiv Goel : There is no postponement.
Moderator : As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Anil Rai Gupta: Thank you very much for joining and thank you once again. Look forward to a great year.
Moderator : On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

24th July, 2024

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E) Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai- 400 001
Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the first quarter ended 30th June, 2024

Dear Sir,
This is with reference to the Company intimation dated 12
th July, 2024 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obliga tions and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the first quarter ended 30th June, 2024 scheduled for 18th July, 2024.
Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also being uploaded on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.
Yours faithfully,
for Havells India Limited (Sanjay Kumar Gupta)
Company Secretary
Encl: As above
" HAVELLS GROUP
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway, Naida -201304, U.P (INDIA). Tel: +91-120-3331000, Fax: +91-120-3332000 , E-mail:marketing@have lls.com,www.havells .com
Registered Office: 904, 9th Floor, Surya Kiran Building, K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells: 08045771313 , for Lloyd: 08045775666. CIN: L31900DL 1983PLC016304
M HAVELLS I LLO=::I!:> I HAVELLS ®rabtree I S STANDARD I RE

Havells India Limited
Q1FY25 Earnings Conference Call
July 18 , 202 4

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME DIRECTOR AND GROUP CFO – HAVELLS INDIA LIMITED
MR. AMEE T KUMAR GUPTA – WHOLE -TIME DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS

INDIA LIMITED

MODERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL
HAVELLS
" HAVELLS 'JM FINANCIAL C H O R L L'

Moderator: Ladies and gentlemen, good day, and welcome to Havells India Limited Q1 FY'25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. D eepak Agarwal. Thank you, and over to you, Mr. Deepak.

Deepak Agarwal : Thanks. Good afternoon, all. On behalf of JM Financial Institutional Securities, I welcome you all to Havells India Q1 FY'25 Conference Call. Today, we have with us management represent ed by Mr. Anil Rai Gupta, Chairman and Manag ing Director; Mr. Rajesh Kumar Gupta, Whole - Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director. I would like to thank management for giving us the opportunity to host this call.

And now I'd like to hand over the floor to management, post which we will open the floor for Q&A. Thank you. Over to you, sir.

Anil Rai Gupta : Thank you, Deepak. Good evening and thank you everyone for attending the call today. Hope you would have reviewed the results by now.

Q1 posted good growth as cooling products capitalized on a favourable summer. Categories like air conditioners, fans and air coolers performed well as we leveraged our manufacturing capacit ies, brand strength and omni -channel presence to tap into the market opportunity. As we witnessed many first -time buyers of air conditi on

ers, we feel that this may trigger an inflection point for the under -penetrated AC industry. Industrial and infrastructure continue to perform well , albeit some impact due to elections. Cables registered double -digit growth, but wires revenue was impacte d by channel destocking with sharp commodity price decline in June 2024.

As cost efficiency initiatives yielding results in the form of improved profitability of Lloyd, we continue to strengthen our market position with investments into brand building, di fferentiated offerings and talent pool.

We can now move to Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Natasha Jain from Nirmal Bang Equities. Please go ahead.

Natasha Jain : Yes. S ir, my question is on the ECD segment, while I see that there is a revenue growth of 20% the margins have been flattish. As trends, now the channel has been restock ing and also the premium fans have moved. So that means there has been an ASP expansion on that front. So can you just call out what really led to a flattish margin growth here? Was it mainly ad vertising ..

spend or is there a significant ASP compression in other segments or other product categories in ECD? Also , if you could call out the growth for fans, particularly.

Anil Rai Gupta : Sorry. Your voice broke in between . Can you just repeat quickly the question?

Natasha Jain : Yes. Sir, my question is on the ECD. In ECD, while the growth has been 20%, the margin expansion has been pretty much flat. Now on the ground level, we understand that premium f ans have done well. So that would ideally lead to expansion on ASP front. So I just want to understand why are we at flattish margins? Is it mainly because of higher ad vertising spend or is there a significant degrowth in some other categories?

Anil R ai Gupta : So actually, if you look at the contribution margin, the contribution margins have improved both due to premiumization as well as the cost -saving initiatives over the last one or two years. Quarter -on-quarter, there could be differentiated segment results because sometimes the advertising spends are higher, sometimes lower. So I think we believe we should track the contribution margin stability or expansion there.

Natasha Jain : Sir, my next question is on switches and switchgears. Now we've seen domination by lo cal or unlisted players like Gold Medal or probably your exact competitors would be Norisys, Schneider or Legrand. Now most of these bands are getting credit period days as high as 100 to 150 days with product SKUs probably minimum 2x of what Havells has and therefore a strong push by dealers and distributors on the ground. While our revenue contribution is approximately 10%, margin contribution is still close to one-third . So going forward, do you feel that this increased co mpetitive intensity can further compress our margins in this segment?
Anil Rai Gupta : Well, I think the increased competitive intensity or similar competitive intensity has been there for quite some time. And when you say local players, I don't know how yo u calculate, how you're taking national players like even Gold Medal or Norisys or Schneider and Legrand as regional players. They're not regional players. They are national players. And I believe that they are also premium priced players . Despite all that , I think over a period of time, over a longer period time, we have ranged in our switchgear contribution margins in a very close bound range between 38% to 40%, 41%. So that's been there. Quarter -on-quarter, it can vary. But otherwise, generally, we have been range bound and I think we'll continue to strive to be there.
Moderator: Thank you. T he next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.
Venkatesh B

.: Mr. Gupta, I just had questions al l on the Lloyd's part of the business. Now what we are observing is for two quarters now, you have delivered, you're broken even. I think fourth quarter, you did almost 2.8% margins. In this quarter, you did around 3.5% margins. Now what exactly has contri buted for this whole business going from a loss to a profit? I s it just that now you hit a scale where you can consistently deliver positive EBIT margin or there has been some price action you have taken? Or is it because there are cost s avings, you're manufacturing in -house, if you could throw a little more light on what has caused these numbers to go up to a profitability part. ..

The second part of the question is this 3.5% margin , is this a reasonable number, which we can assume for the f ull year of the current year, that is it possible for Lloyd to deliver 3.5% -4% kind of EBIT margins for the full year in the current year? And where do you think this number can go according to you, if everything goes according to plan over the next couple of years? This is all related to the Lloyd business .
Anil Rai Gupta : My God, you've put 10 questions in one question. So look, I don't want to keep repeating myself again and again over various conference calls. Lloyd is a journey , right? And again, I frankly don't even look at 2.8%, 3.5% for the whole year. We're making h uge investments in Lloyd for quite some time, and we'll continue to do so, even if you see our brand building efforts, we're spending close to 4%-4.5% in Lloyd, which clearly indicates long -term investment . We see a huge growth oppor tunity in Lloyd. It's a very large industry. And our market shares are small in many categories. So hence, we see a huge growth opportunity there.
Now having said that, whatever things that you mentioned, it's not pricing action, but it is premiumization o ver a long period of time , ability for trade to accept a certain price level and the consumer to give a certain price level to a brand. That's again a long -term thing. Bringing efficiencies in manufacturing and cost efficiencies, that's also a major contributor towards sustained profitability over the continued period.
Having said that, you have also said about the fourth quarter and the first quarter. This is the period when primarily 65% -70% of the sales happen for air conditioner s. So we do get operating leverage also during these two quarters. Second and third quarter because we are still overweight on-air conditioners, second and third quarter will always remain challenging. But over the year, Lloyd is now on a much stronger place than it was earlier.
I would not give any number associated, as you are probably asking me on this call. But I would say that one, there will be improved price realization and reduced costs over a longer period of time as well as growth will be a major driver for Lloyd for us. And also, we'll continue to make investments in brand building, R& D, and manufacturing.
Moderator: The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair : Sir, just wanted to get a color on the demand perspective. If you look at ECD shown a 20% growth for the quarter, if you can give some more color in terms of volume growth, particularly for, say, fans and also some of the other segments withi n the space and the kitchen appliances as well, which we are kind of looking at. So the first question is around that, please.
Anil Rai Gupta : So I think over the last couple of years, we have seen some tepid growth in the consumer segment. And in this par ticular quarter, one, the summer definitely helped. Secondly, a low base over last year also contributed to a higher growth. Whether we are seeing a sustained

improvement in consumer demand, I would still say I hope it continues, but we are not very sure whe

ther this is just a one -off. And it is looking better, but I would not again say it's very different than what we have seen in the last one or two years. ..

But having said that, the actions that we are taking, whether it's for fa ns, outreaching smaller towns and villages as well as our kitchen appliances gaining better traction in the minds of the consumer, so those things will continue to help us increasing the sales in the ECD segment. So we are hopeful for our growth. Obviously , tailwind from the consumer side will also help us get in faster growth.

Bhoomika Nair : Sir, any color on how fans would have done in this particular quarter?

Anil Rai Gupta : Fans have done very well in this quarter.

Bhoomika Nair : Okay. And secondly, sir, on the Cables & Wires segment , clearly, the raw material volatility has impacted revenues. But as we move ahead into July, I understand it's a very short time frame, have you seen kind of any pickup or bounce back in terms of inventory filli ng back by the dealers?

Anil Rai Gupta : Yes. So June was a particular month where suddenly there was a huge destocking because we had seen stocking in March -April -May period . In June, heavy destocking happened because of the raw material fluctu ation s. We are seeing July to be coming back to normal levels.

Moderator: The next question is from the line of Siddhartha from Nomura.

Siddhartha : Sir, first question, I can continue on the Cable & Wires side, I mean, we had a new capacity coming up in th e quarter. Any update on that? Is it completely onstream? And going ahead also, we plan to add more capacity by the end of next year. If you can share some insight into which segments in the Cable, are you expanding? Some color there will be helpful.

Anil Rai Gupta : We are just awaiting the final approvals for our sales to start happening from the new facility in Tumkur . So it should start within this quarter. And so that first phase of expansion is over. But we are continuing to add capacity, both for exports and for domestic segments and for a larger range of underground cables. For domestic wires , we have capacity, and that's the continuous process we've been building for, but for power cables, we are expanding capacity in various segments, including for export. So yes, you're right. For the next 1 -1.5 years, we'll see more capacity expansion in Cables & Wires.

Siddhartha Bera : Got it. Sir, second question is on the export side. I mean, we have done multiple JVs in the U.S. also for selling ACs and lights. Can you share some medium -term outlook? Like exports is nearly 3% of our revenues now over the next couple of y ears. Given these initiatives, any numbers, if you can share, you want to sort of get from the export markets, if you can share some color, it would be helpful.

Rajiv Goel : So I think the se U.S. JV s, we have just sort of instituted them. So I think they wi ll pick up the pace in time to come. So our endeavour is definitely to tap the global opportunity, and that's what we are doing either directly from here also creating sort of these marketing ventures there. So I think let's give it some time. I think it w ill be difficult to give any outlook right now. But clearly, I think we should continuously improve over a period of time. ..

Over a period time, may be around 10% of our business should come from international. But that's an aspiration. I mean we are not holding out any medium -term targets for that. But our opportunity is definitely there, and I think it's something which can be leveraged by us.

Moder ator: The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : So two questions. Now considering the commodity inflation, we have seen some instances of pr

ice hikes by various durable companies. So how do we see Havells in terms of price hikes? Have we initiated any price hike in Q1? And now what is the current stance on the price hikes? That is question number one.

And question two, now we can see now Crabtree brand is getting rebranded as Havells Crabtree. So, should we read similar things happening with Stand ard, REO as well as Lloyd also? And is there any plan to make Havells as a mother brand and in terms of reducing overall spend in terms of ad vertising etc? So how should we read on these lines? These are the two questions.

Anil Rai Gupta : So as far as price increases are concerned, most of that has been done in many product categories, including Consumer Durables in the first qu arter. So as long as this raw materials remain at this level, we've taken all the pricing actions as of now.

As far as the branding is concerned, Havells switches used to operate in two different brands - in Crabtree and Havells other than REO and S tandard , but what we realized was that there was overlapping of customer segments , influences and the channel in Havells and Crabtree . And hence, we decided to merge these two brands. So all switching solutions from the Havells brand are now termed as Havells Crabtree. And Crabtree because of the legacy brand of the switches, so we'll continue with tha t brand for all switching solutions from us. But whether it is S tandard , REO and Lloyd, they will continue to remain as independent brand s even in the foreseeable future . This is because we see a clear differentiation of the consumer segment s in all these three brands. So we don't see Havells to act as a mother brand for the other three brands.

Aniruddha Joshi : Okay. Sure, sir. Very helpful. Understood. Just in terms of quantum of the price hikes, if you can elaborate a bit and anything... ?

Anil Rai Gupta : It's different for different product categor ies. Also many times, it happens over months , so it is different for different product categories.

Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management . Please go ahead.

Rahul Agarwal : Sir, two questions. Firstly, could you talk a bit on the non -AC portfolio of Lloyd, please? Largely, my sense is it's 25% of overall Lloyd bus iness. Incremental growth and capacity has been coming up and your investments, and how do you see the Indian market for that? And secondly, on the international side, just a small question there. Whatever we're doing right now, the efforts are all focused on the U.S. market specifically, or is it like U.S. and Europe across? That's the first question. ..

Rajiv Goel : So non -AC categories, you see in this quarter, obviously AC is dominating almost 85% -87%. And as we always maintained, and we mentioned earlier in the call also, that we see Lloyd is a journey, so I think the journey will cover the other product categories as well. So obviously , as we expect the r efrigerator being a summer product , there has been good growth in that for our business . Even though it is still an emerging category in our portfolio.

But on the overall non -AC category, we have also done well. The growth has been also pretty good. The investments will continue to go behind th e categories . We have maintained that the refrigerators , and the washing machines will be the key focus for us in the non -AC categories.

The second one on the international, U.S. is a market we are approaching differently. That's why you see a lot of visibility around U.S. Bu t yes, our focus will be the SAARC, the AMESA and the developed nations. Maybe the opportunity is there in both U.S., Australia, and Europe. Europe at times have not been that open as the U.S. has been. So that is the only difference, but we are not sort of priding one over the other. It's just the sheer size a

nd the openness of the market.

Rahul Agarwal : Right, sir. And secondly, I noticed inventory at 63 days of sales. If I look at last five years, I think there is significant and meaningful improvement in the cycle. Could you comment a bit on this, that is it sustainable here? There are meaningful steps being taken consciously reducing this inventory, or is this like very ideal right now?

Rajiv Goel : Everybody wants to improve on that, but you have to balance the growth and the inventory. Also, a lot of this has been increased over a period of time because of addition of Lloyd as a business which has a lot of seasonality . Seasonality always demands you to be prepared. For instance , this time, there was stock -out situation in the AC industry . Nobody could have prepared for this kind of a scenario, but it does bring the importance of having some inventory. You can't really get too efficient in these things as wel l. Particularly in markets like India which can be pretty unpredictable in terms of the demand planning. But is having our own manufacturing facilities and all sort of make us believe that there is something which can still be improved upon. So , I would say yes there is scope for improvement in the same. And I think we should see some better sort of ratios in that going forward.

Rahul Agarwal : Got it. Rajivji , lastly on capex, if you could clarify fiscal '25, what is the budget and where ar e you going to spend the number ?

Rajiv Goel : I think we have already announced it last time . It's around INR800 -odd crores. So I think we continue to maintain that.

Rahul Agarwal : But wouldn't that change because you announced the Cable capex after that, right?

Rajiv Goel : Yes, there is always this , what is announced and then how much it will be spent because there is spillover in that. Further, there is a spillover from what we announced last year as well, basically. So I would say on a cash basis, it could be INR800 crores, or it could be INR900 crores, depends upon how we ultimately end up sort of spending on the same. ..

Moderator: The next question is from the line of Deepak Gupta from SBI Pension Funds. Please go ahead.
Deepak Gupta : My first question is on the switchgear segment. We've seen a sharp decline in the contribution margin for the Switchgear segment post-COVID, and it's consistently been declining. Just wanted to thoughts around it? And do you think at what le vels could these contribution margins stabilize?
Rajiv Goel : So Deepak , on the contribution margin for switchgear, I think post -COVID may not be the right way if you see in long-term, the switches and switchgear together. We have been in the range of between 40% -41% to around 37% -38%. So I think sometime in the quarter, this thing will happen. And look, we have investing in the business, there will always be some dilution in that, which is possible. We believe that the long -term range, which one should assume for this business is between 38% to sort of 41%. And I think that's something we believe is something we'll continue to maintain.
Deepak Gupta : So right now, just want to understand the right now, the margins are 24.6% contribution margin for the quarter. You think that can potentially go back to...
Rajiv Goel : That is not contribution margin , Deepak. That is segment result. That is more close to an EBIT basically.
Deepak Gupta : Okay. So what kind of EBIT margins can one look for in switchgear se gment then?
Rajiv Goel : I would say these are decent margins. And just looking at the nature of the industry investments, we made like somebody said, Havells Crabtree as a brand. I think we a lso need to invest behind the brand. So overall, I think, again, this has been between 24% to 28% - 30%. So I think that’s the band we expect to maintain.
Deepak Gupta : Understand. And my second

question is on the advertise ment expenses. How should we look at it? Like I understand the quarters where Lloyd contributes meaningfully, the A&P expenses move up. But on an overall company perspective and from Lloyd's perspective, if you could give us an outlook, what should b e the A&P expenses typically should be for the company?
Anil Rai Gupta : Overall, I think generally, Lloyd is between 4% and 4.5% and Havells is about 2.5%. So overall, it's about 3% to 3.5%.
Moderator: The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta : My question was again on exports. So while you did share some details, could you share some more in terms of approval timelines ? Particularly looking at it from Lloyd's perspective, what can help us improve capacity utilization from where they are currently?
Rajiv Goel : Lloyd, we have already started some degree of supplies. But the real, I think, traction will take around in 12 months. So I think, as you rightly asked, we are in the different phases of the approval and particularly the UL approval. Typically for the entire range, like we have already got one of the range approved, but I think the full range, which is required to tap the op portunity , ..

I think we should set our target around 12 months from now. So that's what we are looking at. So that's where we're in the journey for the HVAC.
Also for Cable , because there's a nother large opportunity. I think now we are getting more and more approvals there. And I would say another sort of 9 to 12 months, we should have a full bouquet of approval for Cables in place. These are two critical categories you see in terms of the growth, particularly in the U.S.
Umang Mehta : Understood. This is helpful. And just on cable front. So given that we've seen a very large capex announcements by almost all players, particularly on cable side . Do you see demand keep pace with that? Or do you expect any volatility from supply coming up, mayb e not immediately this year but next year?
Rajiv Goel : No. I think nobody can talk long term with a lot of certainty. I think medium term, we believe that not only India but globally, there is a requirement for these. And I think the way the power consumptions are going up, again, not in India but globally. We need t o invest in the infrastructure , which has been neglected for years. We believe this is actually a three to five-year opportunity and not just one-year opportunity.
Moderator: The next question is from the line of Girish from Morgan Stanley. Please go ahead.

Girish : Just had a question on your capex for FY'26 and '27. Should one assume that number of INR800 crores to INR900 crores continue? And if you could say, probably 3 5% to 40% could be Cable & Wires?
Rajiv Goel : Yes, and if we include about INR30 0 crores what we announced, INR1,000 crores to INR1,100 crores will be the overall capex if you include that. And yes, 30%-35% of that will be cable, maybe almost 40%.
Girish : Okay. So that would continue into next couple of years also. Okay.
Rajiv Goel : Yes.
Girish : And just, sir, on the quarter, if you can just quantify the volume growth for AC segment? And any comment on channel inventory for the industry?
Rajiv Goel : Channel inventory is not there. Actually, you are aware there are a lot of manufacturer s and the channels that were running out of the inventory. So there's not much inventory at the channel. And you are aware that we do not s hare volume growth. So I think let's look at the value growth .
Girish : Would it be fair to say that 90% contribution would be AC roughly like because it's a seasonal quarter and the growth has been very strong?
Rajiv Goel : Yes. Around 85% growth is AC.
Moderator: The next question is from the line of Latika Chopra from JPMorgan. Please go ahead. ..

Latika Chopra : It appears that contribution margins across all your divisions seem to be in a healthy zone. I was just wondering, beyond contribution margins, is it right to assume that level of brand investments, staff investments, capability enhancements will remain firm? So incremental opportunity to expand operating margins will be modest, or do you see scope for improvement in operating margin at a n aggregate basis for the company , while the product mix will change across divisions at a broad base?
Rajiv Goel : Yes. Latika, I think you were breaking, but we just got the g ist of what you are asking. So look, investments will continue. Maybe I think right now, the base is already set. But I think we expect that these will moderate over a period of time. So we are not suggesting that it will change next quarter or in two quarters. But gradually, there will be a moderation. And to some extent, I think these investments are being made because we expect better growth trajectory as well. So I think as the growth picks up, I think you will see a better flow through to the EBIT .
Both ways, the growth will also be moderating costs, whether it's staff or, let's say, A&P. And also, I think we expected better growth you see in the core categories as well. And like somebody has a lot of the consumer sentiments . We continue to believe that the consumer turnaround is hopefully near. And in a few quarters, we should see that, which should help the core also to grow much better, which ultimately will transmit to the EBIT margins.
Latika Chopra : Now this is very clear. The second bit is just a follow -through of what you just said. So I understand this was a seasonal quarter, and I completely appreciate the fact that there is still some scepticism on the firmness of consumer revival on demand side. But I was just wondering from the data that you get from your dealers, from a month -on-month consumer purchase behaviour , is there something to suggest that you are seeing a more positive behaviour in smaller cities and rural? And is there any cause of co ncern in some of the bigger cities? Just trying to sense what are you picking up from the ground?
Rajiv Goel : Nothing substantive which we could extrapolate. I know it may not answer your question, but the fact is there's no real sor t of clear answer to this. So let's wait for some more time. We really don't want to jump on to something which is very sketchy.
Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life. Please go ahead.
Keyur Pandya : Congratulations to the team for good results. Just first question, probably partially you answered, I mean, the question was on overall consumer category growth. You talked about some destocking in house wires, but that is about primary sales. So overall, are you seeing any either pickup in demand or any signs of pickup in demand on say non -summer or non -seasonal kind of product or products which are linked to real estate ?. So that is my first question.
Rajiv Goel : So, some pickup is definitely t here. And that's why this growth . For example, fans, yes summers was high, but fans is also a penetrated category. So , we believe some thing was there. We have saying this that the construction which has happened around, let's say, 24 to 30 months before normally they start kicking in. But it has also happened that this has been such a serious summer ..

that the construction activity actually has been impacted because there is a lack of construction labor and also because of election.

So if you mix all of that, that's what I said, there is a pickup. But what we are really afraid of commenting right now, saying this pickup is something which is not sustainable, the things are back, and everything is hunky -dory. S

o I think we want to avoid that kind of impression. That's why we are hesitant to put these things out. But clearly, there is a sentiment improvement. The demand pickup is definitely better if you look at fo r a preceding quarter than this quarter.

Keyur Pandya : Okay. And sir, second question is on the Lloyd. Probably I would say that we have used AC as an instrument to build brand Lloyd over years. Now should we assume that, that journey wou ld be relatively easier for the non -AC categories? Or to put it in different way, whatever the unit economics are there for the AC, are they better for, say, ref and washing machine right now? Or we should assume that we'll have to see a similar journey in those as well? So that is like lower or negative margins and then it takes some more time to be profitable, or they are better margin right from the beginning.

Rajiv Goel : Brand investment definitely will be lower because you're creating the brand for the full category. And there's a whole idea of creating a brand and then expanding into categor ies. So that, I think, the heavy lifting has been done by the air conditioner. And the margins are sort of b etter, but let's agree that this is fiercely competitive categories as well. So I think those investments, whether in people, in the manufacturing will have to be done. So what may something being done before which is the way you have built up the brand. A nd also the channel affiliation, I believe is far more sort of favourable than maybe what AC has gone through. So yes, some part of the journey has been covered, but some part of the journey will have to be covered by the individual categories as well .

Moderator: The next question is from the line of Nirransh Jain from BNP Paribas. Please go ahead.

Nirransh Jain : Sir, just wanted to understand on the Cables & Wires, I mean, we have been looking at a very strong demand, you announced another 25% capacity increase right after commissioning the new facility. So do we also expect any impact on the margins considering t hat we have a higher mix moving towards Cables in our portfolio? That's my first question.

And secondly, I just wanted to check on the overall inventory levels across channels, especially for the summer -related products after a strong demand because we saw a very strong primary growth for Lloyd this quarter. But how is the inventory channel after the summer? And any price action taken by Lloyd, particularly in the last quarter? So if you can quantify th e price hike that was taken? That's all from my side.

Rajiv Goel : Whatever price hikes were required , not just Lloyd but all the product categories because of the commodity have been taken. So we won't go into indivi dual sort of categories on the same.

I think the cable opportunit y is there, which we are sort of investing behind. But we are expecting other categories also to grow. ..

Anil Rai Gupta : We a lready have built capacity. So it's not that the other businesses will not grow at the same course . Cables, we had underinvested over the last few years. So right now, we are catching up with the investment .

Rajiv Goel : With the growth, we do not expect any significant margin dilution because of increase in the cable sales. I think we are expecting all other categories to be aligned. And I think that's something we are not expecting. I think your question is whether margins will be diluted because of the product mix. And that's something we do not foresee.

Moderator: The next question is from the line of Yagnam from AM SEC Securities. Please go ahead.

Yagnam : So out of th e INR800 -odd-so crore s capex we are talking, so would you be able to give some color towards Lloyd, how much will it be spending?

Anil Rai Gupta : As Mr. Rajiv mentioned, the INR800 plus the announcement s that we have done, so around INR1,100 crore

s. Out of which , Lloyd is lower because most of the capacity is there and only about INR100 crores are for Lloyd .

Yagnam : All right, sir. And just any update you would like to share on the raw material pricing currently and its impact on, say, gross margins up to three to six months.

Anil Rai Gupta : We've already said that there have been some increases in raw material prices over the last few months and corrective pricing actions have already been taken.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar : Congratulations on good set of numbers. Sir, a couple of questions on Lloyd business. Sir, in

Lloyd business, we have seen about 70 basis points of sequential improvement in contribution margin. And that looks smaller given that sequentially, our revenue growth is about 40%. Just wondering, in that bas is, is the operating leverage benefit, to an extent, offset by lower gross margin sequentially?
Rajiv Goel : Look, normally Q4 also has a lot of annual impact. So Q4, I don't think you should really compare on that basis. I think these Q1 results have an am algamation of cost benefits which have accrued over the period, also the operating leverage. Operating leverage has really played out. And I think nobody can discount the power of this high growth. I think that helps the business overall. So we are very satisfied with how the margins have panned out, and yes, there is always scope for doing better, which is something we are striving for as well.
Shrinidhi Karlekar : In terms of related question, would you say your gross margin in Lloyd b usiness is already getting 20% plus levels?
Rajiv Goel : That we can't comment. I think we have already shared metrics we have to share. So I think that's something we will refrain from commenting.
Moderator: The next question is from the line of Amit Ma hawar from UBS. Please go ahead. ..

Amit Mahawar : First of all, congratulations for a great show in Lloyd. My first question is on Lloyd. We are broadly at the highest scale in terms of what capacity we have with the second plant coming. And barring compresso rs and maybe motors, everything else is internalized in Lloyd. So how has your experience been on the manufacturing ramp up? And do you think in maybe FY'25, '26, we will reach the profitability that the top 2, 3 incumbents have?
Anil Rai Gupta : So manufac turing definitely has helped us, not only in terms of improved margins, but also in the fact that we are able to start giving differentiated products in the market based on our own R&D. I mean as we have always said, Lloyd is a journey towards not only gaining market share but also to improve profit. How much, whether it is in the top 2 -3 or not, we don't want to comment right now because we do believe that we are in this for the long term, and we will continue to make investments higher than the competition. Our growth aspirations are higher. And so we will continue to make investments.
Somebody asked this question about brand building for the rest of the non -AC products. That will also require some amount of investments, may not be at the same levels of what we were required to build for air conditioners, but it will be there. So it's a long-term journey. But there will be a continued improvement in both volumes as well as profitability.
Amit Mahawar : Fair, sir. And second and last question is on ECD. Of course, we've actually had a very strong growth in the last 10 -15 years, but the la st one, two to three years, the industry itself is going through doldrums and nothing particularly negative about Havells here. We are broadly around industry. Do you think FY'25 is a year where, based on today, how we see the market maybe second half we w ill start seeing this industry triggering 20% kind of growth for Havells? Or do

you think it's still early and maybe FY'26 and '27?
Anil Rai Gupta : Well, I mean, I can't give a number like 20% growth. But you see, ECD comprises many product categories - fans, a bit more penetrated category. Then we have domestic appliances where our market shares still have room to grow. Then we have air coolers, we have products like water heaters. So I think there are various components, and we do believe as the consumer sentiment as well as the housing and everything improves in India, definitely, ECD will be a beneficiary and we will continue to strive for increased market shares in these categories also. So I think we are definitely hoping for a better year this year, but also next year.
Amit Mahawar : Sure. Can I squeeze third, a very small question, a the third question?
Anil Rai Gupta : Yes, please. Go ahead.
Amit Mahawar : Yes. I think is this the best time for Havells to leverage on the balance sheet and p an-India brand image to add a few categories like say kitchen portfolio inorganically because some categories doesn't make too much sense going organic ? And we've been doing that, but we have to gain regional presence and product presence. So do you think this is the best time for Havells to look at one or two categories where we can look at regional players to consolidate? That's it.
Rajiv Goel : I think, look, there is no best or worst time for these kind of opportunities. We will have to evaluate them as they come. And it's not that we have not evaluated in the past. But frankly, they ..

have to make sense on the pricing, on the capital deployment and that returns thereon. So we'll always be open to this. This is something h as been our stance in the past as well. So just because a few things are happening, I think we will not rush into anything. So that's the way we'll maintain now as well.
Moderator: Thank you. Ladies and gentlemen, in the interest of time, this will be the last question for today's conference call. It is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain : Sir, my first question is the price hikes you spoke about in 1Q. Is it safe to assume that all of it will reflect in the seco nd quarter or it's already there in 1Q?
Rajiv Goel : I think partially, it has been captured and partially, it will follow through. But you have to also understand that the cost will also follow through the similar way.
Ashish Jain : Right, right. Sir, secon dly, I just want to understand like where we were, let's say, 12 months back in terms of our recovery expectations, especially for the broader ECD portfolio. When you reflect that, what has really disappointed? If you can give some color. Is i t like one particular region? Is it replacement demand? Or is it new homebuyer because this has been really prolonge d now for the last 3 - 3.5 years? We haven't really seen a recovery. So any color you can give on that, like where you really think the disappointment has come on the ECD side?
Rajiv Goel : As you say, ECD is a portfolio. So there are multiple levers. Fan ha s gone through its own journey of transition to BEE rating and things like that. The underlying trend also has been the weak consumer demand. And I think this is not just playing out in ECD. It 's also playing out if you look at related categories across industries as well. So we will believe that the consumer sentiment and the spending power has to improve. Hopefully, that's something which will bring the much -needed tailwinds to this sector.
Ashish Jain : Can you give any sense like what part of our ECD would be replacement -led demand? Is it possible to have a sense of that?
Rajiv Goel : Most largely it is new. There is not much replacement.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the manage

ment for closing comments.
Rajiv Goel : Thank you everybody for joining the call and look forward.
Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you. ..
HAVELLS

Call: Oct 2024

22
nd October, 2024

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E) Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai- 400 001
Scrip Code : 517354
Sub: Transcript of Earnings Call with respect to Financial Results for the second quarter
and half-year ended 30th September, 2024
Dear Sir,

This is with reference to the Company intimation dated 13
th October, 2024 filed with the stock
exchanges in terms of Regulation 30 of the SEBI (Listing Obliga tions and Disclosure Requirements)
Regulations, 2015 regarding the conference call to discuss the financial results for the second
quarter and half-year ended 30th September, 2024 scheduled for 17th October, 2024.
Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.
The same is also available on the website of the Company under Financials in the Investors section.
This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta) Company Secretary Encl: As above " HAVELLS GROUP
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway, Naida -201304, U.P (INDIA). Tel: +91-120-3331000, Fax: +91-120-3332000 , E-mail:marketing@have lls.com,www.havells .com
Registered Office: 904, 9th Floor, Surya Kiran Building, K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells: 08045771313 , for Lloyd: 08045775666. CIN: L31900DL 1983PLC016304
M HAVELLS I LLO=::I!:> I HAVELLS ®rabtree I S STANDARD I RE

Havells India Limited
Q2FY25 Earnings Conference Call
October 17 , 202 4

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTOR AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEE T KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTI VE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Havells India Limited Q2 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the confer ence over to Ms. Bhoomika Nair . Thank you, and over to you, ma'am.
Bhoomika Nair: Good evening, everyone, and a warm welcome on behalf of DAM Capital to the Q2 FY '25 Earnings Call of Havells India Limited. We have the Management today being represent ed by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.
At this point, I'll hand over the floor to Mr. Gupta f or his initial remarks, post which we'll open up the floor for Q&A. Thank you and over to you, sir.
Anil Rai Gupta: Thank you, Bhoomika. Good evening, and thank you, everyone, for attending the call. Hope you would have reviewed the results by now.
We delivered overall healthy performance across categories, driven by improvement in consumer demand, and pick up for ongoing festive season.
Lloyd also delivered a decent growth and continued benefits from cost efficiency initiatives. A steep volatility in commodity prices impacted Cables' margin as we saw absorption of high

-cost
inventory against the falling raw material and sales prices during May to August 2024.
As the festival season is slightly earlier this year, we witnessed advancement of advertising spend, thus moderating margins across categories. We expect normalization over subsequent quarters.
Last month, we commissioned our new Cables plant in Tumkur, wh ich will scale up over the next few months. Considering the long -term potential demand for higher size cable, we have committed additional capex of around INR450 crores for expansion in the Tumkur facility.
We can now move to Q&A.
Moderator: The first que stion is from the line of Rahul Agarwal from IKIGAI Asset Management .
Rahul Agarwal: Anil ji, first question was on switchgears. What could be like a sustainable growth rate we should assume for this segment?
Anil Rai Gupta: So I think for this particular quarter, there was a de-growth in the industrial switchgear business, which is part of the switchgear business. With first 6 months of government spend, we did

experience decent growth in our residential switchgear and switches and socket segment. So going forward, once the industrial demand also starts coming in, we expect a lower double -digit growth numbers.
Rahul Agarwal: And second and last question was on emerging category. It looks like that's gaining traction. Within this, which pro duct actually is gaining meaningful scale and could be separated out eventually to track it separately? Any color, sir?
Anil Rai Gupta: Yes. I think within a year or so, there will be more product categories who will gaining enough sales. We are witnessing good growth in personal grooming segment, air cooler segment, water purifiers. Solar is also delivering decent growth. So , I think we'll look at it for some more time. These categories are still in the investment phase . By around next year, we should be looking at moving 1 or 2 out.
Moderator: The next question is from the line of Fatema from Mahindra Manulife .
Fatema: What 's your read through of how the festive is looking like? Because obviously, we've heard a 2-wheeler saying that it's not that good. So for durables as a category for our individual segments, like what is our thought process on how the demand is shaping up?
Anil Rai Gupta: We've seen the quarter start at a very positive note. Some of it could also be because of the fact that Diwali is early this year. So hence, the spend and sales, both have started on a good note. Let's see how it pans out. But I think, generally speaking, we are experiencing better growth this year.

Fatema: Versus last year like -to-like, Navratri or -- is that a fair assumption? Or just you...
Anil Rai Gupta: We see better positivity on the consumer side this time.
Fatema: Okay. Fair enough. And then secondly, the kind of employee cost that we are running, obviously, we've had a lot of expansion. Is this a new run rate? Or it could be even potentially higher because you've commissioned a new factory because INR460 cror es salar y in quarter, thus annualized you are running at nearly a INR1,700 crores to INR1,800 crores kind of number. So in a way, the fixed cost structure is moving up and that revenue growth flow through will finally get your margins, right?
Anil Rai Gupta: You're talking about employment?
Fatema: Employee cost, yes.
Anil Rai Gupta: So most of the people costs related to factories is not a part of this. But there is increased investment in fortifying the newer channels, especially the modern format retail (MFR) and rural areas. S o we are looking at more expansions in these areas. And hence, I would say these are a " HAVELLS

little bit investments for the future. Over a period of time, it will come to normalized growth levels as the sales are

increasing.
Fatema: Can I ask one more question?
Anil Rai Gupta: Yes.
Fatema: Just wanted to understand, like we have been margin leaders, right? Last 10 years, we've always shown industry -leading margins. Do you think that we are very much going to get back to that because, say, last 2 -3 years, you could yet say demand has not been core and Lloyd was having its challenges. Do you see we are going to be back to that industry -leading margin because basically, every successive quarter, we've seen a lot of earnings cuts more led by margin than by revenues?
Anil Rai Gupta: I think , if you look at business to business as against competition, we always str ive to remain margin leading businesses. And I think whether it's consumer durables or lighting or switchgear, we're definitely leading in the margins. I think where one could say is Lloyd, we are still in the investment phase. And cables and wires, wires sometimes there is a little bit of fluctuation. But we definitely see that we will be coming back to normalized margin levels very soon.
Moderator: The next question is from the line of Saumil Mehta from Kotak Mutual Funds.
Saumil Mehta: Yes. So when I look at the lighting and the ECD division now, obviously, we have held up contribution margins quite well. But when I look at the EBIT margins, there has be en very sharp moderation while I believe A&P spend and employee cost are up. But going into FY '26, slightly on the medium term, how should we look at both the divisions? Is the pricing deflation in lighting behind us? And any color on the ECD portfolio gi ven that the summer portfolio, what we also hear from channel checks has been fairly muted in recent times.
Anil Rai Gupta: I think in both these businesses, lighting and ECD, I believe that the company is doing a very good job of premiumizing the portfoli o. And hence, we can see, again, industry -leading contribution margins in the businesses. Here, if you don't look at quarter -to-quarter , but generally speaking, lighting, even on EBIT margins, we are leading industry by quite a good m argin. Electrical consumer durables (ECD) also, as I said earlier, in terms of manpower costs, there is some investment baked in, but we will be seeing efficiencies coming in because of this and higher growth. So , FY '26, we'll definitely be back to our margins as you have said.
Saumil Mehta: And my second and last question, while you alluded to a better near-term festive demand, but is it got to do with more of restocking? Because at least from counter sales perspective, at least, again, what we're hearing is things have been fairly muted. While you believe that festive upcoming is going to be strong. So is it got to do with more that the channel inventory was low and to that extent... " HAVELLS

Anil Rai Gupta: Sorry. Can you -- your voice is not very clear. C an you repeat your question a bit slowly, please?
Saumil Mehta: In terms of the opening remarks, you mentioned about the upcoming festive demand is panning out quite well. Now this is a bit contrary to when we do our channel checks in the marke t, where from a consumer point of view, things seem to be muted. So for players like us, is it more of a destocking demand, which probably from a near -term perspective bodes well, but the on -ground demand is weak, something on that sort? Any co lor here will be very helpful.
Anil Rai Gupta: Maybe it's a bit early to say. I would not, first of all, say restocking or anything. It's a bit early to say. Maybe there is a little bit of anticipation of the Diwali festival coming in. But I think, as

I said, it's early . We're just in the middle of October. We'll have to see how it really pans out.
Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.
Natasha Jain: Sir, my first question is on Lloyd. Can you just help

break the growth in terms of how RAC did versus washing machine and REF? And a little bit more color on RAC in terms of how the channel inventory now stands and what is the pricing scenario? Is it still highly competitive and no price hikes? That's the first question.
Anil Rai Gupta: First of all, RAC in this particular quarter is generally a very low quarter. And especially because there was a good demand for air conditioners in the first quarter, the consumer pickup in the second quarter has been low. And hence, the growth in non -AC segment for Lloyd has been better than the growth in air conditioner segment. So , which also is a positive thing because our focus on building other product categories like washing machines and refrigerators , that's also panning out well.
And so I would say it's becoming a little bit more balanced. But this particular quarter, there's not much to read on air conditioners because, one, generally, this quarter is a very low quarter; and secondly, it's coming after a very heavy first quarter.
Natasha Jain: Sir, my question was more on how probably non -RAC did because our channel checks suggest that washing machine as a category has not picked up despite this particular season al quarter, the second quarter?
Anil Rai Gupta: Yes. For us, it's a bit small category. And hence, we are definitely experiencing growth, but it is lower than the other 2 categories like LED panels and refrigerators.
Natasha Jain: And sir, my second and last question is on kitchen appliances. So , what we've understood is, from October onwards the demand has started picking up on the ground. So can you tell us how kitchen appliances is the category for you is looking like? And in terms of competition, what we've understood is there are a lot of these premium players who started r olling out mid - premium products. So now even a Bosch has a product category, which is equivalent to a Havells' pricing. So what's your sense on that in terms of that competition and cannibalization? " HAVELLS

Anil Rai Gupta: I think we are very positive about our do mestic appliances category, and it is, again, as I was saying earlier, it is also one of those products, which has started off on a very positive note in the festival time. So , we'll continue to see that. Look, as far as competition is concerned, there is always a push towards trying to cater to different kinds of consumers. When there is a company which is catering to, let's say, lower set of consumers, they want to go premium. Some companies who are only catering to p remium, they also want to go elsewhere . So this competition can keep varying. The whole idea is how we can refresh our product range, make meaning to the consumer and expand the reach to the consumer. As far as ECD is concerned, we're making decent strides in most of the product categories.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera : On the wire side, you mentioned that we have seen a good improvement. So just wanted to understand how sustainable is it if you look at the traction in the second half and our cable plant is also -- you mentioned that it has got commissioned. So if you look at the cable and wire category as such, I mean, a strong double digit or current momentum sustaining is something can we expect? Or do you see any challenges her e?
Anil Rai Gupta: No, I think as far as wires is concerned, we experienced a bit lower growth in the first quarter because of the fluctuating raw materials. And because of th is destocking , the second quarter had a good pickup and restocking of the produ ct as well. Unfortunately, the volatility in the raw materials during the quarter affected the margins. But I think given the fact that we have been adding capacities at Tumkur, now should augur well for a decent growth in both underground

cables and the r est of the wires in the coming months.
Siddhartha Bera : And sir, on the profitability, you mentioned that this volatility has impacted current quarter margin. So has the commodity price increases being taken and from next quarter onwards, we should come ba ck to that normalized EBIT margin level?
Anil Rai Gupta: The third quarter pretty much towards normal because, let's say, maybe October is a bit affected, but November, December, we anticipate unless there's further volatility. Otherwise, we expect very close to normalized margins in the third quarter and fourth quarter should be absolutely normal.
Siddhartha Bera : And sir, on the ECD side, also, you mentioned that there has been some enhanced investments which have been going into emerging channels. So any color here, how much is that impacting our margins? And how should we expect that to normalize going ahead?
Rajiv Goel : I think the channel investments, Siddhartha, I think will be compensated either increase, we will

be sort of expecting on this channel in the ECD side. So , I think these investments, to some extent, you should see for slightly medium term. And I think t his is something will continue to reflect. We do not expect them to normalize. But they will be sort of offset by the higher growth we are expecting in this category. " HAVELLS

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Yes. Sir, in terms of Lloyd, we had indicated that we will also get into certain exports to Middle East as well as USA markets. Now that was done almost 7 -8 months ago, the announcements. So any update on that? And when should we see the p roducts rollout happening in both these regions? That is question number one. And secondly, if you can indicate the price hikes during the quarter as well as the growth in 2 verticals, B2B as well as B2C.

Rajiv Goel : On the international side, we have started with the Middle East, but it's early days. And for the U.S., the product is under development. This is something most probably the next year you will see some more traction. As the things develop , we w ill keep you updated on the same.

Aniruddha Joshi: Sir, B2B & B2C growth rates and price hike?

Anil Rai Gupta: This quarter, growth rate B2B growth was about 9% and B2C was 20%. And price hikes, look, if we keep away cables and wires, most of the price hikes have already been taken. Cables and wires is very related to the fluctuation in raw material prices.

Aniruddha Joshi: Sure, sir. Understood. Last question. B2C growth has been really pretty strong. So if you can indicate any region -wise color E ast-West, North -South where it is doing well or, let's say, urban versus rural, any cuts or color on that? That's last question.

Anil Rai Gupta: I think regional -wise, it's pretty much, I would say, fairly distributed. And as far as urban versus rural . Rural, we saw some slowdown in the last year, but now started picking up. So urban has been doing well, but rural is also started picking up.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhar tia: Sir, you spoke about advancement of A&P. But if you look at the overall A&P spends, they have ranged around 3% of revenues, which historically has been at the usual run rate. So while I understand that there is an year -on-year increase, but how should we look at A&P since going forward? Are they going to moderate once the season is over and from a slightly longer term perspective?

Rajiv Goel : 2.5% is normally what we have. And I think that's something we expect that by the end of the year, you will see pretty much in that range only. We see 2.5% to 3% , so I think that's something would remain in that same range.

Aditya Bhartia: And sir, if we look at the contribution marg

in across segments, on the contribution margins, margins look pretty okay with some moderation in the wires and cables. But when we look at EBIT margins, the difference is a lot higher. So , which are those expenses which would have gone up? I understand that there could be that INR28-odd crore s of impairment that we have taken. But besides that, is there any other expense that won't be forming part of contribution margins, but of EBIT margins, which is impacting the margin? " HAVELLS

Anil Rai Gupta: I think primarily it's coming out of advertisement increase, which is almost about 50% in this quarter year over year . But also , as I mentioned earlier, some investments on manpower, so some salary expenses also. So these are the 2 major areas .

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark .

Ravi Swaminathan: If you can give the breakup of cables and wires within the Cables segment? And the new facility, which has come up, what could be the incremental revenue at peak capacity utilization that can be added to the overall top line of that segment?

Anil Rai Gupta: So we generally are between 35% to 40% for underground cables and the rest for wires. Second question was, sorry?

Ravi Swaminathan: The incremental revenue at full capacity utilization that can be coming from the cable facility has just come up.

Anil Rai Gu pta: Until Tumkur facility came up, we were almost operating at 100% or 85% -90% capacity utilization for cable, which actually now with the new facility will be at better levels. We are also further expanding, as I mentioned, that we have committed anothe r INR450 crores of expansion in Tumkur facility. So that should bring the capacity utilizations to a normalized level.

Ravi Swaminathan: And with respect to the lighting business, the pricing bottoming out, that has been under discussion for the past 3 -4 quarters or even more than that, especially in the lamps business. Any

sense on whether it has already bottomed out in the market? Or it's is yet to occur?
Anil Rai Gupta: Hopefully, I think this third, fourth quarter, we'll see the bottoming out. And next year, we should start seeing -- FY '26, we should start seeing real growth in our lighting .
Ravi Swaminathan: And how would be the breakup between lamps and fixtures for us as of now? And what would have been the gr owth in the lamps business in volume terms this quarter or this year, first half?
Anil Rai Gupta: So pretty much what has happened is with the advent of LED , now even consumer luminaries, how we differentiate it is pretty much a fixture. So , actually, we now don't differentiate between lamps and fixtures. It's basically consumer luminaries versus professional luminaries, w here consumer luminaries is about 60% of our business and about 40% is professional luminaries.
And volume growth in lighting has been 15% thi s quarter.
Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited.
Keyur Pandya: Sir, first question on switches and switchgears, I think I couldn't hear it properly. But if I look at switch, switchgear segment's revenue growth 2 -year, 3 -year or 5 -year, whichever period we take, it is probably a mid -single -digit kind of growth. So , have we lost share? Or if you can just throw " HAVELLS

some light what has happened in the past? And in near future, what ki nd of growth do you expect? Are you seeing any pickup led by real estate or even otherwise? That is first question.
Rajiv Goel : I think last few years, if you recall, we, the construction activity also has been slow. I think which gradually started pic king up. Since there are 3 categories within this where there's a bit of an offset. There have been quarters where we have grown double

digit. Potential wise, clearly,
the switchgear, we're all aware that this is a consol idated industry. So I think the potential there is sort of high -single digit and low -double digit. And I think if you combine the 3, we believe the potential is pretty much high -single digit and low -double digit. So we see reason why, frankly, we should be sort of moving away from that. And that's what sort of we are holding out as well.
Keyur Pandya: Okay. Sir, second, switchgears and ECD, most of these segments probably -- if I look at longer periods of switchgears, we have seen contribution marg in and you're in the range of 38% to 40% and ECD 23% to 25%. And we are either at the lower range or below that number. So where do we see contribution margin and in turn EBIT margin for both of these categories? Or is it a new normal?
Anil Rai Gupta: No, I think generally speaking, our averaging has been between 38% to 40% for switchgear. And again, as you have said, between 22% to 25% EBIT margin, sometimes we do take a call to invest for the long term, which comes in a particular quarter for advertising because this is not a product category where you advertise continuously. This is when you make a burst and then you come back again. So sometimes it can vary, but generally speaking, between 22% to 25% is the EBIT.
Moderator: The next ques tion is from the line of Sonali from Jefferies .
Sonali: Firstly, may we have the guidance of capex for FY '25, please?
Anil Rai Gupta: So right now, the committed capex from the company in next coming years is already about INR1,900 crores. Out of which, we believe that about INR1,000 crores will happen in this year, about INR350 crores has already been done in the first half.
Sonali: Sir, my second question is, how is the B2B demand doing in terms of the capex cycle and the housing cycle? And also, I missed the number that you would have given for the breakup of volume versus value of your cables and wires division?
Anil Rai Gupta: The B2B business on the industrial side is slow right now, which generally has been good in the last year. First 6 months has been low. Hopefully , with the government spending now coming back, hopefully, we should start reflecting some growth as well. Residential demand from a builder's point of view, is regular, is not very good and not very low also. So that's why we see some decent growth coming in residential switchgear and switches and sockets.
And, 15% is our volume growth in cables and wires and value growth is about overall 22%. " HAVELLS

Moderator: The next question is from the line of Dhaval Somaiya from Axis Mutual Fund.
Dhaval Somaiya: Sir, in the previous quarter, you had highlighted that in switches and switchgear segment, the domestic growth was pretty healthy, which was -- if I recollect correctly, it was 12% on a Y -o- Y basis, but there was som e export orders that you had highlighted in the previous quarter, which was supposed to be shifted in this quarter. So sir, if I were to take that into account, the growth

in this quarter in switches and switchgears seems to have actually de -grown on a Y -o-Y basi s. If you can just clarify that?

Secondly, I would also like to understand that if these orders were shifted to Q2, I would believe that the expense for those orders would have been booked in Q1. And hence, the margins would have -- should have ideally imp roved because the cost for those orders were booked in the previous quarter. So if you can just help me understand this better. And secondly, on Lloyd, how should one structurally look at the margins going forward?

Anil Rai Gupta: So as far as switchgears is concerned, on the domestic side, if you look at the residential and consumer switchgear segment, we have seen decent double -digit growth. And as I said earlier, that industrial switchgear, there was a sign

ificant de -growth which actually made overall growth look much lesser for the entire switchgear segment. This was not really impacted a whole lot by exports.

Rajiv Goel: On the second question, t he cost will be matched with th e revenue, so it's not that the cost has been booked in the first quarter and the revenue will come in the second quarter. So , this is not very clear. T here is nothing like that . As p er the matching concept , the cost will always accompany the revenues.

Anil Rai Gupta: And as far as Lloyd is concerned, I think structurally, we've been saying since last year, there is improvement on the cost efficiencies. And overall, the brand acceptance is getting better and better. So , we should see stronger margins coming in the next 1 or 2 year s.

Moderator: The next question is from the line of Deepak Gupta from SBI Pension Funds.

Deepak Gupta: My first question is on Lloyd. We've been talking about derisking the portfolio from a long -term perspective and increasing the share of non -air conditioner products in that portfolio? Where are you standing in that journey? And how do you see refrigerator and washing machine going forward over the next 2 to 3 years?

Anil Rai Gupta: Look, I think as far as Lloyd is concerned, while our strive is to keep changing the product mix, but the fact is that we are not slowing down on our growth aspirations for air conditioner s as well. Having said that, we are quite comforted by the fact that our acceptance of other products, which is washing machines, refri gerators and including LED panels is now at a good level. Most of the top A -class counters are keeping these products. " HAVELLS

And hence, the growth expectation in the coming years will be quite decent in these product categories also. While we have maintained that we need a certain threshold level, we believe that our investments over the last 2 or 3 years in these non -AC product categories is now really coming to giving fruit.

Deepak Gupta: And sir, my second question is on Consumer Durables segment . For the last 2.5 years, we have seen flattish numbers from the company. How do you see that segment shaping up over the next couple of years? And do you think that there is a need of launching newer products and reducing dependence on fans, which still c ontribute, I believe, 60% to 65% of that segment for Havells?

Anil Rai Gupta: So what did you say about 2.5 years, what?

Deepak Gupta: The numbers have been quite flattish on -- whichever way you cut it, it's like in terms of top line , the numbers have not really seen much growth.

Anil Rai Gupta: I think I mentioned earlier that we are now seeing good growth coming both in fans because our acceptance is getting better in regions . Even appliances and water he aters , we are experiencing good growth. We are quite bullish about ECD segment as a whole. And I don't think that we really need to add more product categories because we are quite strong in terms of appliances, which is a grow th category, water heaters, and air coolers . These are all categories which can give decent growth to ECD segment.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Yes. Sir, my first quest ion is within ECD, is it possible to get some color in terms of fans' growth? Would it be similar to what the segment growth or higher or lower?

Anil Rai Gupta: It's not very different than the other product categories.

Achal Lohade: The second question I had, if I look at the employee cost, it's up about 20% -25% for the first half. And it has been seeing that kind of growth increase actually for the last couple of years. Is it fair to say that, that is a new normal, like in terms of penetrating deeper the investment in terms of number of employees, the seniority, et cetera, will keep t

hese costs going up at the same pace? Or you think it can quickly get normalized?

Anil Rai Gupta: No, I think it will get normalized over next year. But when I say normalized means the growth will be slower. But having said that, we have been investing not only in terms of just reach of people, but also we're investing heavily in expanding our base in R&D. There are investments

that we are making for the futu re. We will take a prudent view on balance between present and
the future. We'll look at manpower in a very long -term way, not just for short -term results.
Moderator: The next question is from the lin e of Yash from Stallion Asset. " HAVELLS

Yash: Just wanted to know the volume growth in your Lloyd's Consumer division, if you can split between AC and non -AC?
Rajiv Goel : The n on-AC is higher than the overall Lloyd growth. I think this is that much what we disclosed in this.
Yash: Okay, sure. And within the AC division, how are we seeing the channel inventory in the industry? Do you think now it's sort of a more normalized because the demand is more stable? Or you think still there's enough inventory already?
Anil Rai Gupta: No, inventory ha d been low at the end of the first quarter as well. And so I would say it's not high at all.
Moderator: The next question is from the line of N irransh Jain from BNP Paribas.
Nirransh Jain: Sir, my first question is again on the switchgear. I just wanted to better understand what led to the decline in the contribution margin around 130 bps decline that we saw in the switchgears on a Y-on-Y basis. I s this because of the Industrial Switchgear segment has a higher margin? Or is there anything else to it?
Anil Rai Gupta: I think, again, as I said, for us, it's not really a decline because 38% to 40% is something that we strive for. It depends upon the product mix as well. Sometimes switches' sales may g row faster or slower as compared to the residential switchgear, where there could be differing contribution margins. So generally speaking, we are between 38% to 40%.
Nirransh Jain: Righ t. And sir, I remember that in the previous calls, you have mentioned that the -- especially in the telecom OEMs, we can continue to expect to see some de -growth in this financial year. So has anything changed there? Because like as you said previously tha t we might expect double - digit growth in the second half for this segment.
Anil Rai Gupta: Yes, I think same, it's the same. We are seeing actually de -growth in that segment, which is affecting the growth of residential switchgear, though it has increased double digits. But still we are seeing de -growth in this particular sub-segment.
Moderator: The next follow -up question is from the line of Fatema from Mahindra M anulife .
Fatema: Cable and wires, the new factory -- so last year, we did around, the cable and wires, which is around INR1,600 crores of revenue. Is there any way one can say that the capacity that we are currently adding is potentially double our revenue? Or like what is the kind of asset -to-sales ratio that one can say?
Rajiv Goel : I think this is what we said 25% on cable. So I don't think that it will double from this. And that's why, you would have noticed that we also announced other expansion in Tumkur after thi s " HAVELLS

commissioning . So I think in 2 to 3 years, you will see at least 50% -60% capacity addition for the medium -voltage underground cables.
Fatema: Sir, what is the kind of demand, if I could also ask?
Rajiv Goel : As of now, the demand environment rem ains robust on the cable side.
Moderator: The next follow -up question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited.
Keyur Pandya: I just want to understand in the Lloyd is washing machine, refrigerator

s contribution margin,
would they be higher than AC or contribution or EBIT just as a starting point. Earlier, as you mentioned that the work that you have done to establish brand Lloyd, the efforts would be relatively lower versus AC. So in that backdrop, I mean just you can just talk about the hierarchy of contribution margin.
Rajiv Goel : The contribution of margin in non -AC actually right now will be slightly lower than the AC because there's a lot of out source d items as well. As you bring them in -house, I think those margins will im prove. But I think, let's agree that most of the margins are driven by the AC because still the 78% of the business is air conditioner. But it's not something which is really dragging too much. So I think there will be expectation of improvement in non -AC as well. But while they are not sort of at the same level because there is good improvement in the AC margins. You see they're not at the same level as the ACs.
Moderator: The next question is from the line of Hardik Rawat from IIFL Securities .
Hardik Rawat : Sir, could you please explain how price transmission actually takes place in cables and wires

segment? Is it with a month lag? How are the increase or decrease in the metal prices passed on under both our cables busine sses and wire businesses?
Anil Rai Gupta: Yes, generally speaking, it takes a little bit of time because industry sees the short to medium - term fluctuation and first 15-20 days it actually decide whether th ese fluctuation s are normal. And then if it is prevalent, then prices are passed on to the market. Usually speaking, if the commodity prices start going down, it is passed on to the market very quickly because that's the expectation and the trade starts holding back. But if the prices go up, then th ere is a general lag in terms of being able to pass on the entire thing because the competition also starts delaying the price increase. So , when there is a high level of fluctuation, it generally affects the margins in that particular month or quarter.
Hardik Rawat : Okay. And this will be the same in case of both cables and wires, so no difference between the 2 categories? " HAVELLS

Anil Rai Gupta: That is true. Generally when there is h igher fluctuation in copper, which is mostly used in domestic wires , it impacts us more because 65% of our business is domestic wire in cable & wire segment.
Hardik Rawat : And with the wire sales picking up, do you foresee the margin should going forward be better as...
Anil Rai Gupta: Should be better because this was, again, as I said, in a particular quarter where fluctuation happen ed. Oth erwise, margins will be better.
Hardik Rawat : And lastly, if you can, if you could provide a breakup of your ECD sales within fans and other categories .
Anil Rai Gupta: We don't do that. We report on ECD segment level only.
Moderator: Ladies and gentlemen, we'll take this as a last question. I would now like to hand over the conference to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Yes. I would just like to thank all the participants for being on the call and especially the management for giving us a n opportunity to host and answering all the queries quite a bit. Thank you very much, sir, and wish you all the very best.
Anil Rai Gupta: Well, thank you very much everyone, for joining the call. Happy Diwali to e veryone. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. " HAVELLS

Call: Jan 2025

22nd January, 2025

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051

NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the third quarter and nine months ended 31st December, 2024

Dear Sir,

This is with reference to the Company intimation dated 13th January, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the third quarter and nine months ended 31st December, 2024 scheduled for 17th January, 2025.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above

Havells India Limited
Q3FY25 Earnings Conference Call
January 17 , 202 5

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME

DIRECTO R AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Havells India Q3 FY '25 Earnings Conference Call hosted by ICICI Securitie s Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . I now hand the conference over to Mr. Aniruddha Joshi from ICIC I Securities Limited. Thank you and over to you, sir.

Aniruddha Joshi : Thanks, Steve. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 Results Conference Call of Havells India Limited . We have with us senior management represented by Mr. Anil Rai Gupta , Chairman and Managing Director; Mr. Rajesh Kumar Gupta , Whole-Time Director and Group CFO; Mr. Ameet Kumar Gupta , Whole -Time Director and Mr. Rajiv Goel , Executive Director.

Now I hand over the call to the management for initial comments on the quarterly performance and then we will open the floor for question -and-answer session. Thanks, and over to you, sir.

Anil Rai Gupta: Thank you. Good morning, everybody and wish you all a very Happy New Year . Thank you for attending the call today. Hope you would have reviewed the results by now. Havells Consumer, Industrial and Infrastructure segment s delivered healthy performance. However, commodity fluctuations impacted the domestic wire growth , resulting in moderate overall revenue growth.

With the new Tumkur cable plant easing out capacity constraints for us in power cabl e, we had a strong revenue growth during the quarter. Further, scale up of the plant and creation of additional capacity is underway.

While switchgear saw decent revenue growth, the margins declined with mix towards project business in Q3 and factory under absorption on account of plant relocation. We expect normalization in the coming quarters.

Lloyd continued to deliver steady growth and margin improvement. During the quarter, we announced a INR 480 crore s capex for new refrigerator manufacturing facility in Ghiloth , Rajasthan. This is a step towards becoming a full stacked consumer durable player.

Although our investments in brand building and talent remain elevated, we anticipate these spends to stabilize. Overall, we remain positive on better growth and margin scenario in the forthcoming quarters. We can now move to Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Th e first question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan : Hi, sir. Thanks for taking my question. W e had seen a bit of weakness in the profitability in the switchgear and the ECD business. Yes, you had mentioned that there is a bit of a mix -related issue and some shifting of plant. But was there any pricing -related action also which was there? Was there any pricing pressure because of competition or something on the ground?

Anil Rai Gupta: Not really because what happens is generally projects business comes a t lower margins. And hence, you can say there was a pricing gap. Otherwise, in the normal trade business there was no issue on the pricing f ront. But as I said, there are two factors, even the plant relocation led to some under absorpt ion of manufacturing overheads t hat should also normalize in the coming quarters.

So, switchgear we are quite confident that i t remains under 38% to 40% contribution margin levels and it should come back to those levels.

Ravi Swaminathan : Understood. And with respect to lighting bu siness, it has been -- I mean, there has been talks on the ground that the pricing should bottom out anytime soon or something of that s

ort, b ut still
this quarter also I think there ha s been a bit of pricing decline which has been there. So, when

do you expect this to turn around a nd what would have been the real volume growth that we would have seen in the lighting business?
Anil Rai Gupta: I think if we look at Y -o-Y, then there is a price erosion, b ut as we are now seeing that there is a bottoming out of the price erosion. But the volume growth has been healthy. It's around 13% - 14% in lighting. So, we are generally positive about the lighting growth a nd overall, with the price erosion coming or tapering should also start showing back in pr ofitability levels.
Ravi Swaminathan : Okay. And overall general demand wise say in the month of December, January so far, how it has been, a re we seeing a bit of weakness or is it started to recover a ny sense on that?
Anil Rai Gupta: Mixed feelings about t hat because as we see a large part of the business also saw some destocking - which is wires. Overall, consumer trend was started off a bit slow, but it started gaining a little bit traction towards the end of the quarter. So I would say it's early days to comment, but there was some sort of a positive sentiment in the consumer demand.
Ravi Swaminathan : Understood sir. Thanks a lot.
Moderator: Thank you. Th e next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.
Natasha Jain: Thank you for the opportunity. So, my first question is on the AC side. Now third quarter, I understand is a lea n quarter for cooling products such trend, b ut on the appliances side especially water hea ters, room heaters and even kitchen appliances, they h ave done well on the ground. So, I'm just trying to understand how that performed for you a nd what is the reason for such a sharp decline because some benefits should have flown in from your appliances category. S o that's my first question, sir?
Anil Rai Gupta: Yes. I think for us we saw a very strong quarter in domestic appliances business. We also saw a stronger quarter in water heaters, though not a very high growth because it is coming after a couple of years of flattish growth in water heater business , but we saw a very positive quarter for water heaters also.

There is some amount of, I would say, restabilization and repositioning of our appliances business which is also leading to this growth. But overall if we compare the appliances business, the co ntribution margins are lower as compared to products like fans and water heaters. And hence, there a sharp growth here (appliances) , we saw a little bit of a dip in the overall contribution side.
But I think there's a lot of work going on towards that. The other busin esses like fans, water heaters, they are all still going strong on the margin front. So, we are confident that overall ECD should come back to normal levels of margins in this quarter and next quarters.
Natasha Jain: Understood, sir. And sir, second questi on a follow -up on the lighting side. Now I understand that because of the driver on board, there was ASP compression, b ut a new trend I picked up on the channel it is also a compression that has started on chip -onboard technology. Now I understand this is primarily used for premium lighting and because Havells is a premium player, does this impact you o r has it impacted you in the third quarter?
Rajiv Goel: No, I think look the deflationary trend you see in the pricing is across the board. So, you are right the COB also has not been sort of spared on that side. So yes, I think that's why while we focus more on premium and the emerging technologies, you should appreciate that when there is a deflationary trend in the LED chips, I think it will have impact.
Now the impact extent could vary. You see on the commoditized business it will be far severe than it will be on, let

's say, the innovative product, b ut the effect definitely will be there. So, I think that pricing trend pressure we have seen across the board including COB.
Natasha Jain: Got it. And sir, if I may, just one last question. In terms of copper prices now we've seen a flattish trend, but January on wards, it started to pick up slightly. So given that the channel has destocked heavily in the third quarter, can we expect a rise in wires in the 4Q plus cables being a seasonal quarter for 4Q, should we see like a good momentum in this category in the upc oming quarters?
Anil Rai Gupta: Yes, you are right on both fronts. We will see restocking happening in domestic wire business. Also, rising copper also helps, but that is a bit of overstocking that does not necessarily mean that the consumer demand goes up , but that is a very temporary phenomenon. And you're right, the fourth quarter is generally high for underground cables as well.
Natasha Jain: Got it. Thank you so much sir and all the best.
Moderator: Thank you. Th e next question is from the line of Rahul Agarwal from IKIGAI Asset Management . Please go ahead.
Rahul Agarwal: Hi, sir. Good morning. Thank you for the opportunity. S ir, just one clarification on the earlier question. On Switchgear, just wanted to understand the ne ed for relocation of the plant a nd what was the relocation cost booked for the quarter?

Anil Rai Gupta: So I would not be able to give you the costs on this call, but the need for relocation is strategic reasons. We want to combine certain manufacturing activities and that's a con stant strategic evaluation which keeps happening between manufacturing facilities.
Rahul Agarwal: So, it's gone from where to where , the shift has happened from which location to which location?
Anil Rai Gupta: So, we had a small very old plant in Faridabad which has now moved to Sahibabad which was also our industrial switchgear facility. So, two facilities are now combined into one.
Rahul Agarwal: Got it, sir. So should I attribute the entire 3% -4% lower contribut ion margin to entirely relocation or is ther e anything else y ou said industrial...
Anil Rai Gupta: As I said, I think there was also a product mix issue or a channel mix issue between trade and projects business. So that is also contributing partly to this decline in contribution margin .
Rahul Agarwal: Got it, Anil ji. An d lastly on the “other ” segment like post -COVID, I think this is the first time you reported EBIT loss, additional investment could you elaborate what is the thought process and when will it normalize?
Rajiv Goel: The additional investment in these e merging categories is on the new channels where we are investing to grow these businesses further. And you have seen a good growth in this segment which we want to continue to sustain. And sometimes , what happens that it just gets captured in a quarter. So I mean these things we believe will get normalized in next quarter.
Rahul Agarwal: Okay. So incremental investments will continue, but it should not result into any cash burn is what you're saying, right?
Rajiv Goel: Yes, that's right.
Rahul Agarwal: Perfect sir. Thank you so much. I will get back in the queue.
Moderator: Thank you. Th e next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.
Sonali Salgaonkar : Sir thank you for the opportunity and w ish the en tire team a great 2025. Sir, my first question, sorry for checking on this again on the switchgear margins. And I would like to check if I look at the EBIT segmental margin of switchgears, it used to be about 28% about a year back and we have now come to about 18%.
So I understand the interim reason of the pl ant relocation in this quarter, b ut is there anything structural in your view which is plaguing this segment as in pro duct mix or h

igher competition
or do we think it is transitory and we migh t get back at those 28% margins, EBIT?
Anil Rai Gupta: The margins varies between the quarters, which are the quarters where we are investing in brand building for a certain product category. But I think overall we should be around 24% -25% in switchgears. 28% is also abnormal and 18 % is also abnormal. I think 24%-25% is a decent number to expect.

Sonali Salgaonkar : Got it, sir. Sir, my second question would be any thoughts on the impending summer season because much of our product portfolio is also summer -centric. How are the channels reacting to that? I mean, I know it's a bit too early, but are we expecting a good summer and is there any restocking ahead of that already?
Anil Rai Gupta: I think generally once you come after a good summer season there is a positivity in the channel, but that does not necessarily mean that it will translate into a high consumption in this year because weather is something which nobody can predict. But the general positivity is there in terms of the channel.
Stocking starts happening in January -February in case of air conditioners and around end February -March for fan season. So, it's a bit e arly to say. Let's see, b ut the channel is generally positive becaus e last year when we were entering the season it was not with a very high positive intent, but this season should be seeing some positive intent.
Sonali Salgaonkar : So that's very helpful. Sir, my next question would be related to the pricing actions. Any categories wherein you have contemplated or taken any pricing actions be it either positive or negative during this quarter?
Anil Rai Gupta: Well, usually there are pricing actions in lighting b ecause of the deflation in LED. In switchgears and fans , raw material s have been gener ally stable over a medium term, so there's not major pricing actio ns. Some things keep happening, b ut with the fluctuation in copper and aluminum, cables and wires prices keep getting adjusted up and down.
Sonali Salgaonkar : Understood and because of the rupee depreciation impact , would you think because the import compressors there could be some pricing action upward in the air conditioner segment?
Anil Rai Gupta: That is true.

Sonali Salgaonkar : Any quantum, single digits?
Anil Rai Gupta: We still have to see that. But again, as I said, these are minor variations which keep happening in the market through schemes or pricing actions.
Sonali Salgaonkar : Understood. Sir, my last question, any particular reason for the strong contributio n margin in the lighting segment this quarter?
Anil Rai Gupta: Again, this is generally a stronger quarter for lighting because of the Diwali season and some schemes ending. I think 30%-32% is the normalized contribution margin level for ligh ting. And as against the industry we've been premiumization and as a result we've been able to maintain that level. Again, let's not compare quarter -on-quarter each quarter, but overall, 30%- 32% is a decent expectation.
Sonali Salgaonkar : Got it. Sorry, sir, I missed one point. The cables and wires channels , we saw destocking in Q3. Have the channels destocked again? Is the inventory normal right now?
Anil Rai Gupta: In wires particularly, we saw destocking in Q3. It's coming back to normaliz ed levels, yes.

Sonali Salgaonkar : Got it sir. Thank you and all the best.
Moderator: Thank you. Th e next question is from the line of Renu from IIFL Securities. Please go ahead.
Renu: Hi, good morning, sir and thank you for the opportunity. I have two que stions. First, on ECD s, while this particular quarter 2, we have seen a pressures going through. But structurally if you see margins have consistently been under pressure, either for demand

issues, compe tition or pricing. So, from a 2 year to 4 year perspect ive, do you think EBIT level margins in ECD s should move back to early teens, mid -teens or they may struggle to just touch teens in the near to medium term? And what is the view on the profitability in this business?
Anil Rai Gupta: Our focus right now in ECD is to gain shares in products where our shares were low, for example, domestic appliances, water purifiers. And hence, there is a higher level of investments going on in terms of pushing the products into modern format retail and new channels.
So, there is a little bit of an expectation of higher expenses, but the focus of the company is whether we are gaining it through pricing or is it real work that is happening. I think we are very confident that our contribution margins shoul d come to normalized levels of around 24% -24.5%. Initially, there could be higher investments in expenses and brand building or channel expansion, but again medium to long term, we should be getting closer to 12% to 14% EBIT margins .
Renu: And from this tenure perspe ctive, the non -fans category in your view should move to what percentage of the category mix over say a 4-year period?
Rajiv Goel: That's somethin g I think we can discuss later, b ut right now I think it's difficult to say.
Renu: Sure. Secondly, if you look at Lloyd consistent growth seen a nd while this quarter we were in a marginal loss, b ut overall YTD basis the segment has been now at breakeven levels. So given that there is further investments on backward integration and pricing also and the repositionin g is working out well, what is your view on the profitability of the Lloyd portfolio?
Do you think much of the investments on brand positioning and product repositioning is already behind and incrementally margins should improve on a Y -o-Y basis in this b usiness to mid - single -digit levels?
Anil Rai Gupta: Yes. I think overall we are looking at expanding the contribution margins in this business. We will continue to face in non-AC category some challenges because till the time our manufacturing facility for refrigerators also come up. Right now, we are in the trading of refrigerators. But overall AC business the margins are expanding. Our premiumization strategy seems to be panning out well.
But that also means that while we have investe d a lot in brand building and channel building, but we will continue to do so. We believe that there is a huge opportunity in this. So again, as I've been saying in the last few calls also, Lloyd is a journey which we want to take and keep

investing behind this brand because there's a much better opportunity for us to grow in this business.
Renu: Got it. And lastly if you see end November, December in general consumer demand saw significant deterioration and weakness, especially on the B2C side. So how was it at your end? And does it concern you that now it's been a couple of years that consumer demand really hasn't come out well and there have been concerns on this on a broader s ide. So, if you can share some of your views and insights on this?
Anil Rai Gupta: Yes. I think when we started out this financial year, we were more positive. The first 6 months

saw improvement in the consumer demand, b ut again around Diwali season we sta rted seeing some weakness. I also feel that during the end of the quarter, starting of the fourth quarter, we see some improvement. Underlying to all this, the overall industrial infra demand continues to remain positive.
So Havells is a mix of many things with our industrial infra business, with our focus on channel expansion, our focus on product market share expansion. So while the consumer sentiment may remain a bit weak, we will continue to do our actions and hopefully achieve growth better in the market.
Renu:

Sure. Got it sir. Thanks much and best wishes. Thank you.
Moderator: Thank you. Th e next question is from the line of Kunal Sheth from B&K Securities. Please go ahead.
Kunal Sheth : Hi, sir. Thank you for the opportunity. So, I just needed one clarification. In media interaction today, we did mention ex -Lloyd margin of 12% to 13%. So that was you're referring to the EBIT margin or the EBITDA margin for ex -Lloyd business?
Rajiv Goe l: Segment margins.
Kunal Sheth : So that's EBITDA margin, right, ex -Lloyd?
Rajiv Goel: No, that is -- yes, EBITDA, but there are unallocated h as to be taken out of that. So I think when you look at our analysis, which we give the segment results. So, this is based on that.
Kunal Sheth : Okay. And what is the timeframe we are looking to achieve this?
Anil Rai Gupta: Well, I think it should come back to normal levels in the coming year.
Kunal Sheth : FY '26?
Anil Rai Gupta: Yes.
Kunal Sheth : Okay. Sure . That wa s it. Thank you so much.

Moderator: Thank you. Th e next question i s from the line of Praveen Sahay from PL Capital. Please go ahead.
Praveen Sahay : Thank you for opportunity. S ir, my question is related to your employee cost. And we understand in the last few quarters, employee cost has been increased and that's more towards the consumer - facing business we had invested in terms of the team. Are you seeing any kind of improvement, especially in terms of the growth, especially for categories li ke ECD because of the increase in the employee expenses?
And what your expectation the way forward by putting up more investment in the employee, what kind of a growth just from this activity you are going to receive?
Anil R ai Gupta: Yes, as I said, because of our expanded focus on adding channel - newer kinds of channel in stages. W e definitely have invested ahead of time, and we are seeing better than the market growth, so which we are seeing increased marke t shares in product categories, where we were not very strong i.e. in newer category.
So, this is an initial investment. I think over a period of time this will normalize. There is a high level of focus on the productivity levels for such investments. So, over a period of time this should normalize. And to answer your question, yes, we have seen gains because of these investments.
Praveen Sahay : So, any market share gain in any of the segment if you can highlight?
Anil Rai Gupta: So again, we should not look at quarter -on-quarter. But overall, all consumer -facing categories we have seen market share gain s.
Praveen Sahay : Great. Thank you sir. That’s it.
Moderator: Thank you. Th e next question is from the line of Charanjit from DSP Mutual Funds. Please go ahead.
Charanjit : Sir thanks for the opportunity. F irst question is, sir, on the switchgears business. Can you tell us the quantum of the project business which we took in the q uarter? And the second one will be even on the ECD side, the small domestic appliances what was the size of the revenue in this quarter a nd what's the margin differential versus other segments in the ECD space in the small domestic appliances?
Rajiv Goel: Charanjit , you are aware we do not do the segmental analysis like this and we like to maintain that. I think suffice to say that the project business has gained in this quarter. And quarterly these fluctuations do happen. So, I think this is just t o explain the dip in the margins in the switchgear both attributed to the project sales higher proportion and also because of the relocation of the plant.
I think similarly, on the ECD , there is a season for the appliances and that's why the appliances growth has been there. You are fully aware that the appliances margins are lower than the fans

segment which when you

look next quarter, the fans segment will have a higher growth. So, I
think on an annual basis, I think our margi ns will show improvement on the same.
Charanjit : Got it, sir. Sir, just last question on my side on Lloyd. So, we are looking to get into refrigerators and washing machines also. So, in terms of our right to win in this particular segment, how we should look at tha t and the kind of investments which you want to back it up with, if you can touch upon those aspects?
Rajiv Goel: The right to win is only growing now. If you look at our AC business , 2 years , 3 years back you had a similar question, what is righ t to win. Today, we are top 3, if not top 2 in the ACs. Lloyd is gaining prominence. And as Havells I think we want to be a full stack player in that.
The fact that we are setting up factories before even scaling up these businesses . We have a strong confidence in the Indian consumer appliances market and also the consumer. And I think the consumer is now recognizing Lloyd as not only a long -term brand , the brand with a differentiation. That's why, unlike others, we do not want to just buy from these OEMs who give a similar product to everyone and then present it in the market.
And I think if at all our journey in the washing machine has given us confidence that if we give a differentiated product, I think it will be well accepted by the consumer and that's what the journey we are embarking upon. And it will be a journey which will be long term. So we are not talking about next few quarters here.
Charanjit : Got it sir. Thanks for taking my question, sir. All the best for the future. Thank you.
Moderator: Thank you. Th e next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade : Good morning. Thank you for the opportunity. S ir, in the cables and w ires segment if you could give us some sense in terms of the growth -- volume growth in cables and wires and overall?
Rajiv Goel: So, o verall volume growth in cables was almost 11% to 12%. It was slightly negative in the wires. So overall, it was flat volume growth for the segment as a whole.
Achal Lohade : Okay b ecause the average copper prices are up almost 15% Y -o-Y. So, I was just curious to understand if the wires have seen a decline and as a result, we have got only 7% growth ?
Rajiv Goel: First of all , the copper i mpact was around I think 9% to 10%. And that's why we said there was a degrowth in wires and the growth in cables which we have already explained. So overall, I think there has been a slight flattish volume growth in this.
Achal Lohade : Understood. Secondly, I know you don 't want to segmentize, but is it fair to say that the fans, water heater could have grown at a single digit, mid -single digit and appliances have grown in 20% as a result we've got a 15% growth?
Rajiv Goel: No, I think all o f them have grown double digit, but yes, you're right a ppliances have grown more than the fans and the water heaters.

Achal Lohade : Understood. And in terms of the capex, if you could help us understand, you've m entioned in the interviews, INR 1,000 crores for current year and next year. Where do we see apart from the cables and the ref, anything else where we are looking at adding capacity?
Rajiv Goel: Almost three -fourth of the capex will be attributed to these two. And the balance is a balancing capex in any case we do every year Achal. It's a normalized capex.
Achal Lohade : Understood. Great sir. I will come back for the follow up. Thank you.
Moderator: Thank you. Th e next question is from the line of Akshay Gattani from UBS. Please go ahead.
Akshay Gattani : Thank you sir for the opportunity. So, my question is on cable and wire segment with Tumkur plant ramping up and more capex lined up. So, can this drive a revenue mix

change from 60%
wire to 40% cable? Can this revenue mix change? Reason asking this Havell s being a premium player in housing wires and enjoys industry -leading pricing. So, can this impact segment level contribution?
Rajiv Goel: No, we believe wire has a good growth potential. And again, I will not suggest you to really look at one quarter and extrapolate that. There is a significant potential for both wire and cable. Look, we are catching up on cables. You are aware of that. You guys have been raising this question for I think last few quarters. Now the additional capa city is kicking that is helping us.
We are gaining what we have sort of not due to us maybe in the last sort of few quarters and all.
So, we do not see any significant shift happening on this proportion. In 2 -3 years what happens I think time will tell. But the expansion, let me just clarify, is both on the cables and the wire side as well.

It's just that the significant capex is required in cables, b ut it doesn't mean we are sort of
deprioritizing wires. We are an eminent player in wires and will continue to be so.
Akshay Gattani : Got it. Thank you. Second question, sir, is on the channel inventory for the dealer distributor, particularly on the ECD side. And does higher SG&A sales and promotion expenses, does this reflect any kind of like higher d ealer distributor incentives schemes during the quarter?
Rajiv Goel: No, it's not on the pricing. Look, we are investing in multiple channels. You are fully aware how in India a lot of channels are proliferating now. For example, are the QCs, you see this quick commerce and all. Similarly, the semi -urban , we see the MFRs, everybod y is gaining ground these days a nd being an eminent brand, we have to be part of every channel.
So they are the investment which ma y not been present, let's say, last year. So those investments have to be made, but do not assume that they are part of any discounting or any pricing action.
Akshay Gattani : Got it. Thank you sir.
Moderator: Thank you. The next question is from the line o f Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar : Hi, thank you for the opportunity. S ir, would you say some of the categories have started seeing higher growth tailwinds f rom the residential end market a nd do you think the tailwind shou ld start accelerating?
Rajiv Goel: I think these things are very difficult to attribute. But structurally, we will agree that we have been expecting the late stage real estate to kick in and support the consumer demand, particularly the residential consumer demand. To that extent maybe you're correct, but I think very difficult to attribute now, bu t something is supporting that a nd hopefully this will continue to now sustain going forward as well.
Shrinidhi Karlek ar: Right. And sir my second question is on whole profitability of this alternate channel. What we have seen is that there is a material change in the channel mix for Havells. We have developed alternate channel significantly by doing investment. But sir, generally speaking, would you say that at current level as well as structurally the profitability of all th ese new channel s is lower than your general trade channel at EBIT level?
Rajiv Goel: Well, to begin with could be, but we do not see much differential going forward. You will appreciate the cost of selling also could be lower in that. So, I think it's still getting figured out, but we do not believe or expect that there will be a huge difference as you se e on the net level between the two channels. The way they are compensated for their efforts could be different.
But on a net -net basis , on stabilization , we do not see much difference amongst the channels.
That cannot sustain. That is not possible.
Shrinidhi Karlekar : But currently you would say it is materia

lly lower?
Rajiv Goel: Not materially lower whether you call investment or expense depends upon that. But yes, it will be. It will be. It's an investing phase. So as I said, but this is nothing to do with pricing. You see you get IS Ds there; you have to put people there. So those kind of things you have to invest in people in your own company, who interact with them, the GT guys may not be able to do that.
So yes, there are additional investments, but don't attribute that to the pricing act ion. This is what I'm trying to bring forth again and again.
Shrinidhi Karlekar : Right. And the last one, I wanted to understand in the switchgear segment, how much of the business is actually the domestic switchgear and how much is the electrical wiring a ccessories business, which is switches?
Rajiv Goel: Around 40 -40-20. 20 in industrial.
Shrinidhi Karlekar : Thank you for answering my questions and all the very best.
Moderator: Thank you. Th e next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi : Yes. Sir, just on the quick commerce as well as MFI channels. So, if you can elaborate a bit more about the investments that we would have done? An d again, what is the current contribution of these two channels to the revenues? And in a way, where do you see it changing

post these investments? Also, MFI channel is also going through a lot of issues. So how do we handle that?
And then second question is on the CSD. We have heard that there are a lot of inventory correction happening in the CSD channels also. So that is also in a way hurting the primary sales, while secondary sales continue to remai n high. So, any update on these two questions or

chann el?
Rajiv Goel: So, QC, MFR, both are emerging. QC is obviously is still in nascent stage, it's growing much faster.
Anil Rai Gupta: Rajiv, there might be a confusion between we are saying MFR, he is understanding as MFI.
Rajiv Goel: No, we don't do MFI. Aniruddha, are you talking MFI (micro -finance)
Aniruddha Joshi : Yes, sir.
Rajiv Goel: Sorry. I thought MFR . No, MFI, we do not have much exposure. We don't do MFI business. Thanks for clarifying. Actually, I thought this is MFR. No, MFI, we do not have any exposure. We don't do MFI business.
Anil Rai Gupta: Just to answer your question Aniruddha q uick commerce is a very new start. And I think while the volumes are very small, it may be a promising business. We are still evaluating. We have started doing business in that, but certain product categories go well there. When we talk about modern format retail (MFR) , there is a heavy investment in demonstrators initially. And once the products are well placed, so that's why the investments are higher.
Consumer durables is highly dependent on MFR now. Almost INR50 0 crores of sales will be coming for Havells products only from MFR, but also for Lloyd, it's a much bigger channel. So, these investments will normalize over time, but initially, when you have to place them, these are higher investme nts.
Aniruddha Joshi : Okay. Sure, sir. And sir, regarding CSD, canteen stores department?
Anil Rai Gupta: CSD has been under some amount of fluctuation. It's a smallish business for us, but it is now coming back to normal.
Aniruddha Joshi : Okay. Sure, sir. And last question, in any of the category, any market share movement, if you can highlight, let's say, even in lighting or switchgear or even wires also? Is there any material impact on the market share or gains al so? Yes, that's it from my side?
Anil Rai Gupta: Yes, I think the best would be to actually wait out for the entire year and just see that because these are trends which can vary quarter -on-quarter, but I would not like to comment on a quarter basis on this.
Aniruddha Joshi : Sure sir.

Moderator: Thank you. Th e next question is from the line of Pranay Chatterjee from Burman Capital. Please go ahead.
Pranay Chatterjee : Good morning, everyone. M y question is with respect to the room air conditioner business. Lloyd has grown by about 15% th is quarter. Sir, could you give us a sense on how fast the overall AC industry could have grown from a wholesale perspective in the third quarter? And would Lloyd AC volumes grown faster than that?
Anil Rai Gupta: I would say again best not to look at this particular quarter anyway because this is a quarter where the consumer demand is slow and whatever sales happen, it's more towards stocking the channel. So, I would suggest again, let's compare these things after the full season is over.
Pranay Chatterjee : Got it. So then if you could just give us a sense that within the Lloyd growth of 15%, would AC have grown faster than the 15%?
Rajiv Goel: No. The other categories have grown faster than AC .
Pranay Chatterjee : Got it. Okay. Thanks a lot.
Moderator: Thank you. Th e next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta : Hi, sir. Thank you for the opportunity. M y question was on wires. So outside of this quarterly volatility and stocking and destocking, it seems li ke the secondary growth is also weaker than what we were expecting. So, any sense on what is happening? Any color on secondary sales in wires?
Anil Rai Gupta: Generally speaking, it's in line with the industry growth. Wires growth is predicated on the overall residential growth which actually has been positive. So I think overall, the secondary growth has been positive in case of wires.
Umang Mehta: Understood. Sure. That was my only question. Thank you.
Moderator: Thank you. Th e next question is from the line of Tavishi Mehta from ICICI Prudential MF. Please go ahead.
Tavishi Mehta : Hello sir. J ust one question on the similar line. So last quarter was stocking, and this quarter was destocking. So, can you please give us some understanding on the volume growth of wires of last quarter as well as this quarter?
Rajiv Goel: We can provide that . You can connect with the IR team because we do not have the last quarte r right now, but we'll share it with you.
Tavishi Mehta : Sure sir. Thank you.
Moderator: The next question is from the line of Chaitanya from Paterson PMS . Please go ahead.

Chaitanya : Hello. Thank you for the opportunity. So, my question is on the broader line, especially on the -- your B2C side of the business where we are seeing some impact on the margin because of the product mix changes. So can we correl ate this to the whole consumer industry where the rural demand is higher than the urban demand o r if we can get just a hint of what the mix in terms of urban and rural in the B2C business?
Rajiv Goel: Look, rural is still not a large part of our business u nlike FMCG. So, it will be difficult to say. But yes, rural demand has held well. But we will not attribute , you see what you call the weakening of margins to that. I think there hav e been multiple reasons for the same. And you see the way we are seeing the strengthening in the consumer demand, hopefully which will sustain, I think it will help us to have a better product mix and the margins as well.
But I don't think, at least in ou r case, I am sure fo r our industry , the rural or urban segregation plays such a significant role.
Chaitanya : All right. So, in general can we say that from the margin point of view, at least from the B2C point of view, we can see improvement from here on, at least from the early indication that you mentioned that positive demand is there?
Rajiv Goel: That's right.
Chaitanya: Okay. Correct. Thank you very much.
Moderator: Thank you. L adies and gentlemen

, in the interest of time, this will be ou r last question. It' s from the line of Nirransh Jain from BNP Paribas. Please go ahead.
Nirransh Jain : Hi, sir. Thank you for the opportunity. Sir, first question on the ECD side. So just wanted to better understand like you mentioned that the contribution margin decline was because of the product mix shift towards the SDA . But isn't there a seasonality angle to it like with mo stly the third quarter having a higher mix towards the SDA versus like fans. So, what exactly led to this product mix sh ift in this qua rter? That is my first question?
Rajiv Goel: I think the growth in SDA was far higher. Because you are doing comparison with the la st year basically. So, growth in SDA was far higher than the growth in the other categories. Ye s, seasona lity-wise, it is favoring the SDA , but the extent of that favor or the growth or the proportion is much higher than the portfolio of ECD in this quarter vis -a-vis the last quarter. That is the reason.
Nirransh Jain : Sure, sir. And sir, secondly, on the Switchgear side, again, I'm sorry, coming back to the same questi on. I can understand this quarter specific reasons with plant relocation and product mix shift, but we are seeing consisten t margin decline for the last three quarters. I'm talking about the contribution margins Y -o-Y decline.
So do we see this product mix shift t owards project business is just a transient in nature and there is nothing structural with the shift happening more towards project vers us the modular switches because of rising competition?

Rajiv Goel: Well, there could be multiple levers. I think we are pointing out what particularly happened in a quarte r, but you see those forces are in play. And that's why we believe the way we are looking at premiumizing and sor t of improving the portfolio. It gives us the confidence. And I think to an earlier question we just mentioned that maybe the 28% segment margins was on the other side and same for 18%. We'll be somewhere between 23% and 24%. So, you will see the improvement, b ut obviously it may not be up to the 28%, which may be there for a couple of years back or 3 years back.
Nirransh Jain : Sure si r. Got it. That’s from my side and all the best. Thank you.
Moderator: Thank you. L adies and gentlemen, that was the last question for today's conference call. I now hand the confer ence over to the management for their closing comments.
Rajiv Goel: Thank y ou for attending this call and wish you everybody a very happy 2025.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

25th April, 2025

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the fourth quarter and financial year ended 31st March, 2025

Dear Sir,

This is with reference to the Company intimation dated 16th April, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the fourth quarter and financial year ended on 31st March, 2025 scheduled for 22nd April, 2025.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above H

Havells India Limited
Q4FY25 Earnings Conference Call
April 22, 202 5

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTOR AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEE T KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL
H
HAVELLS
DAM C H O R L L•
HAVEL LS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Havells India Q4 FY '25 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. A warm good evening to everyone. On behalf of DAM Capital, I would like to welcome you to the Q4 FY '25 Earnings Call of Havells India Limited. We have the management today being represented by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. R ajesh Kumar Gupta, Whole -Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.

Without any further delay, I'll hand over the floor to Mr. Anil Rai Gupta for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Anil Rai Gupta : Thank you, Bhoomika. Can you hear me?

Bhoomika Nair : Yes, sir. Please go ahead.

Anil Rai Gupta : Okay. So good evening, everybody. Thank you for attending the call today. Hope you would have reviewed the results by now. It has been an overall decent performance in quarter 4 with healthy revenue and profit growth. Large appliances and cables led the re venue growth; however, the inflation pressures persist on the overall consumer sentiment s.

General

ly, margins were maintained Y -o-Y, but the continued volatility in commodity prices driven by global uncertainties remain an overhang.

The ramp -up of new capacity of the cable plant is still underway, though it has already started contributing to the growth.

Lloyd has delivered a robust performance with strong revenue growth and margin improvement.

The focus now remains on consistent revenue growth, along with improving profitability.

We can now move on to Q&A.

Mod erator : Thank you. The first question comes from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain : My question is on the cable s side. Now there is a decline in your contribution margin, both on a Y-o-Y and Q -o-Q. Given that fourth quarter, the copper prices rose and, usually, the price is passed on within a gap of 15 to 20 days, and we are a wire -heavy company , why this decline in contribution margin? " HAVELLS

Anil Rai Gupta : So as the new capacities for cables are coming up at Tumkur, so the cable growth as well as the volatility in the wire prices, which led to a muted growth in the overall domestic wire business.

So the product mix change leads to some variations in the cont ribution margin, but I don't think that should be taken as a normal level. It always depends upon the product mix in both wire and cable.

Natasha Jain : Sir, your presentation states that there was a moderate ECD growth on account of a mild start to summer season. However, your ACs have done phenomenally well if I see the top line. So does this mean that there is a combination of low structural demand for fans plus very high competition? Or does this mean that there could be a case of high inventory stocking for Lloyd in the channel, not necessarily translating to consumer demand?

Anil Rai Gupta : So I think there is no doubt that there has been a delayed summer this time, which is reflective in the growth in the southern markets where summers come early. Even in the northern parts of the country, the summer has been delayed. And last year was a very terrific year for air conditioner growth and, hence, there was a positive momentum in building up stocks in the channel in the air conditioner industry.

But as I said, because the summer was delayed, the other cooling products like fans, especially, which are more structural in nature rather than something like a highly stocking kind of a product, there we saw a muted growth in the fourth quarter. And also, I would say that last year, for example, Lloyd was coming up, and hence, the growth in the fourth quarter was a bit muted. There is a base effect also in the fourth quarter for Lloyd.

Natasha Jain : Got it, sir. Just one last question related to that. Because there is a delayed summer, could this mean that there could be price cuts going forward? Or there could be distressed selling by the channel for RACs?

Anil Rai Gupta : It's still to be seen. I mean there has been some issues in the southern markets because there has been a real delayed summer. I think there is anticipation of increased summer or a decent summer, at least in the northern parts of the market. And the summer has recently in the last few days have started kind of setting in. So I think there is no panic right now in the market, but definitely it is different than last year.

Mod erator : The next question comes from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.

Rahul Agarwal : Sir, first question was on Lloyd. Happy to see INR100 crores EBIT number there for the full year. The press release talked about cost savings and scale benefits that, those 2 reaso ns essentially for the turnaround of Lloyd. I just wanted to know that in initial commentary, you mentioned that going forward, we'll look at further consistent revenue growth and improving profitability. So that means that these cost savings

essentially bec ome stable. And incrementally, we'll only see increases on margins from here on? Is that understanding correct? " HAVELLS

Anil Rai Gupta : Well, I mean, there has always seem to be seen a balance between revenue growth and margin improvement. I've said this before in the various conferences that Lloyd, we are in a long -term journey for here. And I don't think we are as set in Lloyd as in case of Havells, so I would say that we'll continue to invest in the growth of Lloyd be cause w e see a very large opportunity. And hence, you see new plant coming up for refrigerators also. Even within air conditioners, which is still 75% to 80% of the overall portfolio, there we are more stabilized in terms of market shares, but there is ample opportunity to grow there as well.

And it's not only just price versus revenue, it's also related to the brand upliftment in terms of the minds of the consumer as well as trade. So that's a continu ous journey. We have been continually investing in the brand . That investment will continue. But also it could actually lead to some sort of premium selling in the category . Lloyd spends a lot of money on R&D and developing products, which are technically or aesthetically better than the competition, which takes time for the consumers to buy in and hence pay a premium. So our investments will continue and ensuring that we try and achieve market share growth as well.

Rahul Agarwal: Got it, sir. And secondly, on Goldi Solar, just wanted to understand over a longer term, 3 to 5 years, how should we look at return on investment on the INR600 crores? What is the plan in terms of solar rooftop? Do you think this segment is like INR1,000 c rores business overall on a run rate basis? Any thoughts would really help.

Anil Rai Gupta : Yes. I think overall, in the last 2 or 3 years, we have built this business to about INR400 -450 crores , primarily based on inverters, solar modules and DC switchgears and all. And I think the way we look at it is that this is an emerging market with the renewables, is an emerging market and Havells has a role to play in and, hence, we saw an opportunity to grow this business multifold in the coming years.

Now one of the things to do was whether we should get into manufacturing, which Havells has always been known for, but this is also an industry, which is based on scale and continuous technology changes . Also a lot of global players are also reflected in this. So basically, we wanted to cut out the noise and get associated with selling what is important for us, be in the space of residential consumer and commercial and industrial segment rather than focus too much on the technology as well as the manufacturing. And hence, the investment goes there . Our focus would be to expand the business from a consumer side using this manufacturing base.

Rahul Agarwal : So this is part of the EC D segment, right? The solar inverters are part of EC D, right?

Anil Rai Gupta : Right now it's a part of “others ”.

Rahul Agarwal : Okay. So going forward with the incremental sales, which will come from this category will be more from “others ”? Or will be more from DC switchgears or solar, cables? How should we look at that?

Anil Rai Gupta : No. So , cables and switchgear actually are not really a part of the solar business. That's sort of an advantage we are getting out of that. But otherwise, solar itself is INR400 crore s business right now, which has a potential to grow many folds with the changes, which are happening and this investment.
Moderator: The next question comes from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi : Sir, question on cable and wire. You have seen 2 large groups have announced a plan to enter cable and wire business. So I guess, eventuall

y, the way it is happening in paints, like the brand will eventually prevail and not just the pricing, etcetera. So will we see more investment in branding before the 2 large grou ps enter the cables and wires? Or we will be looking at the situation and then accordingly, we will increase the ad spend or in a way brand -building efforts on cables and wires. So what will be the strategy over here? That is question number 1.
Question number 2, we have seen material benefits coming in the budget. So is there any incremental change in the strategy to in a way grab large share of that additional money, which is lying with the consumers now?
And last question, was there any price hike during the quarter? That's it from my side.
Anil Rai Gupta : See, as far as cable s and wires are concerned, yes, there are announcements by a couple of majors. And I think cable s and wires both as a business has more potential to have more organized competition than regional or local competition. So I think going forward, this industry can go through a further consolidation towards branded products high-quality products. So I think we see this as a positive movement.
But obviously, on the front end, it takes time to establish a brand and distribution channel . Our investments will continue to be focused towards that, continue to enhance our reach, focus on brand building, technological advancements in products. And so that's a journey, which we are already on, and I believe organized competition will be better fo r the industry. Sorry, the next question was?
Aniruddha Joshi : Next question in terms of the price hike and the additional money with tax incentives that are given in the budget.
Anil Rai Gupta : Yes, I think over the last few quarters, we have seen that the consumer demand was a bit subdued maybe because of the cash available in the consumers' hands. And I think the measures, which have been taken during the budget and the RBI, that should augur w ell for consumption in the coming year. Still to be seen, but at least I think the base is set for this year.
Price hikes, we saw a lot of volatility again in the raw material prices in this quarter, especially in copper in the last quarter. And I think based on that, we are adjusting our prices up or down.
We also have cables and wires where prices sometimes get adjusted down as well. So that's a

continuous process. Our focus is more on the margins rather than improving margins through price hikes.
Moderator: The next question comes from the line of Bhoomika Nair from DAM Capital Advisors.
Bhoomika Nair : Sir, my first question is on the cables and wires segment. You've seen a very strong quarter. If you can just talk about the volume versus the value mix because we've also expanded capacity and benefits of that has also come through. So how has that panned out? And if you can give some color between cables and wires , because I think you also mentioned about industrial segment not being very strong. So if you can just comment on that first.
Anil Rai Gupta : Cables and wires with a ~20% growth, almost half of that is value growth in this quarter. And usually, our business holds around 65% wires, and that's continuing. Though there is more value growth in case of wires as against volume growth, which actually means that there is more volume growth for underground cables as compared to wires.
Bhoomika Nair : Okay. My second question is on the switchgear side. We've seen a fairly decent growth for the quarter, and we've seen margins reviving back to its historical levels in terms of both contribution and the EBIT levels. Now would this be something, which we sh ould look at a sustainable level per se as we are going ahead? And how is the B2B segment kind of performing within this?
Anil Rai Gupta : Yes. I think last quarter also I mentioned that there are certain quart

ers where there could be
aberrations upward or downwards. Neither 18% -18.5% segment al margins or 36% contribution margin was a normal or neither around 28% segmental margin was normal. We estimate and we have always maintained 38% to 40% contribution margins in the switchgear business . That is something, which we strive for. And as far as the industrial demand goes, this was muted in the entire year since the elections. So it has been muted. We have gained more in the residential segment.
Bhoomika Nair : Higher costs related to consolidation of the two switchgears factories, etcetera, is now done with and it would be more normalized from here on?
Anil Rai Gupta : That's right.
Bhoomika Nair : Okay, great. I will come back in the queue sir. Thank you so much.
Moderator: Thank you. The next question comes from the line of Renu Baid from IIFL Capital. Please go ahead.
Renu Baid : Good evening and thank you for the opportunity sir. Sir, the first question is just trying to understand a bit more on the demand side, while much has been spoken about the muted consumer sentiment. In your view, how long do you expect this spell to last? It's been almost over a year now. So based on your exper ience and your interaction with the channel partners, " HAVELLS

what would be your reading in terms of when should the market bottom out on the B2C side of the business?
Anil Rai Gupta : Well, I think it's difficult to say because we are experiencing growth. But unlike in the FMCG where we are not getting growth, but we are experiencing growth. It's just that the growth has slowed down. I would say that with the recent changes in the budget , hopefully, the consumer demand should start picking up . Because of the inflationary pressures, whether the real estate demand will continue at the same pace or not. That's something to be seen.
And specifically, just for the quarter, we see that there is a slow growth in the summer products, especially at the start of the April. As I said, it was a delayed summer. Hopefully, it should pan out well in the next 75 days of the quarter, but it's still to pan out. We have to see that.
Renu Baid : Sure. Second would be in terms of Lloyd, while portfolio has done well strategically, all things have been aligned in terms of market GTM, advertisement, product investment. How do you look at the business profitability now that brand positioning is in pla ce and growth is panning out?
Can we now expect the portfolio to deliver mid -single -digit EBITDA on a sustainable basis, mid- to high single digit or do you think there could be more headwinds on the way? And also, while there has been much spoken about the likely shortage of compressors, government wanting to relax the norms there. So do you perceive any potential risk to volume growth in case if summer demand picks up on a stronger note?
Anil Rai Gupta : No, I think the fear of the shortage of supplies is no more there, especially with the delayed summer and muted demand in the last 1 month or so. So I think that's not a big part. But I think, again, Renu, I don't want to repeat again and again because Llo yd is something like a growth engine for Havells. And our entire focus would now be on maintaining a decent growth and profitability, coming back to normalized profitability margin levels in Havells.
When you talk about headwinds in Lloyd, I think the major headwinds are not there. Our cost structures are right in place, except the fact that we'll continue to make investments, whether it is capex investments or brand investments or distribution investments, we will continue to make, having the right promoters at the right channels.
So those investments will continue until they reach a certain scale. And that's when the more operating leverage starts coming in & kicking into Lloyd. So that I do maintain that we are -- product

enhancement, capex , we'll continue to maintain that investment in Lloyd .
So, which means we have gone through the pain of low profitability or losses because of all this transition. I hope as long as there are no major headwinds, that is not a concern. But I don't think I would be in a position to give some numbers to profitabilit y because we will be continuing investment in Lloyd. " HAVELLS

Renu Baid : Got it. And lastly, sir, on the recent investment that we committed for the solar panel manufacturer, INR600 crores is a sizable amount. So if you can just spend a couple of minutes trying to give some perspective on what was the kind of background that we have done for this particular manufacturer, the background of the management promoters who are driving the solar

panel business?
And how essential you think or critical you think was this investment? Without this investment, had our growth plans for rooftop solar would be at risk? So what's the stickiness of this kind of capex requirement to a third -party vendor?
Anil Rai Gupta : Yes, I think second part of the question, I'll answer first. Our growth plans would have been under serious challenge had we not made investment either through our own manufacturing or through an investment with an existing manufacturer. I've already explained the reasons why we chose to make an investment with an existing supplier of more than 15 years experience of production of solar panels which is growing at a fast pace.
So that made a lot of sense than investing in our own technology because going forward, there are a lot of government impetus and push towards Indian own manufacturing, both for panels and cells. And hence, it was imperative for Havells to start manufacturing, so this is a route that we have taken. And I think the company has done careful diligence in all aspects while making this investment.
Renu Baid : And if I can ask how large is this business for us currently?
Moderator: I'm sorry to interrupt, Renu. I would request you to rejoin the queue for any further questions. Thank you. The next question comes from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead
Achal Lohade : Congratulations for the great set of earnings. Two questions. First, on the operating leverage. We have seen that we've made significant investment in terms of the human resource. We have seen that the past four quarters, the run rate for the employee cost has been very much stable. So my question is, overall, if we were to look at, say, a 10% -11% kind of a growth in Havells ex - Lloyd, do you see operating leverage kicking in? Or you think we will have probably stable margin ex -Lloyd?
Anil Rai Gupta : I think we will see some operating leverage coming back in Havells, and that's why there is more confidence on Havells to come back to its normalized margin levels of 13% to 14% -14.5%. That's what the expectation is. So yes, we will be seeing operating leverage in Havells as well.
Achal Lohade : Right. Second, with respect to particularly cables, I wanted to check, given the capacity addition by us and the peers, so there are two parts to this question. One is in terms of demand, the inquiries, etcetera, how things are? Are things improving or stagnant or slowing down in terms of inquiries, order booking, etcetera? And B, on the pricing front, do you see any stress in the cable pricing? " HAVELLS

Anil Rai Gupta : No, I think cable demand continues to remain strong. It's just that there is far more fluctuation in the last three or four months in terms of raw material prices, which is affecting the pricing as well as the margins. But otherwise, demand continues to remain strong.
Moderator: The next question comes from the line of Siddhartha Bera from Nomura.
Siddhartha Bera : Sir, my fi

rst question is on your export strategy. We have been doing a lot of tie -ups in the other markets. And can you just throw some more color about how the export strategy will play out next year? Any percentage, if you can share what was it for this year and how to look at the next few years?
Rajiv Goel : Yes. the international business, you are aware that we are focusing apart from our usual markets, which are sort of Middle East and SAARC and Africa. A couple of years back, we pivoted more towards developed markets like US, Europe and Australia. So , I think they are now beginning to bear fruits. And there we see good traction. US now obviously is in throes of some bit of a chaos. So we do not know how it is panning out.
But we believe that India should be a beneficiary of all the sort of bilateral trade agreements, which we are having, not only with US but other countries as well. So currently, we are still 3% - 3.5% of our overall business in terms of the international. But we believe that the opportunity in international and the growth, which we can achieve in the next two to three years could be pretty sizable.
So I think that's where the focus is. And I think we are ticking the right boxes with our first consignment to US that is India made ACs also reaching there. So I think this should encourage us and give us the aspiration to do bigger in global market, part icularly the developed market with something we started just a couple of years back.
Moderator: The next question comes from the line of Aditya Bhartia from Investec.
Aditya Bhartia : So two questions from my side. One is that when you think about Lloyd, what's the kind of margin level that you think about from the perspective of next two, three years? And what is the longer -term trajectory that you see margins for them?
Anil Rai Gupta : So I've already explained this that Lloyd continues to remain as an investment strategy for Havells for high growth. And again, I don't want to say any numbers for the next two to three

years.
Aditya Bhartia : Sure, sir. Sir, my second question is on the Switchgear segment. If we look at the three kind of broad pillars of the segment: domestic switchgears, industrial switchgears and switches, could you kind of guide us as to what the demand trends are in each of these? And is there an area wherein we are seeing market share gain or significant loss ? " HAVELLS

Anil Rai Gupta : I think we are a very strong player in the residential switchgear business, which continues to remain about 75% of our overall switchgear business. There, over the last couple of years, we have seen market share gains for us and that is the higher growing sector. Where our market shares are generally small, which is industrial switchgear, there we have seen some reduction also. Reduction in the sense that there is some slower growth in this year, especially after the elections.
Aditya Bhartia : Sure, sir. And what about switches?
Anil Rai Gupta : When I say residential switchgear, I'm including switches in this.
Moderator: The next question comes from the line of Praveen Sahay from PL Capital.
Praveen Sahay : Sir, my question related to the Lloyd and the RAC industry as a whole. As you had mentioned, there is a delay in the summer in the April, which impacted the volume for April. Is it also because of a strong buyin g in the Q4, which is impacting the summer season? Because we are also hearing around 20%, 30% of a de -growth in the April month in the South India. So how to look at the way forward for the RAC industry as a whole?
Anil Rai Gupta : No, I think when I say that there is a slower growth in the month of March and April, this is more from the secondary sales, the tertiary sales to the consumer that I'm talking about. Yes, there has been higher primary sales in the fourth quarter, which ob viously, if the secondary s

ales
are slow, then the first quarter primary sales will get impacted, so which is getting impacted. But as I said, it's too early to say it's still half of the month, and let's see how the summer pans out in the north India .
Praveen Sahay : And also related to this, Lloyd only, you had in the press release mentioned that the cost saving initiative and the operating leverage has led to the margin improvement. So these things with the volume to continue in the way forward is what I believe. Is it right to understand?
Anil Rai Gupta : Yes.
Praveen Sahay : And last, sir, on the...
Moderator: Sorry to interrupt Praveen, those were your two questions. I would request you to fall back in the queue. The next question comes from the line of Deepak Gupta from JM Financial Asset Management.
Deepak Gupta : My first question is on Goldi Solar. Sorry to harp on it, but historically, Havells have always been focused on B2C businesses. Now with this investment in Goldi Solar, are we changing our stance and looking at investing into B2B businesses in a meaningful manner?
Anil Rai Gupta : No, I think the business that we are doing in the 'others ' segment, which is solar is more focused on the consumer, which is residential and commercial & industrial. We are not in the utility " HAVELLS

business, and that's why we have not gone into making huge investments into utility scale of manufacturing for solar panels. So the strate gy continues to remain more consumer -based.
Deepak Gupta : Sure. And my second and the last question is that could we look at this invest ment as a financial investment o r would you be looking to increasing your stake in this company in the foreseeable future?
Anil Rai Gupta : I think, first of all, it's not a financial investment that we are looking at. It's a very strategic investment. And the way we are looking at is to have a meaningful presence in the solar renewable business and also have supply surety. As I said, it is more as a decision for make versus buy. And to have surety on supplies, this is why the investment has been made.
Deepak Gupta: Sure. Thank you.
Anil Rai Gupta: Thank you.
Moderator: The next question comes from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Thank you for the opportunity. I want to know about the lighting business. We have delivered volume growth in this business in Q4 and for the entire year?
Anil Rai Gupta : Right now, I don't have the numbers. Manish, would you have?
Manish Kaushik : Yes, it's high single digit.
Keshav Lahoti: This is for both Q4 as well as entire year?

Manish Ka ushik : Yes, it is for Q4.
Keshav Lahoti: Understood. Got it. And sir, as you highlighted the solar business is INR400 crores -INR450 crores. What sort of operating margin we are making in this business a nd what sort of plan we'll have, let's say, 3 years , 4 years down the line?
Anil Rai Gupta : Again, the focus is first of all to be a meaningful player in this industry. It is a lower -margin business because we have been completely depending upon outsourcing, b ut over a period of time with th is strategic partnerships, we will be a ble to improve margins as well, b ut the main focus is to increase the business at a much faster pace.
Keshav Lahoti : Understood. Got it. That's it. Thank you.
Moderator: Thank you. T he next question comes from the line of Chaitanya Devpurkar from Paterson PMS . Please go ahead.
Chaitanya Devpurkar : Good evening. Thank you for the opportunity. So, my question is related to the new products that we have launched under the Lloyd , which are refrigerator and the premium air conditioner " HAVELLS

also. Now I understand you guys are refraining from giving any margin from the Lloyd's perspective, but what is your ads spend perce

ntage of revenue b ecause with the new products coming in, do we expect the adv ertisement revenue to increase o r do you believe that the brand presence that the Lloyd has is enough to keep that product also in the market?
Anil Rai Gupta : Yes, I think we believe it is enough because we are anyway investing over a longer period of time and it is more on the brand rather than just about the product. So within this whole advertising budget as a percentage to revenue, it can vary between produc t to product over a period of time depending upon what is needed at that particular time. But otherwise, we believe that this should remain where it is.
Chaitanya Devpurkar : Okay. Thank you. And my second question will be on the whole industry perspective. I think we are hearing that currently the air conditioner industry is facing somewhat of compressor shortage. Given the gravity of the current situation of this particular thing , is it really that concerning a nd if yes, then how we as Havells are placed in the industry level?
Anil Rai Gupta : I think, for Havells, I would say it is not that much of a concern at the moment.
Chaitanya Devpurkar : Okay. Thank you, sir.
Moderator: Thank you. T he next question comes from the line of Nitin Shakdher from Green Capital Single Family Office. Please go ahead.
Nitin Shakdher : Good evening. T his is Nitin Shakdher from the Green Capital Single Family Office. I just want to understand from the management, is there an opportunity to increase the revenue on the export market of cables and wires in specific when you're facing domestic competition f rom other players and when you move to a strategy where you increase your export revenue, maybe to countries like U.S. or China or emerging markets, how does that pan out considering some margins might be at, I would say, a l ittle bit of a stretch in that sense on incumbent players coming?
Rajiv Goel : No, I think the cables export and wires export is pretty much already part of the strategy in international markets. And that is irrespective of the intensifying competition, as Anil explained in the beginning that these kind of entry of new players will only broaden and deepen the formalization of the sector. So we believe that these two are independent and maybe contiguous strategy.
But it's nothing to do that now we need to accelerate our focus on international because there is a heightened competition. I think India is always a competitive market, b ut yes the international strategy is already running you see in parallel with the domestic strategy. Our focus on domestic will continue to be very relentless. And I think we will do whatever it takes to gain market share. " HAVELLS

And I think that's not mutually exclusive option. These are something which is run concurrently. So yes, the international business will grow on cable and wire and the domestic business will also grow in cable and wire.
Nitin Shakdher : Yes. So in relation to that, sir, I just wanted to check with you what is the on -ground feedback from your larger wholesale distributors or wholesalers? How do they look at competition? Is it margins, is it brand loyalty, i s it that the company needs to increase distribution margins to retain a lot of the distribution force? How does it really pan out? If you can just give us a bit of a color on that?
Rajiv Goel : No, it's everything. Nitin, it's everything. It's not just one thing. This has been built over years.

So I think people look at the quality, people look at the brand, people look at the consumer p ull, Even pricing could be part of that. But it's not just one thing which determine and on which the entire edifice is built up. The moat is not built on a single thing. There are multiple moats, which play out. And it is not that the competition was not there in this industry.
Anil Rai Gupta : And also in case o

f industrial cables, if you look at it, it's a very long -term thing built on getting approvals from various consultants, various government bodies, various corporate sectors. So as Rajiv said, it takes years to build towards that.
Nitin Shakdher : Okay. That's it. Thank you. That's all from my end and all the best.
Moderator: Thank you. Th e next question comes from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : So, c ongratulations on impressive growth in Cable and Wire and Lloyd, profitable also. Sir, my question is on switchgears. I'm sorry to harp on this segment. We have an INR1,800 crore s residential switchgear business and roughly INR600 crores, INR700 crore s industrial switchgear business. The entire segment is fairly dominated by MNCs.
We've seen Havells improving hiring from MNCs and also launching a lot of industrial switchgear range in recent p eriod. So what is the strategy Anil ji on switchgear? This business is not growing th e way industry has been growing, because of the presence that we have, which is fairly limited. So anything on that part you would want to elaborate on switchgears? That's my first question, sir.
Anil Rai Gupta: Are you talking specifically, Amit, about the industrial switchgear?
Amit Mahawar: Yes, sir.
Anil Rai Gupta: Okay. So industrial switchgear, yes, I think Havells market share has been low. And also, this has taken us a little bit of a backseat in the last decade or 2 on terms of product development, or catching up because our focus was more on the res idential and the consumer side.
But I think last few years, we have invested heavily in terms of building our product portfolio towards matching up with any competition. And I think , as I was talking about the industrial " HAVELLS

cables business as well, this is a very long haul kind of a market share improvement business. It has lots of barriers to entry, product approvals from various consultants, government bodies. And so it is not something, which can have immediate results. It is a long haul, but Havells has decided to be in this industry in a meaningful way over years . Because it complements very well with our residential switchgear business, both in terms of manufacturing and R&D.
Amit Mahawar: And second and quick question is on Lloyd. We have to invest on refrigerators also. Without going into numbers, can I say in '26 and '27, our profitability ramp -up will be irrespective of refrigerators investments?
Anil Rai Gupta: I think, Amit , the ref rigerators right now, it is being sourced and, hence there is anyway lack of contribution in the ref rigerators business. So going from here, there should be an improvement. Initially, it could be some teething issues, but there should be an improvement once the manufacturing comes.
Amit Mahawar: Good luck, sir . Thank you.
Moderator: Thank you. The next question comes from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.
Girish Achhipalia: Thanks for the opportunity . I just had a couple of bookkeeping questions and one question on solar. So on bookkeeping, can you help us with the Lloyd channel mix currently, and do you expect that t o change in the next few years?
And the second one was on capex . If you can help with what do you expect to spend in the next 1 year or 2 -3 years? And if high -level color can be given on segment level? And finally, on solar one clarification. The investment that is done, I wanted to understand, are you not getting volumes? Or are you not getting quality volumes, which kind of prompted you fo r this decision to secure this investment?
Anil Rai Gupta: I think over the last few years, we have seen a movement from the traditional distribution channel in Lloyd towards more organized retail, modern format retail, regional retailers. And that is something which we ha

ve seen as a trend that has happened more in South and now it's catchin g up in North and East as well. And I think going forward, while the company would strive to be going through the traditional distribution channel also for a deeper penetration into smaller towns, but we do see a movement. And today, more than 50% of the sales is coming from the modern channel .
So on capex , if you're specifically asking the question about Lloyd capex , I think post the investment in the refrigerator business, we do not anticipate a huge capex for the next couple of years. " HAVELLS

As far as the solar investment is concerned, there are both, I would say, lack of supplies for not only quality supplies, but also supplies itself because of a lot of quality control restrictions and import restrictions , which were hitherto easily available. So there are restrictions and hence, both availability is lacking as well as quality, which is reflective of the brand of Havells is also a question mark.

Girish Achhipalia: Can you just answer on the broader company level capex , please? And if any segment level details can be given, Cable & Wires …

Anil Rai Gupta: I think next couple of years we have estimated that over -- in the next 2 years, the re will be a total of about INR 2,000 crores capex . This also includes the new R&D center.

Girish Achhipalia: Anything on Cable & Wires here in particular?

Anil Rai Gupta: Nothing in particular. This is the total investment.

Girish Achhipalia: Okay, thank you.

Anil Rai Gupta: Thank you.

Moderator: Thank you. In the interest of time, we will take 1 last question. That would be from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you for the opportunity . First question on the demand side. So demand for cables, how the momentum has sustained and demand for real estate -related products, specifically wires and switchgears, which is a leading indicator and then which is followed by other categories? That is first on the demand?

And second, on Lloyd, now from here on, how should we expect, I mean, say construct of the growth? Will it be driven by non -AC category? And ACs, we have reached a scale, so it should be more in line with the market or we have scope to grow market share in all the categories, including AC? So just if you can deconstruct the growth for Lloyd, and first on the demand for cables and other real estate related products?

Anil Rai Gupta: Yes. I think demand for cables has been robust in the last year and real estate demand in the large metros has been sort of slow, but we are also increasing our market shares in the Tier 2, Tier 3 towns. So that has also helped the domestic wire business and the switchgear b usiness.

As far as Lloyd is concerned, while ACs comprise a large part of the overall sales and our endeavor would be to increase the sales of other non -AC products. But we also see that there is market share growth potenti al for air conditioners as well . We are still in the low to mid -teens and, hence, I think there is more potential to grow market share there as well. So there will be a heightened focus on all 4 product categories to increase sales in the coming time.

Keyur Pandya: Okay. Thanks a lot. All the best. " HAVELLS

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.

Bhoomika Nair: Yes. Thank you, everyone, and all the participants for being on the call and particularly the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best.

Anil Rai Gupta: Thank you, everybody.

Moderator: Thank you. Ladies

and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. You may now disconnect your lines. " HAVELLS

Call: Jul 2025

24th July, 2025

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the first quarter
ended 30th June, 2025

Dear Sir,

This is with reference to the Company intimation dated 16th July, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the first quarter ended 30th June, 2025 scheduled for 21st July, 2025.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above
H
HAVELLS GROUP
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway , Naida -201304, U.P (INDIA). Tel: +91-120-3331000 , Fax: +91-120-3332000, E-mail:marketing@havells.com,www.havells.com
Registered Office: 904, 9th Floor, Surya Kiran Building, K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells: 08045771313 , for Lloyd: 08045775666. GIN: L31900DL 1983PLC016304
M HAVELLS I LLO~!:) I HAVELLS erabtree I S STANDARD I R£

Havells India Limited
Q1FY26 Earnings Conference Call
July 21, 2025

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR , HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTOR AND GROUP CFO , HAVELLS INDIA
LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR , HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR , HAVELLS
INDIA LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Havells India Q1 FY '26 Earnings Call hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.
Bhoomika Nair: Thanks. A warm welcome to everyone on the Q1 FY '26 Earnings Call of Havells India Limited.
We have the management today being represented by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.
At this point, I will hand over the floor to Mr. Gupta for his initial remarks. Post which, we will open up the floor for Q&A. Thank you, and over to you, sir.
Anil Rai Gupta: Good evening, all. Thank you for attending the call today. Hope you all would have reviewed the results by now.
Q1 was a challenging quarter with unexpected weak summer and prolonged subdued consumer demand. The decline in cooling products revenue was more profound due to a strong base of last year.
On the other side, infrastructure & industrial -led demand continue to drive robust growth in Cables & Wires segment. We have further accelerated capacity building investments in this segment with an additional CAPEX commitment of over Rs. 3

40 crores announced during the quarter.
Our focus on cost discipline resulted in modest growth in expenses, a step towards driving better operational efficiency.
During the quarter, we invested Rs. 600 crores in Goldi Solar to accelerate our growth in the renewable sector. Through this investment, we target to expand Havells' solar portfolio by leveraging Goldi Solar's module manufacturing capabilities.
We feel Q1 challenges are transitory and expect to drive revenue growth and margin improvements over the coming quarters.
Thank you. We can now move to questions and answers.
Moderator: The first question is from the line of Vishal Dudhwala from Trinetra Asset Managers. H

Vishal Dudhwala: I have a couple of questions , first question on the macro side. With rural infrastructure spend and electrification schemes accelerating, but the urban CAPEX is slightly low, how are you seeing demand split between urban and rural markets in upcoming quarters? And which product lines are you focusing?

Anil Rai Gupta: Very good question. I think, we still are nascent in our rural journey, though we are one of the deepest penetrated in the electrical industry as far as rural markets are concerned , but it still comprises only 5% to 6% of our overall consumer product revenues. But it is growing at a faster pace than in the urban areas. And one of the reasons , as we now have the base of distribution, we are expanding our product range in those markets. Last year, we expanded not only giving the REO products, but there was a consumer demand for Havells branded products as well. And last year we have launched that , that is also giving us growth. So, even in this particular quarter, if you see our rural growth, though very small, has been higher than in urban demand. And this will continue in the future also. We will keep adding deeper distribution. We will keep adding product categories into the rural areas. And we believe that this will be a good growth engine for the coming yea rs.

Vishal Dudhwala: Okay. As you said, you will expand your distribution , so the second follow -up question is on Lloyd . Revenue mix has shifted towards channel expansion in North and West India , how are you balancing deeper penetration against margin preservation? And specifically, like competitive discounts are rising , so how are you managing that?

Anil Rai Gupta: I think for Lloyd's, actually, over the last few years if you see, we have been expanding margins, and this is a combination of a few things, not just market pricing or discounting, but also a lot of internal efficiencies, manufacturing efficiencies also. So, Lloyd will continue to remain on this journey of margin improvement by better operational efficiency as well as better price positioning in the marketplace. So , while this market will be a competitive market, but we do feel that there i s a good positive room to grow margins in Lloyd.

Vishal Dudhwala: Okay, got your point. That’s it from my side. I will wait for the upcoming questions.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Yes. Good evening, sir. Sir, obviously, this quarter has been quite challenging with the weak summer. If you can talk about the inventory levels at the channel for both AC, fans and coolers, which have been the key areas of decline that you have seen this quarter , how is that at the current moment? And with Lloyd seeing fairly weak performance in 1Q, does that kind of impact our full year performance in terms of continued turnaround and improvement in margin profile?

Anil Rai Gupta: No, I think, first of all, it is a challenging quarter, but a challenging quarter based on the fact that it was a seasonal effect. So, it was not something which was pertinent to one brand or one company , it was a market reality. And I t

hink how we fared during these times in terms of ensuring how we manage our supply chain, how we manage our expenses, I think that's the key H

and whether we continue to invest for the future. So, Lloyd, I think we are looking at a fairly medium to long -term play.

What is very encouraging is the fact , if we actually see that we grew extremely well last year first quarter, and then again because of structural demand there is a degrowth in this year. But during these two years, if you see, while the revenues may have remained the same in this quarter, our profitability improvement or margin improvement is significant. And this is despite the fact that Lloyd continues to invest in brand building as well as deeper penetrati on for which requires it to invest in in -shop demonstrators and feet on the street. So, those expenses have increased, but there has been tremendous margin improvement.

So, again, as I said in my opening remarks, Q1 can be seen as transitory. And we see that, structurally, Lloyd is on the right path to gain revenue growth as well as profitability.

Bhoomika Nair: Okay. And on the channel inventory, sir, across the three product categories ?

Anil Rai Gupta: I think, when there is such a deep reduction or destruction in demand because of certain structural reasons, channel inventory would be there. We have also high inventories at our level. And I am sure while we can say that during the second half of the first quarter the primary sales had already reduced, which means the channel inventory might have adjusted itself to some extent, but I am sure it would not have come down to a normalized level. So, it might take some more time, maybe a few months for the entire supply chain to get readjusted .

Bhoomika Nair: Okay. And just quickly on cables and wires, it was a fairly strong performance. Could you kind of call out the volume versus the value growth for the quarter? And we are expanding our capacity out here , so how has the wires versus cable played out for us?

Anil Rai Gupta: I think overall, the volume growth is about 20% -21% as against 27% overall value growth , and very similar growth both in cables and wires. This is because of the fact that there has been a decent demand on a low base of wires of last year as well as we have expanded capacities in underground cables, which is now panning out. And that investmen t continues till next year for

underground cables. So, actually, if you see from FY '24 to FY '27, we will be doubling our capacities in underground cables, which will be coming at different times. And since the Tumkur facility has now started giving us production, so the underground cable sales have also grow n at a decent level.
Rajiv Goel : And we really perceive a good growth traction in the medium term on the cable side. So , I think we are fairly positive on the same , on the Havells side that this will be a good growth opportunity we have got now. And with the capacity now falling in place every few months till FY '27, I think this will also substantiate our efforts to grow the business.
Bhoomika Nair: So, will the cable mix improve versus historically at 30% to 40% kind of a range? H

Rajiv Goel : To some degree, yes, but wire has also been a very strong growth for us. So, we will not claim very meaningfully. But yes, I think, it could improve from what it is today.
Bhoomika Nair: Sure, sure. Great. I have some more questions, I will come back in the queue. Thank you so much.
Moderator: Thank you. The next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.
Natasha Jain: Thank you for the opportunity. Sir, my first question is on Lloyd again. So , Lloyd is predominantly a South and East index ed brand, and summers was worse over there versus North and Wes

t. Now , when I went on my distributor check, what I understood is the distributors have moved products from South to North in order to liquidate their own inventories. Now , you mentioned to the last participant that your inventory is also high , can you tell us how high is it? Could that lead to some price discounting we could see in the following quarters?
Anil Rai Gupta: Are you talking about our inventory or the channel inventory?
Natasha Jain: Your inventory, at Lloyd's, at Havells' end, not the channel's end.
Anil Rai Gupta: No. I think, if you see Lloyd inventory is definitely at a high level , because you know very well that we have production facilities which continue to run at full capacities from October. We build up inventories till March. And so there was a decent amount of inventory at the end of March as well, which obviously could not be brought down to normalized levels of very low inventories at the end of June. And because we have two manufacturing facilities, plants have to keep running. So, I think, if we really see from a season point of view, then it's not a very large inventory, but we are now coming into the upcoming low season for AC sales. But we are very confident that in the next couple of quarters all this will get readjusted fully.
Natasha Jain: Understood. My second question is on the creditor days. Your creditor days has reduced from 57 to 44 , any specific reason for that?
Rajiv Goel : I think, largely because the manufacturing activity also were lighter, particularly, let's say AC s for example. So, what happened in the last few months of the quarter, we were not producing to the optimal capacity. So, what happened that you are also not purchasing, you see, what you are doing compared to last year. But the creditors keep getting paid off. So, ideally, had the manufacturing been at full peak like last year, then you would not have seen this difference. So, I hope you understand it's more of a cycle thing. Nothing structural changes that we have changed any terms or anything with the creditors.
Natasha Jain: Understood. Sir, one last quick question. When I see your ECD margin trend, that's been on a declining trend, and Havells is one of those companies, which is indexed to premium products. So, honestly, the margins should have gone upwards rather than downwards. So, any structural H

change? I mean, competition too much? Or what is happening there in terms of sustainable margin decline?
Anil Rai Gupta: No. I think the way we track is that we actually track contribution margins, where we have started seeing improvements in our ECD business in all the businesses. And sometimes it's a product mix issue, because the summer product didn't sell very well in th is particular quarter. So, the contribution margins, if you look at business to business separately, fans, water heaters, coolers, SDA, they are all on the improvement side.
So, two things ; product mix changed, because of lower summer season sales; and operating leverage also could not be achieved today, because of the lower growth. But we called out earlier also, that whilst we are also looking for good growth, but we are also improving margi ns through operational efficiencies and premiumizing our portfolio.
Natasha Jain: Got it, sir. Thank you so much. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Renu Baid Pugalia from IIFL Capital. Please go ahead.
Renu Baid: Hi, good evening team. Sir, first question is , sorry to circle back on the channel and capacity inventory. Sir, is it possible for you to quantify the inventory situation both on the RAC as well as the fans portfolio levels of the company and which may have a drawdown in the coming months, this is non -seasonal trends ahead?
Anil Rai Gupta: No, we would not like to quantify on this call.
Renu Ba

id: Sure. Sir, secondly, cables with now capacity doubling in the next two years. How are we investing to build our capability and portfolio as well as pre-qualifications in the cables business after a late catch -up. So, any details or comments that you would like to give here?
Anil Rai Gupta: Yes. I think when we are saying doubling the capacities from FY '24 to FY '27, that's when the major CAPEX started from FY'24-25. But I think right now, we see a good traction. Our issue was capacity , was not capability to sell . Also, we are building new customer base as well as not only in India, but outside India as well. We are seeing good traction in the export markets and our growth in export markets are also quite decent for underground cables. And that will continue.
Renu Baid: And cables broadly will continue to be a low voltage portfolio for us? Or we are making any investments in the medium voltage segment as well?
Anil Rai Gupta: I think major investments which have gone for capacity expansion are both more for medium voltage to high voltage. Actually, we had enough capacity on the low -voltage side. Our major buildup is more on the medium voltage and high voltage. H

Renu Baid: Sure. And lastly, given that we have now investment committed for Goldi and investing in the Solar segment, would you like to share what would be Havells aspirations in the solar market, both rooftop and solar pumps? And from a three to five-year perspective in your view, how large can this segment be for us in revenue terms?
Anil Rai Gupta: I believe that with this investment and the way renewables is coming up, we are definitely looking at a very sizable growth in our solar business, our Renewables business. I think last year, we did about Rs. 500 crores in the solar business. We definitely see that it could cross maybe Rs. 1,000 crores - Rs. 1,500 crores in the next couple of years.
And you said next four to five years, there's a huge potential for growth coming up there. I would not like to just divide this between modules or solar pumps, because solar pumps is also a bigger opportunity. But this is something which is happening overall. And just remember, it's not only our products like solar panels or inverters, which get sold, but it also builds a pipeline for selling cable, switchgears, and other allied products also in this business. So , I think we are looking at this sector for future growth opportunities. Renewables, I think, is something which we will focus on in the next few years.
Renu Baid: Got it. Thanks sir. And best wishes to you. Thank you.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, first question is on the “others ” and ECD category where we have seen decline. Now I believe others also includes many other components. So, is there a seasonal element there as well where we have seen a drop or any particular category which is sort of leading to that decline? And same for ECD, is it largely only led by fans? Or there are categories where you have seen growth? So, some color there would be helpful.
Anil Rai Gupta : So, in others, we also saw a decline in fans, because of the intermittent rains and motors as well as in ECD, primarily it was fans, but also room coolers. So, that also saw a significant decline in sales, very similar to what we saw in air conditioner business.
Siddhartha Bera: Understood. And when you say, this is transitory, have you already seen signs of any recovery sort of playing out in any of these categories in the current quarter or going ahead or still things remain lackluster as of now?
Anil Rai Gupta: Very early to say, because especially products like ACs and coolers, it's in the very low season period anyway. And fans is now more like a structural de

mand than just seasonal demand. In the season, it definitely increases. During these quarters, it's not as pronounced as in room coolers and ACs. So, we will definitely see growth in fans in the coming months, but it may take one or two months for the inventories to get readjusted in the channel. H

Siddhartha Bera: Understood, sir. Sir, lastly, on switchgears, we have seen the contribution margin also falling a bit sequentially. Is it any mix impact or anything which has happened there, if you can help us understand?
Anil Rai Gupta: Yes. Again, I would say that we have always maintained 38% to 40% is something which we try to look at in the switchgear segment. Sometimes there is a mix element of maybe higher exports or higher project -oriented business. But generally, this is what we are aiming for. If you have seen over the last few quarters sequentially, we are improving now, and we are trying to get into the range of the 38% to 40%.
Moderator: Thank you. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: While the season has been bad, but if you can indicate, is there any market share gain in the three products, RAC, fan and coolers? And secondly, what are the initial additional initiatives done by Havells to clear up the inventory, like additional discoun ts to the trade or like the market leader is giving free installation of air conditioners or something like those kind s of any initiatives which Havells has started?
Anil Rai Gupta: Yes. I think a lot of times, it also depends upon the selling strategy of various companies. If you see from the start of the calendar year, January to June, our sales have fairly remained flat over last year, and we are also seeing, if you look at the fig ures, what we get from the market intelligence, we continue to remain amongst the top three sellers for air conditioners. As far as discounting or anything of that goes, Havells is generally not a company who would take short - term decisions . In any case, during the season time, there are more attractive incentives given to consumers so that while they are picking up the product, they are selecting a certain brand. And that Havells or Lloyd also comes out in the quarter. But I do not think on an unseasonal basis, they will be coming out with heavy discounting. That's not what has been a strategy. We are fairly flexible with our supply chain. And hopefully, that should come to our benefit in the second and third quarter. So, we have better adjustment capabilities in the coming quarters.
Aniruddha Joshi: Okay. Sure, sir. Last question. Rural sales has remained at 5%. I guess this number has remained 5% to 6% over many years now. Now like Havells had done, I guess, some rural stores, I guess, Utsav was the name of the stores. Again, we have pumps business a lso. So , what are the three to four key initiatives that we are working to take this 5% number upwards? And you have any three year or five year target for rural sales to increase, maybe 10% of sales or 15% of sales? Anything like that?
Anil Rai Gupta: Havells is a portfolio of many products and brands. And I think overall, as a company, it's not right for us to give a number for overall rural sales. The initiatives that you talk about, I spoke earlier also. While we are also opening Utsav stores which are fully branded, full brand stores in very small areas like 5,000 to 10,000 population, which is actually giving us very good traction from those areas. But also, we are adding product categories in the same channel. So, the H

initiatives could be like we have added pumps. I spoke about the Havells branded products also launched in the last one year. Very soon, we will be looking at launching Lloyd products through this channel al

so.
There is a certain development time required for these markets, because not the entire complete portfolio is given to the market. We also do it at a pace where it can be absorbed in those markets rather than just become the dumping ground for businesses. So, I think it's a fairly calibrated strategy of expanding the network and expanding product categories. And some of the product categories actually have broken the 10% level. Even REO brand has gone to almost 25% coming from the rural areas. So, I think t hat's how we are targeting whichever product category or brands makes sense for the rural markets, we will continue to expand the share of that.
Aniruddha Joshi: Okay. Sure, sir. Very helpful. Thank you.
Moderator: Thank you. The next question is from the line of Praveen from PL Capital. Please go ahead.
Praveen Sahay: Yes, thank you for the opportunity. Sir, my question is related to the gross margin, which has improved by 160 basis points Y -o-Y. If I look at your contribution margin or even the EBIT margin, except the cable or others, which has improvement. So, what is the reason for the GM significant improvement?
Anil Rai Gupta: Sorry, I am a bit lost , what was your question?
Praveen Sahay: So, gross margin for the quarter has been improved on the Y -o-Y side, whereas if I look at the segment -wise, the contribution.
Anil Rai Gupta: Sorry, where are you seeing this number?
Praveen Sahay: Gross margin, sir , material margin, like I say --
Anil Rai Gupta: So, I do not know whether you have gone through the information memorandum, where we give

contribution margins for each business, and that's how we usually track, because product mix can vary completely in a quarter. So, we have to look at quarter -on-quarter numbers, Y -o-Y numbers for various different businesses like Switchgear separately, Lloyd separately. That's how we look at it.
Praveen Sahay: Okay, sir. So, next question, I will come to. That is related to the Lloyd itself. As you had already mentioned that the inventory level was on the higher side. And also, there is a B EE norm change by January '26. So , do you believe there would be some pressure of a liquidation of the product in the coming quarters, which will be a risk to our margin profile?
Anil Rai Gupta: No. Actually, the inventories are not that high level that in the next 2 quarters, we will be worried about the fourth quarter. So, I think usually, October to December quarter is a bigger quarter, H

and we have our own factories, we will be adjusting our supply chain. So, we do not see a challenge in terms of transition towards new BE E norms.
Praveen Sahay: Right, sir, right. If I can take on the one last question related to the lighting. You had mentioned 10% Y -o-Y LED prices decrease. So, what's your expectation the way forward in the coming quarters, the LED pricing to be? It is, continue to be a declining phase? Or do you believe this is done from here onwards?
Anil Rai Gupta: I think, when we compare Y -o-Y, there seems to be a decline and again, over a large product mix. But sequentially, now they are plateauing. And hence, we should be in a position to see growth in the Lighting segment. As you would have seen that we continue to invest in lighting, our contribution margins continue to remain high because we are selling very high -end premium products, more solution -oriented products in the Lighting segment rather than getting into very low-cost businesses. In fa ct, our margins in lighting are industry -leading margins, and we will continue to invest there.
We have to tide over this time of price deflation. And I think over the last few years, Havells has done a tremendous job in terms of maintaining profitability during this deflationary period, while also continuing to expand capabilities in selling product s which are far more solutio

n oriented.
So, I think we are very, very positive about the lighting business in the coming time s.
Praveen Sahay: Thank you sir. And all the best.
Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Yes, good evening sir. Thank you for the opportunity. Sir, two questions. First, just on an aggregate basis, for the RAC and fans, particularly, is it fair to say that we would have maintained market share, we would have lost or gained a little bit market share on a Y -o-Y basis on a like -to-like basis? I am just like a bit puzzled about the sharp decline. Like ECD, we have seen for the first time such a sharp decline for a mature category like fans. So , is there anything specific to us for the quar ter? Or it's the industry as a whole has seen that kind of a double -digit decline even in fans?
Anil Rai Gupta: Again, as I mentioned earlier, there are certain selling strategies. For example, in air conditioners, we achieved a ~40% growth in the fourth quarter, and that was an industry -leading growth in terms of room ACs. So , if we actually see the first six months of the calendar year, we believe that we have either maintained or gained market share in room air conditioners.
As far as fans are concerned or ECD is concerned, it also has to be looked into a combination of both fans as well as room coolers, which room coolers saw a much more sharp decline. As you would recall, we were growing at a very fast pace in room coolers t ill last year. We have made structural changes in our room cooler business, and we were gaining market share heavily. But H

it's also because of , again, the structural seasonal destruction of demand in the room cooler business, so we saw a sharp decline.
I believe that there is no reason why we would not have maintained or gained market share in our fans business, where we have been investing heavily in building the premium portfolio as well as the BLDC portfolio. So , our distribution reach has also improved significantly over the last year. So , we believe that we would definitely not have lost market share in any of the product categories.
Achal Lohade: Got it. And the second question I had with respect to cable and wire margins, 12.6% PBIT margin. I was just curious if cables have grown at a faster pace, then there would be some impact on the margins. On the contrary, margins improved. So , is there any structural change in the

cables margin we have seen or the newer categories what we are selling are better margins compared to what earlier it was?

Anil Rai Gupta: I have not said that cables has grown faster than the wires business. That is very similar growth. Maybe wires might be a few percentage points more growth as compared to cables. But what we were not able to see in cables growth earlier, now we are seeing because of enhanced capacity expansion. And obviously, better operating leverage, a good product mix would help in margins. Again, quarter -on-quarter, it's very difficult to say that these are steady -state margins. But we usually are ranging between 14% to 15%. This particular quarter has been 16%, but our aspiration has always been between 14% - 15% for contribution margins for cables and wires business.

Achal Lohade: Understood. This was very helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Funds. Please go ahead.

Naushad Chaudhary: Thanks for the opportunity. Two clarifications. First, on the Lloyd business, just wanted to understand if broadly our cost structure or the efficiency which we were seeking from this piece of business is broadly set for us? And if one season goes well for the category, can we think this business margin can be as good as any other guys are operat

ing in the same segment?

Anil Rai Gupta: Well, I do not know. Do not want to say compare with the others. But as I have always mentioned that our investment in brand building and distribution is higher as compared to the others. But we have been able to get benefits on the structural changes in terms of our cost structures. And that's what I said maybe some time back on the call itself, that if you compare our results of last two years in Lloyd, we have seen significant improvement in contribution margin despite the fact that we have continued to invest in brand building as well as people deployment in the distribution. So, that is very heartening to see. And hopefully, this should be good for the coming quarters for Lloyd. H

Naushad Chaudhary: All right. And second, on the switchgear business, as there are new players who are getting very aggressive in this piece of business, because of the lucrativeness this category offers. Are you also experiencing the competition emerging here and that might give some risk on the growth as well as on the margin side of this piece of business , what is the outlook here?

Anil Rai Gupta: Actually, on the switchgear side, there is less of emerging competition, more is the established competition, again, because this has higher barriers to entry in any case. So, I think switchgears, margins wise, you are not seeing that much issue on the business.

Naushad Chaudhary: And the growth outlook here, sir?

Anil Rai Gupta: Growth outlook, as I said initially also, that the consumer demand overall has been tepid in the last few quarters. I think this will pick up, hopefully, in the second half of the year, where we see that by that time, things would have settled down. With a good festive season, hopefully, we should start seeing growth in our core categories.

Naushad Chaudhary: Sure. All the best. Thank you so much.

Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie India. Please go ahead.

Ashish Jain: Hi, sir. Good evening. Sir, my first question is on the investment in Goldi Solar. Apart from product access, what is the thought process behind it? And how do we really stand to benefit from that?

Anil Rai Gupta: I think, I had mentioned earlier also, today also, that renewables is something that Havells is looking at as a big future growth possibility. So , our investment is definitely to ensure that we have product access to achieve this growth opportunity.

Rajiv Goel : And I think, Ashish, increasingly, the government is insisting that all the products should be make-in-India, including cells also. So , I think it's important to align through a strategic investment. The other option would have been to do it all yourself. But we believe this has been a balanced way of assessing the best possible source and as well as you see having a strategic imperative there. We do not want to be transactional in this business. We believe the renewal has a lot of, sort of, multiple levers going forward. So, tomorrow, it could be even battery storage, which could come up. So , I think unless you invest in these businesses, you cannot have the long-term structural story in that.

Ashish Jain: Sir, can you talk a bit about, if possible, about what Goldi Solar is doing apart from solar panel? Like is there something else, which is in the offering?

Rajiv Goel : So, they are also going backward integration into solar cells as well. And I think there are opportunities tomorrow also could be into battery energy storage as well. But right now, it is for the modules as well as for the solar cells, which they are going to plan in the next 18 months. H

Ashish Jain: Okay. Got it, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Umang Mehta f

rom Kotak Securities. Please
go ahead.
Umang Mehta: Hi, thank you for the opportunity. My first question was on wires. Did we see any inventory buildup in that segment considering that copper prices were on an uptrend through the quarter? And gradual price up move is generally good for your margins, right? So , when you say a normalized kind of contribution is 14% to 15%, that's the kind of outlook you are giving for the near term. That's correct?
Anil Rai Gupta: Yes. I think, first of all, yes, we did see some inventory buildup in the first quarter for wires. But this is a short cycle, and hopefully, this should get clear in the next first 15 -20 days of the month. So, it's something which is not a regular thing and it's very difficult to predict also. But yes, you are right, I mean 14% - 15%, and I say it's a combination of both cables and wires. We do get benefited if there is a gradual upward movement and higher sales. That's why I am saying that maybe this particular quarter would be 16%, hopefully. But we are definitely always aspiring to be above 14% - 15%.
Umang Mehta: Very clear, sir. And then the second one was more of a longer -term question. So, we have seen media articles speculate about some acquisition. Now not particular to that one, but how are you thinking about inorganic growth going forward? And is there any size restriction in your mind? Or I mean, just your thoughts on this?
Rajiv Goel : Yes. I think, we have always maintained that these things will be open for discussion and evaluation. But as you also mentioned, this has to be a certain size which could move the needle . Also, it should be complementary to our categories. So , depending upon the opportunity, whether we like to double down on existing category or we rather add adjacent category, I think those are the considerations which has to be made at the time of the evaluation. So, yes, inorganic, open to them. But frankly, we have a very large organic portfolio today, which has got a lot of exciting opportunities moving ahead, particularly as we mentioned, even renewables. So, there's a lot on the plate honestly, but they never say never on the inorganic as well.
Umang Mehta: Sure, sir. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Thank you for the opportunity. First question on the switches - switchgears side. So , you have maintained for a higher contribution margin probably 38% - 40% kind of contribution margin and 25% - 26% EBIT margin. I mean, you have shown growth, and despite that, margin is lower in switches - switchgears. So, any specific reason in general outlook on the category, which is more linked to, say, real estates? So, that is first question. H

Second question is, overall, when you have seen good demand for house wires, any reason for discrepancy in a sense that the real estate categories like switchgears or switchgears or other real estate category is not doing well. And on your view, the real e state-led demand as well.
Rajiv Goel : On the switchgears, you would have seen last two quarters were 38.5%, like what we have always maintained as a band. So, one quarter, there could be a product like this year, this quarter, the exports were pretty high. So, I think in contribution sometimes they get reflected. But no structural sort of issue out here.
And second, on the house wire, the wires are not only from real estate, wires also have multiple uses. To some extent, there is also some degree of like the previous question which somebody asked. You see it also got helped by the stocking due to the risin g copper prices.
As far as the real estate is concerned, we remain positive. And I think I know we have called it out for last few quarters. But I think, we

are positive that the real estate led, what we call the
finishing stage demand will come, whether this come this qua rter, in next few quarters. But this is something that we are very sort of confident of. So, hopefully, this should start reflecting in a few quarters as we speak.
Keyur Pandya: Just one follow -up on that answer. So , this recovery is more of a hope or you are seeing any soft signals either in terms of inquiry or demand or any change in the mix or --
Rajiv Goel : Look, this quarter has just started. So , you cannot expect in 20 days, you have the trend which can really predict. And so I think, yes, there is a positive hope that this will come, because if the

real estate cycle has started, if you guys claim that there's so much housing happens all over the country, so much mortgages are happening, mortgage companies are growing, then some day, I am sure they also need the real product if they are real houses. So , I sure no reason why one should not be positive and have hope on the same. And yes, that's what we are looking at.
Keyur Pandya: Noted, sir. Thanks a lot. All the best.
Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, thank you for taking my question. Sir, j ust one question. I think you did speak this number, and I maybe missed it. Can you just enumerate what is the total contribution that we have across different products from the solar portfolio today?
Anil Rai Gupta: Yes. So , every business has different. Last year, we did solar business, almost Rs. 420 crores something - Rs. 400 crores business in solar. But we are not including business of wires or switchgears.
Rajiv Goel : And maybe we will have to come back to you, Pulkit. H

Pulkit Patni: Sir, okay. No problem. I will take it offline, but my purpose of really understanding was Rs. 600 crores investment. What is the kind of TAM or growth that we are looking at from that investment, given that the base we are working with is Rs. 420 crores. So, you can come back to me, but this is really what I am trying to come to.
Rajiv Goel : Yes, yes. No, TAM could be ever expanding, frankly speaking. This TAM is not stagnant. This TAM could lead to multiple things. You know how the energy story is coming up, how the cells are coming, how it is all getting made in India. So, TAM, I think, would be significant out here. But I think we will take it offline with you.
Pulkit Patni: Sure, sir. Thanks.
Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP. Please go ahead.
Charanjit Singh : Hello, sir. Thanks for the opportunity. Sir, my question is regarding the overall cost rationalization, which we had been talking about in terms of the buildup in cost, which has happened across particular heads, either it is in employee expenses, other expenses or A&P spend. If you can touch on what the kind of rationalization we can see going forward? And from a margin trajectory, how we should see in the next coming quarters? Or where do we see the company level margins, because now they have been at that 9.5% for the last three years' time frame. That's the only question from my side.
Anil Rai Gupta: I think we have maintained over the last five years, if we see we have been investing in terms of manpower, and that we have started seeing some reflection in this year. Hopefully, going forward, also, we continue to see higher productivity gains out of the investments that we have made. I called out a few things like lighting will continue to invest in terms of capability building. Lloyd is a growth engine; this investment will be there. But overall, we will definitely will try to gain operating leverage from our fixed expenses. A lot also depends upon the future growth prospects. So , I think if future growth

in each business continues to remain robust, and so definitely, we will start seeing flow through into the bottom line.
Charanjit Singh: But is there any kind of segments where we see also a targeted reduction in this expenditure while there are certain segments where you are investing or channels where we are shifting our investments and reducing in certain parts?
Anil Rai Gupta: So, I think it's a readjustment of expenses. For example, you have rightly said if there is a channel mix change in certain product categories, there is a readjustment of focusing towards our manpower efforts towards a certain channel. Like if rural is expanding or projects business expanding or modern format retail is e xpanding. So, it's a readjustment towards that. It's not that we will continue to hire there also and there also. So, it's a readjustment, but that's moving in line with the way product mix and the channel mix is changing.
Charanjit Singh: Got it, sir. That's all from my side, sir. Thank you for taking my questions. H

Moderator: Thank you. Ladies and gentlemen, in the interest of time, this would be our last question for today. I would now like to hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors for closing comments.
Bhoomika Nair: Yes. I would just like to thank all the participants and also the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best.
Anil Rai Gupta: Thank you very much, Bhoomika. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. H
HAVELLS

Call: Oct 2025

22nd October, 2025

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the second quarter and half-year ended 30th September, 2025

Dear Sir,

This is with reference to the Company intimation dated 13th October, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the second quarter and half-year ended 30th September, 2025 scheduled for 17th October, 2025.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above H
HAVELLS GROUP
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway , Naida -201304, U.P (INDIA). Tel: +91-120-3331000 , Fax: +91-120-3332000, E-mail:marketing@havells.com,www.havells.com
Registered Office: 904, 9th Floor, Surya Kiran Building, K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells: 08045771313 , for Lloyd: 08045775666. GIN: L31900DL 1983PLC016304
M HAVELLS I LLO~!:) I HAVELLS erabtree I S STANDARD I R£

Havells India Limited
Q2 FY26 Earnings Conference Call
October 17, 202 5

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME

DIRECTOR AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEE T KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Havells India Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressin g star, then zero on your touch -tone phone. Please note this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, ma'am.
Bhoomika Nair: Thanks. A warm welcome to everyone for the Q2 FY '26 Havells India call today. We have the management being represented by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director.
At this point, I'll hand over the floor to Mr. Anil Rai Gupta for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.
Anil Rai Gupta: Thank you. Thank you very much. Good evening, and thank you for attending the call today.
At the outset, I would like to extend my heartfelt wishes for Diwali. May this festival of light bring joy and prosperity to you and your families.
As regards to the Q2 results, we have delivered a decent overall performance. However, the summer products experienced weakness with overhang of shorter summer and higher channel inventories. Air conditioners, fans and coolers' revenue declined Y -o-Y. This not only impacted our growth and margins, but also led to elev

ated working capital levels. We have
been working closely with our channel to increase consumer offtake, and we believe that the channel inventories will normalize by the end of Q3.
Cables maintained its steady growth momentum, driven mainly by strong growth in power cables during the quarter. Our execution towards capacity expansion in cables is on track. And in this reference, we have acquired a land parcel of 39 acres adjacent to the existing manufacturing facility in Alwar, Rajasthan.
LED price stabilization in lighting and an initial pickup in residential demand seems to augur well for the business going forward. While continuing our investment towards strengthening brand presence, the overall expense growth has been in line with revenue growth.
Higher working capital levels, especially for cables and Lloyd has led to a reduction in cash and bank balance, impacting the interest income earned during the quarter. Although we expect working capital to normalize by Q4, the other income has remained relatively low in H2, considering the planned capex spend.

The recent GST reduction by the government has been a welcome step towards uplifting consumer sentiment and strengthening the demand. Amongst the Havells category, air conditioner, TV and solar has seen GST rate reduction.
We can now move to Q&A.
Moderator: Thank you sir. The first question comes from the line of Manoj Gori with Equirus Capital.

Manoj Gori: Greetings for the festive season. Sir, my question is on the Lloyd front. So 2 parts into it. One, you said like inventories will get liquidated by 3Q. So probably when during November and December when channel will be building inventories for old star -rated ACs, so do we see pressure during Q3 on primary sales?
And when we say like in the presentation , we have mentioned about the customer support schemes and offers that we have offered, which led to significant decline into contribution margins for Lloyd. So are this in form of customer support schemes or price cut that we have taken? Can you throw some light over there?
Anil Rai Gupta: Right. So as far as the first question is concerned, yes, there will be liquidation of inventories in the third quarter because of the BEE rating changes. Depending upon how much inventory is there, depending upon how much of the old ratings will be produced, we'll definitely be offloading that inventory to the channel.
The channel can sell that inventory to the consumers in the coming quarter as well. But the manufacturers will limit their production to that extent as it can be liquidated during the third quarter. So I believe that's why I'm saying that the inventory, at least at the manufactur er level, will normalize by the end of the quarter.
And as far as consumer schemes are concerned, yes, because it was a shorter summer and that overhang continued in July, which was also a very strong summer last year. So the channel which was holding inventory were offered certain direct consumer schemes so that consumers get attracted to lift the product during the off -season. Otherwise, there was no price reduction from the company side. For material, which was already in th e channel, certain schemes were offered.
Manoj Gori: And this customer support schemes are likely to continue till?
Anil Rai Gupta: No, those were for a shorter period of time, and they have been withdrawn because of the GST changes. They've already been withdrawn.
Manoj Gori: So contribution margins, at least we should see normalcy from third quarter onwards. Is that understanding right?
Anil Rai Gupta: Yes, we will start seeing improvement in third quarter, but real effect will come in fourth quarter. But ontribution margin is also greatly affected by the under -absorption of " HAVELLS

manufac

turing overhead because as you can imagine, because of the high inventory levels at the end of the first quarter, the production levels were also scaled down.
Moderator: The next question comes from the line of Natasha Jain with PhillipCapital.
Natasha Jain: Sir, my first question is a follow -up on the last participant's question. While inventory definitely we might see clearing at the brand level, how do you see secondary moving, first that? And secondly, when we talk to our channel partners, they tell us that they have huge inventory with them, and the entire cash flow is blocked in that inventory. So third quarter, do you expect channel partners to fill up very aggressively given they already have stocks and they do not have that kind of cash flow with them?
Anil Rai Gupta: See, there are various kinds of channels, distributors, large format chains, e -commerce and certain channels would have higher inventory because they have higher stock buildup capacity.
I would assume that largely the distribution channels, which is almost more than 50% of the sales will be definitely normalized by the end of the third quarter. And that is the kind of channel which generally picks up more material during the third quarter. Anyway, the modern format retail and the e -commerce channels generally pick up in the fourth quarter .
Natasha Jain: Understood. And sir, my second question is on ECD. Now your degrowth is at 1.7% Y -o-Y. When we went on the ground, we understood that fans' degrowth is in high single digit, around 8% to 9%. So if you could correct me if my data is correct or wrong? And secondly, if that is the case, what product categories supported in terms of reducing the degrowth? If you could just give some qualitative color on how the large appliances, small appliances did versus fans?
Anil Rai Gupta: Sorry, I missed the last part of the question. You were asking about the fans' degrowth in high single digits?
Natasha Jain: Yes, sir. So that is what we picked up from the ground and your numbers are negative 1.7%. So I just want to understand how is this gap closed as to how did the large domestic and small domestic appliances perform? Is there a good growth in terms of kitchen appliances and winter products?
Anil Rai Gupta: Yes. So we are seeing good growth in the water heater channel as well as the consumer small appliances. We have actually seen a degrowth of fans, not necessarily high single digits, but mid-single digits. But we've also seen a significant degrowth in the cooler because there was already high levels of inventory in the channel. And hence, the second quarter sales, there is a high level of degrowth. So overall degrowth is about 2%, but there is good growth in the

appliances as well as water heater.
Moderator: The next question comes from the line of Aniruddha Joshi with ICICI Securities.
Aniruddha Joshi: Sir, the question on, once in January, we moved to new BEE norms for fans and air conditioners. So what will be the price hikes that will be required in both the categories? And " HAVELLS

already considering the steep competitive intensity plus huge inventory in the market, etcetera, do you see there is any potential to in a way -- I mean whether the price hikes can get easily absorbed without much impact on the volumes?
And second and last question is, if you can quantify the current inventory in terms of how much it is more than the normal inventory, means assuming normal inventories around 3 weeks, whether the current inventory is 4 weeks, 5 weeks? If any quantification you do, that will be very helpful. And again, channel -wise, means which are the channels which are having the maximum inventory impact?
Anil Rai Gupta: We are confident that whatever the cost increase will be there. Yes, there are challenges of inventory levels within the secondary trade, but we will be able to

pass on. Of course, you can
say it depends upon the competition also, but the kind of price increases, which will happen will have to be passed on to the consumer.
This is unfortunate that the GST reduction is not fully being passed on to the consumers because of these changes, which will happen in the 1st of January. So which means the prices will come back to almost the same levels as before. But otherwise, yes, the cost increases will be passed on. And as a company, we'll be responsible to pass on those benefits.
The inventory levels are varying between channel to channel and product to product - coolers, ACs, fans. It will be very difficult to quantify it. But yes, these are generally higher than normal at the end of second quarter.
Aniruddha Joshi: Sorry, sir, your voice is breaking.
Anil Rai Gupta: Yes. So sorry, the inventory levels, it will be difficult to quantify because there are 3 or 4 product categories in different channels. But otherwise, they are at a higher level at the end of the second quarter. Particularly air conditioning inventory is higher than even the fans .
Aniruddha Joshi: Okay, sir. And last question. So cables and wires, we have seen a massive improvement in profitability. So is it fair to assume that the profit margins are close to the peak level? Or there is still further potential to see the margin moving upwards in coming quarters also?
Anil Rai Gupta: I think this particular quarter, if you compare it with the last year's same quarter, this was a depressed quarter because of the fluctuation in the prices of the raw material. This particular quarter, there was a benefit because the prices were constantly increasing and there were certain benefits on the inventory. I would say with our blend of cables and wires, 15% to 16% is the right contribution margin to assume and so that will continue to strive. Depending upon quarter -to-quarter, some variations may happen, but otherwise, that's what we are striving for.
Moderator: The next question is from the line of Siddhartha Bera with Nomura. " HAVELLS

Siddhartha Bera: Sir, on the ECD side, I mean, despite some recovery in the growth rates, margins, especially contribution margins also seems to have come down sequentially. Has there been any sort of -- given the early festive this time, pull forward of investments? And should we expect things to pick up better in the quarter 3 and quarter 4? So how should we look at margins for the ECD segment?
Anil Rai Gupta: Yes, I think ECD segment is on the positive side for the contribution margin. Second quarter is generally a little bit more depressed because of fans off -season. In this particular quarter, it was lower. So hence, there is some under -absorption of manufacturing overheads for the fans plant. So whatever we see reduction there is mainly because of the fans margins. Otherwise, in other product categories, we are seeing improvement as well as also coolers, so both fans and coolers.
So I think it is consumed, and we are hoping for better contribution margins. I t's not comparable as against last year because EPR liabilities have also increased in the current year, which obviously when the season comes, when we are in a position to pass on that price to the market, we'll have to do that. But right now, because of low season, we've also been restrained to do so.
Siddhartha Bera: Understood, sir. And second question is on the switchgears. Now here also, if you look at the EBIT margins, I think Q1, you had talked about some adverse mix, which had led to lower

margins. This quarter also margins seems to have come down a bit sequentially. So what should be the sort of range we should think about in terms of switchgears? I mean do we also see some scope of improvement there? Or these are some sort of steady state numbers which we have now used?
Anil Rai Gupta: I think

switchgears, you can fairly assume contribution margin to be around 38%, sometimes 37%, sometimes 39%, 40%. So 37% to 40% is the right range to assume, depending upon the product mix in a particular quarter . That's the right number...
Siddhartha Bera: Got it, sir. And sir, lastly, on the initial few festive period in terms of demand recovery, how are you seeing the trends? I n terms of ACs, I understand that it is not conducive in terms of environment, but how about ECD & Lloyd TVs and other segments also we have? So can you throw some color about how the recovery has been in the beginning part of the quarter 3?
Anil Rai Gupta: I think we definitely see positive momentum, especially also because of the fact that there was some pent -up demand. Until 22nd of September, there was a slowdown of sales. So the channel is also picking up materials. They're also clearing their old inventories also in the system. But we do believe that there is a better pickup. The rural area's growth is also coming back. And I think overall, this positive change in GST also. Though in many of our product categories, there is no change, but there is a positive feeling amongst the consumer right now during the season .
Moderator: The next question comes from the line of Umang Mehta with Kotak Securities. " HAVELLS

Umang Mehta: Sir, first question was on wires and cables. So your Tumkur expansion last year came on stream only in September. And even if we assume, say, 70%, 80% utilization over there, that itself should have given a growth delta of around 7% - 8% on Y -o-Y basis. So is it that wires is something which was under pressure? And competitively, at least we see peers have reported better numbers over there. So any insights you can share on wires?
Anil Rai Gupta: I think cables, as you rightly said, is continuing on a very good growth pattern like in the first quarter and second quarter. If you see first quarter, our wire s sales were showing a much higher growth. If you actually see the first 6 months, it also depends upon stocking of material at the dealers and depending upon the price increases or price reduction. So I would not see wire performance on a quarter -on-quarter basis.
So what we track is market shares, and I think we continue to be very strong in wires. And overall, if you see the first half of the year, our growth in wires has been quite good, mid - double digits. So that's a very good sign for the wires business as well. Cable continues to do well with the enhanced c apacities .
Umang Mehta: Understood, sir. Makes sense. And the second question was on Lloyd. So these offers, which you had to give to liquidate the secondary channels stocks, were these get recorded below contribution margin or above contribution margin? Just from like accounting perspective.
Anil Rai Gupta: Above contribution margin.
Umang Mehta: Got it. So then the pressure in that sense should ease out going forward is the right understanding, right?
Anil Rai Gupta: That's it.
Moderator: The next question is from the line of Renu Baid with IIFL Capital.
Renu Baid: My first question is first on the ‘Other s’ segment. While this was a seasonal quarter with respect to rains and monsoons, by when and in what color should we expect growth in the solar portfolio to come through? Any color that you can share with us?
Anil Rai Gupta: Generally, second quarter is a low season for the solar business. I think third and fourth quarter, we are expecting very decent growth in the solar .
Anil Rai Gupta: In this quarter, it is good, but real growth will come in third and fourth. Second half is generally a good time period for the solar.
Renu Baid: I was saying the material scale up in business volumes after investing in Goldi and having acquisition to better supply chain components, that factor will start playing out from second hal

f of the current fiscal year? " HAVELLS

Anil Rai Gupta: That's correct. In fact, it had started playing out in the second quarter itself. The growth was decent, but it is generally a low quarter anyway. But over the last year, there is a good growth

in th is business. And third and fourth quarter, the real benefit of the supply chain would start up.
Renu Baid: And margins thereafter should improve for 'others' as a segment or category overall hence?
Anil Rai Gupta: Yes, hopefully.
Renu Baid: Sure. Second is within the Lloyd's portfolio, if you see recently, LG after the listing, they have announced a pretty aggressive, at least initial start off with some range for the mass premium and the mass market are slightly lower price points. While the details of the price points, I think, will be available in the market by next month, do you think that this can impact our penetration or expansion plans for a non -RAC portfolio, namely on the REF or on the washer side of the market, especially in smaller towns?
Anil Rai Gupta: LG has been a strong player in these segments, and they continue to be a mass premium player. They are not really a luxury player only. They continue to be a mass premium player in these segments, and this will only enhance the penetration for the se products.
Renu Baid: Right. So do you think that we would face increased competitive pressures from LG from that...
Anil Rai Gupta: We are still a very decent player in these categories. And there is a lot more we have to do for distribution reach and all that. So I don't think we can face some headwinds against that.
Renu Baid: Got it. And lastly, on the switchgear part of the portfolio, we are hearing, I think globally, Legrand is looking for consolidation. And if there is a sale transaction where in India portfolio is also acquired by any large company, do you think this could create increased competitive intensity in the switchgear category, which itself has been struggling on the growth and profitability front?
Anil Rai Gupta: You're saying the Legrand buys somebody or sells revenue or what, I didn't understand.
Renu Baid: Legrand is up for sale. So do you think the M&A could translate to higher competitive intensity for Havells?
Anil Rai Gupta: No, no, I don't think so.
Renu Baid: Got it. Got it. And lastly, just your input and feelers, while the entire buzz in automotive has been very bullish after GST rate cuts, for FMEG or consumer electricals, there's a bit of inventory and festive offtake, which is there. But directionally, do you think some of the government initiatives, which have been taken should drive material uptick in consumption or a lot needs to be done beyond the GST rate cuts that we have seen? " HAVELLS

Anil Rai Gupta: No, no, I think we are very hopeful things should come up in the second half.
Moderator: The next question comes from the line of Tanay Shah with DAM Capital.
Tanay Shah: Sir, my first question is, if you could possibly help us between the volume and the value growth for cables and wires growth this quarter?
Anil Rai Gupta: I think as far as cables is concerned, the value and volume growth is the same. And as far as wires is concerned, there is a volume growth lower than the value growth because copper prices have gone up if you compare to the last year. We don't give figures separately for cables and wires.
Tanay Shah: Understood, sir. And sir, the second question is, obviously, while we saw some sort of deferment in the ECD demand for the first quarter, given that now the GST forms are fairly set, how has the demand been post the GST norm change? And any sort of outlook or any sort of green shoots we're seeing in demand for festive for the ECD portfolio?
Anil Rai Gupta: Actually, there is no GST change in the E

CD portfolio for us. So it's only, as I said, in air conditioners , LED TVs and solar business. So for ECD, there is no change. But as you rightly said, the first half was affected by the summer season, which was not very strong. The second half, hopefully, with all these changes & positive outlook, we are hopeful for a good second half.
Moderator: The next question comes from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni : Sir, my question is on overall cost for the company. So when I look at employee cost, that looks to b e the growth seems to be under check after quite some time. So until 2024, we were expanding that cost. Last 6 -7 quarters, obviously, growth is not there, but we've also seen employee costs, etcetera, come down.
Now is there a conscious effort for the company given the fact that growth has been quite seeded to look at some of these costs? And in a scenario that consumption was to come back, do you think as a company, we are rightsized right now or do you think we will have to sort of build on some of those costs? So what I'm trying to understand in short is how do you see the organization placed today in a scenario that there's an up cycle in demand that comes back after so many quarters?
Anil Rai Gupta: Well, first of all, over the last few years, if you've gone through our calls, you have seen that

we have been investing heavily on rightsizing the company in terms of sales infrastructure, functional infrastructure, R&D, digitization. So there has been a lot of, I would say, investment towards building those teams. We believe that we are well placed in terms of getting the advantages of those investments. And that is now translating also. " HAVELLS

Now the focus is to continue to increase productivity of this large workforce that we have. And not that we'll not continue to invest, but there will a lot of focus on productivity enhancement. Sometimes it can look a little bit more pronounced because of the lower season and sometimes the contractual workers like the demonstrators and all also get affected because of low season. But otherwise, generally speaking, there is a lot of focus on improving productivity of the manpower.

Pulkit Patni : Sure, sir. Sir, my second question is, can you highlight what are the portfolio gaps that we have right now? I mean when we look at your product portfolio, it looks to be very, very wide across segments. But is there any obvious portfolio gaps that you feel that you could fill over the next 6 -12 months, which could drive incremental growth? Or you think we are, by and large, present across most categories?

Anil Rai Gupta : Look, this is a question which has been there in all calls since 10 years. Every time we keep adding something or the other, like chimneys and hobs has been added in ECD segment. We are creating a renewable segment wherein we are looking at EV chargers also coming in along with our solar.

Automation, we are looking at automation in a big way. So a lot of things get added within our existing portfolio. So it's not right to say that it's a pretty wide portfolio. But within those portfolios also, there's always -- within cables, for example, there's constant addition of maybe higher category of industrial cables or higher voltage cables. So there is constant addition, and it's difficult to say each and every product category that we introduce in an investor call. I mean this is more for our consumers and customers, which we constantly continue to look at our gaps and keep filling that.

Moderator: The next question comes from the line of Achal Lohade with Nuvama Institutional Equities.

Achal Lohade : Sir, just wanted to understand from a broader context perspective, is it fair to say in last 3 -4 years, competition in each of the category has actually intensified and pulling down the margins for the indus

try as a whole. Is that a fair assessment, whether it is fans, lighting or even small appliances or water heater for that matter where we keep on hearing every other company also talks about being in top 3 or 5? Just wanted to get your sense, has that been the case? And is it pulling down the contribution as well as the operating margins at the category level, each of these category level?

Anil Rai Gupta : I think if you look at switchgear or you look at lighting, for example, our contribution margins and our EBIT margins have remained stable. If you compare it with some peaks or troughs, that may not be a right comparison. But generally, we have been very stable.

In ECD in the last 2 or 3 years, as we had mentioned, sometimes the raw material prices went up, they are not entirely passed on to the market. Things are actually coming back. In most of the categories, our water heaters, you mentioned, we have industry -leading margins. Switchgears, we have industry -leading margins. " HAVELLS

Lighting, we have industry -leading margins. Fans, we have industry -leading margins. Yes, we are continuing to invest more in fans because of the change towards BLDC. Almost 40% of our fans are BLDC fans. So there is constant investments going on.

But I feel that the real play in Havells kind of a brand is premiumization. So while competitive intensity keeps going up in every category, our focus has always been our strength, innovation, distribution and brand. So I think those continue to remain. And really speaking, if you see even this quarter, Havells stand -alone (excluding Lloyd) continues to be about 12% - 13% EBITDA margins, and this will further improve. So I don't think that's really concern about dilution of margins due to increased competition.

Achal Lohade : Understood. And if I see in the last quarter, we had kind of commented that there is -- I mean, if the growth is normal, we can actually see a 150 - 200 basis point margin expansion for Havells stand -alone. Does that stay intact? Or could there be a change in that?

Anil Rai Gupta: That's why I'm very confident that these are the kind of things with productivity improvement, with cost rationalization, premiumization, I think that's something which we have to achieve.

Achal Lohade : Got it. And just a quick conclusion. In terms of -- is it fair to say that the demand is still kind of weak? It's not that we have seen any significant change in the demand in last few weeks. Is that a fair assessment? I know a few weeks it's too early, but still is there any turnaround in...
Anil Rai Gupta: As you rightly said, it's early to say because right now, 22nd of September, as I said, things have slowed down till then because the trade was not picking up. Then post that, it's just too early to comment upon that. I think let's wait for 1 quarter to actually see how things are. It's difficult to get a feel on that. And we are quite genuinely positive.
Achal Lohade : Got it. And just capex number, if you could quantify for FY '26, '27, like what kind of capex we can look at and which segment?
Anil Rai Gupta: FY 25-26 will be about INR1,450 crores. FY 26-27, right now, it's estimated about INR1,000 crores, but we'll know the exact numbers by end of March.
Moderator: The next question comes from the line of Latika Chopra with JPMorgan.
Latika Chopra: Two questions. One was just on broader demand. You commented a fair bit on B2C demand. But would like to note from you how you're sensing the B2B segment. Any specific thoughts on what are you seeing on the real estate side as well?
And the second bit was, if you're looking at your business plans over the next 2, 3 years, how do you view the export opportunity? And which of the segments you will be more excited about on that front?
Rajiv Goel : So Latika, on B2B, we continue to feel that the traction is the

re. Now one could argue whether the government capex will slow down because of the sort of the spend they have done on the " HAVELLS

consumer side or the real estate cycle will finally sort of start slowing down. But as of now, I think th ere is a robustness in the B2B.
So if you ask us what we feel currently, we continue to remain positive on the B2B. However, on B2C, we believe the things are sort of improving. You cover FMCG, so I think you will have much better input than ours. But we do feel that the B2C should improve from here.
As regards the going forward on the international business, definitely, we see a lot more positivity there despite whatever the global issues being there because we believe these are something which will get res olved over some period of time.
And definitely, th ere key contenders for growth in international will be cable, switchgear and Lloyd (ACs), basically the air conditioners. So those will be the key contenders. And I think we are seeing good traction on the international side. So I think this is something we expect to continue and actually more positive going forward as well.
Moderator: The next question comes from the line of Manoj Gori with Equirus Capital.
Manoj Gori: Sir, the only question I have, if I look at when we do our checks at the ground level, we are able to see that there are a couple of brands, including yours, which has been carrying relatively higher inventories for room air conditioners. So what has actually triggered this or probably there is some mismatch versus your data points, can you throw some light on this?
Anil Rai Gupta: I don't think we would be very different than the industry. And maybe there could be some push sales in the first quarter or something which -- because the season didn't really come in the second quarter. It might be a reason . There are certain different practices by different industry players, but I don't think it will be very different. And as I said, third quarter would be normalized...
Moderator: The next question comes from the line of Aniruddha Joshi with ICICI Securities.
Aniruddha Joshi: Sir, 2 questions. One, if you can elaborate a bit more on the rooftop solar business now because the investment in Goldi Solar is now almost 2 quarters, 3 quarters ago. And now if you can indicate what are the revenue we are looking at in terms of 3 years, what should be the profitability? What will be the additional investment required in this business, etcetera, whatever you can share in detail? That is question one.
And while you alluded to EV chargers and some of the other businesses, we see Havells is still not in some of the businesses like hearables, wearables or even some of the new age businesses like CCTV cameras. A lot of these businesses are growing at a pretty fast rate and are using the same channels to some extent where Havells is already strongly present. So any plan to get into such new age products also? " HAVELLS

Anil Rai Gupta: So as far as solar business is concerned, we have definitely good plans. We've made a large investment in Goldi. It's not been 2 or 3 quarters, it's starting of this quarter, last quarter only.

The real benefits of that will start coming from the supplies point of view, strategic supplies. So because of these, we will continue to have a very good growth in the coming 2 or 3 years, as you have asked. And we can provide more details as we go along .
As far as other product categories are concerned, look, I said earlier also in the call, there is a constant evaluation of new product categories by Havells. And when it makes sense for our brand, distribution channel, our kind of brand expansion, then we would inform you that we are investing that. But as I said, there are always white spaces available for a brand lik

e
Havells.
Moderator: Ladies and gentlemen, in the interest of time, we will take this as a last question. It's from the line of Uttam Kumar with Avendus Spark. Please go ahead.
Uttam Kumar: Yes. My question relates to the premiumization trend, which the company is incrementally focusing on to grow the various subsegments. Would you be able to give some clarity on what is the mix, which is there currently, let's say, in case of fans, what is the premiumization trend, which is there in case of the air conditioners, which are selling, let's say, 5 -star inverter ACs? So what is the mix, which is there in that category? Could you just give more color on the premiumization mix across the various -- at least for the larger subcategories, that will be very helpful, sir.
Anil Rai Gupta: Yes, we can provide you these things because we track it regularly and how we are increasing the mix of premium products. All I can say on this call is that in products like fans, appliances, room heaters, air conditioners, our share of premium products and that there's a certain definition, share of premium products in the overall portfolio is high & increasing .
Uttam Kumar: Got it. Sir, and with regards to -- yes, one side, we're looking at premiumization increase. So how should we look at the margin profiles also improving from here on? So is there any scope for margins because of premiumization going up by, let's say, 150, 200 bps over the medium term, is there a possibility of that kind of a trend?
Anil Rai Gupta: In the medium to long term, yes. But initially, when we do that, there is always over investment in R&D spend as well as marketing spend. But over a period of time, you are absolutely right that this should help improve margins in the long term.
Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Yes. Thank you very much to all the participants for being on the call and very much to the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best. Thank you once again, and wish you a very happy Diwali. " HAVELLS

Anil Rai Gupta: Thank you very much, and have a very Happy Diwali to all of you.
Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. " HAVELLS

Call: Jan 2026

22nd January, 2026

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051

NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the third quarter and nine months ended 31st December, 2025

Dear Sir,

This is with reference to the Company intimation dated 13th January, 2026 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the third quarter and nine months ended 31st December, 2025 scheduled for 19th January, 2026.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above

Havells India Limited
Q3 FY '26 Earnings Conference Call
January 1 9, 202 6

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME DIRECTO R AND GROUP CFO – HAVELLS INDIA LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS

INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Havells India Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Danish. On behalf of ICICI Securities, we welcome you all to Q3 FY '26 and 9 months FY '26 Results Conference Call of Havells India Limited. We have with us today senior management represented by Mr. Anil Rai Gupta, Chairman and Managing Direc tor; Mr. Rajesh Kumar Gupta, Whole Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole Time Director; and Mr. Rajiv Goel, Executive Director.
Now I hand over the call to Mr. Anil Rai Gupta for his initial comments on the company performance. Then we will open the floor for question -and-answer session. Thanks, then over to you, Anil, sir.
Anil Rai Gupta: Thank you, and good evening and wish you all a very Happy New Year. Thank you once again for attending the call today. I hope you would have reviewed the results by now. We delivered a healthy overall performance in the third quarter, which was primarily led by an accelerated growth in our cables business, driven by volume expansion and commodity price inflation.
While overall consumption trends remain modest, we did see some pickup during this festive season. Also, there was a healthy uptick in demand for heating products supported by a good winter. As regards to the cooling products, we saw a challenging environm ent in the last couple of quarters. However, now the channel inventory is normalizing.
Overall, revenue growth in Q3 backed with disciplined spends translated into operating leverage as the revenue grew by 14% and EBITDA was up 21% Y -o-Y. During the quarter, there was an exceptional item impact of INR45 crores on account of additional provisioning pursuant to the new labo ur co des.
We remain optimistic about a gradual recovery in demand. However, we are cognizant of the industry headwinds such as cost increases on account of commodity inflation, BEE changes , e-waste, et c. We are in the process of taking calibrated price hikes and en hancing operational efficiency.
We can now move to Q&A.
Moderator: Thank you so much. Ladies and gentlemen, we'll begin with the question and answer session. Our first question comes from the line of Sucrit D . Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil: I have 2 questions. My first question is to Mr. Gupta. As Havells continues to expand across categories, how do you see the company balancing growth with profitability, especially given the margin pressures we saw this quarter, over the next few years, wha t role do you see Havells play in the prem iumisation and customer experience? And how do you -- and how will you differentiate against the peers in the consumer electrical space? That's my first question. I'll ask my second question after this.
Anil Rai Gupta: First of all, your question is a bit breaking in between, my line was not very clear. But what I understand is how do we ensure that over a longer period of time, we maintain growth as well as profitability. I think this is a general philosophy and strategy of the company that we've always balanced growth and pr ofitability.
And we have achieved that through brand building, distribution reach and innovation in the products itself. We are becoming a complete product portfolio in term

s of electrical and
electronics is concerned.
And I would consider this as a strength rather than as a weakness because this will give us more leverage at the channel as well as utilizing the brand fully as well as gaining operating leverage

because of our large product range.
So I think over a period of time, we do see that the advantage of having innovation in all product categories that Havells operates in, that will be a big benefit and it should ensure growth as well as profitability expansion.
Sucrit D. Patil: My second question is with the revenue growth coming in and margins may be under some pressure, how are you thinking about balancing cost discipline with investment needs for innovation and distribution expansion? As Havells scales further, what steps are you taking to ensure financial discipline while supporting long -term ambitions?
Anil Rai Gupta: I think overall, again, you are alluding to the overall strategy of the organization. Look, the cost pressures are long term as well as short term. So generally, short -term pressures are sometimes absorbed and sometimes passed on to the market. The long -term cost pressures are achieved through efficiency improvement over a longer period of time with growth and bringing in operating leverage.
I think Havells has shown over decades and years that it has always balanced both growth and profit aspirations. And I think the biggest thing is, I think Havells has always remained very financially prudent in terms of -- whether it is in terms of managing working capital , in terms of inventories or receivables, but also in terms of capex .
So I think we have been cautiously optimistic in ensuring that we have enough capacities built up for the incoming growth. So it's always balanced approach by Havells. And I think over the next few years, this kind of an approach will continue, which is th e mainstay of Havells.
Moderator: Our next question comes from the line of Natasha Jain from PhillipCapital.

Nattasha Jain : My question is on wires and cables, a couple of them. First, if you could tell us the volume growth in terms of wires and cables separately. Second question is that copper prices have risen very sharply. So -- but natural wires must have seen higher invent orization than cables. Since we are wire heavy, can you tell us how much inventory is there in the channel?
And could that lead to a moderation for wires specific cables? And last question within wires and cables is, in your opinion, I would just want to know that what happens if copper rises very sharply again from here? Would that mean that there will be stres s in terms of working capital at the dealers' end? And if that is true, would that mean that the company would have to directly do B2B, which means eventually margins will taper off from here? So those are my 3 questions.
Anil Rai Gupta: So first, can you repeat your first question? I got your second and third. Can you repeat the question?
Natasha Jain : Volume growth, sir, individually in wires and cables, if you can call out?
Anil Rai Gupta: So volume growth has been a good healthy double digit, over 20%. So -- but there has been a sharp increase in raw material prices, as you mentioned, which actually has given a sharp increase in revenue growth for both cables and wires. As far as you're rig ht that Havells is more wire heavy, and there has been a decent amount of stock build -up at the channel level.
There were continuous price increases in the third quarter and going into the fourth quarter as well. So if there will be sudden price movements, yes, there will be some amount of channel normalization, which can impact the volumes for some time.
But I think it all depends upon how the consumption in the market goes. So some channel has gone from manufacturers to the retailers and now retailers have to eventually sell th

e products
in the market.
I don't see any strategy change at least for Havells that we would move mor e B2B heavy than channel heavy. I think these kind of changes can happen. Depending upon the raw material, there could be some price increases or reductions in the coming times. It's very difficult to predict what the raw materials, how it will behave. For cables and wires business, at least, I think there is far more predictabil ity in terms of passing on price increases or price reductions. So again, we have to see over a longer period of time or at least mid -level of period of time rather than one quarter to the next quarter.
Natasha Jain : A question on Lloyd. So could you please quantify the price -- minimum price hike that the industry will have to take on 3 aspects? One is the BEE rating, the other is copper and the third is INR depreciation.
Anil Rai Gupta: You also have to figure the GST reduction. But if you take that out, I think overall, there could be a 5% to 10% increase in this quarter.
Moderator: Our next question comes from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, when we look at the segmental capital employed and segmental assets, it seems that inventory is still a little higher in case of Lloyd. So I guess this would be all in respect of old BEE norm products. And I just wanted to understand how would we be a ble to liquidate the same given that norms got revised in January? Is it that pre -labeling would be required? Or we'll be able to just sell it in the next couple of months?
Anil Rai Gupta: Yes, I think we should be able to sell in the next couple of months. In fact, it's not only in air conditioners, but also in fans . So there is some amount of residual inventory of the old BEE norms, which get passed on during the season in the coming time. So usually, the system is almost like where we sell the old norms first and then the new norms start kicking in.
Aditya Bhartia: Understood, sir. So in this particular quarter, do you anticipate different companies to be having different strategies, some of the companies which have already possibly sold a lot of old BEE norm products to be moving to new BEE norms while some continui ng to sell the old BEE norm products and therefore, some confusion in terms of pricing as well?
Anil Rai Gupta: No, I think usually, the trade is very clear about the fact that when they are buying a product at a lower price, they are buying a lower BEE material. So this would not be a problem. I think this kind of a transition has happened over the last few years and the trade and manufacturers are quite mature about it.
Aditya Bhartia: Understood, sir. Just one last question. When we look at wires and cables, volume growth, I mean, leaving aside the realization benefit, but volume growth generally also has been pretty robust in the last few years. The same, however, is not translating in to growth for other categories. So just wanted to understand why is there such a big mismatch? And at some point of time, would you anticipate other categories to also start catching up to wire growth?
Anil Rai Gupta: I think as far as wires is concerned, there is generally a match between other product categories . Cables has been higher because of the government infrastructure spends and if you're talking about the last few years. But if we talk just about the last quarter, it's primarily some sort of channel stock build -up, which has happened, and that should get adjusted in the coming couple of quarters.
Moderator: The next question comes from the line of Rahul Agarwal from Ikigai Asset.
Rahul Agarwal: Just 2 questions. Firstly, on capex . I think we've done about INR1,200 crores so far in 9 months. Just wanted to know projects that are under construction right now. And my sense is a lot of expansion has been done in cable and wires as well

as Lloyd I think, should be under construction. So next year, I would imagine it should be a lower budget for capex fiscal '27. So should we expect some lower capital intensity? That's the first question.
Anil Rai Gupta: Yes. I think as far as cables and wires are concerned, there will be continued capex in the coming year. So Lloyd pretty much is done in this present year. But there will be a higher capex spend for the new R&D center, which will come up. So overall, it should be in the range of another INR1,000 crores in the coming year.

Rahul Agarwal: And right now, what are the projects which are underway? Like if you could just highlight the segments?
Anil Rai Gupta: As I said, right now, cables and wires and Lloyd in this year, cables and wires being the main thing, which is continuing -- going to continue in the coming year and the R&D center will also continue in the next year.
Rahul Agarwal: Okay. Got it. And sir, secondly, on the room AC side, you shared that there is a 5% to 10% price increase. Inventory also you have clarified. Just in terms of the production planning because we have large capacities now under Lloyd . How do you see this overall industry panning out? Like what kind of thought process would you have in terms of production planning for REF, washing machines as well as for AC? Just highlight some top -down thoughts would really help.
Anil Rai Gupta: I think usually, as a company, we are far more positive looking and more optimisti c. However, given the very bad season in the last year, which has led to degrowth in the air conditioning industry as well as fans or air coolers also. I think we'll be a bit more prudent and just work along with the channel to see how their inventory is ge tting cleared and new inventory keeps going in. So we will have to act with optimism and prudence both in the coming couple of quarters for the summer products.
Rahul Agarwal: So inventory basically normalizes by March '26, right? That's what we should build for Lloyd , right?
Anil Rai Gupta: Yes, inventory should get because season starts for South in February and March in North.
Moderator: Our next question comes from the line of Latika Chopra from JPMorgan.
Latika Chopra: My first question was on ECD. Would it be possible for you to share some color on how the subsegment growth behaved? What is the broad pricing growth contribution to this 4% growth

in the quarter?
Rajiv Goel: You're talking about ECD, Latika.
Latika Chopra: Yes.
Rajiv Goel: Yes. So ECD, largely the growth has been led by also the winter products. Winter has been pretty decent. So there is a good growth in our OFR segment. We continue to be the number 1 player in the country now in this segment. There has been a decent growth t here as well as water heaters.
Except for fan, I mean, which was still expected. I think they are having still the summer challenges like we have in AC. So I think all other categories have seen growth. And these are not largely driven by pricing. These are largely volume -driven growth i n the ECD segment.
Latika Chopra: Sure. The second question was on margins. A&P spends were lower on a Y -o-Y basis. Just wanted to check which product segment is driving this? And at a very broad level, when you

look at the next 4 quarters, any thoughts on the overall margin outlook given the company is going to face commodity inflation on one side and then your comment on modest demand outlook and competitive challenges on the other. So how do you view -- what's your best guess at this time? How would you try to manage revenue growth push versus the margin pressures?
Rajiv Goel: So, A&P spend is not something very specific to any product category. I think this is pretty much across the board. So , I don't think we have pick

ed up any category and said, let's stop investing in the A&P on that. And if you see in the past, we have commented that you see we have been investing decent into A&P, and this is normally driven by the demand and we see the need in the market.
So I don't think you should read too much into the A&P as to be sort of ta gged to any particular product category. As far as the margins are concerned, Latika, these fluctuations in the commodity prices definitely will have some degree of effect. And I think this, this tactical balancing between growth and mar gins will continue to play out.
So I think difficult to comment any specific on these. But as Havells philosophy has been, I think we will continue to focus on margin improvement. And even with these cost increases, I think there are opportunities of cost rationalization as well.
So I think it will be a mix of calibrated price hikes, you see managing cost much better, productivity improvement. So there are a lot of levers which the company has, and I think we will definitely optimally use each of them to ultimately have a good bala nce between growth and profitability. Both objectives will continue to be paramount for us.
Moderator: Our next question comes from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: So first question is on the ‘other ’ segment. We have seen pretty healthy growth now in the past few quarters, but margin seems to be quite subdued in that category. So if you can talk about what is really driving or impacting the margins? Is it the ramp -up in solar, which might be low in the initial part of the ramp -up? So if you can help us understand this? And how big will be solar as of now for us?
And second question, sir, is on the ECD side. Do you expect further improvement with more price hikes? And if you can highlight in terms of price hikes, how much is still yet to be taken? And should we expect more expansion on the ECD margins as well?
Anil Rai Gupta: Yes. I think in the ‘other ’ solar is moving much faster than the other product categories, and that is why there is a large opportunity there, which does affect the overall margins because right now, it's getting balanced between utility type of orders and C&I installation type of o rders. So it's getting balanced right now. But overall, we have a very positive outlook for solar in the coming times, both in terms of revenue growth as well as margin expansion.
As far as the ECD is concerned, look, it's a process which is ensuring that we come back to our normalized levels of ECD margins. That's going on. It has definitely been impacted by current

raw material price movements. How much of that can be entirely passed on to the market, that will only be seen durin g the season time for the fans.
So I think it's difficult to give you a margin outlook at this point of time, but company always strives to improve margins. And again, we really don't compromise on margins because of volume growth in branded and distribution -oriented business, that reall y does n't play a huge role.
So ECD continuously, there will be aspiration for growth and improvement of margins.
Moderator: Our next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My question is related to the solar , because in this quarter as well as in the 9 -month other growth has been very good and driven by solar, what I believe. So solar in that is the larger contribution is of a solar in water for Havells right now?
Rajiv Goel: No, its both modules and inverter. But yes, the higher growth is in the modules. We have also tied up and invested in Goldi, which is helping us to get sort of more strategic supplies from them. So I think that was the purpose as well. But yes, I think the growth in inverter is also there, but clearly outpaced by the module's growth.
Praveen Saha

y: Okay. And margin profile in this kind of a product is of single digit?
Rajiv Goel: Yes, I will say early double digit to high single digit depending upon the project. I think this quarter, I don't think we should read too much into this. As I just commented, we see good growth and a good opportunity even for profit because I'm sure you a re aware that Havells is a larger ecosyste m to play in the solar segment.
And we are also trying to evaluate this from an entire renewable ecosystem perspective rather than just a solar module perspective. And that was the reason why we didn't go to just set up our own modules factory because I think there is a larger ecosystem play which Havells can do, and that's what the entire focus is going to be going forward.
Praveen Sahay: Okay, sir. And next 2 clarifications. I just wanted. One is related to the Lloyd, as you had mentioned channel inventory normalized. Can you give the days like what the number of days for this normalized inventory right now for channel?
Rajiv Goel: That will be frankly difficult. But clearly, it is much lesser than what used to be in the previous year. That was sort of we can say. So I think much more under control. Because see challenge is also slightly there because of weak summer, you will appreciate. They also are slightly now wary of taking lot many stocks. So gradually, I think the situation is far comfortable at the channel level, though it's difficult to give specific numbers.
Praveen Sahay: Okay. And second clarification related to the price hike. As you said that the price hike requirement is of 5% to 10 %, this is ex of GST corrections?
Rajiv Goel: Yes. So actually, GST correction will help . The end consumer price hopefully should not change much.

Praveen Sahay: Okay. Okay. So this 5% to 10% of a hike requirement may get a djusted with the GST correction?
Rajiv Goel: That's what our hope is that the consumer pricing should not change much.
Moderator: Our next question comes from the line of Mr. Achal Lohade from Nuvama Institutional Equities.
Achal Lohade: The first question I have is, if you could -- I know it's hard to call out, but broadly, what I'm trying to figure out is, have we kind of maintained market share across our core key categories like switchgear, lighting, fans? Any color you could provide o n the market share trends basis your internal, sir?
Anil Rai Gupta: Yes. I think pretty much we would say that we would have maintained market shares in most of the categories. I would argue that we may have gained certain market shares in lighting because we do see that our growth or lack of it has be en better than the competition.
In terms of small domestic appliances, even water heaters, we do see that we may have done better in industr y. So I think overall, we do feel that we have either maintained or gained some market share in certain product categories.
Achal Lohade: And how about cables and wires?
Anil Rai Gupta: Cables and wires, I think primarily, you would say that because our wires business is primar y while as compared to competition who are focused more on the industrial cables . We are still waiting for our full capacities to get built in cables . There, I would say that our growth would be lower. But in terms of domestic wires is concerned, we do believe that our market share is quite intact.
Achal Lohade: Perfect. The second question I had, just a clarification. Did I hear right? I mean, Rajiv ji said about the inventory -- RAC inventory in the channel for the industry is actually lower than last year. Have I heard you right, sir?
Anil Rai Gupta: I think what Rajiv means is that last year, usually the stocking time, which is December to February, there is a heavy amount of stock push into the channel. And in this year, because the channel already has some old stock plus they're also

waiting for the summer season to start
kicking in.
So I would tend to agree that the channel in many cases, channel inventory might be lower. So we'll actually see real sales when the season starts kicking in rather than just sales out of the stocks which already have been built in the channel.
Achal Lohade: Got it. And just last clarification. In terms of the copper, aluminum, currency, et cetera, for fans,

particularly, what kind of price increase is required actually to offset this cost infl ation? Just the way you call it?

Anil Rai Gupta: It all depends upon the day that you're asking this question . So December, we believe that we have passed on some price increases, which were required for the December materials, but the

pricing continues to keep going up. You've seen copper, which it seemed very high at 12,000 last month is now trading at 13,000.

So as I said, sometimes it takes some amount of time to fully absorb the price increases even in the mind of the teams and the channel and finally goes into the consumer. So I would say that we have been able to pass on the price increases up to at least w hat our thinking was for December. And we will continue to evaluate what is the pricing right now, and we will see how the season pans out.

Moderator: Our next question comes from the line of Saurabh Mehta from East Lane Capital. As there is no response from Mr. Saurabh Mehta, we'l l move to the next participant.

Our next participant comes from the line of Ashish Kanodia from Citibank.

Ashish Kanodia: So first one is on the cables and wires side. When you look at the contribution margin, it has almost declined by 200 basis points quarter -on-quarter. So what led to that? And if you can also quantify what was the capacity utilization for cables and wires in 3Q?

Anil Rai Gupta: Can you repeat the question, please?

Ashish Kanodia: Yes. So I was asking like what was -- what led to the contribution margin decline of 200 basis points quarter -on-quarter in the cables and wires segment? And what was the capacity utilization?

Anil Rai Gupta: Yes. I think there is contribution improvement if you see Y -on-Y. And quarter -on-quarter is, again, as probably mentioned by Rajiv ji, it's very difficult to read on a quarter -to-quarter basis depending on which inventory is getting pushed out in the system. So I don't think you should read too much into that.

As far as capacity utilization is concerned, as far as wires is concerned, we are fairly comfortable with our capacity. It's operating usually around 65% - 70%. As far as cables are concerned, we are -- as I told you in some time back, we are building capacity. So usually, cable capacity is running at almost 90% to 100%.

Ashish Kanodia: Sure. And the last question is on the employee cost. So if I look at the absolute employee cost, last almost 7 quarters has been in a narrow range of between INR460 crores to INR490 crores. Given the growth outlook and as you build up capacity, do you see employee cost kind of on an absolute basis going up? Or do you think you have already invested in the creating a bench, so employee cost should be at the current level for the ne xt, say, 12 months?

Anil Rai Gupta: No, it's difficult to say it's going to be same because there are usual normal increments and buildup. We have always maintained that over the last 5 years or so, Havells has built a good talent pipeline and has invested before growth. So there will be, I would say, operating leverage coming out in the coming years. But holding on to an absolute number, I th ink will be a foolhardy .

Moderator: Our next question comes from the line of Karan Gupta from Asit C Mehta Invest.

Karan Gupta: My question is regarding the solar segment. So basically, how much we're going to invest into the Go

ldi Solar and the Goldi Solar is also investing into the backward integration of cells kind of thing manufacturing? Which kind of cells -- I mean, they are manufacturing, the kind of technology they are using?

Rajiv Goel: So Goldi, we have already disclosed, we invested around INR600 crores. And I think on the cell side, we will come back. I think this is still being implemented by them. So I think your specific question being technical in nature, I think we will revert to you independently on this.

Karan Gupta: Okay. So the strategy is to -- if, let's say, they are also investing into the backward integration of cell and manufacturing. So the idea is to purchase cells from them and then assemble in -house kind of thing, assemble in -house modules and then sell it, right?

Rajiv Goel: The module is being manufactured by them. I think you need to understand the investment we have done in last quarter. I think you are not updated on that. So we invested in the company, Goldi Solar, which is into manufacturing of modules and now they are b ackward integrat ing cell. We have no plans to manufacture modules on our own.

Karan Gupta: Okay. So basically, we are purchasing modules from them and then booking in our or we are --

right now what we are doing in a solar -- I mean, just for the company. So just wanted to understand solar.
Rajiv Goel: In solar, we are key service provider. We are doing inverters. We are doing solar modules. We are doing switchgears. We are doing cables, we are doing wires. We are selective doing even EPC. The strategic investment in Goldi was to assure that we have a strategic supply of modules available. And I think they will also then invest backward into cells and wafers at some point.
Karan Gupta: Okay. So as of now, we are assembling the modules our own in -house before the investment of Goldi?
Rajiv Goel: I think I suggest you contact our IR team to understand this transaction in full. Maybe this is not the right forum to discuss this now.
Moderator: Our next question comes from the line of Pulkit Pat ni from Goldman Sachs .
Pulkit Patni: This is Pulkit Patni from Goldman Sachs. Sir, my question is on cable and wire. And in one of the previous questions, you answered that we'll continue to invest in more capacities for cables and wires. My question is, when we speak to all the companies in this sector, everybody wants to invest more and more capital because at t his juncture, demand is strong.
But some of your large competitors are also looking at export as a big opportunity, and that becomes the plan B in a scenario that there is some slowdown in India. I just want to understand for our portfolio, which is more wire heavy, assuming a scenario of some slowdown in the domestic market, is export and opportu nity, a, that we are exploring?

Second, have we done some work in order to get some approvals from various countries and their utilities, et cetera. So it would be helpful to just get some perspective on your cable and wire export opportunity and anything you are doing on that regard?
Anil Rai Gupta: I think cables presents a very good opportunity for exports as well. And as you rightly said, it can provide us a good hedge against some sort of demand neutralization within the country in the coming years. So we are on that process. We are tracking well. Our cable growth was very good last year in terms of exports.
This year, unfortunately, we have been hit by the tariffs, and there is lesser demand from the U.S. market, which is turning out to be a good export market for Havells cables as well. But hopefully, in the coming times, this effort will continue towards looking at more and more export markets for the underground cable business also.
Moderator: Our next question comes from the line of Renu from IIFL Capital.
Renu: A couple of questions. So first, broa

dly on the FMEG segment, just trying to get your perspective, do you think it has lost its old mojo where demand has been consistently weak for a few years. There is hypercompetitiveness. The brand pull also has started getting diluted and even category leaders are struggling to hold on to their pricing power and margins in the last few years.
So somewhere you think that this category itself now has relatively become weaker compared to some of the emerging segments like cables and wires, which are holding both from B2B as well as on the B2C and export part of the business or it's a cyclical downturn, which you think should recover in a couple of years from that perspective?
Anil Rai Gupta: I think 2 or 3 things I would say to this. There are cycles, obviously, in every market. Post-COVID, there has been a situation where, one, the post -COVID demand cycle was not at the same level. In hyperinflationary situation, which has happened especially in the electrical sector, sometimes unorganized and regional competition also starts gaining some ground, which we do believe that they take certain market share.
I mean, over a long period of time, if you see established brands have taken share from the unorganized sector. But I think not purely unorganized, but certain regional brands also start gaining grounds due to market or lower expenses.
And so I think over a longer period of time, I don't think India demographics are such where we will continue to see tepid demand in these categories. We are quite hopeful of the future. But yes, in the last couple of years, there could be regions where we 've not been able to see so much growth in demand at least for the established brands.
Renu: Got it. Secondly, when we set up the second factory for RAC in South in Sri City, there were also plans that we would look seriously at export opportunities, both for finished RAC plus white labelling and probably component exports also. Any development or movement on that side of the business or it's still domestic -centric today?

Anil Rai Gupta: No, I think it is primarily domestic centric. There has been good efforts made in various markets. But as I said, a lot of our exports efforts were also made in the U.S. by setting up a subsidiary there, but things have slowed down, especially after the ta riff situation. I think hopefully, in the coming times, this should improve, and we'll continue to keep looking at more export opportunities for air conditioners as well.
Renu: Got it. And last question. In the last quarter, we have seen quite a few senior level recruits at the business level, both for solar, cables and other businesses. So specifically on the solar part of the business, now that senior leadership has taken charg e and there are plans, not just solar, but overall renewable play. At the company level, from a 3 to 5 -year perspective, what would be our growth ambitions for this segment, renewables as a whole?
Anil Rai Gupta: I think we are quite hopeful because the overall, the way Indian economy is moving, there is good opportunity in this segment. And I think Havells has a good brand and channel to operate in this area. I think the way things pan out, we're making the right moves in terms of investments into this business with the hiring the right team, creating a separate business unit out of it. So I think over a period of time, let's see how it pans and we'll come back to you with more detailed information in the coming times.
Renu: So any quantifiable targets for a 3 year - 5 year perspective?
Anil Rai Gupta: We generally don't keep any targets. We do believe in no targets in the company.
Moderator: Thank you. Ladies and gentlemen, due to the interest of the time, that was the last question for today. I would like to hand the conference over to management for the closing comments. Thank you, and over to

you, sir.
Anil Rai Gupta: Thank you very much. Thank you, everybody, for joining in late in the evening. It was a very insightful call, and I thank you once again for all the people to join in. Thank you.
Moderator: Thank you. Ladies and gentlemen . On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

24th April, 2026

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051

NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the fourth quarter and financial year ended 31st March, 2026

Dear Sir,

This is with reference to the Company intimation dated 16th April, 2026 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the fourth quarter and financial year ended on 31st March, 2026 scheduled for 22nd April, 2026.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above

Havells India Limited
Q4 FY '26 Earnings Conference Call
April 22, 202 6

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME
DIRECTO R AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call of Havells India Limited. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference call over to Mr. Umang Mehta from Kotak Securities. Thank you, and over to you.

Umang Mehta : Thank you, Steve. On behalf of Kotak Securities, we welcome you all to Q4 FY '26 and FY '26 Results Conference Call of Havells India Limited. We have with us today the senior management represented by Mr. Anil Rai Gupta, Chairman and Managing Director; Mr. Rajesh Kumar Gupta, Whole -Time Director and Group CFO; Mr. Ameet Kumar Gupta, Whole -Time Director; and Mr. Rajiv Goel, Executive Director. Now I hand over the call to Mr. Anil Rai Gupta for his initial comments, and then we will open the floo r for Q&A. Thanks, and over to you, Anil sir.

Anil Rai Gupta : Thank you . Good afternoon, everyone. Thank you for joining today's call. We hope you have reviewed the results and we will now walk you through the key highlights.

Modest overall performance for the quarter as channel stocking for cooling products was impacted by milder start to season. Momentum in industrial and infrastructure■linked categories remained strong, however, consumer categories witnessed cautious trade sentiment, predominately driven by higher costs arising from recent global disruptions.

We stepped -up advertising investments to enhance brand visibility, while still maintaining limited growth in overall spends.

On the profitability front, margins held well, except Lloyd which was impacted due to lower revenues. We continue to navigate cost pressures linked to recent developments in West Asia. Calibrated price actions have also been initiated.

Our renewable energy initiatives continue to scale up. As you would be aware, during the year, we invested Rs 600 crores in Goldi Solar. This investment allows us to leverage Goldi's solar module manufacturing capabilities to expand our solar portfolio. Ad ditionally, during Q4, we recognised a fair valuation gain of Rs 283 crores on this investment. The gain is reported under 'other income' for the quarter.

To position Lloyd as a full stack home appliances player and strengthen our presence in the refrigerator segment, we have invested in setting up of a new refrigerator plant at Ghiloth. During the quarter, the capacity was commissioned and a refreshed produ ct portfolio was launched.

After a delayed onset of summer season, we are now seeing signs of pickup in demand for cooling products. We remain optimistic on a revival of summer demand while closely tracking inflation trend and its impact on consumer sentiments.

We can now move to Q&A.

Mod erator : Thank you. The first question comes from the line of Ravi Swaminathan with Avendus Spark. Please go ahead.

Ravi Swaminathan : My first question is with respect to the Cables and Wires segment. During the quarter, we had registered a 14% growth. If you look at the copper prices, I think year -on-year, it would have increased by a much higher number. So had we seen a decline in term s of volumes at the cable and wire segment level? If so, why was it so? And was it just related to dealer destocking alone or the end market was also on the weaker side? If you can give some clarity on that.

Anil Rai Gupta : Thank you very much.

Ravi Swaminathan : Sir, your voice is cracking a bit, sir.

Anil Rai Gupta : Okay. I'm a bit surprised. Can you hear me now?

Ravi Swaminathan : Yes, it's better.

Anil Rai

Gupta : On an overall there was 6% volume growth . The industrial cable segment has grown much faster than the domestic wire segment . We saw destocking in wires in first half of Q4 and there was a high base of last year . If you remember, fourth quarter of FY2025 saw a major copper price increase leading to higher channel stocking. While in Q4 FY26 there was some amount of price

correction in copper before the West Asia war. So, overall volumes were down during the quarter. So you see wire segment remained flat, but the cable segment has grown.
Ravi Swaminathan : Okay. And with respect to the other two -- a couple of other segments, one is AC and fans, how much amount of price increase we would have taken over the past few months to compensate for the raw material price increase in both these products, if you can highlight that? And how much are we like ly to take?
Anil Rai Gupta : First price increase happened due to the energy efficiency ratings change during the quarter. And then with war breakout, there is increase of raw material prices . There are calibrated price increases happening not only in fan s & ACs , but in all our categories .
Ravi Swaminathan : Thanks, sir.
Moderator: Thank you. T he next question comes from the line of Natasha Jain with PhillipCapital. Please go ahead.
Natasha Jain: Yes, thank you. Sir, since your line was not clear, I will just repeat one question I had, incremental. In terms of wires and cables, you mentioned that the volume has been flat, but margin increase has been very sharp. So, could you point out what could be attributed to inventory gains and if there is any mixed change that has led to such a sharp margin spike despite volume degrowth?

Anil Rai Gupta : I think , I would say rather than just looking at this particular quarter, because there is usually in this quarter year -end adjustments also are there because of the final dealer incentives and all. But overall, there were inventory gains because of copper and aluminum as well. But volume growth was only 6%, not flat, but volume growth was 6%. But we have seen slight degrowth in domestic wire segment, but much higher growth in the industrial segment.
Natasha Jain: Understood. Okay. All right. My second question is on lighting. Now, revenue there again has been broadly flat, but margin has increased extremely sharply. Your contribution stands at 37 % and you've mentioned in your presentation that the long -term average is 30% to 32%. So, does that mean that there is some one -off even in lighting and that should normalize to 30% levels going forward?
Anil Rai Gupta : Yes, you can take that as well. As I said, during the year, sometimes in the fourth quarter, there are certain year -end releases, and that is for the entire year. So, one can say on an average, you can expect 30% to 32% , but sometimes the first three quarter releases also happen . In certain cases , sometimes it's the other way around . But in lighting, this has happened. And so, I would say a long -term would be 30% to 32%.
Natasha Jain: And so, this is even despite the fact that ASP decline has stabilized. That is what is mentioned in the PPT ?
Anil Rai Gupta : That’s right. That’s right.
Natasha Jain: Got it. And s ir, one last quick question. In terms of Lloyd, fourth quarter, we understand that the summer was bad. And in fact, it continued probably till beginning of April. Could you throw some color how the channel inventory right now is and a little color on sell -in and sell -out both?
Anil Rai Gupta : I think your analysis is absolutely right. The first half of April was also slow. So, there were some channel inventories, but now it's evening out. And south and west have started with a good summer. And I think it's now coming in the north as well. So, hopefully, by the end of this month, there will be

normalized inventories at the channel level as well.
Natasha Jain: Understood. Thank you so much, sir. All the best.
Anil Rai Gupta : Thank you.
Moderator: Thank you. The next question comes from the line of Rahul Agarwal with Ikigai. Please go ahead.
Rahul Agarwal: Hi. Very good evening. Thank you so much for the opportunity. Sir, a couple of questions. Firstly, on outlook for fiscal ’27, both on volume and revenue growth, given that fourth quarter has ended we ak, my sense is, should we expect double -digit volume growth plus some price hikes into FY '2 7? Any outlook could you share, please?
Anil Rai Gupta: In today's environment, what do you expect an answer from me? You know, we are just looking at month to month, who knows where the wa r goes? How the, I mean, okay, we are seeing sharp

increases in prices for most of the product categories. So, how much will volume growth be? It is difficult to say at this point of time.
And I’m not even talking about the summer, but the kind of sharp increases in prices can

hopefully it should not, but if it starts affecting the demand also, that's something which will have to be seen as you operate.

See, maybe this is for other people's questions also. At this point of time, it is very difficult to say what the growth will be. We are very positive, hopeful, the summer has started off at a good note. But the demand is yet to be seen. And our focus will be to continue to strive towards getting more efficiency. If you have seen, we have also continued to invest heavily on our brand building activity, which clearly indicates that we are in here for a longer period of time. And it's very difficult to, predi ct short term ups and downs.

Rahul Agarwal: The base case, even if you do like mid -single digit volume, along with the price hike, we should still reach like mid -double digits next year, right? In terms of value growth. Is that a reasonable assumption?

Anil Rai Gupta: As I said, it's right now it would not be right for me to give any number.

Rahul Agarwal: Okay, no problem. Sir, secondly, on the margin side, given various amount of price hikes, and what we are seeing on the RM inflation side, should we assume that whatever RM inflation forex issues, in terms of cost inflation, we are seeing most of that is actually pas s through and there should -- the entire absorption is actually getting done from Hav ells side. Is that understanding, correct?

Anil Rai Gupta: We are striving to do that. Again, we are in a not --we are in a competitive world, and we have to see how it holds up. We are striving to pass on the cost. But, again, as I said, we have to compete in the market, our focus will also be to retain or gain market share. So, we'll ju st play a balancing game.

Rahul Agarwal: Good, sir. And last question, sir, on the after sales service, my sense is, we've seen a lot of premium product launches across all segments from Hav ells over the last six months. When you look at your website, a lot of new products have actually launched. Just to understand that, I think, from a technician perspective, whoever services the customer from an after sales perspective is largely the same team for premium as well as mass segment products. Is it really possible to have a separate t eam for luxury and premium products so that the customer experience is not compromised? Any thoughts on this?

Anil Rai Gupta: I think these are very operational issues, which we continue to, you know, ensure that we will give the best service to the consumer. But these are very operational issues. And one part of the business that I think there's no point of us to spend time about this on this call. But what you are saying is our objective is to continue to give the best service as well as best customer experience always. But it's good to know tha

t you've noticed that Hav ells is coming out with premium products. That is a reflection of our continued investment in innovation.

Rahul Agarwal: Thank you so much. I'll get back in the queue. All the best.

Moderator : The next question comes from the line of Aniruddha Joshi with ICICI. Please go ahead.

Aniruddha Joshi : Yes, so thanks for the opportunity. As a solar business, so we have seen almost 48% growth in “other ” segments. And even the EBIT margin has also seen a good expansion. So, if you can share more details on the solar business, have reached a -- in a way normalized run rate or there is a still good scope to potentially grow in this business, means how long this growth rate can sustain ? And again, margins of solar business have they reached to an optimal level or there is still further scope to see margin expansion in solar business also ? That is question number one. And in terms of question two, as far as the volume growth in fans, coolers, as well as the refrigerator. So how it would have panned out because probably there was no excess sell in December for these products. So, have they also seen some impact on volumes or is there healthy growth in these products?

Anil Rai Gupta: So, in your first question on solar, I think most of the growth that you see in the “other s” segment is coming out of solar. And you see, the way to look at it is that we are building capacities, both in industrial cables as well as solar. Solar through an investment in Goldi Solar . And because of the short supplies, more capacity that we have, we're able to take advantage of the tailwinds that are there in these two segments. And going forward also, in the coming year also, we do feel that there is enough opportunity in the solar segment to continue to grow.

But we'll be also expanding our product ranges in the entire renewable space in coming time. So, again, difficult to say about the margins. One, of course, volumes will benefit, but it is a competitive space and we also need to see our market shares growing. And also, we'll try and maintain or increase margins through better product additions and expansion of the product range in the renewable space. That's what we're looking for.

As far as the second question, I think in fans in the third quarter, there was a change in the B EE norms. So, there was some stocking in the end of the third quarter, which impacted some volumes in the fourth quarter, but also the seasonality aspect also came in, in the fourth quarter. So,

hopefully, we should be seeing better volume growth in the first quarter.
Aniruddha Joshi : Sure, sir. But in terms of monsoon, like last year also was impacted by monsoon. So logically, the impact of monsoon this year is probably less compared to what it was last year. So, on that favourable base, should all these segments report strong growth or still the impact is so high of monsoon this time also that we are still seeing some impact of monsoon?
Anil Rai Gupta: No, it's difficult to predict what will happen in the monsoon. But you are right, last year was a low base. So, we should be seeing good growth in this year.
Aniruddha Joshi : Okay. And any internal target estimate that the company would be working on summer products that you can share with us?

Anil Rai Gupta: I think we do not give any guidance on the numbers. And frankly, in this scenario, we are hoping for a faster growth. As I've already said in summer products, last year was a very low base. So, we are hoping to get a good growth in this first quarter.
Aniruddha Joshi : Okay, sure, sir. Just last question, the weighted average price hike at the company level would be more than 10%? Is it a fair assumption?
Anil Rai Gupta: No, I think we would like to see that in many product ranges,

it ranges between 5% to 20%.
Aniruddha Joshi : Okay, sure, sir. Thank you.
Moderator : Thank you. The next question comes from the line of Balasubramanian with Arihant Capital . Please go ahead.
Balasubramanian : Good evening, sir. Thank you so much for the opportunit y. Sir, trade receivables fallen drastically from INR1,254 crores to INR782 crores, almost 38%. Even d ebtor days , it used to be 20 or 21 range in last five years, but right now it's came to 13 days. So, I'm trying to understand, this is majorly because of faster collections or changing payment terms with the distributors. And how do you understand in upcoming years?
Rajiv Goel : No, this is normally, this is the last day through channel financing. So, these kind s of fluctuations are normal. There is no structural change in our payment terms or the billing. Depending upon the mix, sometimes these things happen. But I think you should keep them as normalized or normally and not see them as anything exceptional happening in this particular March quarter .
Balasubramanian : Okay sir. Sir on the ECD side in Q3 is majorly described as largely. Yes sir on the ECD side in Q3 is majorly described largely volume driven, not price led. But in Q4 we saw volume decline, but there is no major price reversal. So I'm trying to understan d if you could share volume growth or de -growth for fans, water heaters and OFR for Q4 ?
Anil Rai Gupta: We don't give separate volume details for fans and water heaters. So but as I said overall there was a de -growth in value terms in fan segment, because of the initial push in the third quarter because of the energy efficiency and a delayed summer as well.
Moderator: The next question comes from the line of Siddhartha Bera with Nomura.
Siddhartha Bera : Sir first on Lloyd . Can you highlight broadly how much price hikes have been taken till now and how much is required to sort of go back to that double -digit contribution margin level which we had last year?
Anil Rai Gupta: Work in progress.
Siddhartha Bera : Any price hikes sir if you can quantify how much is more needed or…?
Anil Rai Gupta: Siddhartha we have already said that there were quite a few price hikes especially in case of Lloyd because of the energy efficiency (three star, five -star) change. So a lot of that happened

during Jan to March. And now as it 's because I said, work in progress because now we're really seeing the impact of the cost increases post war. So that is now being passed on. So there is a work in progress . It ranges between at least 8% to 15% depending upon the AC
Siddhartha Bera : Okay. And on the cable and wire side I mean we -- what will be the utilization levels of the new cable plant which we started . And I think phase two should come sometime this year as well. So if you can just give us some colour on that as well ?
Anil Rai Gupta: So right now whatever capacities got added . We've been still operating at high -capacity utilization . And more capacities will come up as you rightly said during the year. So hopefully by the end of this year early next year first quarter we'll be having the entire capacity which was planned .
Moderator: The next question comes from the line of Aditya Bhartia with Investec.
Aditya Bhartia: So given that some of these price and price increase announcements for fans and room ACs could have been made by March end . Did we not see any element of pre -buying given the sharp price

increases that you would have announced? That's my first question.
And the second question is just on the “other ” segment margins that we are seeing in the other segment . Is it operating leverage benefits that are now starting to help us? And in that context should we expect high -teens kind of contribution margins to be sustainable from here on?
Anil Rai Gupta: On the first part yes there was some pre -bu

ying in March, especially in cooling products. But generally that is the case also in most of the years because it's also the upcoming season time for April and May. So but that was also accentuated by the fact that the price increases were happening.
And again as I said, right now solar is sunrise industry for us . We are evaluating this . Our major focus is continue to gain market shares . And get the tailwinds of this industry. And difficult to say what the final margins will be but they will continue to improve as you rightly said about the operating leverage.
Moderator: The next question comes from the line of Renu Baid with IIFL Securities.
Renu Baid: So my first question is , you did allude to the fact that current environment has been extremely difficult to predict . And you have been looking at the business on a month -on-month basis . But going by your experience of how consumption and consumer demand has been given the steep inflationary pressure across board across segments and categories.
Do you think consumer offtake in broad is likely to remain slightly muted in the near term in the next couple of quarters? And the entire thesis of expectation and recovery in consumption is getting prolonged ?
Anil Rai Gupta: Yes. I've not seen this kind of a price escalation in the recent past in the recent memory. Usually it happens but it is not so steep and not across all product categories. Sometimes there are more

fluctuations in the cables and wires. But this time , we're seeing its across categories . So while we are very hopeful of the overall structural things which have happened within India as well as within Havells.
But ultimately , we are bound by the fact that the consumer offtake can get affected if the price hike is too high. Let's see how it pans out. Let's see how the war pans out. And hopefully we should have some respite in the coming months.
Renu Baid: But for us, the priority would be to ensure to retain the market shares are retained or improve in the current environment, even if it remains slightly challenging ?
Anil Rai Gupta: Yes usually we have tried to be more efficient during these times and more efficiency leads to market share gain. So our investments continue to be there -- whether it is innovation, whether it is in brand building, distribution reach also. So our reach and all these things, those investments don't slow down during a tough period. Which Renu if you've seen in the past . If it means some pain in the short term also, but we are again wanting to play a long -term game here.
Renu Baid: Absolutely. So looking at the capex band in the last couple of years, we clearly stepped up our investment plans across manufacturing facilities, particularly cables and wires and Lloyd. So how should we look at the investment plans for fiscal '27-'28? Any notable segments you would want to highlight apart from the annual spend budgeted for the next two years?
Anil Rai Gupta: Yes I think by '27-'28 major capex would go into cables and wires which is already panned out. And I think this is -- a lot of that is happening in this financial year also, INR800 crores. The rest is, big investment is going into the new R&D centre. And that will happen over the next two, two and a half years. There is no major new capex in the Lloyd segment.
Renu Baid: Got it. And just lastly, linked to the cables and wires . We recently gathered that one of the large players with presence on the cement side, who was pouring into cables and wires . They h ave preponed their entry into the housing wire market by a quarter or two. So do you think in the current environment where the market is struggling but on the volume side, a large entrant entering in the space could put incremental pressure on the existin g peers and the industry pricing trend s?
Anil Rai Gupta: Generally speaking , ca

bles and wires especially wires there has been a lot of consolidation in the past also from unorganized or regional brands or small brands to organized brands. More and more this industry has absorbed newer players. And I think going forward also companies that should continue to invest in innovation, brand building and distribution will be the winners in this segment. So, hopefully new players will also come with the right investments. They'll definitely gain some mark et share but some readjustments may happen between the unorganized and organized sector.
Renu Baid: Sure. And last question if I can ask while you've always spent enough energy and money in terms of distribution reach . Across regions north, south broadly taken care of . How do you look to

tackle the western region in terms of penetration for Havel ls products except cables and wires on the B2C side ? And any particular areas you'd want to highlight to fill the gaps?
Anil Rai Gupta: I would say that Havel ls continues to invest not only in the western region, but also certain parts of the southern markets like Tamil Nadu where our market shares are lower as compared to other markets. Those investments are going both in distribution but also localized brand building as well. So we are seeing good growth. If we actually break down this growth into those areas that we are investing heavily towards . We are seeing good traction in these markets, whether it's west or Tamil Nad u.
Renu Baid: Got it. Thanks much and best wishes to you. Thank you.
Moderator: Thank you. T he next question comes from the line of Praveen Sahay with PL Capital. Please go ahead.
Praveen Sahay : Thank you for opportunity. I have two questions. So first is as you had highlighted, the next -- the investment focus area is towards the industrial, whether it's a cable or renewable. So how we are going to see the B2B - B2C mix evolve for the company in the next few years?
Anil Rai Gupta : I think in cables also underground cables is something where we are investing, where we were to some extent, underinvested. But in the past, our B2C to B2B has remained between 75% - 25%, 70% -30%. We hopefully, in the next couple of years, we should continue to grow even in the B2C segment, especially where we see a lot of growth opportunity in Lloyd and ECD. I think there will not be a meaningful move from B2C to B2B.
Praveen Sahay : Okay. And the next question, sir, related to the switchgear. So you highlighted that the margin impacted because of a lag in the pricing of the cost. So do we believe that in the coming quarters, it is possible that we'll go back to our 38% of contribution margin?
Anil Rai Gupta : Yes, we are striving towards that. As I said, in certain cases, the cost increases are so high that there was a lag in passing on the entire price increase. We'll continue to strive towards moving there. But I've also said that our eyes will also be on ret aining market share. It's not only also gaining. So this is something which we have to see how it pans out.
Praveen Sahay : Why I had asked, sir, because the growth for the entire year for Switchgear is also quite low. So it's more focused on the growth the way forward or major target is to achieve our contribution margin?
Anil Rai Gupta : I think it will always remain a balance between growth and profitability.
Praveen Sahay: Thank you, sir and all the best.
Moderator: Thank you. Th e next question comes from the line of Pulkit Patni with G oldman Sachs . Please go ahead.

Pulkit Patni : Thank you for taking my question. Anil ji I have two questions for you. First is, in light of whatever is happening globally, can you just discuss any supply chain disruptions that you have faced or navigated? And secondly is there a scenario right now likely wherein ag

ain stronger
companies like you emerge stronger given b etter supply chain controls, et cetera in the current environment? That's my question number one.
Anil Rai Gupta : On the supply side, there have been challenges over the last couple of months, especially more on the production side. Those have been navigated and we like not to go into each detail, but those have been navigated on the raw material side as well as on th e production side due to the gas supply. Going forward, we'll continue to navigate those things.
I think your question about where stronger companies are in a better position to manage, not necessarily also in the supply chain, but also continued investments. And that's what we'll continue to strive for. As I've already said, there is innovation, bran d, distribution, we'll do that and have a long -term thinking rather than a short -term thinking. I would rather say quarter -to-quarter thinking would not be in our mind, more of how do we continue to invest for the long term.
Pulkit Patni : Sure, sir. Sir, my second question is actually in relation to that only, which is we have about INR4,000 crores of capital now deployed in Lloyd, which at this stage is barely generating any profitability. If I was to look at this, say, further next 2 to 3 years, what is going to be the strategy to get our returns higher in that particular segment? Is brand building going to be a continued focus? Is utilizing our capacities, the two factories that we have going to be the focus? Just some thoug ht process about how should we look at capital returns on what you've invested in Lloyd?
Anil Rai Gupta : So the biggest thing about any consumer -oriented brand build, brand -oriented business is

something where it's an easier answer that you can't really say okay, if I have to fully utilize my capacity, I will lower down my price and start selling more. It doesn't really happen as you can very well understand. It requires long -term investment in brand building.

So our focus in Lloyd will continue to be towards bringing out better products through innovation, which means improving image through brand building and innovation for a better margin and utilize the capacities that have been created for better operating leve rage.

So that's where the profits will come from on higher sales due to capacity utilization, brand building as well as improved margins. So again, as I said, it's everything put together, but everything has to come together in a certain period of time. It can't come in very quickly. And that's what we'll continue to invest upon.

Moderator: The next question comes from the line of Mr. Achal Lohade with Nuvama Institutional Equities. Please go ahead.

Achal Lohade : Yes. Good evening, sir, Thank you for the opportunity. Two questions, sir. First, if you could give us some sense, if possible, on the full year growth in terms of fans, wires, water heaters,

etcetera. Just trying to understand if we have gained market share, we have seen some market share loss in any of the categories, if you could highlight that?

Anil Rai Gupta : Generally, we don't give product -wise growth rates, but fans, we have degrown in the entire year. Fans, ACs and air coolers, there we have degrown. So that's what I can say. But talking about market shares, we do believe that we've been able to at least retain , if not gain ed.

Achal Lohade : Any of the category where you think you could have lost market share?

Anil Rai Gupta : I don't believe so.

Achal Lohade : Understood. Sir, second question I had, just a top -down thoughts -- from a positioning of our products, would it be possible to get a sense in terms of the economy and mass premium and premium mix? And like are we under -indexed in the volume segment where probably the growth could be better and premium is facing a challenge in terms of growth? Any color on th

e

segmentation at a broad level, sir?

Rajiv Goel : Achal, look, the strategy of the company, I think the Chairman just talked about how the long -term strategies have gone up. So I think looking with a very short -term lens, I think we can't decide about the brand positioning.

You are aware, we have REO, we have Havells. So, I think within those segmentations, we'll play. But just because there could be volumes in the lower end of the market. And we even don't know. You see the data is not really supporting that. So, I think it is a brand position ing, which has been painstakingly built over decades, something you can't really tinker with based on a particular quarter or a seasonality.

So, this I think, will continue to sort of support. Yes, there will be strategies how we play in every segment, but not necessarily, it could be played with a single brand architecture. And that's something in the market , you are also aware of how we are doing the same. Maybe more clarity in the future will also be coming through. We are also observing market very closely. But clearly, there is an ethos which brand stands for. And I don't think that should be altered purely on some quarterly considerations.

Achal Lohade : Understood. Just to clarify, Rajiv ji, the question was more from an annual / medium -term perspective, not really quarter at all. Because I just wanted to clarify, given the positioning what we have, given the category -- the subsegment growth within the segment, within the category, is there a constraint in terms of growing at a h igher pace and there is a price difference gap between us and the other brands have widened. Is there a case for that? I was more coming from that perspective.

Rajiv Goel : Maybe you would be right, but I hope you appreciate this is something what we do every day. And based on, as I said, brand ethos are built over decades . Even a year , actually is nothing in the overall history of a business and a brand. So yes, I think your point understood, but I think this is something we evaluate very closely. That's what we can assure you.

Achal Lohade: Fair point. And just a clarification, Anil, sir, in the past calls, you did highlight there is a possibility of over 2 percentage point improvement in margins over the medium term. Given what you have kind of highlighted in the call about renewed investmen ts in the R&D and the A&P, is there a change in that particular thought or that remains as is?

Anil Rai Gupta : No, that remains as is because we are continuing to wanting to be more efficient, get operating

leverage out of better volumes. See, the whole investment behind innovation and brand building would be to put in more innovative products at a premium to the c onsumer and hence, get better margins for the company. So again, as I said, short term, there may be some pain. But long term, the whole idea is to have better growth and profitability. Through growth also operating leverage will be coming.
Achal Lohade : Understood . Thank you so much for your answer, sir. Wish you all the best.
Moderator: The next question comes from the line of Pratik Singh with Helios. Please go ahead. Pratik, your line has been unmuted. Please go ahead with your question. As there is no response, we'll move on to the next question. It's from the line of Natasha Jain with PhillipCapital. Please go ahead.
Natasha Jain : Thank you so much for the follow -up. So just wanted to check, you had said in terms of cables, the volume growth is 6% and the value growth is at 14%. So just trying to do the math here. Is it just the 8% price hike that you've taken? I think relatively copper has substantially increased and even aluminium if I see even on a Y -o-Y basis.
Anil Rai Gupta : No, this is what we are saying over the quarter -on-quarter. And if you would recall, there was actually a dip in co

pper in the month of February. The entire increase that you are seeing is post the war. So that has actually started increasing. So yes, so o verall cable and wire, 6% volume growth and 14% value growth.
Natasha Jain : So, 6% volume growth is year -on-year, correct?
Anil Rai Gupta : Yes, that's right.
Natasha Jain : And that would leave us with 8% price hike?
Anil Rai Gupta : Blended for cable and wire .
Natasha Jain : All right, sir. Okay. Thank you so much.
Moderator: The next question comes from the line of Ashish Kanodia with Citi. Please go ahead.
Ashish Kanodia : Thank you for the opportunity. So the first question is again on the cost side and investment in talent and capacity building. When we look at the fixed cost, and this is across segments, while FY25, there was an increase in fixed costs as you were investing. In FY26, barring cables and wires, we have seen the fixed cost being broadly flat across all other segments. Now when we -
- and cable and wires partly is maybe because of the capacity a ddition.

So when you look at FY 27, while as you said, revenue is , it's very difficult to forecast revenue here. But from a cost point of view, do you see th at FY 27 is also going to be very sim ilar to what we have seen in FY 26, whereby fixed costs may be increase d in cable and wire because of capacity addition, but other segments remains broadly where they are or maybe just in line with inflation? Or do you think that because FY 26 have not seen major investments, so '27 could see a bump up in investment across segmen ts?
Anil Rai Gupta : Yes, there will be some investment across segments. So, this year s pecially it was with cables and wires and other have not seen. But there will be a balanced approach across all segments. However, last year also we said , this year also we'll try and get more operating leverage, which means revenue growth should outpace the expenses growth, except in advertising and promotions where we are taking conscious decision s to up our strengths .
Moderator: Yes, sir, the current participant has been disconnected.
Ladies and gentlemen, that was the last question for today. I now hand the conference call over to the management for closing comments.
Anil Rai Gupta : Thank you very much, everyone, for joining in to the investor call for Havells India Limited. And thank you, Umang, for organizing this. Thank you.
Moderator: Thank you. On behalf of Havells India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2026

21st July, 2026

The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051
NSE Symbol : HAVELLS BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001

Scrip Code : 517354

Sub: Transcript of Earnings Call with respect to Financial Results for the first quarter
ended 30th June, 2026

Dear Sir,

This is with reference to the Company intimation dated 14th July, 2026 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the conference call to discuss the financial results for the first quarter ended 30th June, 2026 scheduled for 17th July, 2026.

Further to the audio recording filed with the stock exchanges already, we are enclosing the Transcript of the Earnings Call.

The same is also available on the website of the Company under Financials in the Investors section.

This is for your information and records.

Thanking you.

Yours faithfully,
for Havells India Limited

(Sanjay Kumar Gupta)
Company Secretary

Encl: As above H
HAVELLS GROUP
HAVELLS INDIA LTD.
Corporate Office: QRG Towers, 2D, Sector 126, Expressway , Naida -201304, U.P (INDIA). Tel: +91-120-3331000 , Fax: +91-120-3332000, E-mail:marketing@havells.com,www.havells.com
Registered Office: 904, 9th Floor, Surya Kiran Building, K.G. Marg, Connaught Place, New Delhi -110001. (INDIA)
For CARE 360, Call us: for Havells: 08045771313 , for Lloyd: 08045775666. GIN: L31900DL 1983PLC016304
M HAVELLS I LLO~!:) I HAVELLS erabtree I S STANDARD I R£

Havells India Limited
Q1 FY27 Earnings Conference Call
July 17, 2026

MANAGEMENT : MR. ANIL RAI GUPTA – CHAIRMAN AND MANAGING DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJESH KUMAR GUPTA – WHOLE -TIME

DIRECTO R AND GROUP CFO – HAVELLS INDIA
LIMITED
MR. AMEET KUMAR GUPTA – WHOLE -TIME
DIRECTOR – HAVELLS INDIA LIMITED
MR. RAJIV GOEL – EXECUTIVE DIRECTOR – HAVELLS
INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Havells India Q1 FY27 Earnings Call. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.
I now hand over the call to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and you to Mr. Aniruddha Joshi.
Aniruddha Joshi: Yes. Thanks, Sumit. On behalf of ICICI Securities, we welcome you all to Q1 FY27 Results Conference Call of Havells India Limited. We have with us today senior management represented by Mr. Anil Rai Gupta, Chairman and Managing Director, Mr. Rajesh Kumar Gupta, Whole -Time Director and Group CFO, Mr. Ameet Kumar Gupta, Whole -Time Director, and Mr. Rajiv Goel, Executive Director.
Now I hand over the call to the management for initial comments on the quarterly performance. Then we will have the question -and-answer session. Thanks, and over to you, Anil Rai Gupta, sir.
Anil Rai Gupta: Thank you. Good evening, everybody. Thank you for attending the call today. Hope you would have reviewed the results by now.
We delivered strong revenue growth in the first quarter as the demand was resilient despite inflationary pressures and the uncertainties arising from the West Asia situation.
During quarter 1, a decent summer supported cooling products demand, although a delayed onset restricted the full benefit of the season. Given significant raw material inflation, we undertook calibrated and staggered

price hikes across the categories to of fset the impact.
Encouraging to see that the consumer categories held well and absorbed price hikes. Each category showed strength, and we are positive to build further from here. Renewables business continued to scale rapidly with robust growth in revenues, leveraging sec tor tailwinds. From this quarter, we have begun reporting Renewables as a separate segment.
During the quarter, as planned, we significantly stepped up brand building efforts, led by mass media with advertising spends more than doubling year -on-year. While this front -loading of investments impacted the quarter profitability, these will normalize during the rest of the year.
We expect the demand environment to improve further and have a healthy outlook on the margins. We can now move to Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, on the lighting side, I think earlier you have confirmed about ASP declines have stabilized. And how is that pricing and volumes for this quarter, sir?
Anil Rai Gupta: Yes. As far as lighting is concerned, we have said that the pricing has stabilized. In fact, we may start seeing some price hikes in the coming times because of the electronics. But otherwise,

generally speaking, it has stabilized and hence, we are seeing some volume growth now in the business.
Balasubramanian: Okay, sir. Sir, on the switchgear side, majorly impacted by West Asia export disruptions. So I'm trying to understand what is the mix of domestic and international for switchgears? And is there any margin difference profiles compared to domestic and the in ternational side? We have seen around 260 basis point margin erosion in that segment.
Anil Rai Gupta: Rajiv, would you like to take this?
Rajiv Goel: Yes. The international business is normally 15%, but it varies from quarter -to-quarter. And that's why it has been impacted, but we are expecting this to rebound this quarter. It primarily happened because there are no vessels going , but things have considerably eased since then. So we are very confident that Q2 will see a good growth in the international and overall switchgear segment. The domestic demand has been fairly stable.
Balasubramanian: Okay, sir. So my last question on the renewable side. I think we have seen impact on the margin side, whether it's -- if you could quantify in terms of product mix shift, higher -- in terms of like higher share of solar pumps, maybe lower margin versus oth er products and competitive pricing pressure on solar module market and raw material side. If you could break down those impact on the margin side. And if you could also explain whether it's a timing of the project side or is there any other reasons?
Rajiv Goel: I think you're asking about renewable. Solar pumps still is not very significant in this. I think that should come in the ensuing quarters. And largely, it has been because there has been a strong demand on the panel side. And as you know, panels have slightly lower margin than the inverters.
But that also we expect to improve, you see in the coming quarters. So I think renewable, we believe, is holding pretty well in the margins considering the industry scenario. And as we move more towards the consumer side of the business, we are expecting i mprovement in the margins on the renewable side as well.
Balasubramanian: We can expect in the H2, sir?
Rajiv Goel: Yes, that's right, next quarter s.
Moderator: The next question is from the line of Natasha Jain from PhillipCapital. " HAVELLS

Natasha Jain: My first question is, if I see across the major revenue contributors, which is Lloyd, ECD and cables, our top line growt

h has slightly lagged the industry growth. So first off, I want to understand, is it because we took sharper price hikes and therefore, maybe lost on volumes? And if that is the case, from a very medium - to long -term perspective, could you call out what is the right mix between volume and pricing, especially given that there's intense competition across these categories? That's the first one.
Anil Rai Gupta: See, I think especially as far as Lloyd and ECD is concerned, this particular quarter was the quarter where there was maximum volatility and especially in the fourth and the first quarter. So there have been continuous raw material price rises, and we have taken staggered steps of price hikes. At this point of time, sometimes we are inward -looking and hence, we took calibrated price hikes.
We do believe that we have taken the right steps towards price hikes, keeping an eye on market shares as well as the fact that we have been making some improvements in our distribution policy wherein a lot of focus has been ensuring that we do not unnecess arily load the channel and basically improving their return on capital.
So a lot of things were happening in the first half of the calendar year. But I do believe that on a long-term basis, including if we take secondary sales from the channel, we do believe that we have done a very robust job of ensuring that we do not lose any market share or, in fact, gain market share.
Natasha Jain: Understood. And my second question is on the ad spend. While it's highly appreciated that Havells continues to be a consistent spender here, what's the ideal time frame wherein we can expect such aggressive ad spends to translate to revenues, and more importantly, volume growth? And on those lines, sir, if you could just call out the volume growth for Lloyd, and if we are seeing any brand pull traction there?
Anil Rai Gupta: No. I think, first of all, as far as advertising spends are concerned, basically, this is just a readjustment of our strategy between above the line and below the line and between categories.
So as you -- one question is whether this will get normalized? Yes, it will get normalized.
How much it translates into volumes and value? It's usually advertising is a long -term investment. And over a period of time, it relates to volume growth, value growth, premiumization. So it's not something like FMCG where it's an impulsive buy.
So advertising has always been looked at as an investment for a long period of time. And hence,

even during the year, it will get normalized, but there was more front ending in the first quarter
because of the seasonal products. And what was the second que stion, sorry?
Natasha Jain: Sir, on Lloyd, the volume growth.
Anil Rai Gupta: Yes. The volume growth in air conditioners would be single digits, but the value growth has been higher because of the calibrated price hikes during the first half of the year. " HAVELLS

Moderator: The next question comes from the line of Umang Mehta from Kotak Securities.
Umang Mehta: The first question is on A&P. So for the full year, I mean, last year, you spent something around INR600 crores. Possible to share any kind of budget which you would have for the full year, this year?
And how should we think about this now going ahead? Do you think this is a new base on which we keep on growing every year or do you see this as a lumpy episodic kind of investment you're making as of now? That's the first question.
Anil Rai Gupta: No, as I said, lumpy could be during quarters and all that. But over a longer period of time, it's just a readjustment between the media that we've looked at. And maybe there is a slight impact during the entire year and maybe there's a readjustment. But a s a percentage of revenue of consumer products, I think over a longer period of time, 4 to 5 years, we will be remai

ning
consistent.
Umang Mehta: Got it, sir. Sir, any budget you can share for the full year? Should we take north of INR700 crores, INR800 crores?
Anil Rai Gupta: Yes, somewhere around that number.
Rajiv Goel: And look, our long -term average has been around close to 2.7% of revenue as a company as a whole. I'm not getting into consumer otherwise. We expect that to remain the same even for the current year .
Umang Mehta: Sure. Thanks. Second question was on renewables. Given that you've called that out as a separate segment, any aspirations or targets you'd like to share from ? So, can we annualize the current run rate? Or do you think there are certain tailwinds from -- which are specific to 1Q? How should we think about this segment? Thanks.
Anil Rai Gupta: I think if you look at renewables a bit more strategically, our focus will be looking into various categories of renewables, which are adjacent to our brand and distribution. So we are looking at installations in, not utility scale of installations, but m ore residential homes, commercial and industrial establishments.
Also looking at more strategic inputs for the future, battery energy storage solutions, EV chargers. So these are the kind of categories that we are getting into where we can utilize and leverage our brand and channel.
Moderator: The next question comes from the line of Rehan from Trinetra Asset Managers.
Rehan: Sir, I have 2 questions. First on the management has given the guidance in the last call. In the last, management declined to give specific FY27 growth guidance due to market volatility. So given this quarter's results, can you now provide a clearer view on full year revenue and margin expectation? This is my first question. " HAVELLS

Anil Rai Gupta: I think if you attended calls for a longer period of time for Havell s, we do not give guidance for the year. But yes, the quarter start has been very positive, and we are hopeful that a good resilient growth momentum will maintain during the year.
Rehan: Okay. And my second question is around your price hikes across multiple categories. So as the company implemented calibrated price hikes across multiple categories to offset raw material inflation. Yet , contribution margin remained broadly stable around 18.3%.
So going forward, commodity prices remain elevated. So do you believe there is still pricing headroom available? Or will future margin improvement depend more on operating leverage and product mix than further upside decrease ?
Rajiv Goel: I think that will be part of the initiative definitely because it will be led by the growth. And look, these prices have been increased to compensate, but there are usual price increase which happens also you see once in a year. So those will always be und ertaken.
And then the contribution margin you're looking at is also a product mix. We do expect and we are seeing certain growth momentum in our other categories as well. As they grow, we are expecting to grow our contribution and overall profitability much higher than the value growth in sales itself. So it will be dual play. It will be leveraging, but we would also be -- you see

growing the high -growth categories as well.
Moderator: The next question comes from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: A couple of questions from my side. For the Cables segment, can you split out between the value and volume growth in this quarter? And how has it different in wires and cables?
Rajiv Goel: So volume has been largely flat, very, very low single -digit, but I will term it more as flat. And this is across wires as well as cables.
Indrajit Agarwal: Sure. And in renewables, would it be more like volatile or the quarterly run rate is something that we can maintain? And at what top line level we can see more insourcing than outsourced model?
Rajiv Goel: Lo

ok, as you are aware, I'm coming to insourcing, outsourcing first. The strategic investment in Goldi, which we made was the part of a very planned execution . So Goldi, I don't know if you put it outsourcing or insourcing because this was a strategic decision taken on that, I think which has held well because now as there is so much clamor, I think we are able to sort of have a very significant and assure supply ch ain there. So I would come this is a strategic insourcing rather than outsourcing to that extent.
And inverters, we have been doing ourselves in -house. And the other categories we are talking about, there will be a very strong strategic tilt towards that. And a lot of them will be done in -house either through the assembly or through the technical colla boration. " HAVELLS

And the sectoral tailwinds are strong and the way we are looking at the adjacencies as well -- we are hoping internally that we should continue to grow well in this category because this is a strong economic imperative for renewables in India, which is also ref lected in how the government is supporting this initiative.
So we are very positive on this, and we expect it to become a larger segment. And that's the reason why we have also carved out renewables so that it can be tracked both by the company as well as our investors on how we are doing the same. So I think it ju st demonstrates our faith and belief in this category and the growth will get us there.
Moderator: The next question comes from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: First question is on the cable and wires. If we look at the gap between the contribution margin and EBIT margin, it seems to have gone up a bit in the current quarter. Is it because of ad spend? Or if you can highlight what has led to this?
And second question is, sir, on the price hikes and costs. I mean, if you look at, say, ECD or Lloyd, how much have we taken in terms of price hike in the current quarter? And how much more do we need to take to pass on the current cost?
Anil Rai Gupta: No, I think, as far as your first question is concerned, yes, it is due to higher A&P spends during the quarter. I t's across the businesses, not just cables and wires. And as I have said already, during the year, it will get normalized. So we do not expect any major changes in the overall profitability for various divisions.
And as far as price hikes are concerned, look, different product categories require different price hikes depending upon the kind of raw materials used in that category. But generally speaking, 7% to 8% would be the right price hike , average if we take it.
And whether everything has been passed on, we were actually disciplined enough to say that we have been able to pass on the entire cost. But some of the remnants of -- some averages might be coming in the second quarter. But I would say most of the price h ikes have already been taken now in a staggered manner.
Siddhartha Bera: Okay. Okay. So at current commodity costs, we should ideally see margins improving from the coming quarters if it stays at that level?
Anil Rai Gupta: No, I think raw material prices have also moved up in a staggered way and price hikes have also moved up. So I would say we will now see the normalized margin levels. Contribution margin levels.
Siddhartha Bera: Okay. And second question is, sir, on the Lloyd. I mean, Lloyd, we used to do a double -digit contribution margin, which has now been in high single digits for quite some time. Given the competitive dynamics and your focus, do we anytime soon see that going to that double -digit levels? Or do you think that may take longer now given the industry? " HAVELLS

Anil Rai Gupta: No, no. I think except the non -seasonal quarters of second and third quarter, but we should

be
seeing double digit sooner than later. All this has happened also due to the volatility and timing differences between passing price hikes and all that. But otherwise, in full quarters, we wil l definitely see it coming back to double digits.
Moderator: The next question is from the line of Praveen from PL Capital.
Praveen Sahay: My first question is related to the pricing. Sir, last quarter Q4, you indicated 5% to 20% of a price hike implementations. So is there some challenges have you faced in absorption of those price hikes in this last quarter Q1 as well?
Anil Rai Gupta: I would not say challenges have been faced. I think the challenge was to pass on the price hike and which we've been able to do it successfully. I always remain skeptical about what it means for the volumes. Thankfully, the demand remained resilient in the first quarter.
And hopefully, in the coming times also, it should remain resilient. Any improvement there on in terms of raw materials or the world situation, definitely, it will be either further passed on or reduced. But as of now, I do believe that we have been succes sfully able to pass on the price hikes.
Praveen Sahay: Okay. Second question, sir, is related to the capex , nearly around INR1,400 -odd crores of capex for '27, what you had given in the press release. Can you give us some color on the bifurcation on the segment -wise, where it is going for a full year in this number?
Anil Rai Gupta: Look, the bigger part of that is going into the cables and wires business, almost about INR800 crores. About INR200 crores is going into the new R&D center. The rest is all divided into other business.
Praveen Sahay: And last question, sir, related to your collaboration on the BESS. If you can give some more color on this -- on the revenue and the margin visibility and when that's going to contribute to the numbers, this Pixii collaboration? And how is it going to work , whether you are going for a manufacturing of those -- assembly of those or just a distribution you are planning for?
Anil Rai Gupta: I think these are early stages to discuss this on the call right now, one. And two, it is anyway part of the overall renewables strategy. So as things pan out, we will be coming back with more information, but it's just too early to comment on it.
Moderator: The next question is from the line of Sonali from Jefferies.
Sonali: Sir, my first question is if you could shed some more light on the weaker performance in switchgear, both in terms of demand and margins, especially because this is your highest margin segment. How should we look at this segment going forward in the coming quarters?
I do understand you have mentioned in your press release that the demand has been impacted because of West Asia crisis. But since we are amongst the key market leaders, a 4% decline in " HAVELLS

sales year -on-year and with a margin dip seems a bit concerning to me, which is why I'm asking this question.
Anil Rai Gupta: No, I think one is not only the West Asia crisis, but it's also switchgear is one of those business where, again, volatility of raw materials was high and it impacted the entire passing on . And I would say because of this volatility in raw materials, there was also confusion amongst the trade also on buying products.
I think it has fairly stabilized, which should mean that the demand should be coming back from the second quarter. Hopefully, the international situation may also improve, but at least the domestic demand will remain stable from here. It seems so.
Sonali: Sir, how much of your sales in switchgears is from international just in the context of what you said?
Anil Rai Gupta: 15%.
Sonali: Understood. Got it. Very helpful. Sir, my second question is you did mention about the staggered price hike on an average about 8%. Would you be able to help us underst

and which category on
an average, how much price?
And I understand you don't give outlook or guidance, but how should we look at the margins in the coming quarters? As in a broader range, should we expect it to revert back to our normal 9%, 9.5%? I'm talking of EBITDA margin.
Anil Rai Gupta: No, I think, again, as far as price hikes are concerned, we've ranged between, let's say, 5% to 20%. Cables and wires have seen a larger price increase because of direct relation with copper and aluminum. But otherwise, as I said, most of it is average abo ut 7% to 8%.
As far as margins are concerned, going forward, I think we are looking at stabilizing contribution margins. I would not so much comment on EBITDA margin because there's a lot of things associated with that . At least contribution margins, we do believe we have done very good work in terms of managing the volatility in the raw material prices. And hopefully, the things should remain stable in the coming quarters.
Sonali: Understood. Sir, and just one last question, sort of a confirmation. For the capex for FY27 , we

should expect at about INR14 billion, right?
Anil Rai Gupta: INR1,400 crores, yes.
Moderator: The next question is from the line of Nitin Shakdher from Green Capital Single Family House.
Nitin Shakdher: This is a question not as an analyst, but more as an investor. So obviously, the renew eables business is showing excellent growth rate. I just wanted to get a sense of what the management is thinking in terms of revenue and top line in the future from the renew ables and the strategy " HAVELLS

towards that because it's showcasing a lot of positive revenue offtake and huge growth. So if you could just talk us through some strategic aspects of the renewa bles business for this year.
Anil Rai Gupta: See, I would say that having looked at this business, especially with the Goldi investment last year, we are looking at this business very strategically and for a very long period of time.
We made huge investment, in fact, for ensuring our supply chain for the coming years. So basically, if I look at it strategically, we are very hopeful that this business can become very big.
We are still evaluating all the possible places where Havells cou ld actually make sense, not only as a business, but also as a supplier to the renewable category.
So when we are talking about renewables as a business, that's just one business. But also, you can understand when all this capex and investments are happening in the country, a lot of our products, including switchgears and cables is also positively getting affected by that.
Having said that, I think the future will also depend upon how the government looks at this, how the regulation looks at it, what kind of manufacturing happens in India, what kind of tariffs are there, what kind of subsidies are there for the consumers an d users. So there will be a lot of moving parts to this business. I would only say that I think India has a great future in renewables and Havells wants to play a part in that.
I also mentioned that we will be looking at it more -- not at utility scale, but more in the consumer and commercial and industrial installation. So that's how we are looking at this segment. There are tailwinds and hence, it's reflecting in good growth in this year. But I think we have a very positive outlook for the entire category.
Nitin Shakdher: So my second question is like, you obviously mentioned that because of doubling of ad spends and raw material pressures, bottom line has been at least hit for the first quarter a little bit. Now obviously, looking at a future outlook by the close of next year, do you anticipate to recover the net profitability and come up to a certain level which showcases the growth? Or do you anticipate this year to be a bit flat?
What's your anticipation in terms of the margi

ns, which have been hit on the net profit for the
first quarter and going ahead for the second, third and fourth quarter?
Anil Rai Gupta: I think without giving any guidance, I can say that we are, one, on the A&P spend, things will normalize for the entire year. There will be an initial bump in this year because we do believe that we need to get back to that percentage of what Rajiv just m entioned between 2.5% to 3% of the spend for the brand for building long-term.
But also, I've also said that we are looking at hopefully stabilized margins in the coming quarters also. I mean we've proven our fact that we've been disciplined in pricing despite the volatility in raw materials. So there is a constant eye on the margin as well as managing spend. So I do see that we should see improvement in this year, both in volumes and profitability.
Moderator: The next question comes from the line of Jatin Sangwan from Optiver. " HAVELLS

Jatin Sangwan: My first question is related to A&P spends and the market share that we're continuously losing in ACs. Because if you think of medium term to long-term, to get the customers' top of mind share, you have to continuously spend on A&P to get the share back and this will result in your increasing market share in ACs.
Of course, the AC season is over and you may not spend too much on marketing for the next 2 quarters, but let's say, when the Q4 of FY27 comes or Q1 of FY28 comes, so how do you think of this advertising and promotion spend?
Anil Rai Gupta: Yes, I think there are 2 things to advertising spend as far as Lloyd is concerned. One is ensuring that we remain top of the mind awareness for the consumer during the season, but also to ensure that we build a long -term premium image for the brand.
So these 2 aspects we are always keeping in mind when we are advertising for Lloyd. Having said that, yes, the first quarter was primarily depend upon not just ACs, but other product categories also. And coming the fourth quarter also, we should be looking at.

So the way we look at it is that Lloyd spends on A&P will remain elevated for the next couple of years because there is a dual requirement of also premiumizing the brand in the product categories, the kind of quality and the features that we give in our pr oducts need to be communicated to the consumers for a longer period of time.

Jatin Sangwan: Got it. And my second question is on wires and cables. So if I compare it with our competitor who reported a couple of days back, so they have reported like high single -digit growth in wires and low to mid -single -digit growth in cables over a very high bas e that they had, while we are almost flat.

And of course, our margins have also declined. But we do actually need to win in that segment and where we are losing to some of our competitors? And how do you plan on gaining that market share back in wires and cables?

Anil Rai Gupta: I think, as I said that especially in domestic wires, we have done a very good job in terms of not only ensuring that our contribution margins continue to remain the way they are. And also, as I mentioned, we've made certain distribution strategy changes t o ensure that we become more of a sell -out brand rather than just a sell -in brand, which also impacted some volumes at the end of the quarter where suddenly the copper prices have started going down. So we are becoming more of a sell -out brand.

As far as cables is concerned, we are seeing very good growth, but also it is linked to the capacity expansions which are happening. So I would say that the whole idea of winning in this business in cables is more capacity expansion, ensuring that we conti nue to build our capacity there. But also in wires, we continue to keep the customer confidence very high in terms of brand and distribution channel.

I think you may have seen that

also during the quarter, we have spent part of our advertising promotions on wires as well. So I do believe that we have very positive model, long -term

prospects for cables and wires put together. If you're talking about lower margins, that also is affected by the fact that there was disproportionate spend on advertising and promotion for the quarter, which will normalize over time to come.

Jatin Sangwan: And just a follow -up on this, and this is the last question from my end. So when you say you are spending higher on wire and cable side also, and still it is not resulting in sales for us. Of course, you may say that it will result in coming quarters.

But over the time, we have seen that we have been consistently losing market share to the competitors. So how do you think of this advertising strategy on wires and cables? And when will it lead to results?

Anil Rai Gupta: I think I don't need to repeat my answer. I already answered it.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, first question on the Lloyd side, room air conditioners. Because of our product placement timing last year Q1 itself, we had a low base versus industry. And even last quarter was a low base for us. So despite that, when Q1 numbers are relatively lowe r in the last summer season.

So Is there any change in strategy or some rejig? And apart from that, any market share loss that you seem to have reported in the secondary sales side?

Anil Rai Gupta: I think initially, I had mentioned that as a company, we have made certain improvements in our distribution system where we are becoming more of a sell -out brand. And same is the case for Lloyd as well. So we are focused right now on the sell -out from our channel. So because of the BEE rating changes, there were certain stocks which were pushed during the third quarter and the fourth quarter in the channel.

We do believe along with the delayed summer, onset summer during April, we have been able to have a decent sell -out from the channel. Sell -in may have been affected, but I think over a long period of time, this should get stabilized.

This is also during the entire volatility in the raw materials. So sometimes during a particular quarter or a half, some times we choose to adopt a certain strategy. I think there are some disturbance s in the line.

Keyur Pandya: So there is no market share loss ?

Anil Rai Gupta: You can separately connect with our IR department. I am sorry. I can't hear you properly.

Keyur Pandya: Second question on profitability of...

Moderator: Sorry to interrupt, your voice is not audible.

Keyur Pandya: Am I audible now?

Moderator: Can you please speak? Yes, you are audible, say it.

Keyur Pandya: Okay. Last question is on the profitability of switchgears and ECD. So apart from the A&P spend this quarter, for last 2 years, we have seen a decay in profitability of these 2 segments. So when you say normalization of margin, what will be normalized margin? That is one point.
And second, specifically to switches and switchgears for last 3 or 4 years, our absolute EBIT has remained same, even with lower sales growth. So probably we have lost market share as well as profitability. So any outlook on switches and switchgears?
Anil Rai Gupta: So I can't really hear properly. You are saying that the switchgear margins, the normalized margins are somewhere between 37% to 40% contribution margin . That's the question that I understood.
Keyur Pandya: Okay. Let me connect separately. Probably some issues with my connectivity.
Moderator: The next question comes from the line of Achal Lohade from Nuvama Institutional Equities.
Achal Lohade: Just wanted to check in terms of the cable segment, how are

you seeing the momentum? Was
there any pain in terms of the demand in last couple of quarters? Or it is purely to do with the teething issues in the asset ramp -up for us in cable segment, sir?
Anil Rai Gupta: I think cable segment, we've been doing well. So we've been ramping up our capacity. And I don't think there are teething issues. We are actually gaining good growth in the cable segment.
The challenges that could have seen in the last couple of quarters is the volatility in raw material prices.
So sometimes, certain times, material gets pushed or sometimes there is a slow pickup because of suddenly the volatility raw material prices start going down. Other than that, on the cables, I think we are on the planned track of increasing capacities and increasing sales.
Achal Lohade: Fair. Just one question I had with respect to solar cables. In terms of offering, do we have all the relevant SKUs? And what is the contribution of solar cables for us? And also, if possible, for the industry? Just your thoughts on the same, sir?
Anil Rai Gupta: We do have the entire range, but we'll come back to you. I think if you talk to our IR, they can give you some more color on it.
Moderator: The next question comes from the line of Ravindranath Nayak from Nirmal Bang Securities.
Ravindranath Nayak: Sir, in this quarter, there is a significant rise in the A&P spend. So is it possible to quantify how much it has gone from Lloyd and how much is non -Lloyd business of the company? And if at all, you are targeting INR800 crores and how much you are planning for Lloyd and the rest of the business of the company? Thank you.
Rajiv Goel: Yes, the breakup, we don't give. Normally Lloyd depends upon also the quarterly, because it is very seasonal. I don't think we have given any guidance for INR800 crores. As we said, this " HAVELLS

should be normally around 2.7%, 2.8% of the net sales, which has been the trend for the last few years.
Ravindranath Nayak: But for this INR286 crores, any idea that how much it has gone from Lloyd and non -Lloyd business?
Rajiv Goel: As I said, we do not give bifurcation on the division -wise.
Moderator: The next question comes from the line of Sameer Gupta from IIFL Capital.
Sameer Gupta: First question is on Lloyds. Now I understand this question has been answered during the course of this call, but I'm just trying to find my interpretation here.
So you are saying that there is an impact due to higher sell -in in previous quarters and normalization of that has taken place, plus staggered price hikes over the course of the last 2 quarters that might have impacted primary offtakes . Would this be a correct interpretation?
Anil Rai Gupta: Yes. And a few other reasons also, but yes, primarily these 2 reasons.
Sameer Gupta: Sir, so just a follow -up on this then. Basically, higher sell -ins in previous quarter should have then resulted in higher growth in the previous quarters, which I'm not able to see. So is it that the last year, the sell -ins were very high and that is norm alizing now?
Anil Rai Gupta: You see, if you remember last year, there was a very bad season. And also a lot of BEE r ating changes happened at the end of December, plus the volatility in the raw materials in the first quarter.
Also, I've also mentioned that Havells and Lloyd both have gone through a change in the distribution strategy for the company, which is we believe is a foundation for very positive growth in the coming quarters. So all this put together, yes, it has reflect ed in this growth that we have achieved in the first quarter.
Sameer Gupta: Thanks for the detailed answer, sir. If you could just elaborate on this change in distribution in Havells and Lloyd that you're talking about?
Anil Rai Gupta: I think for the purpose of this call, I would say that as both Havells and Lloyd have become

more
sell-out oriented than sell -in oriented.
Sameer Gupta: So basically, primary aligning with the secondary, that's what it would mean, right, sir?
Anil Rai Gupta: Yes.
Sameer Gupta: Got it. Thanks. Second question, if I may squeeze in. Ad spends, if I'm looking at this quarter, and again, this has been discussed, so pardon me if something that I have not been able to interpret correctly. " HAVELLS

But on an absolute and as a percentage of sales, both it is among the highest that we have done in any quarter, especially in a quarter where there is RM pressure across the board. So is it driven by any major event like an IPL or something? I just wonderi ng if this could have waited.
Anil Rai Gupta: No, that depends upon the strategy of the company. Company looks at the long-term. All the raw material fluctuations and everything are short -term. Brand building is long-term. So if I would have been too concerned about quarter -on performance, then, of course, I would have definitely said that , this can wait on .
But I think brand building is a continuous activity. As I said, we have relooked at the entire strategy of A&P, and that's where it led to us coming back to certain media or certain product categories. That's the only thing. Otherwise, again, as I said, the difference between thinking long-term for certain things and short -term for certain things.
Moderator: The next question comes from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my first question is on renewables. Can you share some thoughts from, let's say, 3 - to 5-year perspective, how big this business can be in your vision? And what are the key products which will be driving that?
Anil Rai Gupta: I've already said this, that it's too early to give any more detailed answer than what we've already given.
Ashish Jain: Okay. Okay. Sir, secondly, on cables, it's a bit surprising that like 4 quarters back or 6 quarters back, we had capacity issues. And now with capacity coming in also, our cable volumes are flattish. So how should one think about that in your view and what's driving that?
Anil Rai Gupta: I think I've given this in a lot of answers that while our capacity utilization has been high, some part of the cables is also affected by the raw material fluctuation, which also means that sometimes the sell -in seen becomes slower when the raw materials are fluctuating heavily.
So it's -- not everything is going to projects because there's a lot of dealer sales also in cables.
So when the raw materials start going down, the dealers start selling out from their own stocks rather than picking from the company. So there are a lot of factors. I don't think you should look at one quarter.
Ashish Jain: So sir, just an extension of that. So should we think that for cables and ACs in particular, for the same reason, the channel inventory today is lower than normal? Is that the right way to think?
And that could reflect...
Anil Rai Gupta: Yes, at least at the end of the quarter, yes.
Ashish Jain: For both the products. Okay.
Moderator: The next question comes from the line of Pulkit Patni from G oldman Sachs . " HAVELLS

Pulkit Patni: Sir, first question is in your opening remarks plus a few other times, you sounded a lot more confident on overall growth. My question is, is this confidence stemming from the price increases that have happened across categories? Or are you also feeling mo re confident about volume growth going forward?
Anil Rai Gupta: I'm always confident.
Pulkit Patni: About, sir? Volume growth or it's the pricing growth that is going ?
Anil Rai Gupta: I'm always confident about Havells growth.
Pulkit Patni: Okay. Okay, sir. Sir, my second question is, would you be able to highlight what is the capacity utilization at the Cables and

Wires division right now for us?
Anil Rai Gupta: I can't give it to you on this call.
Pulkit Patni: Okay. I'll take it from the IR team separately.
Anil Rai Gupta: Thank you.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for the closing comments.
Anil Rai Gupta: Thank you very much, everybody, for attending this call and being very patient on the call.
Thank you once again. Wish you a very good weekend.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining, and now you may disconnect your lines. Thank you. " HAVELLS